February 9, 2026

*Post-Conference Notes - Day 1*

nuvama
institutional equities

# 21st India Investor Conference

**9th-11th February, 2026**

Nuvama Research Team
research@nuvama.com

Nuvama Institutional Equities

# Preface

We hosted the 21st Nuvama India conference themed *India: Shoring up Self-Reliance.* We present the key takeaways of Day 1 of the conference. Times are decisively changing on multiple fronts—geopolitics, economics, market cycles and equally importantly technology too. Pax Americana is fraying and globalisation is in retreat. Over the previous 50 years, global interdependence translated to politics remaining essentially national while economics became increasingly international. Even the imperatives of national defence and energy security played second fiddle to the principle of economic efficiency. This decoupling of economics and politics gave a leg up to international peace, but undercut national social contracts. Now, a new world order is afoot and nations must introspect and find their footing.

India is rising to the challenge and has begun to shore up self-reliance. In fact, a large domestic market in conjunction with a burgeoning youthful populace structurally position India to make headway in self-reliance. The country is operating a purposeful industrial policy, modernising and localising national defence, and tapping into indigenous sources of energy. India's foreign policy too appears to be adopting a new assertive hue—more strategic than ideological. This momentous transformation is nascent and cannot be captured at one go, but only along the way. At our flagship annual conference, we explore and unearth the opportunities and threats embedded in this shift.

We too are adapting to the changing times, with our flagship conference Main Track's compering being outsourced to Artificial General Intelligence (AGI) agents while we added an experience centre (corporates exhibiting their cutting-edge products) for clients. The conference was marked by one of the biggest turnouts with sizeable participation from FIIs, domestic investors and corporates. Concurrent Main Track sessions by industry experts as well as top corporate management along with one-on-one interactions kept marquee investors hooked with their honest industry assessment, business insights and perspicacity on emerging trends.

The conference kicked off with action-packed sessions on global and Indian business opportunities. We had a Fireside chat with Group CEO and MD Dr Anish Shah of Mahindra and Mahindra. Dr Shah spoke elaborately about the robust growth opportunities in India with M&M poised to capture the same, especially in new-age areas. He also spoke about M&M focusing on profitable growth with detailed plans to achieve the same.

To get a handle on the altering landscape in the technology space, we hosted CEO Mr Sudhir Singh of Coforge. He mentioned that Indian IT companies shall end up benefiting from the AI evolution, pivoting towards solution providers rather than services companies. The industry's track record to adapt and re-invent itself over the last two decades speaks for itself.

To parse the discretionary consumption landscape, we hosted Managing Director Mr Sudhanshu Vats of Pidilite Industries. He highlighted the vast opportunity in India's adhesives space with their focus on creating and nurturing pioneer segments and gaining a higher wallet share of the consumer.

To gain perspectives on the hospital sector, we conducted a Fireside chat with Chairman & MD Mr Abhay Soi of Max healthcare. Mr Soi highlighted that post-covid an increased demand has been observed for quality healthcare, supported by rising affordability (owing to improving insurance penetration) and with a large opportunity for growth. Max is now in an expansion phase, well-positioned to take off on the growth runway.

In the financial services lending space, MD & CEO Mr Sudipta Roy of L&T Finance (LTF) in his Fireside chat apprised investors about the rapid use of technology in the lending business. He mentioned that LTF has transformed significantly post-covid with increased use of technology and retail focus resulting in better productivity and lower cyclicality.

Finally, to discuss the changing landscape of the mutual fund industry and investing world, we had the pleasure of chatting with MD and CEO Mr Navneet Munot of HDFC Asset Management. Mr Munot, being an industry veteran, discussed a wide range of topics including how the world order is changing and also the evolution of investing in India, drawing parallels with the US. HDFC AMC remains committed to capture the evolving changes while embracing the technological shifts.

The curtains fell on a full-house with calming melodies by Swaraag band, focusing on Sufi and folk music. All in all, India Inc. remains quite optimistic about the country's long-term growth story. We hope your direct interactions with the who's who of Corporate India unlock an array of opportunities across a wide spectrum of sectors while unearthing insights on the likely trajectory and quality of India's growth.

***Team Nuvama***

## Contents

**Main Track Companies**

Coforge Ltd ..... 4
Pidilite Industries Ltd ..... 6
Mahindra and Mahindra Ltd ..... 8
Max Healthcare Institute Ltd ..... 10

**Companies**

Aditya Birla Fashion and Retail Ltd ..... 12
Aditya Birla Lifestyle Brands Ltd ..... 14
Allied Blenders & Distillers Ltd ..... 16
APL Apollo Tubes Ltd ..... 18
Apollo Pipes Ltd ..... 20
Bajaj Auto Ltd ..... 22
Blue Star Ltd ..... 24
Dabur India Ltd ..... 25
Dhanuka Agritech Ltd ..... 27
Dr. Lal PathLabs Ltd ..... 29
Dr Reddy's Laboratories Ltd ..... 31
Firstsource Solutions Ltd ..... 33
FSN E-Commerce Ventures Ltd ..... 35
GAIL (India) Ltd ..... 37
Gravita India Ltd ..... 39
Groww ..... 41
Hero MotoCorp Ltd ..... 42
Hindustan Zinc Ltd ..... 44
Hyundai Motor India Ltd ..... 46
ICICI Bank Ltd ..... 48
ICICI Prudential Life Insurance Co Ltd ..... 50
IDFC First Bank Ltd ..... 52
IndusInd Bank Ltd ..... 54
Infosys Ltd ..... 56
Inventurus Knowledge Solutions Ltd ..... 58
JSW Infrastructure Ltd ..... 59
JSW Steel Ltd ..... 61
Jubilant Pharmova Ltd ..... 63
Kaynes Technology India Ltd ..... 65
Leela Palaces Hotels & Resorts Ltd ..... 67
Lodha Developers Ltd ..... 68

# Profile of Participating Companies


LTIMindtree Ltd ..... 70
Mahindra Lifespace Developers Ltd ..... 72
Mahindra Logistics Ltd ..... 73
Medplus Health Services Ltd ..... 75
Minda Corporation Ltd ..... 77
Mindspace Business Parks REIT ..... 79
Netweb Technologies India Ltd ..... 81
Nexus Select Trust ..... 82
NTPC Ltd ..... 84
Oberoi Realty Ltd ..... 86
Persistent Systems Ltd ..... 88
PG Electroplast Ltd ..... 90
Piramal Pharma Ltd ..... 92
Polycab India Ltd ..... 93
PVR Inox Ltd ..... 95
Quess Corp Ltd ..... 97
R R Kabel Ltd ..... 99
SG Finserve Ltd ..... 100
SG Mart Ltd ..... 101
Shriram Finance Ltd ..... 102
Sterling & Wilson Renewable Energy Ltd ..... 104
Sun Pharmaceutical Industries Ltd ..... 106
Sunteck Realty Ltd ..... 108
Swiggy Ltd ..... 110
Tata Motors CV Ltd ..... 112
Vedanta Ltd ..... 114
Voltamp Transformers Ltd ..... 116

# COFORGE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,550 |
| 12 month price target (INR) | 2,500 |
| 52 Week High/Low | 1,994/1,191 |
| Market cap (INR bn/USD bn) | 519/5.7 |
| Free float (%) | 100.0 |
| Avg. daily value traded (INR mn) | 3,550.2 |

## SHAREHOLDING PATTERN

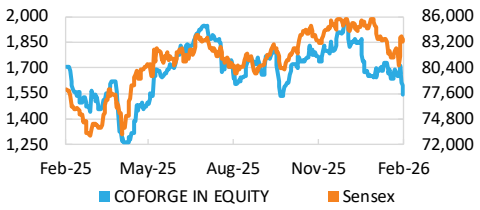
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 0.00% | 0.00% | 0.00% |
| FII | 34.53% | 34.09% | 37.42% |
| DII | 53.67% | 54.87% | 52.32% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,20,507 | 1,62,064 | 1,94,500 | 2,30,300 |
| EBITDA | 19,982 | 28,626 | 34,249 | 40,399 |
| Adjusted profit | 9,645 | 14,283 | 17,984 | 22,049 |
| Diluted EPS (INR) | 28.8 | 42.5 | 53.5 | 65.7 |
| EPS growth (%) | 6.5 | 47.6 | 25.9 | 22.6 |
| RoAE (%) | 17.4 | 18.9 | 22.6 | 23.5 |
| P/E (x) | 56.7 | 38.4 | 30.5 | 24.9 |
| EV/EBITDA (x) | 24.3 | 16.8 | 13.7 | 11.1 |
| Dividend yield (%) | 0.9 | 1.0 | 1.0 | 1.0 |

## PRICE PERFORMANCE




# Aspiration, Aggression and Execution

We hosted top management of Coforge Limited at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) record order book driving visibility; ii) Healthcare and Hi-tech are driving growth mix; iii) aspires to keep climbing the IT Services ladder, from its current seventh position (by revenue); iv) Encora acquisition to help scale up engineering platform; and v) Agentic AI platforms are reshaping delivery model.

Coforge continues to deliver solid growth while preparing a strong foundation for its long-term sustainability—diversifying revenue base and improving cash flows. Maintain 'BUY' with a TP of INR2500 (38x FY28E PE).

## Key takeaways

- The disruption driven by Gen AI will fundamentally alter the way IT Services business is done–moving from headcount based billing model to outcome driven. However, overall it will create massive growth opportunity for companies that are able to adapt to the new paradigm. In this respect, domain expertise shall drive growth for IT services firms, just like it has, over the last decade.
- Coforge reported a **record executable order book** with continued large deal momentum, supporting strong revenue visibility and confidence in sustaining industry-leading growth. The company expects to announce one of its largest deals in the near future, from UK public services segment.
- **Vertical mix driving growth acceleration**: Healthcare, Hi-tech and public sector are emerging as high-growth verticals alongside continued strength in Banking and Travel.
- **Operational initiatives and scale efficiencies** continue to support margin improvement despite wage and acquisition-related costs.
- Coforge is **integrating agentic AI platforms** such as ForgeX and CodeInsightAI into core delivery, shifting toward outcome-linked and AI-native execution models.
- **Encora acquisition to enhance capabilities**: The Encora acquisition materially expands Coforge's product engineering footprint and AI capabilities with management maintaining confidence in EPS accretion and integration execution.
- **Sabre partnership**: Cross selling through the Sabre ecosystem is already translating into new airline relationships, creating a scalable growth engine.
- **Healthy free cash conversion** and tight working capital measures are funding acquisition integration and growth investments.
- **Outlook:** Management expects a strong close to FY26 and FY27 as exceptional growth years supported by deal pipeline and account expansion.

**Vibhor Singhal**
VIBHOR.SINGHAL@nuvama.com

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Yukti Khemani**
Khemani.Yukti@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,20,507 | 1,62,064 | 1,94,500 | 2,30,300 |
| Cost of revenues | 80,499 | 1,07,626 | 1,29,131 | 1,53,053 |
| Gross Profit | 40,008 | 54,438 | 65,369 | 77,247 |
| SG&A | 20,026 | 25,811 | 31,120 | 36,848 |
| EBITDA | 19,982 | 28,626 | 34,249 | 40,399 |
| Depreciation | 4,276 | 6,614 | 6,903 | 7,629 |
| EBIT | 15,706 | 22,013 | 27,346 | 32,771 |
| Add: Other income | (1,079) | (906) | (800) | (700) |
| Profit before tax | 14,627 | 21,107 | 26,546 | 32,071 |
| Prov for tax | 3,326 | 4,446 | 6,637 | 8,018 |
| Less: Other adj | 1,666 | 2,225 | 0 | 0 |
| Reported profit | 8,395 | 12,615 | 17,984 | 22,049 |
| Less: Excp.item (net) | 1,250 | 1,669 | 0 | 0 |
| Adjusted profit | 9,645 | 14,283 | 17,984 | 22,049 |
| Diluted shares o/s | 335 | 336 | 336 | 336 |
| Adjusted diluted EPS | 28.8 | 42.5 | 53.5 | 65.7 |
| DPS (INR) | 15.2 | 16.0 | 16.8 | 16.8 |
| Tax rate (%) | 22.7 | 21.1 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 669 | 670 | 670 | 670 |
| Reserves | 59,729 | 72,743 | 85,085 | 1,01,491 |
| Shareholders funds | 60,398 | 73,413 | 85,755 | 1,02,161 |
| Minority interest | 19,500 | 21,237 | 23,163 | 25,167 |
| Borrowings | 0 | 0 | 0 | 0 |
| Trade payables | 31,698 | 37,880 | 44,839 | 52,534 |
| Other liabs & prov | 0 | 0 | 0 | 0 |
| Total liabilities | 1,20,785 | 1,41,175 | 1,62,401 | 1,88,507 |
| Net block | 10,002 | 15,416 | 12,513 | 9,685 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 0 | 0 | 0 | 0 |
| Total fixed assets | 10,002 | 15,416 | 12,513 | 9,685 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 10,705 | 14,633 | 28,542 | 46,197 |
| Sundry debtors | 20,498 | 26,641 | 31,973 | 37,858 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 23,126 | 24,421 | 29,308 | 34,703 |
| Total assets | 1,20,785 | 1,41,175 | 1,62,401 | 1,88,507 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Cost of revenues (%) | 66.8 | 66.4 | 66.4 | 66.5 |
| SG&A expenses (%) | 16.6 | 15.9 | 16.0 | 16.0 |
| Depreciation (%) | 3.5 | 4.1 | 3.5 | 3.3 |
| EBIT margin (%) | 13.0 | 13.6 | 14.1 | 14.2 |
| Net profit margin (%) | 8.0 | 8.8 | 9.2 | 9.6 |
| Revenue growth (% YoY) | 31.3 | 34.5 | 20.0 | 18.4 |
| EBIT growth (% YoY) | 32.4 | 40.2 | 24.2 | 19.8 |
| Adj. profit growth (%) | 16.5 | 48.1 | 25.9 | 22.6 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 9,635 | 14,435 | 19,910 | 24,053 |
| Add: Depreciation | 4,276 | 6,614 | 6,903 | 7,629 |
| Interest (net of tax) | 0 | 0 | 0 | 0 |
| Others | 1,666 | 2,225 | 0 | 0 |
| Less: Changes in WC | (35,738) | (4,995) | (3,261) | (3,585) |
| Operating cash flow | (20,161) | 18,279 | 23,552 | 28,097 |
| Less: Capex | (6,649) | (12,028) | (4,000) | (4,800) |
| Free cash flow | (26,810) | 6,251 | 19,552 | 23,297 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 83.4 | 86.4 | 88.0 | 88.0 |
| | | | | |
| USD revenue (USD mn) | 1,445.2 | 1,876.3 | 2,210.2 | 2,617.0 |
| YoY growth (%) | 29.2 | 29.8 | 17.8 | 18.4 |
| CC YoY growth (%) | 32.0 | 28.8 | 17.8 | 18.4 |
| Tax rate (%) | 22.7 | 21.1 | 25.0 | 25.0 |
| Capex (INR mn) | 6,649.0 | 12,028.0 | 4,000.0 | 4,800.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 17.4 | 18.9 | 22.6 | 23.5 |
| RoCE (%) | 18.6 | 18.5 | 19.6 | 20.4 |
| Div Payout Ratio(%) | 60.6 | 42.7 | 31.4 | 25.6 |
| | | | | |
| Working cap/Sales (%) | 10 | 8 | 8 | 9 |
| Receivable days | 53 | 53 | 55 | 55 |
| Asset Turnover Ratio | 0.7 | 0.6 | 0.6 | 0.7 |
| Current Ratio | 1.7 | 1.7 | 2.0 | 2.3 |
| Net debt/equity (x) | (0.1) | (0.2) | (0.3) | (0.4) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 56.7 | 38.4 | 30.5 | 24.9 |
| Price/BV (x) | 9.1 | 7.5 | 6.4 | 5.4 |
| EV/EBITDA (x) | 24.3 | 16.8 | 13.7 | 11.1 |
| Dividend yield (%) | 0.9 | 1.0 | 1.0 | 1.0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 6.5 | 47.6 | 25.9 | 22.6 |
| RoE (%) | 17.4 | 18.9 | 22.6 | 23.5 |
| EBITDA growth (%) | 32.7 | 43.3 | 19.6 | 18.0 |
| Payout ratio (%) | 60.6 | 42.7 | 31.4 | 25.6 |

*Source: Company and Nuvama estimates*

# PIDILITE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,489 |
| 12 month price target (INR) | 1,915 |
| 52 Week High/Low | 1,575/1,306 |
| Market cap (INR bn/USD bn) | 1,515/16.7 |
| Free float (%) | 29.8 |
| Avg. daily value traded (INR mn) | 956.6 |

## SHAREHOLDING PATTERN

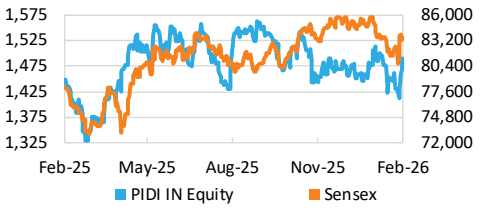
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 69.32% | 69.33% | 69.35% |
| FII | 12.01% | 12.08% | 12.13% |
| DII | 9.21% | 9.15% | 9.15% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,31,403 | 1,44,576 | 1,60,218 | 1,77,480 |
| EBITDA | 30,125 | 34,479 | 39,315 | 43,890 |
| Adjusted profit | 21,878 | 24,874 | 28,907 | 32,992 |
| Diluted EPS (INR) | 21.5 | 24.5 | 28.4 | 32.5 |
| EPS growth (%) | 26.5 | 13.7 | 16.2 | 14.1 |
| RoAE (%) | 22.1 | 23.3 | 23.6 | 24.3 |
| P/E (x) | 68.3 | 60.1 | 51.7 | 45.3 |
| EV/EBITDA (x) | 56.3 | 50.2 | 43.7 | 38.0 |
| Dividend yield (%) | 1.4 | 0.7 | 0.9 | 1.0 |

## PRICE PERFORMANCE




# Strong execution continues

We hosted MD-designate Mr Sudhanshu Vats of Pidilite at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Management is aiming for double-digit revenue growth while maintaining EBITDA margins within the 20–24% range over long-term. ii) Raw material costs are likely to remain benign. iii) Repair and renovation accounts for 70–75% of portfolio, leading to stability across cycles. iv) Recent export weakness is likely to normalise with alternate sourcing and diversification initiatives.

Overall, construction demand is likely to stay strong across board, leading to multi-year growth visibility. Retain 'BUY' with a TP of INR1,915 (45x FY28E EPS).

## Key takeaways

- **Consumer & Bazaar:** The adhesives portfolio continues to outpace GDP growth (~1.2x–1.4x), driven by premiumisation and product innovation. Growth in the Dr. Fixit waterproofing portfolio has improved, supported by rising demand in rural and smaller towns and increased project penetration. Ongoing distribution expansion and deepening initiatives such as PKD and Super PKD are further driving category penetration with growth largely led by higher wallet share and premiumisation within the existing distribution network.
- **B2B business:** Management expects B2B growth to revert to mid-teens supported by domestic demand and export recovery strategies.
- **Electronics adhesives:** Business remains in investment phase with expansion into automotive and industrial electronics applications. Management expects nonlinear growth potential once large customer specifications and project approvals are secured.
- **ROFF and construction chemicals:** ROFF is emerging as next key growth brand, backed by higher brand investments and consumer education. Tile adhesives continue to report strong penetration growth (18–20%), aided by premium products such as Nio Pro and Starlight epoxy grout. Management expects sustained growth driven by contractor engagement and on-ground initiatives.
- **Haisha Paints:** The business continues to scale up gradually with expansion beyond southern markets into eastern India. Focus remains on small town and semi-urban markets leveraging Pidilite's distribution strengths.
- **A&P spends:** Margin gains from a favourable raw material environment are likely to be reinvested in brand building, distribution expansion and innovation.
- **New products and innovation:** Strong innovation pipeline across adhesives, sealants and construction chemicals is likely to drive future growth.
- **Others:** Digital channels account for ~40% of sales.

**Abneesh Roy**
Abneesh.Roy@nuvama.com

**Jainam Gosar**
Jainam.Gosar@nuvama.com

**Shlok Mehta**
Shlok.Mehta@nuvama.com

**Anchal Jain**
Jain.Anchal@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,31,403 | 1,44,576 | 1,60,218 | 1,77,480 |
| Gross profit | 71,440 | 77,852 | 87,060 | 96,424 |
| Employee costs | 17,416 | 16,915 | 18,745 | 20,765 |
| Other expenses | 23,899 | 26,457 | 28,999 | 31,769 |
| EBITDA | 30,125 | 34,479 | 39,315 | 43,890 |
| Depreciation | 3,585 | 3,877 | 4,105 | 4,332 |
| Less: Interest expense | 504 | 509 | 493 | 483 |
| Add: Other income | 2,472 | 2,479 | 3,519 | 4,565 |
| Profit before tax | 28,476 | 32,657 | 38,337 | 43,755 |
| Prov for tax | 7,265 | 8,143 | 9,559 | 10,910 |
| Less: Other adj | (249) | 0 | 0 | 0 |
| Reported profit | 21,161 | 24,624 | 28,907 | 32,992 |
| Less: Excp.item (net) | 717 | 249 | 0 | 0 |
| Adjusted profit | 21,878 | 24,874 | 28,907 | 32,992 |
| Diluted shares o/s | 1,017 | 1,017 | 1,017 | 1,017 |
| Adjusted diluted EPS | 21.5 | 24.5 | 28.4 | 32.5 |
| DPS (INR) | 20.0 | 10.9 | 12.8 | 14.6 |
| Tax rate (%) | 25.8 | 25.5 | 24.9 | 24.9 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 1,017 | 1,017 | 1,017 | 1,017 |
| Reserves | 96,527 | 1,10,071 | 1,25,969 | 1,44,115 |
| Shareholders funds | 97,545 | 1,11,088 | 1,26,987 | 1,45,132 |
| Minority interest | 2,033 | 1,923 | 1,795 | 1,648 |
| Borrowings | 1,472 | 1,072 | 572 | 72 |
| Trade payables | 13,901 | 12,796 | 14,030 | 15,545 |
| Other liabs & prov | 23,543 | 23,543 | 23,543 | 23,543 |
| Total liabilities | 1,39,837 | 1,51,766 | 1,68,270 | 1,87,283 |
| Net block | 28,361 | 29,484 | 30,379 | 31,047 |
| Intangible assets | 28,692 | 28,692 | 28,692 | 28,692 |
| Capital WIP | 1,290 | 1,290 | 1,290 | 1,290 |
| Total fixed assets | 58,342 | 59,465 | 60,360 | 61,028 |
| Non current inv | 3,894 | 4,279 | 5,279 | 6,279 |
| Cash/cash equivalent | 34,982 | 43,220 | 53,904 | 66,730 |
| Sundry debtors | 18,112 | 20,144 | 22,430 | 24,938 |
| Loans & advances | 441 | 441 | 441 | 441 |
| Other assets | 24,067 | 24,217 | 25,856 | 27,868 |
| Total assets | 1,39,837 | 1,51,766 | 1,68,270 | 1,87,283 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Other exp (% of rev) | 18.2 | 18.3 | 18.1 | 17.9 |
| Con A&P (% of rev) | 3.8 | 3.9 | 3.8 | 3.6 |
| Gross margin (%) | 54.4 | 53.8 | 54.3 | 54.3 |
| EBITDA margin (%) | 22.9 | 23.8 | 24.5 | 24.7 |
| Net profit margin (%) | 16.6 | 17.2 | 18.0 | 18.6 |
| Revenue growth (% YoY) | 6.1 | 10.0 | 10.8 | 10.8 |
| EBITDA growth (% YoY) | 11.3 | 14.5 | 14.0 | 11.6 |
| Adj. profit growth (%) | 26.5 | 13.7 | 16.2 | 14.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 21,161 | 24,624 | 28,907 | 32,992 |
| Add: Depreciation | 3,585 | 3,877 | 4,105 | 4,332 |
| Interest (net of tax) | 504 | 509 | 493 | 483 |
| Others | (167) | (196) | (230) | (262) |
| Less: Changes in WC | 1,311 | (3,287) | (2,691) | (3,006) |
| Operating cash flow | 26,394 | 25,528 | 30,584 | 34,539 |
| Less: Capex | (5,940) | (5,000) | (5,000) | (5,000) |
| Free cash flow | 20,454 | 20,528 | 25,584 | 29,539 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 7.0 | 7.0 | 7.0 | 7.0 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 86.0 | 87.0 | 88.0 | 90.0 |
| Consumer & Bazaar | 2.8 | 9.5 | 10.0 | 10.0 |
| COGS % of sales (con) | 45.6 | 46.2 | 45.7 | 45.7 |
| Staff cost (% of rev) | 13.3 | 11.7 | 11.7 | 11.7 |
| Dep (% of gross block) | 4.5 | 4.6 | 4.6 | 4.6 |
| Yield on cash | 7.1 | 8.4 | 9.0 | 9.4 |
| Tax rate | 25.5 | 25.0 | 25.0 | 25.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 22.1 | 23.3 | 23.6 | 24.3 |
| RoCE (%) | 30.6 | 30.8 | 30.8 | 31.8 |
| Inventory days | 98 | 94 | 93 | 89 |
| Receivable days | 47 | 48 | 48 | 48 |
| Payable days | 67 | 77 | 73 | 67 |
| Working cap (% sales) | 6.8 | 6.8 | 8.5 | 9.3 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.3) | (0.3) | (0.4) | (0.4) |
| Interest coverage (x) | 46.2 | 52.7 | 60.2 | 71.4 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 68.3 | 60.1 | 51.7 | 45.3 |
| Price/BV (x) | 15.3 | 13.5 | 11.8 | 10.3 |
| EV/EBITDA (x) | 56.3 | 50.2 | 43.7 | 38.0 |
| Dividend yield (%) | 1.4 | 0.7 | 0.9 | 1.0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 26.5 | 13.7 | 16.2 | 14.1 |
| RoE (%) | 22.1 | 23.3 | 23.6 | 24.3 |
| EBITDA growth (%) | 11.3 | 14.5 | 14.0 | 11.6 |
| Payout ratio (%) | 96.1 | 45.0 | 45.0 | 45.0 |

*Source: Company and Nuvama estimates*

# MAHINDRA & MAHINDRA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 3,574 |
| 12 month price target (INR) | 4,400 |
| 52 Week High/Low | 3,840/2,360 |
| Market cap (INR bn/USD bn) | 4,444/49.2 |
| Free float (%) | 71.1 |
| Avg. daily value traded (INR mn) | 8,518.1 |

## SHAREHOLDING PATTERN

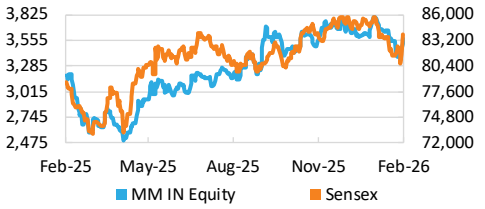
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 18.43% | 18.43% | 18.43% |
| FII | 37.49% | 38.04% | 38.53% |
| DII | 30.39% | 29.95% | 29.57% |
| Pledge | 0.02% | 0.02% | 0.02% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1164837 | 1446985 | 1608230 | 1764887 |
| EBITDA | 1,71,226 | 2,07,690 | 2,32,920 | 2,53,755 |
| Adjusted profit | 1,18,550 | 1,49,501 | 1,70,544 | 1,87,092 |
| Diluted EPS (INR) | 95.3 | 120.2 | 137.1 | 150.5 |
| EPS growth (%) | 11.4 | 26.1 | 14.1 | 9.7 |
| RoAE (%) | 20.8 | 22.4 | 21.9 | 20.7 |
| P/E (x) | 37.3 | 29.5 | 25.9 | 23.6 |
| EV/EBITDA (x) | 25.3 | 20.8 | 18.4 | 16.7 |
| Dividend yield (%) | 0.7 | 1.0 | 1.2 | 1.3 |

## PRICE PERFORMANCE




# Robust medium-term prospects

We hosted Group CEO and MD Dr Anish Shah of M&M at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Revenue is likely to compound at 15–40% across segments over FY25–30E. ii) Consolidated auto revenue to expand at a 20% CAGR over this period led by growth in UV and CV. iii) Upcoming launches include BE7 and Vision series (S, X, T, SXT) in CY27. iv) Consolidated farm revenue to compound at 12% led by industry growth of 9% CAGR, market share gains and robust exports.

We estimate revenue/core earnings CAGR at 10%/13% over FY26–28E. Retain 'BUY' with a TP of INR4,400, based on 25x core FY28E EPS and value of subsidiaries/investments at INR968/share.

## Key takeaways

- **Outlook:** Management is targeting 15–40% organic revenue growth across categories over FY25-30E.
- **FY30E automotive outlook:** Management is targeting auto-consolidated revenue to expand at a 20% CAGR over FY25–30E. In the LCV segment, M&M reckons revenue would grow 1.6x over FY25–30E (10% CAGR) driven by next-gen multi-energy platforms and complete market coverage in < 3.5T segment.
- **Growth drivers for SUV segment** are i) ICE launches on existing 4G and Monocoque platforms, multiple products (Vision S,X,T,SXT) scheduled for launch in CY27 on the NU.IQ platform and BE.7 in H2CY27; and ii) robust exports.
- **Farm industry outlook:** Tractor industry volume growth is likely at a 9% CAGR over FY25–30E. The FY30E tractor population estimated at 12.2mn units. The industry continues to shift toward higher HP tractors —a trend likely to continue supported by GST rate cuts.
- **M&M farm revenue outlook:** Consolidated revenue CAGR likely to be 12% over FY25- 30E, led by strengthening its domestic leadership, accelerating exports and scaling up its farm machinery portfolio.
- **Last mile mobility (LMM) outlook:** LMM aspires to become the first e-CV company with 1mn EVs on road by 2031 supported by: i) 50% electrification by FY30; ii) product category expansion, which will help in outpacing industry growth; and iii) scaling up the exports business across ten-plus markets.
- **FY20–30E revenue growth:** i) Finance business targeted to grow 5x. ii) Tech Mahindra to grow 1.3x, higher than peer average. iii) Truck and bus to expand 6x and be among top three players in the ILCV segment. iv) Hotels to grow 3x—and expects to become number one leisure hospitality player. v) Realty business to expand 14x and reach among top five players across priority markets. vi) The Aerospace division to expand 12x and aims to be in Top-ten global suppliers. vii) Susten to grow 5x by becoming a leading developer and manager of high-quality renewable energy assets.

**Raghunandhan NL**
raghunandhan.nl@nuvama.com

**Manav Shah**
manavt.shah@nuvama.com

**Rahul Kumar**
rahuls.k@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 11,64,837 | 14,46,985 | 16,08,230 | 17,64,887 |
| Gross profit | 3,01,436 | 3,48,724 | 3,84,367 | 4,21,808 |
| Employee costs | 48,815 | 57,953 | 63,895 | 69,396 |
| Other expenses | 81,396 | 83,080 | 87,552 | 98,656 |
| EBITDA | 1,71,226 | 2,07,690 | 2,32,920 | 2,53,755 |
| Depreciation | 42,268 | 44,441 | 49,026 | 52,228 |
| Less: Interest expense | 2,505 | 2,539 | 1,539 | 860 |
| Add: Other income | 30,048 | 37,304 | 40,577 | 43,898 |
| Profit before tax | 1,56,501 | 1,98,014 | 2,22,933 | 2,44,565 |
| Prov for tax | 37,952 | 48,513 | 52,389 | 57,473 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 1,18,550 | 1,49,501 | 1,70,544 | 1,87,092 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 1,18,550 | 1,49,501 | 1,70,544 | 1,87,092 |
| Diluted shares o/s | 1,244 | 1,244 | 1,244 | 1,244 |
| Adjusted diluted EPS | 95.3 | 120.2 | 137.1 | 150.5 |
| DPS (INR) | 24.4 | 36.1 | 41.1 | 45.1 |
| Tax rate (%) | 24.3 | 24.5 | 23.5 | 23.5 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 6,004 | 6,004 | 6,004 | 6,004 |
| Reserves | 6,09,847 | 7,14,498 | 8,33,878 | 9,64,843 |
| Shareholders funds | 6,15,851 | 7,20,501 | 8,39,882 | 9,70,847 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 16,818 | 11,388 | 6,714 | 4,031 |
| Trade payables | 3,24,503 | 3,77,964 | 4,15,676 | 4,51,331 |
| Other liabs & prov | 39,318 | 57,836 | 66,791 | 74,407 |
| Total liabilities | 9,96,489 | 11,67,689 | 13,29,063 | 15,00,615 |
| Net block | 1,59,849 | 1,76,165 | 1,88,987 | 1,99,433 |
| Intangible assets | 36,664 | 38,498 | 40,422 | 42,444 |
| Capital WIP | 39,046 | 39,789 | 40,531 | 40,836 |
| Total fixed assets | 2,35,559 | 2,54,451 | 2,69,941 | 2,82,712 |
| Non current inv | 3,54,681 | 4,34,681 | 5,14,681 | 5,94,681 |
| Cash/cash equivalent | 1,07,906 | 1,07,948 | 1,32,533 | 1,71,190 |
| Sundry debtors | 57,256 | 71,124 | 79,050 | 86,750 |
| Loans & advances | 72,200 | 89,689 | 99,683 | 1,09,393 |
| Other assets | 1,68,888 | 2,09,797 | 2,33,176 | 2,55,889 |
| Total assets | 9,96,489 | 11,67,689 | 13,29,063 | 15,00,615 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross profit margin (%) | 25.9 | 24.1 | 23.9 | 23.9 |
| Staff cost % sales | 4.2 | 4.0 | 4.0 | 3.9 |
| Other expenses % sales | 7.0 | 5.7 | 5.4 | 5.6 |
| EBITDA margin (%) | 14.7 | 14.4 | 14.5 | 14.4 |
| Net profit margin (%) | 10.2 | 10.3 | 10.6 | 10.6 |
| Revenue growth (% YoY) | 17.5 | 24.2 | 11.1 | 9.7 |
| EBITDA growth (% YoY) | 30.3 | 21.3 | 12.1 | 8.9 |
| Adj. profit growth (%) | 11.4 | 26.1 | 14.1 | 9.7 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 1,26,453 | 1,60,710 | 1,82,355 | 2,00,668 |
| Add: Depreciation | 42,268 | 44,441 | 49,026 | 52,228 |
| Interest (net of tax) | 2,505 | 2,539 | 1,539 | 860 |
| Others | (41,281) | 2,859 | 1,305 | 1,184 |
| Less: Changes in WC | 41,594 | (18,210) | (2,918) | (3,735) |
| Operating cash flow | 1,36,124 | 1,44,419 | 1,79,587 | 1,94,465 |
| Less: Capex | (62,151) | (63,333) | (64,515) | (65,000) |
| Free cash flow | 73,973 | 81,086 | 1,15,071 | 1,29,465 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 0 | 0 | 0 |
| Repo rate (%) | 5.3 | 0 | 0 | 0 |
| USD/INR (average) | 82.0 | 0 | 0 | 0 |
| Auto. Segment (INRmn) | 8,74,431 | 10,85,975 | 12,21,567 | 13,39,806 |
| Growth (%) | 18.2 | 24.2 | 12.5 | 9.7 |
| Farm Equip. Segment (INRmn) | 2,92,366 | 3,63,446 | 3,89,370 | 4,28,051 |
| Growth (%) | 15.4 | 24.3 | 7.1 | 9.9 |
| Other Seg. (INRmn) | 0 | 0 | 0 | 0 |
| Growth (%) | 0 | 0 | 0 | 0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 20.8 | 22.4 | 21.9 | 20.7 |
| RoCE (%) | 27.0 | 29.4 | 28.4 | 26.9 |
| Inventory days | 42 | 39 | 40 | 41 |
| Receivable days | 16 | 16 | 17 | 17 |
| Payable days | 123 | 117 | 118 | 118 |
| Working cap (% sales) | (4.2) | (3.3) | (3.3) | (3.1) |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.3) | (0.4) | (0.5) | (0.5) |
| Interest coverage (x) | 51.5 | 64.3 | 119.5 | 234.5 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 37.3 | 29.5 | 25.9 | 23.6 |
| Price/BV (x) | 7.2 | 6.1 | 5.3 | 4.5 |
| EV/EBITDA (x) | 25.3 | 20.8 | 18.4 | 16.7 |
| Dividend yield (%) | 0.7 | 1.0 | 1.2 | 1.3 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 11.4 | 26.1 | 14.1 | 9.7 |
| RoE (%) | 20.8 | 22.4 | 21.9 | 20.7 |
| EBITDA growth (%) | 30.3 | 21.3 | 12.1 | 8.9 |
| Payout ratio (%) | 25.6 | 30.0 | 30.0 | 30.0 |

# MAX HEALTHCARE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,011 |
| 12 month price target (INR) | 1,460 |
| 52 Week High/Low | 1,314/934 |
| Market cap (INR bn/USD bn) | 1,012/11.2 |
| Free float (%) | 76.3 |
| Avg. daily value traded (INR mn) | 3,120.0 |

## SHAREHOLDING PATTERN

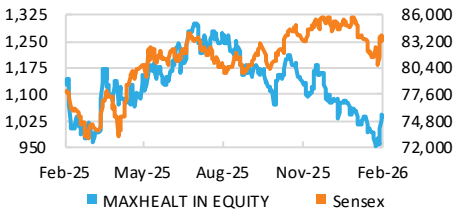
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 23.72% | 23.74% | 23.74% |
| FII | 50.55% | 51.34% | 54.76% |
| DII | 21.20% | 19.85% | 17.42% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 86,670 | 1,01,912 | 1,24,843 | 1,50,056 |
| EBITDA | 23,190 | 26,744 | 33,820 | 40,839 |
| Adjusted profit | 13,954 | 15,811 | 20,872 | 26,288 |
| Diluted EPS (INR) | 14.4 | 16.3 | 21.5 | 27.0 |
| EPS growth (%) | 9.1 | 13.3 | 32.0 | 26.0 |
| RoAE (%) | 22.2 | 20.8 | 22.3 | 22.7 |
| P/E (x) | 73.5 | 56.8 | 47.1 | 37.4 |
| EV/EBITDA (x) | 44.3 | 38.1 | 30.0 | 24.5 |
| Dividend yield (%) | 0.1 | 0.1 | 0.1 | 0.1 |

## PRICE PERFORMANCE




# Growth outlook remains strong

We hosted top management of Max Healthcare at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Despite Q3 weak seasonality and transitional factors, Max remains on track for long-term growth with capacity set to nearly double to ~10,000 beds by FY29–30 through brownfield and new unit expansions. ii) Max is likely to maintain leadership in competitive micro-markets through a tech-driven approach that enhances clinical outcomes and talent retention. iii) Resolution of recent insurance disruptions and a sustained net CGHS benefit of ~INR1.4bn remain key near-term triggers.

Retain 'BUY' with a TP of INR1,380 (36x H1FY28E EPS).

## Key takeaways

- **Expansion plans:** Max has a strong expansion pipeline over the next 2–3 years with capacity additions across Lucknow (to ~500 beds by FY26-end), Gurgaon (~500 beds; Phase 1 by end-H1FY27), Nagpur (~100 beds; civil work commenced; completion expected in ~24 months), Mohali (~400 beds; commissioning in FY28), Vaishali (~200 beds; ~24 months post approvals), and Patparganj (~397 beds; completion targeted by FY29), with projects largely progressing as planned.
- **CGHS Benefit:** Overall, the CGHS revision is expected to result in a net gain of ~INR2.0bn (ex-GST), with benefits commencing from Apr-26, partial impact accruing from Q1FY27 and the major impact flowing through by Q4FY27; on a sustained basis, the net gain post-GST impact is estimated at ~INR1.4bn.
- **Insurance Disruption:** All issues with the top four to five insurers—accounting for ~25% of the insurance business—have been resolved, with pre-agreed annual rate increments in place, ensuring no recurrence in the next cycle. Incremental rate increases are expected to remain moderate.
- **Competition:** With ~500 beds at Max Gurgaon slated for commissioning by end-H1FY27E, management expects it to absorb local demand and retain a strong competitive position.
- **Financials:** FY26E capex - INR19bn; FY27E Net debt - ~INR26bn, Net debt/EBITDA ratio to remain below 1x, barring any M&A activity.
- **Doctor churn:** Recent doctor departures have been fully backfilled with equivalent replacements, including teams transitioned from peers, resulting in minimal disruption.
- **Hospital ramp-up:** Dwarka operates at ~20% EBITDA margins with ~50% institutional mix and is expected to see occupancy rise from ~75% to ~85% over the next two years, driving margin expansion as the share of cash and insurance patients increases; Nanavati and Mohali are already at break-even, with further margin upside as beds are commissioned in Q4FY26E.

**Aashita Jain**
Aashita.Jain@nuvama.com

**Shrikant Akolkar**
Shrikant.Akolkar@nuvama.com

**Tanay Parab**
Tanay.Parab@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 86,670 | 1,01,912 | 1,24,843 | 1,50,056 |
| Gross profit | 52,510 | 60,506 | 75,868 | 90,971 |
| Employee costs | 14,809 | 17,622 | 20,618 | 24,123 |
| Other expenses | 14,511 | 16,140 | 21,430 | 26,009 |
| EBITDA | 23,190 | 26,744 | 33,820 | 40,839 |
| Depreciation | 4,060 | 4,919 | 5,641 | 6,180 |
| Less: Interest expense | 840 | 1,570 | 1,550 | 1,088 |
| Add: Other income | 0 | 0 | 0 | 0 |
| Profit before tax | 17,490 | 19,538 | 25,959 | 32,901 |
| Prov for tax | 3,390 | 2,237 | 5,087 | 6,612 |
| Less: Other adj | (740) | 0 | 0 | 0 |
| Reported profit | 13,360 | 17,301 | 20,872 | 26,288 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 13,954 | 15,811 | 20,872 | 26,288 |
| Diluted shares o/s | 972 | 972 | 972 | 972 |
| Adjusted diluted EPS | 14.4 | 16.3 | 21.5 | 27.0 |
| DPS (INR) | 1.5 | 1.5 | 1.5 | 1.5 |
| Tax rate (%) | 19.4 | 11.5 | 19.6 | 20.1 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 9,721 | 9,721 | 9,721 | 9,721 |
| Reserves | 95,609 | 1,11,451 | 1,30,865 | 1,55,695 |
| Shareholders funds | 1,05,330 | 1,21,172 | 1,40,586 | 1,65,416 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 24,920 | 24,920 | 19,920 | 11,920 |
| Trade payables | 10,730 | 12,252 | 14,245 | 17,133 |
| Other liabs & prov | 1,510 | 1,510 | 1,510 | 1,510 |
| Total liabilities | 1,57,320 | 1,75,589 | 1,93,236 | 2,14,303 |
| Net block | 55,970 | 63,699 | 70,399 | 86,176 |
| Intangible assets | 54,930 | 54,930 | 54,930 | 54,930 |
| Capital WIP | 12,920 | 13,980 | 19,647 | 14,014 |
| Total fixed assets | 1,23,820 | 1,32,609 | 1,44,977 | 1,55,120 |
| Non current inv | 40 | 40 | 40 | 40 |
| Cash/cash equivalent | 10,110 | 16,584 | 17,823 | 24,256 |
| Sundry debtors | 8,570 | 10,066 | 12,289 | 14,780 |
| Loans & advances | 13,440 | 14,784 | 16,262 | 17,889 |
| Other assets | 1,340 | 1,506 | 1,845 | 2,218 |
| Total assets | 1,57,320 | 1,75,589 | 1,93,236 | 2,14,303 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin (%) | 76.1 | 76.4 | 77.8 | 77.6 |
| Net debt/EBITDA | 0.6 | 0.3 | 0.1 | (0.3) |
| Working cap (% of sales) | 14.6 | 13.8 | 12.9 | 11.8 |
| EBITDA margin (%) | 26.8 | 26.2 | 27.1 | 27.2 |
| Net profit margin (%) | 16.1 | 15.5 | 16.7 | 17.5 |
| Revenue growth (% YoY) | 26.5 | 17.6 | 22.5 | 20.2 |
| EBITDA growth (% YoY) | 21.6 | 15.3 | 26.5 | 20.8 |
| Adj. profit growth (%) | 9.1 | 13.3 | 32.0 | 26.0 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 13,360 | 17,301 | 20,872 | 26,288 |
| Add: Depreciation | 4,060 | 4,919 | 5,641 | 6,180 |
| Interest (net of tax) | 840 | 1,570 | 1,550 | 1,088 |
| Others | (1,630) | (1,630) | (1,630) | (1,630) |
| Less: Changes in WC | (160) | (580) | (807) | (253) |
| Operating cash flow | 16,470 | 21,580 | 25,626 | 31,674 |
| Less: Capex | (28,190) | (13,984) | (18,008) | (16,324) |
| Free cash flow | (11,720) | 7,596 | 7,618 | 15,350 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.3 | 6.3 | 6.3 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 84.6 | 87.5 | 87.0 | 88.0 |
| No. of operating beds | 4,552.3 | 4,876.2 | 5,631.7 | 6,612.9 |
| Occupancy rate | 74.0 | 75.3 | 75.4 | 75.0 |
| ARPOB growth | (2.5) | 5.1 | 6.2 | 5.2 |
| Existing hospitals revenue growth | 14.4 | 10.4 | 18.2 | 13.2 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 22.2 | 20.8 | 22.3 | 22.7 |
| RoCE (%) | 23.3 | 20.7 | 23.5 | 25.6 |
| Inventory days | 13 | 13 | 12 | 13 |
| Receivable days | 31 | 33 | 33 | 33 |
| Payable days | 104 | 101 | 99 | 97 |
| Working cap (% sales) | 14.6 | 13.8 | 12.9 | 11.8 |
| Gross debt/equity (x) | 0.2 | 0.2 | 0.1 | 0.1 |
| Net debt/equity (x) | 0.1 | 0.1 | 0 | (0.1) |
| Interest coverage (x) | 22.8 | 13.9 | 18.2 | 31.8 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 73.5 | 56.8 | 47.1 | 37.4 |
| Price/BV (x) | 9.6 | 8.3 | 7.2 | 6.1 |
| EV/EBITDA (x) | 44.3 | 38.1 | 30.0 | 24.5 |
| Dividend yield (%) | 0.1 | 0.1 | 0.1 | 0.1 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 9.1 | 13.3 | 32.0 | 26.0 |
| RoE (%) | 22.2 | 20.8 | 22.3 | 22.7 |
| EBITDA growth (%) | 21.6 | 15.3 | 26.5 | 20.8 |
| Payout ratio (%) | 10.9 | 8.4 | 7.0 | 5.5 |

# ABFRL

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | HOLD |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 69 |
| 12 month price target (INR) | 77 |
| 52 Week High/Low | 108/60 |
| Market cap (INR bn/USD bn) | 85/0.9 |
| Free float (%) | 51.7 |
| Avg. daily value traded (INR mn) | 491.8 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 46.61% | 46.61% | 46.58% |
| FII | 18.36% | 18.62% | 17.63% |
| DII | 7.9% | 8.07% | 12.14% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

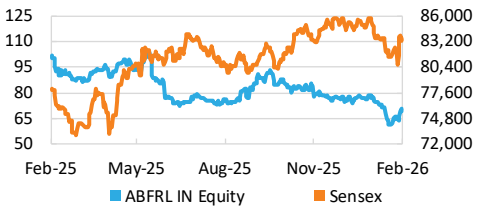
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 73,547 | 80,974 | 92,783 | 1,06,499 |
| EBITDA | 6,764 | 6,543 | 9,569 | 11,543 |
| Adjusted profit | (4,558) | (7,867) | (5,622) | (4,494) |
| Diluted EPS (INR) | (3.7) | (6.4) | (4.6) | (3.7) |
| EPS growth (%) | (48.5) | 72.6 | (28.5) | (20.1) |
| RoAE (%) | (8.4) | (12.3) | (9.8) | (8.6) |
| P/E (x) | nm | nm | nm | nm |
| EV/EBITDA (x) | 13.4 | 12.6 | 8.9 | 7.8 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 80,974 | 92,783 | 0.0 | 0.0 |
| EBITDA | 6,543 | 9,569 | 0.0 | 0.0 |
| Adjusted profit | (7,867) | (5,622) | 0.0 | 0.0 |
| Diluted EPS (INR) | (6.4) | (4.6) | 0.0 | 0.0 |

## PRICE PERFORMANCE




# Levers in place awaiting growth

We hosted MD Mr Ashish Dikshit and top management of Aditya Birla Fashion and Retail at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) ABFRL is investing in store upgrades and expansion with Pantaloons targeting 15–17% margins over the medium term despite near-term pressure from brand investments. ii) The ethnic business with 78 stores is on track to cross 100 stores by end-FY26 and is likely to post a sharp pickup in profitability in H2 driven by wedding-led demand. iii) Plans to add 30-plus stores in OWND portfolio in H2FY26.

Growth in the core brands remains a key ask along with a reduction in losses from the emerging portfolio. Retain 'HOLD' with a TP of INR77.

## Key takeaways

- **Pantaloons:** Management has begun a store identity refresh with three stores already launched in the new format. Around 15 new stores are planned this year, while 8–15 stores are likely to be renovated annually. Near-term margins may remain under pressure due to continued brand and store investments; however, management expects Pantaloons's margins to improve to the 15–17% range over the medium term, driven by better productivity and sharper positioning.
- **Ethnic:** The ethnic portfolio added eight stores, taking the network to 78, and is on track to cross 100 stores by end-FY26. TCNS is likely to turn profitable by FY27 with Tasva remaining in the investment phase. Profitability is likely to improve meaningfully in H2, as wedding-related demand accounts for ~70% of revenue and ~80–85% of profits for the segment.
- **OWND:** OWND is anticipated to add over 30 stores in H2FY26, strengthening its presence in the youth fashion segment. The expansion is likely to support higher growth and operating leverage over the medium term.
- **Capex and cash flow:** H1FY26 capex was INR2.6bn while H2 capex is guided at INR1.0–1.25bn, largely for store additions. Cash outflow of ~INR5bn in H1 was driven by inventory build-up ahead of the festive and wedding season and store additions. Cash generation is likely to improve in H2, supported by seasonally stronger sales.
- **Outlook:** Demand trends remain cautious, but stable with early festive timing aiding Q2. Management expects a stronger H2 led by festive and wedding season tailwinds and remains confident of sustaining growth through portfolio diversification, brand investments and operational efficiencies.

**Rajiv Bharati**
rajiv.bharati@nuvama.com

**Abneesh Roy**
Abneesh.Roy@nuvama.com

**Ashish Vanwari**
AshishK.Vanwari@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 73,547 | 80,974 | 92,783 | 1,06,499 |
| Gross profit | 41,777 | 47,370 | 54,278 | 62,302 |
| Employee costs | 11,422 | 12,956 | 14,381 | 16,507 |
| Other expenses | 21,539 | 25,028 | 27,132 | 30,682 |
| EBITDA | 6,764 | 6,543 | 9,569 | 11,543 |
| Depreciation | 11,664 | 11,689 | 11,644 | 12,036 |
| Less: Interest expense | 5,674 | 5,039 | 5,282 | 5,338 |
| Add: Other income | 1,957 | 2,604 | 1,735 | 1,338 |
| Profit before tax | (8,795) | (7,582) | (5,622) | (4,494) |
| Prov for tax | (942) | 0 | 0 | 0 |
| Less: Other adj | 3,295 | (285) | 0 | 0 |
| Reported profit | (4,558) | (7,867) | (5,622) | (4,494) |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | (4,558) | (7,867) | (5,622) | (4,494) |
| Diluted shares o/s | 1,220 | 1,220 | 1,220 | 1,220 |
| Adjusted diluted EPS | (3.7) | (6.4) | (4.6) | (3.7) |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 10.7 | 0 | 0 | 0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 12,203 | 12,203 | 12,203 | 12,203 |
| Reserves | 55,919 | 48,053 | 42,430 | 37,937 |
| Shareholders funds | 68,122 | 60,255 | 54,633 | 50,139 |
| Minority interest | 11 | 11 | 11 | 11 |
| Borrowings | 14,386 | 15,538 | 16,128 | 16,814 |
| Trade payables | 22,423 | 23,523 | 27,723 | 32,706 |
| Other liabs & prov | 7,855 | 8,492 | 9,506 | 10,683 |
| Total liabilities | 1,63,940 | 1,56,504 | 1,55,555 | 1,59,828 |
| Net block | 8,360 | 12,024 | 14,288 | 16,152 |
| Intangible assets | 55,859 | 55,859 | 55,859 | 55,859 |
| Capital WIP | 1,812 | 1,812 | 1,812 | 1,812 |
| Total fixed assets | 66,031 | 69,695 | 71,959 | 73,823 |
| Non current inv | 6,230 | 6,230 | 6,230 | 6,230 |
| Cash/cash equivalent | 7,731 | 17,349 | 14,862 | 11,053 |
| Sundry debtors | 3,734 | 4,112 | 3,711 | 4,260 |
| Loans & advances | 32 | 35 | 40 | 46 |
| Other assets | 49,113 | 35,458 | 37,836 | 43,430 |
| Total assets | 1,63,940 | 1,56,504 | 1,55,555 | 1,59,828 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Pantaloon SSSG (%) | (1.6) | 0 | 4.0 | 4.2 |
| Pantaloon store | 405.0 | 409.0 | 477.0 | 555.0 |
| | | | | |
| EBITDA margin (%) | 9.2 | 8.1 | 10.3 | 10.8 |
| Net profit margin (%) | (6.2) | (9.7) | (6.1) | (4.2) |
| Revenue growth (% YoY) | 14.2 | 10.1 | 14.6 | 14.8 |
| EBITDA growth (% YoY) | 82.8 | (3.3) | 46.3 | 20.6 |
| Adj. profit growth (%) | (38.1) | 72.6 | (28.5) | (20.1) |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | (4,874) | (7,867) | (5,622) | (4,494) |
| Add: Depreciation | 18,074 | 11,689 | 11,644 | 12,036 |
| Interest (net of tax) | 8,448 | 5,039 | 5,282 | 5,338 |
| Others | (2,069) | (1,437) | (965) | 0 |
| Less: Changes in WC | (2,782) | (16) | (145) | 0 |
| Operating cash flow | 16,438 | 7,441 | 10,484 | 12,881 |
| Less: Capex | (5,927) | 3,602 | 7,093 | 0 |
| Free cash flow | 22,365 | 3,839 | 3,391 | 12,881 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 6.5 | 6.5 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 85.0 | 85.0 | 85.0 | 85.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | (8.4) | (12.3) | (9.8) | (8.6) |
| RoCE (%) | (3.4) | (3.2) | (0.5) | 1.2 |
| Inventory days | 400 | 274 | 251 | 239 |
| Receivable days | 41 | 18 | 15 | 14 |
| Payable days | 366 | 250 | 243 | 250 |
| Working cap (% sales) | 32.8 | 11.3 | 6.4 | 5.5 |
| Gross debt/equity (x) | 0.2 | 0.3 | 0.3 | 0.3 |
| Net debt/equity (x) | 0.1 | 0 | 0 | 0.1 |
| Interest coverage (x) | (0.9) | (1.0) | (0.4) | (0.1) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | nm | nm | nm | nm |
| Price/BV (x) | 1.2 | 1.4 | 1.5 | 1.7 |
| EV/EBITDA (x) | 13.4 | 12.6 | 8.9 | 7.8 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (48.5) | 72.6 | (28.5) | (20.1) |
| RoE (%) | (8.4) | (12.3) | (9.8) | (8.6) |
| EBITDA growth (%) | 82.8 | (3.3) | 46.3 | 20.6 |
| Payout ratio (%) | nm | nm | nm | nm |

*Source: Company and Nuvama estimates*

# ADITYA BIRLA LIFESTYLE BRANDS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 111 |
| 12 month price target (INR) | 179 |
| 52 Week High/Low | 176/101 |
| Market cap (INR bn/USD bn) | 136/1.5 |
| Free float (%) | 0.0 |
| Avg. daily value traded (INR mn) | 381.5 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 46.60% | 46.60% | 46.58% |
| FII | 16.25% | 21.59% | 22.59% |
| DII | 17.05% | 11.48% | 10.96% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

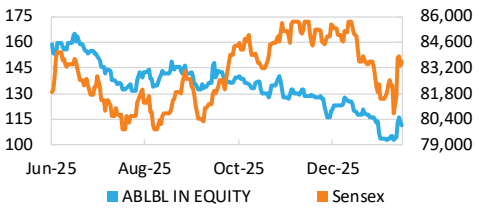
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 78,300 | 83,108 | 91,732 | 1,01,089 |
| EBITDA | 11,918 | 13,422 | 15,005 | 16,682 |
| Adjusted profit | 596 | 1,554 | 2,293 | 3,039 |
| Diluted EPS (INR) | 0.5 | 1.3 | 1.9 | 2.5 |
| EPS growth (%) | 0 | 160.7 | 47.6 | 32.5 |
| RoAE (%) | 24.7 | 14.5 | 14.8 | 16.8 |
| P/E (x) | 231.4 | 88.8 | 60.1 | 45.4 |
| EV/EBITDA (x) | 12.3 | 10.5 | 8.8 | 7.3 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 83,108 | 91,732 | 0.0 | 0.0 |
| EBITDA | 13,422 | 15,005 | 0.0 | 0.0 |
| Adjusted profit | 1,554 | 2,293 | 0.0 | 0.0 |
| Diluted EPS (INR) | 1.3 | 1.9 | 0.0 | 0.0 |

## PRICE PERFORMANCE




# Focus shifts towards profitable growth

We hosted MD Mr Ashish Dikshit and top management of Aditya Birla Lifestyle Brands at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Key takeaways: i) Management reiterated their aspiration for double-digit revenue growth of 11–12%, emerging brands to contribute ~25% over next four–five years. ii) Resumed store additions against store optimisation in the past 1.5 years, plans to add about 150/120 stores in FY26/27 and prioritises profitable growth.

The company continues to improve on the profitability front across the portfolio by plugging the leaks. A pickup in growth remains a key ask for the initiatives to play out; maintain 'BUY' with a TP of INR179.

## Key takeaways

- **Demand trends**: January trends have been encouraging, supported by the resumption of the wedding season post-Makar Sankranti with momentum likely to sustain over coming months.
- **Store guidance:** Management said the company has resumed store addition in the past two quarters and the store rationalisation drive is majorly done. Management expects ~150 net store additions in FY26 and a pipeline of ~120 stores already identified for FY27.
- **Capex and investments**: FY26 capex is guided at INR3.2–3.3bn, higher than historical levels of INR1.5–2bn with over 80% allocated toward lifestyle brands and renovation of older stores.
- **Balance sheet focus**: Net debt reduction remains a medium-term objective, with management reiterating their intent to move toward near-zero net debt over next three years, subject to growth investments.
- **Reebok**: The Reebok business has more than doubled over the last three years, and the store network is likely to expand more than threefold by Q4FY26, albeit from a relatively small base. Management indicated that FY28 could be a profitable year for this segment, without providing margin guidance.
- **Innerwear profitability**: Despite the top-line recovery, the segment remains loss-making. Management expects to achieve profitability in the segment in FY27.
- **Emerging business**: Growth in emerging brands looks optically muted in 9MFY26 due to exit of Forever 21. The impact of the exit would start fading from Q4FY26.
- **Medium-term outlook:** Management reiterated their aspiration for steady double-digit revenue growth of ~11–12%, with emerging brands likely to contribute ~25% of overall revenue over the next four–five years, supported by disciplined store expansion and product-led growth.

**Rajiv Bharati**
rajiv.bharati@nuvama.com

**Abneesh Roy**
Abneesh.Roy@nuvama.com

**Ashish Vanwari**
AshishK.Vanwari@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 78,300 | 83,108 | 91,732 | 1,01,089 |
| Gross profit | 45,579 | 49,283 | 54,397 | 59,946 |
| Employee costs | 9,184 | 9,387 | 10,463 | 11,597 |
| Other expenses | 15,944 | 17,308 | 18,710 | 20,343 |
| EBITDA | 11,918 | 13,422 | 15,005 | 16,682 |
| Depreciation | 7,057 | 8,075 | 9,060 | 10,026 |
| Less: Interest expense | 3,820 | 3,702 | 3,744 | 3,477 |
| Add: Other income | 777 | 839 | 856 | 873 |
| Profit before tax | 1,817 | 2,485 | 3,057 | 4,052 |
| Prov for tax | 238 | 518 | 764 | 1,013 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 1,579 | 1,967 | 2,293 | 3,039 |
| Less: Excp.item (net) | (983) | (413) | 0 | 0 |
| Adjusted profit | 596 | 1,554 | 2,293 | 3,039 |
| Diluted shares o/s | 1,220 | 1,220 | 1,220 | 1,220 |
| Adjusted diluted EPS | 0.5 | 1.3 | 1.9 | 2.5 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 13.1 | 20.8 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 12,203 | 12,203 | 12,203 | 12,203 |
| Reserves | 562 | 2,116 | 4,409 | 7,448 |
| Shareholders funds | 12,765 | 14,319 | 16,612 | 19,651 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 9,522 | 10,059 | 11,023 | 7,851 |
| Trade payables | 21,213 | 21,929 | 24,205 | 26,674 |
| Other liabs & prov | 14,411 | 15,376 | 17,106 | 18,983 |
| Total liabilities | 81,491 | 91,960 | 1,07,540 | 1,20,726 |
| Net block | 6,385 | 7,707 | 8,600 | 8,803 |
| Intangible assets | 11,173 | 10,603 | 10,033 | 9,463 |
| Capital WIP | 130 | 130 | 130 | 130 |
| Total fixed assets | 17,688 | 18,440 | 18,763 | 18,396 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 537 | 7,582 | 16,928 | 24,178 |
| Sundry debtors | 13,221 | 14,032 | 15,488 | 17,068 |
| Loans & advances | 3,876 | 3,880 | 3,886 | 3,893 |
| Other assets | 30,238 | 31,440 | 34,581 | 37,989 |
| Total assets | 81,491 | 91,960 | 1,07,540 | 1,20,726 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| PRE IND AS EBITDA Margins (%) | 8.3 | 9.2 | 9.2 | 9.2 |
| | | | | |
| | | | | |
| EBITDA margin (%) | 15.2 | 16.2 | 16.4 | 16.5 |
| Net profit margin (%) | 0.8 | 1.9 | 2.5 | 3.0 |
| Revenue growth (% YoY) | 0 | 6.1 | 10.4 | 10.2 |
| EBITDA growth (% YoY) | 0 | 12.6 | 11.8 | 11.2 |
| Adj. profit growth (%) | 0 | 160.7 | 47.6 | 32.5 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 596 | 1,554 | 2,293 | 3,039 |
| Add: Depreciation | 7,886 | 8,075 | 9,060 | 10,026 |
| Interest (net of tax) | 3,312 | 2,863 | 2,888 | 2,604 |
| Others | 511 | 518 | 764 | 1,013 |
| Less: Changes in WC | (828) | 180 | 329 | 357 |
| Operating cash flow | 11,442 | 12,671 | 14,570 | 16,026 |
| Less: Capex | (2,465) | (3,300) | (3,300) | (3,000) |
| Free cash flow | 8,977 | 9,371 | 11,270 | 13,026 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 6.5 | 6.5 |
| Repo rate (%) | 5.5 | 5.5 | 5.5 | 5.5 |
| USD/INR (average) | 85.0 | 85.0 | 85.0 | 85.0 |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |
| | | | | |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 24.7 | 14.5 | 14.8 | 16.8 |
| RoCE (%) | 50.6 | 26.5 | 26.2 | 27.3 |
| Inventory days | 118 | 231 | 224 | 224 |
| Receivable days | 31 | 60 | 59 | 59 |
| Payable days | 118 | 233 | 226 | 226 |
| Working cap (% sales) | 13.3 | 12.9 | 12.4 | 11.9 |
| Gross debt/equity (x) | 0.7 | 0.7 | 0.7 | 0.4 |
| Net debt/equity (x) | 0.7 | 0.2 | (0.4) | (0.8) |
| Interest coverage (x) | 1.3 | 1.4 | 1.6 | 1.9 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 231.4 | 88.8 | 60.1 | 45.4 |
| Price/BV (x) | 10.8 | 9.6 | 8.3 | 7.0 |
| EV/EBITDA (x) | 12.3 | 10.5 | 8.8 | 7.3 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 0 | 160.7 | 47.6 | 32.5 |
| RoE (%) | 24.7 | 14.5 | 14.8 | 16.8 |
| EBITDA growth (%) | 0 | 12.6 | 11.8 | 11.2 |
| Payout ratio (%) | 0 | 0 | 0 | 0 |

# ALLIED BLENDERS & DISTILLERS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 515 |
| 12 month price target (INR) | 670 |
| 52 Week High/Low | 720/279 |
| Market cap (INR bn/USD bn) | 144/1.6 |
| Free float (%) | 19.0 |
| Avg. daily value traded (INR mn) | 315.1 |

## SHAREHOLDING PATTERN

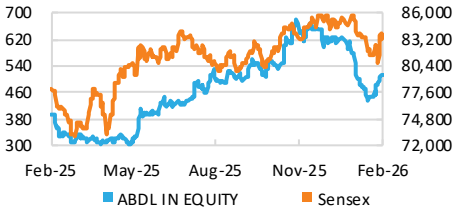
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 80.9% | 80.9% | 80.9% |
| FII | 3.4% | 3% | 2.8% |
| DII | 3.9% | 3.7% | 3.8% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 35,199 | 39,268 | 43,989 | 50,396 |
| EBITDA | 4,306 | 5,066 | 6,158 | 7,912 |
| Adjusted profit | 1,948 | 2,438 | 3,218 | 4,484 |
| Diluted EPS (INR) | 7.0 | 8.7 | 11.5 | 16.0 |
| EPS growth (%) | 9,197.5 | 25.1 | 32.0 | 39.3 |
| RoAE (%) | 19.8 | 14.9 | 17.7 | 21.3 |
| P/E (x) | 66.9 | 53.5 | 40.5 | 29.1 |
| EV/EBITDA (x) | 32.1 | 27.4 | 22.4 | 17.3 |
| Dividend yield (%) | 0.7 | 0.8 | 0.7 | 0.7 |

## PRICE PERFORMANCE




# Growth intact despite weak Maharashtra

We hosted top management of Allied Blenders & Distillers (ABD) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Aiming for mid-teens revenue growth and GM/EBITDA margin of ~45%/17% by FY28. ii) P&A volumes to continue growing in high-double digits. iii) Aiming to align ENA capacity with internal consumption. iv) Outlined ~INR7bn FY26 capex, including commissioned PET and new malt/ENA distilleries with INR1.5bn earmarked for capacity expansion in high-volume markets. v) India-UK FTA (Q2FY27) could provide 200bp margin upside over time. vi) Aiming to double ABD Maestro ARR to INR800mn by Q4FY26.

Maintain 'BUY' with an unchanged TP of INR670.

## Key takeaways

**Premiumisation:** ABD Maestro established a presence in ~85% of addressable markets, launched Rangeela Vodka, YELLO Designer Whisky and AODH Irish Whiskey, expanded its duty-free footprint across Delhi, Bengaluru and Mumbai while driving strong consumer engagement and earning growing global awards recognition.

**Maharashtra impact:** Maharashtra was the weakest market in Q3FY26 with high double-digit volume decline and Q4FY26 assumes no recovery with any further weakness offset by stronger performance elsewhere. Management said MML participation is essential to protect volumes, but must remain cost-disciplined and following a Bombay High Court directive. Meenakshi Agro has applied for MML leveraging its Maharashtra-based ENA facility.

**Raw materials and margins:** A stable raw material environment and steady input prices along with ABD's backward integration efforts are likely to support margins and sustain healthy profitability through FY27–28. Phase 1 capex is likely to deliver ~300bp gross margin expansion by FY28, of which ~70bp has been realised in Q3FY26 from the PET bottling facility. Gross margin for Officer's Choice is healthy at 45%.

**Capex:** Announced a total capex of ~INR7bn. Phase 1 includes a PET bottle manufacturing facility that has already been commissioned operating at full capacity along with two strategic distillation projects—a malt distillery in Telangana and an ENA distillery in Maharashtra. Phase 2 entails INR1.5bn of investments focused on capacity expansion in high-volume markets.

**Broadening of exports markets:** It aims to increase its presence further to ~35 countries by Mar-26. It has targeted ~1mn cases volume from Africa by FY28. Expansion is planned across Latin America, EU, North America and South East Asia. ICONiQ White is available in nine international markets in Q3FY26. Expansion underway for Arthaus and Zoya Gin across select international markets.

**India EU FTA:** India–EU FTA is likely to have a negligible impact as imported spirits form a very small part of the overall alcohol industry. However, it could enable the company to ramp-up its presence and exports.

**Abneesh Roy**
Abneesh.Roy@nuvama.com

**Jainam Gosar**
Jainam.Gosar@nuvama.com

**Shlok Mehta**
Shlok.Mehta@nuvama.com

**Anchal Jain**
Jain.Anchal@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 35,199 | 39,268 | 43,989 | 50,396 |
| Gross profit | 14,810 | 16,767 | 19,179 | 22,426 |
| Employee costs | 1,689 | 1,806 | 2,023 | 2,268 |
| Other expenses | 8,816 | 9,895 | 10,997 | 12,246 |
| EBITDA | 4,306 | 5,066 | 6,158 | 7,912 |
| Depreciation | 606 | 832 | 961 | 1,007 |
| Less: Interest expense | 1,251 | 1,000 | 1,000 | 1,000 |
| Add: Other income | 209 | 250 | 400 | 500 |
| Profit before tax | 2,657 | 3,483 | 4,597 | 6,405 |
| Prov for tax | 709 | 1,045 | 1,379 | 1,922 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 1,948 | 2,438 | 3,218 | 4,484 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 1,948 | 2,438 | 3,218 | 4,484 |
| Diluted shares o/s | 280 | 280 | 280 | 280 |
| Adjusted diluted EPS | 7.0 | 8.7 | 11.5 | 16.0 |
| DPS (INR) | 3.5 | 3.6 | 3.5 | 3.4 |
| Tax rate (%) | 26.7 | 30.0 | 30.0 | 30.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 559 | 559 | 559 | 559 |
| Reserves | 14,869 | 16,308 | 18,560 | 22,103 |
| Shareholders funds | 15,429 | 16,867 | 19,120 | 22,662 |
| Minority interest | 201 | 201 | 201 | 201 |
| Borrowings | 8,978 | 9,978 | 10,478 | 10,978 |
| Trade payables | 6,069 | 6,165 | 6,117 | 6,514 |
| Other liabs & prov | 4,408 | 4,546 | 4,705 | 4,921 |
| Total liabilities | 35,347 | 38,018 | 40,883 | 45,537 |
| Net block | 5,057 | 7,435 | 7,015 | 6,754 |
| Intangible assets | 1,250 | 1,240 | 1,236 | 1,230 |
| Capital WIP | 1,379 | 1,516 | 1,676 | 1,892 |
| Total fixed assets | 7,685 | 10,191 | 9,926 | 9,876 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 1,317 | 1,573 | 2,942 | 4,424 |
| Sundry debtors | 17,468 | 17,874 | 18,758 | 21,585 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 7,548 | 7,052 | 7,930 | 8,326 |
| Total assets | 35,347 | 38,018 | 40,883 | 45,537 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin (%) | 42.1 | 42.7 | 43.6 | 44.5 |
| Staff cost (% of rev) | 4.8 | 4.6 | 4.6 | 4.5 |
| A&P as a % of sales | 3.8 | 4.2 | 4.2 | 4.2 |
| EBITDA margin (%) | 12.2 | 12.9 | 14.0 | 15.7 |
| Net profit margin (%) | 5.5 | 6.2 | 7.3 | 8.9 |
| Revenue growth (% YoY) | 5.9 | 11.6 | 12.1 | 14.7 |
| EBITDA growth (% YoY) | 77.8 | 17.6 | 21.6 | 28.5 |
| Adj. profit growth (%) | 10,553.8 | 25.1 | 32.0 | 39.3 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 1,948 | 2,438 | 3,218 | 4,484 |
| Add: Depreciation | 606 | 832 | 961 | 1,007 |
| Interest (net of tax) | 1,251 | 1,000 | 1,000 | 1,000 |
| Others | 228 | 795 | 979 | 1,422 |
| Less: Changes in WC | (10,109) | 183 | (1,809) | (2,826) |
| Operating cash flow | (6,784) | 4,203 | 2,970 | 3,164 |
| Less: Capex | (1,624) | (3,200) | (536) | (740) |
| Free cash flow | (8,408) | 1,003 | 2,434 | 2,424 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 6.5 | 6.5 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 82.0 | 90.0 | 92.0 | 94.0 |
| No of cases sold (mn) | 33.1 | 35.7 | 38.2 | 41.3 |
| Vol. growth (overall) | 4.4 | 8.0 | 7.0 | 8.1 |
| EBITDA margins (%) | 12.3 | 13.0 | 14.1 | 15.8 |
| Otr cost to rev (%) | 21.3 | 21.0 | 20.8 | 20.1 |
| Excise to Gross rev | 56.6 | 56.0 | 56.1 | 56.1 |
| Sales per case (INR) | 1,063.4 | 1,098.6 | 1,150.7 | 1,219.1 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 19.8 | 14.9 | 17.7 | 21.3 |
| RoCE (%) | 21.2 | 17.4 | 19.7 | 23.3 |
| Inventory days | 89 | 89 | 84 | 82 |
| Receivable days | 155 | 164 | 152 | 146 |
| Payable days | 117 | 99 | 90 | 82 |
| Working cap (% sales) | 41.3 | 36.2 | 36.0 | 36.6 |
| Gross debt/equity (x) | 0.6 | 0.6 | 0.5 | 0.5 |
| Net debt/equity (x) | 0.5 | 0.5 | 0.4 | 0.3 |
| Interest coverage (x) | 3.0 | 4.2 | 5.2 | 6.9 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 66.9 | 53.5 | 40.5 | 29.1 |
| Price/BV (x) | 8.4 | 7.7 | 6.8 | 5.8 |
| EV/EBITDA (x) | 32.1 | 27.4 | 22.4 | 17.3 |
| Dividend yield (%) | 0.7 | 0.8 | 0.7 | 0.7 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 9,197.5 | 25.1 | 32.0 | 39.3 |
| RoE (%) | 19.8 | 14.9 | 17.7 | 21.3 |
| EBITDA growth (%) | 77.8 | 17.6 | 21.6 | 28.5 |
| Payout ratio (%) | 50.0 | 41.0 | 30.0 | 21.0 |

*Source: Company and Nuvama estimates*

# APL APOLLO

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 2,198 |
| 12 month price target (INR) | 2,638 |
| 52 Week High/Low | 2,207/1,273 |
| Market cap (INR bn/USD bn) | 610/6.7 |
| Free float (%) | 71.7 |
| Avg. daily value traded (INR mn) | 1,365.4 |

## SHAREHOLDING PATTERN

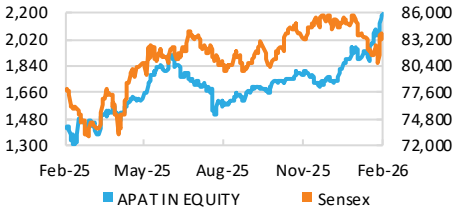
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 28.27% | 28.30% | 28.31% |
| FII | 33.12% | 33.72% | 33.05% |
| DII | 19.91% | 18.92% | 16.83% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 2,06,895 | 2,32,785 | 2,72,820 | 3,14,657 |
| EBITDA | 11,990 | 18,401 | 22,517 | 26,681 |
| Adjusted profit | 7,570 | 12,200 | 15,692 | 19,140 |
| Diluted EPS (INR) | 27.3 | 44.0 | 56.6 | 69.0 |
| EPS growth (%) | 3.3 | 61.2 | 28.6 | 22.0 |
| RoAE (%) | 19.4 | 25.3 | 25.3 | 24.1 |
| P/E (x) | 72.4 | 44.9 | 34.9 | 28.6 |
| EV/EBITDA (x) | 45.5 | 29.1 | 23.0 | 18.6 |
| Dividend yield (%) | 0.2 | 0.3 | 0.4 | 0.5 |

## PRICE PERFORMANCE




# On track for strong performance

We hosted Group Chief Strategy Officer Mr Anubhav Gupta of APL Apollo Tubes (APAT) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) EBITDA/ton to reach INR5,500 in Q4FY26. ii) Capacity to increase to 8mn tons/10mn tons in FY28/30. iii) Higher inventory churn and enhanced EBITDA margins to improve RoCE to sub 40% (currently: 33%). iv) Q4FY26/FY27/FY28 volumes to grow 20% YoY. v) Plant optimisation to reduce inventory days to twenties (currently: 30-plus).

APAT continues to outperform with strong growth visibility coupled with its recent intent to foray into the margin-accretive super specialty segment. Retain 'BUY' with a TP of INR1,956 (36x Q3FY27E EPS).

## Key takeaways

- **Volumes:** Management continued to guide for 20% YoY volume growth in Q4FY26 and FY27. They expect this growth momentum to sustain in FY28 as well.
- **EBITDA/ton** is likely to improve further from the current INR5,146 owing to a pickup in profitability from the SG premium brand. Further improvement in EBITDA/ton should be led by: i) higher volumes leading to operating leverage; ii) lower freight costs with plants increasingly servicing local markets; and iii) improved power efficiency.
- **Capacity expansion:** APAT is adding capacity at Siliguri, Bhuj and New Malur through a capex of INR13bn by FY28. Moreover, the company also plans to add 1mn tons of capacity through de-bottlenecking at its existing facilities at a cost of INR2bn. It plans to achieve 10mn tons capacity by FY30 by adding capacity in the super-specialty segment through a JV with international players. Management aims to cater to the untapped markets with the upcoming plants.
- **Plant optimisation:** The 6mm-plus pipe production has been centralised at the Raipur plant, reducing excess inventory and improving utilisation, as this segment is a small part of total volumes.
- **SG Premium:** While the brand will not be discontinued going forward, the pace of growth might be moderated once the objective of curbing secondary steel producers is achieved.
- **Specialty tubes:** APAT is exploring options for JV partners to foray into the specialty tubes segment that commands an EBITDA/ton of INR10,000–12,000.
- **Debt:** While the company achieved debt-free status two years ago, it is now on the verge of becoming liability free by knocking off the working capital (three days) to negative. Given the strategy of optimising plant operations, inventory days are likely to fall from 30-plus to the 20-day range.

**Sneha Talreja**
Sneha.Talreja@nuvama.com

**Souvik Mohanty**
souviks.mohanty@nuvama.com

**Jatin Manuja**
Jatin.Manuja@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 2,06,895 | 2,32,785 | 2,72,820 | 3,14,657 |
| Gross profit | 28,193 | 34,995 | 41,393 | 47,942 |
| Employee costs | 3,325 | 3,325 | 3,325 | 3,325 |
| Other expenses | 4,913 | 2,793 | 3,274 | 3,776 |
| EBITDA | 11,990 | 18,401 | 22,517 | 26,681 |
| Depreciation | 2,013 | 2,312 | 2,633 | 2,883 |
| Less: Interest expense | 1,333 | 1,299 | 770 | 394 |
| Add: Other income | 961 | 1,057 | 1,268 | 1,458 |
| Profit before tax | 9,604 | 15,847 | 20,383 | 24,863 |
| Prov for tax | 2,035 | 3,647 | 4,691 | 5,722 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 7,570 | 12,200 | 15,692 | 19,140 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 7,570 | 12,200 | 15,692 | 19,140 |
| Diluted shares o/s | 277 | 277 | 277 | 277 |
| Adjusted diluted EPS | 27.3 | 44.0 | 56.6 | 69.0 |
| DPS (INR) | 4.0 | 6.6 | 8.5 | 10.4 |
| Tax rate (%) | 21.2 | 23.0 | 23.0 | 23.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 555 | 555 | 555 | 555 |
| Reserves | 41,532 | 53,735 | 69,430 | 88,575 |
| Shareholders funds | 42,087 | 54,290 | 69,986 | 89,132 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 6,148 | 5,148 | 3,648 | 2,648 |
| Trade payables | 22,312 | 21,676 | 25,362 | 29,229 |
| Other liabs & prov | 3,460 | 3,460 | 3,460 | 3,460 |
| Total liabilities | 75,961 | 86,032 | 1,03,914 | 1,25,927 |
| Net block | 33,701 | 36,390 | 38,757 | 40,873 |
| Intangible assets | 1,399 | 1,375 | 1,375 | 1,375 |
| Capital WIP | 3,355 | 1,678 | 419 | 105 |
| Total fixed assets | 38,455 | 39,442 | 40,551 | 42,353 |
| Non current inv | 1,262 | 1,262 | 1,262 | 1,262 |
| Cash/cash equivalent | 5,749 | 15,527 | 32,157 | 53,032 |
| Sundry debtors | 2,673 | 3,189 | 3,737 | 4,310 |
| Loans & advances | 44 | 44 | 44 | 44 |
| Other assets | 23,363 | 23,371 | 22,966 | 21,729 |
| Total assets | 75,961 | 86,032 | 1,03,914 | 1,25,927 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Volume Growth (%) | 20.6 | 13.6 | 17.1 | 15.2 |
| Realisation Growth | (5.3) | (1.0) | 0 | 0.1 |
| Capex (INR mn) | 7,225.0 | 5,000.0 | 5,000.0 | 5,000.0 |
| EBITDA margin (%) | 5.8 | 7.9 | 8.3 | 8.5 |
| Net profit margin (%) | 3.7 | 5.2 | 5.8 | 6.1 |
| Revenue growth (% YoY) | 14.2 | 12.5 | 17.2 | 15.3 |
| EBITDA growth (% YoY) | 0.6 | 53.5 | 22.4 | 18.5 |
| Adj. profit growth (%) | 3.3 | 61.2 | 28.6 | 22.0 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 9,604 | 17,677 | 22,737 | 27,734 |
| Add: Depreciation | 2,013 | 2,312 | 2,633 | 2,883 |
| Interest (net of tax) | 741 | 1,299 | 770 | 394 |
| Others | (79) | 0 | 0 | 0 |
| Less: Changes in WC | 1,728 | (1,178) | 3,543 | 4,531 |
| Operating cash flow | 12,133 | 16,466 | 24,995 | 29,823 |
| Less: Capex | (7,225) | (5,000) | (5,000) | (5,000) |
| Free cash flow | 4,908 | 11,466 | 19,995 | 24,823 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 6.5 | 6.5 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 82.0 | 81.0 | 81.0 | 81.0 |
| Gross margins | 13.6 | 15.0 | 15.2 | 15.2 |
| EBITDA/MT | 3,797.0 | 5,125.5 | 5,354.1 | 5,506.0 |
| Depre % of gross block | 5.0 | 4.9 | 5.0 | 5.0 |
| Interest % of debt | 30.7 | 46.0 | 35.0 | 25.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 19.4 | 25.3 | 25.3 | 24.1 |
| RoCE (%) | 22.9 | 31.8 | 31.8 | 30.5 |
| Inventory days | 33 | 30 | 25 | 21 |
| Receivable days | 4 | 5 | 5 | 5 |
| Payable days | 43 | 41 | 37 | 37 |
| Working cap (% sales) | 0.9 | 1.3 | (0.2) | (1.6) |
| Gross debt/equity (x) | 0.1 | 0.1 | 0.1 | 0 |
| Net debt/equity (x) | 0 | (0.2) | (0.4) | (0.6) |
| Interest coverage (x) | 7.5 | 12.4 | 25.8 | 60.5 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 72.4 | 44.9 | 34.9 | 28.6 |
| Price/BV (x) | 13.0 | 10.1 | 7.8 | 6.1 |
| EV/EBITDA (x) | 45.5 | 29.1 | 23.0 | 18.6 |
| Dividend yield (%) | 0.2 | 0.3 | 0.4 | 0.5 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 3.3 | 61.2 | 28.6 | 22.0 |
| RoE (%) | 19.4 | 25.3 | 25.3 | 24.1 |
| EBITDA growth (%) | 0.6 | 53.5 | 22.4 | 18.5 |
| Payout ratio (%) | 14.7 | 15.0 | 15.0 | 15.0 |

*Source: Company and Nuvama estimates*

# APOLLO PIPES

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | REDUCE |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 332 |
| 12 month price target (INR) | 194 |
| 52 Week High/Low | 495/252 |
| Market cap (INR bn/USD bn) | 14/0.2 |
| Free float (%) | 53.2 |
| Avg. daily value traded (INR mn) | 51.5 |

## SHAREHOLDING PATTERN

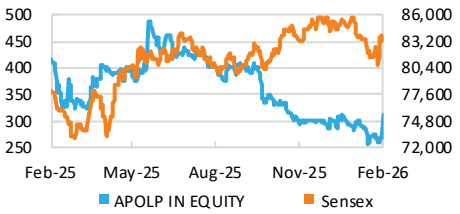
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 46.84% | 46.84% | 46.84% |
| FII | 3.58% | 3.71% | 4.28% |
| DII | 12.43% | 14.59% | 15.26% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 11,816 | 12,501 | 14,376 | 16,533 |
| EBITDA | 957 | 734 | 974 | 1,239 |
| Adjusted profit | 341 | 138 | 301 | 469 |
| Diluted EPS (INR) | 7.4 | 3.1 | 6.8 | 10.6 |
| EPS growth (%) | 0 | (57.9) | 119.0 | 55.7 |
| RoAE (%) | 4.8 | 1.7 | 3.7 | 5.5 |
| P/E (x) | 36.8 | 87.4 | 39.9 | 25.6 |
| EV/EBITDA (x) | 11.6 | 16.3 | 12.6 | 9.6 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## PRICE PERFORMANCE




# Headwinds persist; expanding in east

We hosted Group Chief Strategy Officer Mr Anubhav Gupta of Apollo Pipes (Apollo) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Q4FY26 volumes guided at 32k–35ktons with high double-digit growth in FY27. ii) EBITDA/ton for Apollo/Kisan guided at INR9k–10k/4k–5k. iii) PVC prices likely to remain range bound at USD600–650/ton with a higher ceiling of USD700/ton. iv) Demand issues persist aggravated by overcapacity and intense competition.

Weak demand, intense competition and volatile PVC pricing continue to take a toll on the company's performance. Maintain 'REDUCE' with a TP of INR194 (20x Q3FY28E EPS).

## Key takeaways

- **Demand:** Demand remains weak amid industry overcapacity, muted infrastructure and government spending and heightened competition leading to aggressive pricing. However, management expects a gradual recovery in consumer spending following GST cuts.
- **ADD:** Despite final findings being in place, the government chose not to proceed, resulting in withdrawal of the anti-dumping duty. Restarting the process is likely to take another six–nine months.
- **Volumes:** Q4FY26 volumes are guided at 32,000–35,000 tons, with FY27 volumes likely to grow in high double-digits, driven by Kisan ramp-up, commissioning of the Varanasi plant and scale-up of the window profile segment. CPVC volumes grew ~10% YoY in Q3FY26.
- **Capex:** Apollo expects Q4FY26 capex of ~INR250mn (FY26 total: ~INR1.5bn). Moreover, FY27 capex of ~INR1bn has been planned towards: (i) land acquisition for the South India plant (INR250–300mn); (ii) modernisation and expansion at Kisan (INR250–300mn); and (iii) other capacity enhancements (~INR500mn).
- **Housing versus Agri:** In Q3FY26, housing pipes/fittings/CPVC grew ~10% YoY while water tanks posted high double-digit growth. Agri and HDPE segments continued to decline, weighing on overall volumes.
- **Varanasi plant:** The upcoming Varanasi facility provides entry into the largely untapped East India markets. While competition remains intense, management is focused on building distribution reach and market pull.
- **Kisan Mouldings:** Management is targeting volumes of 35,000–40,000 tons over the next two years, supported by INR200–300mn capex toward modernisation and a 15–20% capacity expansion. Product mix is likely to shift toward Apollo's non-agri-heavy portfolio.

**Sneha Talreja**
Sneha.Talreja@nuvama.com

**Souvik Mohanty**
souviks.mohanty@nuvama.com

**Jatin Manuja**
Jatin.Manuja@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 11,816 | 12,501 | 14,376 | 16,533 |
| Gross profit | 3,541 | 3,500 | 4,457 | 4,794 |
| Employee costs | 928 | 1,068 | 1,228 | 1,412 |
| Other expenses | 0 | 0 | 0 | 0 |
| EBITDA | 957 | 734 | 974 | 1,239 |
| Depreciation | 445 | 570 | 615 | 634 |
| Less: Interest expense | 110 | 96 | 50 | 50 |
| Add: Other income | 53 | 111 | 88 | 71 |
| Profit before tax | 454 | 179 | 396 | 625 |
| Prov for tax | 113 | 41 | 95 | 156 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 326 | 138 | 301 | 469 |
| Less: Excp.item (net) | 14 | 0 | 0 | 0 |
| Adjusted profit | 341 | 138 | 301 | 469 |
| Diluted shares o/s | 44 | 44 | 44 | 44 |
| Adjusted diluted EPS | 7.4 | 3.1 | 6.8 | 10.6 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 25.0 | 23.0 | 24.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 440 | 440 | 440 | 440 |
| Reserves | 7,487 | 7,625 | 7,926 | 8,395 |
| Shareholders funds | 7,928 | 8,065 | 8,366 | 8,835 |
| Minority interest | 873 | 873 | 873 | 873 |
| Borrowings | 918 | 505 | 505 | 505 |
| Trade payables | 1,744 | 1,480 | 1,631 | 1,930 |
| Other liabs & prov | 634 | 664 | 754 | 934 |
| Total liabilities | 12,293 | 11,783 | 12,325 | 13,273 |
| Net block | 5,239 | 6,168 | 6,553 | 6,419 |
| Intangible assets | 310 | 310 | 310 | 310 |
| Capital WIP | 373 | 373 | 373 | 373 |
| Total fixed assets | 5,921 | 6,851 | 7,235 | 7,102 |
| Non current inv | 649 | 649 | 649 | 649 |
| Cash/cash equivalent | 1,811 | 541 | 264 | 596 |
| Sundry debtors | 950 | 822 | 945 | 1,087 |
| Loans & advances | 115 | 552 | 655 | 849 |
| Other assets | 2,835 | 2,368 | 2,577 | 2,991 |
| Total assets | 12,293 | 11,783 | 12,325 | 13,273 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Volume Growth (%) | 22.7 | 5.8 | 15.0 | 15.0 |
| Realisation Growth | (2.5) | 0 | 0 | 0 |
| EBITDA/MT | 0 | 0 | 0 | 0 |
| EBITDA margin (%) | 8.1 | 5.9 | 6.8 | 7.5 |
| Net profit margin (%) | 2.9 | 1.1 | 2.1 | 2.8 |
| Revenue growth (% YoY) | 19.7 | 5.8 | 15.0 | 15.0 |
| EBITDA growth (% YoY) | 0 | (23.2) | 32.6 | 27.2 |
| Adj. profit growth (%) | 0 | (59.6) | 119.0 | 55.7 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 326 | 138 | 301 | 469 |
| Add: Depreciation | 445 | 570 | 615 | 634 |
| Interest (net of tax) | 74 | 64 | 34 | 34 |
| Others | (1,150) | (195) | (421) | (574) |
| Less: Changes in WC | (592) | (65) | (194) | (270) |
| Operating cash flow | 287 | 643 | 723 | 833 |
| Less: Capex | (1,299) | (1,500) | (1,000) | (500) |
| Free cash flow | (1,012) | (857) | (277) | 333 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.3 | 7.3 | 8.3 |
| Repo rate (%) | 5.3 | 5.3 | 6.3 | 7.3 |
| USD/INR (average) | 82.0 | 82.0 | 83.0 | 84.0 |
| Interest as a% of debt | 12.0 | 19.0 | 10.0 | 10.0 |
| Depre % of gross block | (5.6) | (6.1) | (5.9) | (5.8) |
| Capex (INR mn) | (1,024.0) | (1,500.0) | (1,000.0) | (500.0) |
| Employee % of Sales | 7.9 | 8.5 | 8.5 | 8.5 |
| Tax rate (%) | 25.0 | 23.0 | 24.0 | 25.0 |
| other expenses % of Sales | 14.0 | 12.0 | 13.0 | 11.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 4.8 | 1.7 | 3.7 | 5.5 |
| RoCE (%) | 6.6 | 2.9 | 4.7 | 6.8 |
| Inventory days | 91 | 85 | 79 | 77 |
| Receivable days | 27 | 26 | 22 | 22 |
| Payable days | 79 | 65 | 57 | 55 |
| Working cap (% sales) | 25.0 | 17.1 | 14.3 | 16.1 |
| Gross debt/equity (x) | 0.1 | 0.1 | 0.1 | 0.1 |
| Net debt/equity (x) | (0.1) | 0 | 0 | 0 |
| Interest coverage (x) | 4.7 | 1.7 | 7.1 | 12.0 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 36.8 | 87.4 | 39.9 | 25.6 |
| Price/BV (x) | 1.5 | 1.5 | 1.4 | 1.4 |
| EV/EBITDA (x) | 11.6 | 16.3 | 12.6 | 9.6 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 0 | (57.9) | 119.0 | 55.7 |
| RoE (%) | 4.8 | 1.7 | 3.7 | 5.5 |
| EBITDA growth (%) | 0 | (23.2) | 32.6 | 27.2 |
| Payout ratio (%) | 0 | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

# BAJAJ AUTO

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 9,474 |
| 12 month price target (INR) | 11,000 |
| 52 Week High/Low | 9,888/7,088 |
| Market cap (INR bn/USD bn) | 2,648/28.9 |
| Free float (%) | 39.7 |
| Avg. daily value traded (INR mn) | 3,462.0 |

## SHAREHOLDING PATTERN

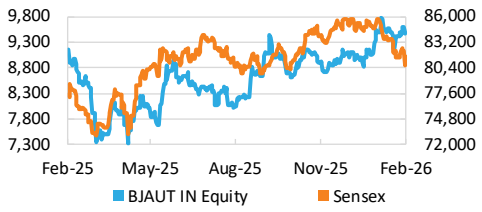
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 54.99% | 55.04% | 55.04% |
| FII | 8.84% | 9.66% | 10.30% |
| DII | 14.07% | 12.78% | 12.01% |
| Pledge | 0.01% | 0.01% | 0.01% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 5,00,103 | 5,73,954 | 6,62,671 | 7,33,038 |
| EBITDA | 1,00,988 | 1,17,271 | 1,37,530 | 1,53,341 |
| Adjusted profit | 83,627 | 95,835 | 1,11,447 | 1,23,864 |
| Diluted EPS (INR) | 299.5 | 343.2 | 399.1 | 443.5 |
| EPS growth (%) | 11.8 | 14.6 | 16.3 | 11.1 |
| RoAE (%) | 29.3 | 28.5 | 30.4 | 30.8 |
| P/E (x) | 31.9 | 27.9 | 24.0 | 21.6 |
| EV/EBITDA (x) | 26.4 | 22.8 | 19.4 | 17.4 |
| Dividend yield (%) | 2.2 | 2.5 | 2.9 | 3.2 |

## PRICE PERFORMANCE




# Launches to drive FY27 growth

We hosted CFO Mr Dinesh Thapar and Head of Investor Relation Mr Anand Newar of Bajaj Auto at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Management expects domestic motorcycle industry to grow at 12–15%, and exports growth at 20%-plus in Q4FY26. ii) Upcoming launches include a new 125cc motorcycle, eight upgrades/refreshes, and lower-displacement models under the Triumph/KTM brands. iii) Commodity inflation impact is likely to be 50–60bp QoQ in Q4FY26 and likely to be easily offset through price hikes and currency tailwinds.

We are building in a revenue/EBITDA CAGR of 13%/14% over FY26–27E. Retain 'BUY' with a TP of INR11,000, based on 25x FY28E core EPS plus.

## Key takeaways

- **Demand outlook:** Management expects the domestic motorcycle industry to grow at 12–15% in the near term with the 125cc-plus segment growing at a faster rate.
- **Exports:** Export growth momentum is likely to continue in coming months. In Q4FY26, the monthly run-rate is anticipated at ~200,000 units.
- **New products:** Since November-2025, the company has undertaken seven interventions across its product portfolio. Going forward, launches include a new 125cc affordable motorcycle, eight upgrades/refreshes (most under Pulsar brand), and lower-displacement models under the Triumph/KTM brands.
- **Update on Riki:** Launched in the previous quarter with two passenger-segment models and reported the introduction of the e-kart variant. The network expanded to ~50 cities. The company would begin scaling up the segment Q1FY27 onwards.
- **Q3FY26 EV revenue** is at 25% of domestic revenue.
- **EBITDA margin of EVs:** The electric portfolio (2W + 3W) delivered double-digit EBITDA margin in Q3FY26. Furthermore, the E2W segment has achieved EBITDA break-even.
- **Q4FY26 commodity outlook:** Commodities such as aluminium and platinum are logging inflation. Management expects a 50–60bp impact on margins due to commodity inflation. However, the company has implemented price hikes to offset about half of the impact, with the remaining impact likely to be mitigated through currency tailwinds, operating leverage and an improved product mix.
- **PLI benefit:** Driven by strong sales in the electric portfolio, the company's PLI benefits have increased to the highest slab.
- **Chetak e-scooter:** The challenges in HRE sourcing through alternate measures. The model is currently retailed through around 400 exclusive dealerships and ~4,000 points of sale.

**Raghunandhan NL**
raghunandhan.nl@nuvama.com

**Manav Shah**
manavt.shah@nuvama.com

**Rahul Kumar**
rahuls.k@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 5,00,103 | 5,73,954 | 6,62,671 | 7,33,038 |
| Gross profit | 1,46,729 | 1,71,325 | 1,97,807 | 2,18,812 |
| Employee costs | 15,794 | 16,654 | 18,202 | 19,523 |
| Other expenses | 29,947 | 37,400 | 42,076 | 45,948 |
| EBITDA | 1,00,988 | 1,17,271 | 1,37,530 | 1,53,341 |
| Depreciation | 4,001 | 4,497 | 4,851 | 5,231 |
| Less: Interest expense | 677 | 576 | 576 | 576 |
| Add: Other income | 14,209 | 15,242 | 16,492 | 17,617 |
| Profit before tax | 1,10,519 | 1,27,441 | 1,48,596 | 1,65,152 |
| Prov for tax | 26,892 | 31,605 | 37,149 | 41,288 |
| Less: Other adj | (2,113) | 0 | 0 | 0 |
| Reported profit | 81,514 | 95,835 | 1,11,447 | 1,23,864 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 83,627 | 95,835 | 1,11,447 | 1,23,864 |
| Diluted shares o/s | 279 | 279 | 279 | 279 |
| Adjusted diluted EPS | 299.5 | 343.2 | 399.1 | 443.5 |
| DPS (INR) | 210.0 | 240.2 | 279.4 | 310.5 |
| Tax rate (%) | 24.3 | 24.8 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 2,793 | 2,793 | 2,793 | 2,793 |
| Reserves | 3,18,677 | 3,47,427 | 3,80,861 | 4,18,021 |
| Shareholders funds | 3,21,469 | 3,50,220 | 3,83,654 | 4,20,813 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 9,276 | 9,276 | 9,276 | 9,276 |
| Trade payables | 77,512 | 88,381 | 98,411 | 1,06,853 |
| Other liabs & prov | 16,031 | 16,103 | 16,212 | 16,062 |
| Total liabilities | 4,24,289 | 4,63,981 | 5,07,553 | 5,53,004 |
| Net block | 35,002 | 39,433 | 44,580 | 50,312 |
| Intangible assets | 28 | 30 | 31 | 33 |
| Capital WIP | 283 | 353 | 353 | 389 |
| Total fixed assets | 35,312 | 39,815 | 44,964 | 50,733 |
| Non current inv | 2,86,180 | 3,16,180 | 3,36,180 | 3,61,180 |
| Cash/cash equivalent | 13,286 | 6,797 | 13,209 | 17,214 |
| Sundry debtors | 22,826 | 26,197 | 30,247 | 33,458 |
| Loans & advances | 24,383 | 27,417 | 30,319 | 33,043 |
| Other assets | 42,301 | 47,574 | 52,636 | 57,375 |
| Total assets | 4,24,289 | 4,63,981 | 5,07,553 | 5,53,004 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross profit margin (%) | 29.3 | 29.9 | 29.9 | 29.9 |
| Staff cost % sales | 3.2 | 2.9 | 2.7 | 2.7 |
| Other expenses % sales | 6.0 | 6.5 | 6.3 | 6.3 |
| EBITDA margin (%) | 20.2 | 20.4 | 20.8 | 20.9 |
| Net profit margin (%) | 16.7 | 16.7 | 16.8 | 16.9 |
| Revenue growth (% YoY) | 11.9 | 14.8 | 15.5 | 10.6 |
| EBITDA growth (% YoY) | 14.5 | 16.1 | 17.3 | 11.5 |
| Adj. profit growth (%) | 11.8 | 14.6 | 16.3 | 11.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 96,310 | 1,12,198 | 1,32,103 | 1,47,535 |
| Add: Depreciation | 4,001 | 4,497 | 4,851 | 5,231 |
| Interest (net of tax) | (5,875) | 576 | 576 | 576 |
| Others | (6,746) | (8,440) | (10,928) | (8,692) |
| Less: Changes in WC | (2,428) | (99) | (1,131) | (1,559) |
| Operating cash flow | 58,458 | 76,489 | 87,580 | 1,00,976 |
| Less: Capex | (7,217) | (9,000) | (10,000) | (11,000) |
| Free cash flow | 51,241 | 67,489 | 77,580 | 89,976 |

### Assumptions

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Domestic 2Ws Vol (units in 000s) | 2,308.2 | 2,276.7 | 2,482.6 | 2,631.8 |
| Export 2Ws Vol (units in 000s) | 1,674.1 | 1,941.9 | 2,174.9 | 2,392.4 |
| Domestic 3Ws/Quadricycles Vol (units in 000s) | 479.4 | 498.5 | 516.0 | 528.9 |
| Export 3Ws/Quadricycles Vol (units in 000s) | 189.2 | 275.4 | 317.2 | 349.9 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 29.3 | 28.5 | 30.4 | 30.8 |
| RoCE (%) | 32.9 | 32.7 | 35.3 | 36.0 |
| Inventory days | 19 | 19 | 19 | 19 |
| Receivable days | 16 | 16 | 16 | 16 |
| Payable days | 80 | 75 | 73 | 73 |
| Working cap (% sales) | 1.4 | 1.3 | 1.3 | 1.4 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.6) | (0.5) | (0.6) | (0.6) |
| Interest coverage (x) | 143.2 | 195.9 | 230.5 | 257.3 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 31.9 | 27.9 | 24.0 | 21.6 |
| Price/BV (x) | 8.3 | 7.6 | 7.0 | 6.3 |
| EV/EBITDA (x) | 26.4 | 22.8 | 19.4 | 17.4 |
| Dividend yield (%) | 2.2 | 2.5 | 2.9 | 3.2 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 11.8 | 14.6 | 16.3 | 11.1 |
| RoE (%) | 29.3 | 28.5 | 30.4 | 30.8 |
| EBITDA growth (%) | 14.5 | 16.1 | 17.3 | 11.5 |
| Payout ratio (%) | 71.9 | 70.0 | 70.0 | 70.0 |

# BLUESTAR

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 1,946 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 2,270/1,521 |
| Market cap (INR bn/USD bn) | 400/4.4 |
| Free float (%) | 63.1 |
| Avg. daily value traded (INR mn) | 226.0 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 36.48% | 36.48% | 36.48% |
| FII | 14.66% | 16.05% | 16.21% |
| DII | 26.76% | 25.32% | 23.37% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22A | FY23E | FY24E | FY25E |
|---|---|---|---|---|
| Revenue | 60,456 | 79,773 | 96,854 | 1,19,677 |
| EBITDA | 3,465 | 4,928 | 6,649 | 8,759 |
| Adjusted profit | 1,657 | 4,007 | 4,144 | 5,913 |
| Diluted EPS (INR) | 8.6 | 20.8 | 20.2 | 28.8 |
| EPS growth (%) | 24.3 | 141.8 | (3.1) | 42.7 |
| RoAE (%) | 17.4 | 34.1 | 21.0 | 20.8 |
| P/E (x) | 218.6 | 90.4 | 93.3 | 65.4 |
| EV/EBITDA (x) | 104.7 | 73.9 | 57.5 | 43.5 |
| Dividend yield (%) | 0.1 | 0.3 | 0.3 | 0.4 |

# Brighter days ahead

We hosted top management of Bluestar at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Remains comfortable in maintaining ~15% market share ambition as long as growth remains profitable. ii) Management remains constructive on FY27 growth and margin normalisation, underpinned by low category penetration, release of pent-up demand and a more diversified product portfolio. iii) January reported a sharp acceleration in order inflows, signalling early demand recovery ahead of the peak season.

The stock trades at 71.5x FY26E consensus EPS, and is *not rated*.

## Key takeaways

- **Near-term muted, Q4 revival expected:** Management reiterated that Q3FY26 remained subdued with modest revenue growth and flat operating profit, but Q4FY26 is likely to be strong, led by a revival in room air conditioners (RAC), commercial AC and refrigeration as summer demand kicks in.
- **RAC business turning the corner**: The energy label transition (Jan-26) helped clear channel inventory and triggered a return to growth in RAC with Blue Star gaining modest market share. Production of new BEE-compliant models has commenced ahead of the summer season.
- **Margin resilience driven by discipline, not discounting**: UCP margins improved despite flattish revenues, aided by early inventory control, calibrated production cuts, cost rationalisation, and avoidance of aggressive discounting. Management reiterated a steady-state EBIT margin target of ~8.5% for Q4FY26 and FY27.
- **Price hikes inevitable to protect profitability**: Rising commodity prices, INR depreciation, higher warranty, e-waste and financing costs, along with energy efficiency upgrades, necessitate ~10% net price increase to consumers, even after factoring in GST reduction.
- **Operational and sourcing strategy:** Inventory levels have normalised (~8 weeks) ahead of the season. Compressor sourcing continues from China and India with no immediate capex plans given cost advantages of imports. Competitive intensity is likely to remain stable with operating leverage to emerge over next two–three years as investments mature.
- **FY27 outlook constructive despite weather risks**: Management remains optimistic on FY27 growth and margin normalisation, supported by low penetration, pent-up demand, portfolio diversification ("weather-proofing Blue Star"), and strong RoCE discipline (25–30%), even if summer variability persists.

**Achal Lohade**
achal.lohade@nuvama.com

**Rohan Jain**
Rohan.Jain@nuvama.com

# DABUR INDIA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 508 |
| 12 month price target (INR) | 605 |
| 52 Week High/Low | 577/420 |
| Market cap (INR bn/USD bn) | 902/9.9 |
| Free float (%) | 32.1 |
| Avg. daily value traded (INR mn) | 1,022.1 |

## SHAREHOLDING PATTERN

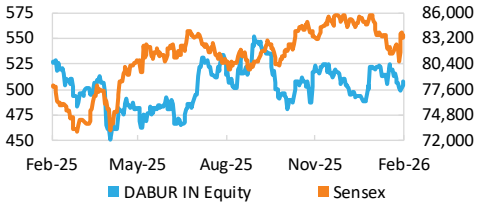
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 66.23% | 66.22% | 66.22% |
| FII | 10.05% | 10.88% | 11.85% |
| DII | 18.29% | 17.29% | 16.16% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,25,631 | 1,32,727 | 1,44,375 | 1,57,109 |
| EBITDA | 23,163 | 25,351 | 28,297 | 31,108 |
| Adjusted profit | 17,121 | 19,033 | 21,904 | 24,387 |
| Diluted EPS (INR) | 9.7 | 10.8 | 12.4 | 13.8 |
| EPS growth (%) | (3.9) | 11.2 | 15.1 | 11.3 |
| RoAE (%) | 16.6 | 17.0 | 18.0 | 18.5 |
| P/E (x) | 52.6 | 47.4 | 41.2 | 37.0 |
| EV/EBITDA (x) | 38.1 | 34.6 | 30.7 | 27.6 |
| Dividend yield (%) | 1.1 | 1.2 | 1.3 | 1.5 |

## PRICE PERFORMANCE




# Worst is behind

We hosted CEO-designate Mr Mohit Malhotra of Dabur India at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) The company is eyeing high single to low double-digit revenue growth in Q4FY27/Q1FY27 led by juices and glucose category. ii) EBITDA margins are likely to improve to ~20% over next two years. iii) Eyeing ~2% price hikes in Q4 with benefit carried forward to FY27. iv) Oral and Haircare are likely to grow in double digits. v) Dabur has become the number two player in oral care.

Demand recovery is likely to be driven by GST rate cuts, moderation in inflation and improving consumer sentiment. Maintain 'BUY' with a TP of INR605.

## Key takeaways

- **Beverages**: Beverage business is likely to grow in high single to low-double digits in FY27. However, Activ juices and Coconut water continue to perform well.
- **International business**: The international business is likely to grow in high single-digit in FY27 with strong growth momentum coming from regions such as MENA, Namaste and the US. US business is operating on a low base and likely to grow at a faster pace.
- **HPC:** Management expects hair oil growth going forward to be volume-led rather than price-led. Herbal toothpaste portfolio is likely to outpace the non-herbal portfolio. Competitive intensity in toothpaste has risen, particularly in MT where the category market leader has been very aggressive.
- **Healthcare:** Chyawanprash is likely to recover in Q4FY26, aided by a favourable base and normalisation of trade inventory.
- **Foods**: Food categories such as coconut milk, edible oils and fats are performing well while Badshah is continuing to maintain growth momentum, further increasing its market share.
- **Pricing/margins:** Dabur expects ~2% price hikes in Q4 and benefit to be carried forward to FY27. No price hike were taken post-GST rate cuts due to anti-profiteering considerations.
- **Channel performance:** Emerging channels (MT, e-commerce and Q-com) account for 20–22% of sales salience. E-commerce and MT contribute ~10% each. Q-com forms ~60% of e-commerce sales and is growing at ~50%. Margins in emerging channels are better than GT, led by premium and larger pack formats.
- **Demand:** Demand is picking up across categories with improvement visible in both rural and urban markets. Rural demand is currently outpacing urban. Dabur products reach one out of two Indian households.

**Abneesh Roy**
Abneesh.Roy@nuvama.com

**Jainam Gosar**
Jainam.Gosar@nuvama.com

**Shlok Mehta**
Shlok.Mehta@nuvama.com

**Anchal Jain**
Jain.Anchal@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,25,631 | 1,32,727 | 1,44,375 | 1,57,109 |
| Gross profit | 60,282 | 62,913 | 69,155 | 75,569 |
| Employee costs | 12,912 | 13,671 | 14,871 | 16,182 |
| Other expenses | 15,560 | 14,600 | 15,881 | 17,282 |
| EBITDA | 23,163 | 25,351 | 28,297 | 31,108 |
| Depreciation | 4,456 | 4,815 | 5,257 | 5,699 |
| Less: Interest expense | 1,635 | 1,449 | 860 | 460 |
| Add: Other income | 5,501 | 5,632 | 6,266 | 6,723 |
| Profit before tax | 22,573 | 24,719 | 28,447 | 31,672 |
| Prov for tax | 5,175 | 5,685 | 6,543 | 7,285 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 17,121 | 19,033 | 21,904 | 24,387 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 17,121 | 19,033 | 21,904 | 24,387 |
| Diluted shares o/s | 1,767 | 1,767 | 1,767 | 1,767 |
| Adjusted diluted EPS | 10 | 11 | 12 | 14 |
| DPS (INR) | 5.5 | 5.9 | 6.8 | 7.6 |
| Tax rate (%) | 22.9 | 23.0 | 23.0 | 23.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 1,772 | 1,772 | 1,772 | 1,772 |
| Reserves | 1,06,235 | 1,14,800 | 1,24,656 | 1,35,631 |
| Shareholders funds | 1,08,007 | 1,16,572 | 1,26,429 | 1,37,403 |
| Minority interest | 4,096 | 4,096 | 4,096 | 4,096 |
| Borrowings | 7,301 | 5,301 | 3,301 | 1,301 |
| Trade payables | 28,253 | 27,352 | 29,469 | 31,946 |
| Other liabs & prov | 13,951 | 13,951 | 13,951 | 13,951 |
| Total liabilities | 1,62,323 | 1,67,986 | 1,77,961 | 1,89,411 |
| Net block | 28,434 | 30,119 | 31,362 | 32,163 |
| Intangible assets | 11,463 | 11,463 | 11,463 | 11,463 |
| Capital WIP | 1,690 | 1,690 | 1,690 | 1,690 |
| Total fixed assets | 41,587 | 43,272 | 44,515 | 45,316 |
| Non current inv | 53,803 | 53,803 | 53,803 | 53,803 |
| Cash/cash equivalent | 26,656 | 29,749 | 35,842 | 43,472 |
| Sundry debtors | 8,885 | 9,818 | 10,680 | 11,622 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 29,784 | 29,736 | 31,512 | 33,590 |
| Total assets | 1,62,323 | 1,67,986 | 1,77,961 | 1,89,411 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin (%) | 48.0 | 47.4 | 47.9 | 48.1 |
| Staff cost (% of rev) | 10.3 | 10.3 | 10.3 | 10.3 |
| A&P as % of sales | 6.9 | 7.0 | 7.0 | 7.0 |
| EBITDA margin (%) | 18.4 | 19.1 | 19.6 | 19.8 |
| Net profit margin (%) | 13.6 | 14.3 | 15.2 | 15.5 |
| Rev. Growth (% YoY) | 1.3 | 5.6 | 8.8 | 8.8 |
| EBITDA growth (% YoY) | (3.5) | 9.4 | 11.6 | 9.9 |
| Adj. profit growth (%) | (3.9) | 11.2 | 15.1 | 11.3 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 17,121 | 19,033 | 21,904 | 24,387 |
| Add: Depreciation | 4,456 | 4,815 | 5,257 | 5,699 |
| Interest (net of tax) | 1,635 | 1,449 | 860 | 460 |
| Others | (2,737) | 0 | 0 | 0 |
| Less: Changes in WC | (607) | (1,786) | (521) | (544) |
| Operating cash flow | 19,868 | 23,511 | 27,500 | 30,003 |
| Less: Capex | (5,391) | (6,500) | (6,500) | (6,500) |
| Free cash flow | 14,476 | 17,011 | 21,000 | 23,503 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 7.0 | 7.0 | 7.0 | 7.0 |
| Repo rate (%) | 4.3 | 4.3 | 4.3 | 4.3 |
| USD/INR (average) | 87.0 | 90.0 | 91.0 | 92.0 |
| Dom Vol growth | (1.5) | 6.0 | 6.0 | 6.0 |
| Int bus growth | 7.7 | 10.0 | 10.2 | 10.2 |
| COGS % of sales (std) | 17.4 | 17.4 | 17.4 | 17.4 |
| Other exp (% of rev) | 12.4 | 11.0 | 11.0 | 11.0 |
| Dep (% of gross block) | 6.9 | 6.8 | 6.8 | 6.8 |
| Yield on cash | 6.8 | 7.0 | 7.5 | 7.5 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 16.6 | 17.0 | 18.0 | 18.5 |
| RoCE (%) | 20.7 | 21.3 | 22.6 | 23.2 |
| Inventory days | 119 | 120 | 116 | 115 |
| Receivable days | 26 | 26 | 26 | 26 |
| Payable days | 147 | 145 | 138 | 137 |
| Working cap (% sales) | (1.7) | (0.2) | 0.1 | 0.5 |
| Gross debt/equity (x) | 0.1 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.2) | (0.2) | (0.2) | (0.3) |
| Interest coverage (x) | 11.4 | 14.2 | 26.8 | 55.2 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 52.6 | 47.4 | 41.2 | 37.0 |
| Price/BV (x) | 8.3 | 7.7 | 7.1 | 6.6 |
| EV/EBITDA (x) | 38.1 | 34.6 | 30.7 | 27.6 |
| Dividend yield (%) | 1.1 | 1.2 | 1.3 | 1.5 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (3.9) | 11.2 | 15.1 | 11.3 |
| RoE (%) | 16.6 | 17.0 | 18.0 | 18.5 |
| EBITDA growth (%) | (3.5) | 9.4 | 11.6 | 9.9 |
| Payout ratio (%) | 56.9 | 55.0 | 55.0 | 55.0 |

*Source: Company and Nuvama estimates*

# DHANUKA AGRITECH

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,136 |
| 12 month price target (INR) | 1,834 |
| 52 Week High/Low | 1,975/1,018 |
| Market cap (INR bn/USD bn) | 51/0.6 |
| Free float (%) | 25.0 |
| Avg. daily value traded (INR mn) | 47.0 |

## SHAREHOLDING PATTERN

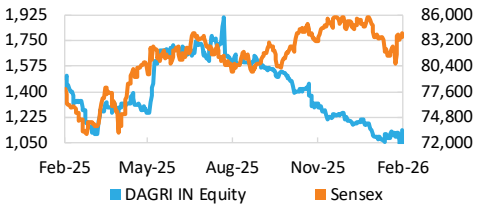
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 69.72% | 69.72% | 69.88% |
| FII | 2.14% | 2.30% | 2.67% |
| DII | 18.78% | 18.08% | 17.63% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 20,352 | 20,553 | 24,256 | 27,649 |
| EBITDA | 4,166 | 4,008 | 4,681 | 5,281 |
| Adjusted profit | 2,970 | 2,723 | 3,159 | 3,541 |
| Diluted EPS (INR) | 65.9 | 60.4 | 70.1 | 78.6 |
| EPS growth (%) | 25.6 | (8.3) | 16.0 | 12.1 |
| RoAE (%) | 22.3 | 17.9 | 17.8 | 17.1 |
| P/E (x) | 19.3 | 21.1 | 18.2 | 16.2 |
| EV/EBITDA (x) | 15.1 | 15.3 | 12.9 | 11.1 |
| Dividend yield (%) | 0.2 | 0.8 | 0.6 | 0.6 |

## PRICE PERFORMANCE




# Near-term weakness; long-term intact

We hosted Chairman Mr MK Dhanuka and ED Mr Harsh Dhanuka of Dhanuka Agritech at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Agrochemical demand was affected by low crop prices, adverse weather and subdued farm incomes. ii) Dahej site likely to turn EBITDA positive in FY27. iii) Bio stimulant business recovery is likely from Q1FY27 with management guiding for approvals of three out of four key molecules by Q4FY26. iv) China export rebate removal to have limited impact as direct exposure is limited to 10–15% and its ability to pass on the higher cost to its customers.

Retain 'BUY' with a TP of INR1,834 (24x Q3FY28E PE).

## Key takeaways

- **Agrochemical demand remains weak:** Agrochemical demand was hurt by adverse weather, low crop prices, and subdued farm incomes, resulting in an industry-wide volume decline. Regional trends were mixed with South and West India posting a sharp slowdown while East and North markets stayed relatively stable.
- **Demand recovery with weather caveat:** Management indicated an improvement in demand, driven by a strong pickup in January and healthy progress in the Rabi season with paddy and wheat performing well. However, the Kharif outlook remains weather-dependent, keeping overall visibility cautious.
- **New product launch pipeline strengthens portfolio:** The company launched two products, Dinkar and Melody Duo during 9MFY26 and has lined up three new introductions for FY27, including two 9(3) fungicides for grapes, tomato, chilli, and potato along with a specialty spray efficiency enhancer primarily targeting tomato.
- **Dahej operations—gradual normalisation underway:** With normalisation of Difenoconazole and Bifenthrin dispatches and the planned commissioning of an MPP-2 plant, management expects the Dahej site to turn EBITDA positive in FY27.
- **Biostimulant business set for recovery:** Management expects approvals for at least three of four key molecules by the end of the quarter, enabling a relaunch from Q1FY27; these products earlier accounted for over 80% of biostimulant revenue and are likely to drive business normalisation.
- **Limited margin impact from China export rebate removal:** Management noted that while China's removal of export rebates on select technicals may increase industry-wide input costs, the company's direct exposure is limited (~10–15%) with key molecules largely domestically sourced, and its ability to pass on higher costs is likely to protect margins and profitability.

**Archit Joshi**
Archit.Joshi@nuvama.com

**Rohan Ohri**
rohan.ohri@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 20,352 | 20,553 | 24,256 | 27,649 |
| Gross profit | 8,161 | 8,118 | 9,120 | 10,285 |
| Employee costs | 1,721 | 1,747 | 1,819 | 2,018 |
| Other expenses | 2,274 | 2,364 | 2,620 | 2,986 |
| EBITDA | 4,166 | 4,008 | 4,681 | 5,281 |
| Depreciation | 555 | 685 | 795 | 905 |
| Less: Interest expense | 51 | 72 | 73 | 73 |
| Add: Other income | 361 | 379 | 398 | 418 |
| Profit before tax | 3,921 | 3,630 | 4,212 | 4,721 |
| Prov for tax | 952 | 908 | 1,053 | 1,180 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 2,970 | 2,723 | 3,159 | 3,541 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 2,970 | 2,723 | 3,159 | 3,541 |
| Diluted shares o/s | 45 | 45 | 45 | 45 |
| Adjusted diluted EPS | 65.9 | 60.4 | 70.1 | 78.6 |
| DPS (INR) | 2.0 | 9.6 | 8.0 | 8.0 |
| Tax rate (%) | 24.3 | 25.0 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 90 | 90 | 90 | 90 |
| Reserves | 13,937 | 16,227 | 19,025 | 22,206 |
| Shareholders funds | 14,027 | 16,317 | 19,115 | 22,296 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 422 | 522 | 622 | 722 |
| Trade payables | 1,400 | 1,243 | 1,514 | 1,736 |
| Other liabs & prov | 1,712 | 1,702 | 1,999 | 2,272 |
| Total liabilities | 18,001 | 20,418 | 23,996 | 27,876 |
| Net block | 3,277 | 3,677 | 3,883 | 3,978 |
| Intangible assets | 1,613 | 1,613 | 1,613 | 1,613 |
| Capital WIP | 85 | 0 | 0 | 0 |
| Total fixed assets | 4,975 | 5,291 | 5,496 | 5,591 |
| Non current inv | 2,304 | 2,304 | 2,304 | 2,304 |
| Cash/cash equivalent | 14 | 1,594 | 2,792 | 4,665 |
| Sundry debtors | 4,591 | 4,637 | 5,472 | 6,238 |
| Loans & advances | 141 | 824 | 972 | 1,108 |
| Other assets | 5,505 | 5,748 | 6,935 | 7,942 |
| Total assets | 18,001 | 20,418 | 23,996 | 27,876 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Net sales growth | 15.7 | 1.0 | 10.4 | 13.0 |
| Gross margin (%) | 40.1 | 39.5 | 37.6 | 37.2 |
| Tax rate(%) | 24.3 | 25.0 | 25.0 | 25.0 |
| EBITDA margin (%) | 20.5 | 19.5 | 19.3 | 19.1 |
| Net profit margin (%) | 14.6 | 13.2 | 13.0 | 12.8 |
| Revenue growth (% YoY) | 15.7 | 1.0 | 18.0 | 14.0 |
| EBITDA growth (% YoY) | 27.2 | (3.8) | 16.8 | 12.8 |
| Adj. profit growth (%) | 24.2 | (8.3) | 16.0 | 12.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 2,970 | 2,723 | 3,159 | 3,541 |
| Add: Depreciation | 555 | 685 | 795 | 905 |
| Interest (net of tax) | 51 | 72 | 73 | 73 |
| Others | 37 | 194 | 112 | 104 |
| Less: Changes in WC | (422) | (1,138) | (1,603) | (1,412) |
| Operating cash flow | 3,190 | 2,536 | 2,535 | 3,210 |
| Less: Capex | (2,026) | (1,000) | (1,000) | (1,000) |
| Free cash flow | 1,164 | 1,536 | 1,535 | 2,210 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.5 | 6.0 | 6.5 | 7.0 |
| Repo rate (%) | 6.3 | 5.0 | 5.0 | 5.5 |
| USD/INR (average) | 84.6 | 86.5 | 86.0 | 85.5 |
| FCFF (INR Mn) | 1,164.2 | 1,535.6 | 1,535.0 | 2,210.0 |
| Capex (INR Mn) | 2,025.9 | 1,000.0 | 1,000.0 | 1,000.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 22.3 | 17.9 | 17.8 | 17.1 |
| RoCE (%) | 29.4 | 23.7 | 23.4 | 22.4 |
| Inventory days | 122 | 119 | 110 | 113 |
| Receivable days | 72 | 82 | 76 | 77 |
| Payable days | 43 | 39 | 33 | 34 |
| Working cap (% sales) | 35.2 | 40.4 | 40.9 | 41.0 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | 0 | (0.1) | (0.1) | (0.2) |
| Interest coverage (x) | 70.7 | 46.2 | 53.2 | 60.0 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 19.3 | 21.1 | 18.2 | 16.2 |
| Price/BV (x) | 4.1 | 3.5 | 3.0 | 2.6 |
| EV/EBITDA (x) | 15.1 | 15.3 | 12.9 | 11.1 |
| Dividend yield (%) | 0.2 | 0.8 | 0.6 | 0.6 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 25.6 | (8.3) | 16.0 | 12.1 |
| RoE (%) | 22.3 | 17.9 | 17.8 | 17.1 |
| EBITDA growth (%) | 27.2 | (3.8) | 16.8 | 12.8 |
| Payout ratio (%) | 3.0 | 15.9 | 11.4 | 10.2 |

*Source: Company and Nuvama estimates*

# DR LAL PATHLABS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,426 |
| 12 month price target (INR) | 1,863 |
| 52 Week High/Low | 1,771/1,147 |
| Market cap (INR bn/USD bn) | 236/2.6 |
| Free float (%) | 46.8 |
| Avg. daily value traded (INR mn) | 470.8 |

## SHAREHOLDING PATTERN

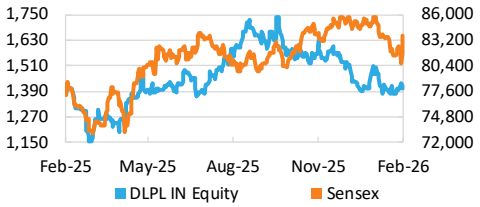
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 53.21% | 53.21% | 53.79% |
| FII | 20.29% | 21.86% | 21.68% |
| DII | 19.21% | 18.49% | 17.97% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 24,614 | 27,319 | 30,628 | 34,677 |
| EBITDA | 6,955 | 7,767 | 8,751 | 10,039 |
| Adjusted profit | 4,463 | 5,215 | 5,815 | 6,775 |
| Diluted EPS (INR) | 26.6 | 31.1 | 34.7 | 40.4 |
| EPS growth (%) | 22.6 | 16.9 | 11.5 | 16.5 |
| RoAE (%) | 24.2 | 23.6 | 25.3 | 28.0 |
| P/E (x) | 53.5 | 45.8 | 41.1 | 35.3 |
| EV/EBITDA (x) | 31.3 | 28.0 | 24.7 | 21.3 |
| Dividend yield (%) | 1.8 | 1.9 | 2.1 | 2.3 |

## PRICE PERFORMANCE




# Steady progress; investing in Tier 2/3

We hosted Group CEO & CFO Mr Ved Goel of Dr Lal Pathlabs (DLPL) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) DLPL expects 11–12% revenue growth in FY26E with EBITDA margins of ~28% despite ongoing expansion. ii) Core Delhi-NCR market continues to deliver double-digit growth while Swasthfit acceptance continues to increase. iii) Price increase remains off the table for at-least next two quarters. iii) Progress in radiology pilot projects, Sovaaka ramp-up, and potential M&A activity—supported by a strong balance sheet—remain key areas to watch.

Retain 'BUY' with a TP of INR1,863 (50x H1FY28E EPS).

## Key takeaways

- **Guidance:** DLPL guides for 11–12% organic revenue growth in FY26E with EBITDA margins of ~27–28%, driven by expansion in underpenetrated markets (including Tier II/III), sustained double-digit growth in Delhi NCR, supported by higher RPP and an improved test mix.
- **Pricing:** DLPL cut prices toward the end of Q3FY26 to pass on GST benefits; the impact is expected in Q4FY26. Management has ruled out price hikes for the next three to four quarters.
- **Swasthfit portfolio:** SwasthFit acceptance is expanding across geographies with rising uptake in smaller towns and improving urban penetration, driven by patient demand and doctor recommendations.
- **Radiology:** Currently contributes <5% to revenue and is unlikely to be a material growth driver over next 2–3 years. The advanced radiology pilot in Delhi NCR is tracking as planned.
- **Sovaaka:** New set-up offering personalized integrated diagnostic and imaging solution with focus on preventive wellness testing. The flagship store is currently operational in Delhi, with potential to scale after gaining market insights. The facility targets a high-end customer segment, providing a two-hour turnaround service with reports.
- **Capex and expansion:** Capex of ~INR1.5–1.6bn in FY26E. DLPL to invest in organic growth, pursue M&A opportunities to expand micro markets and deepen presence in Tier 2 and 3 cities. DLPL has launched second pilot centre in Delhi NCR to test replicability for advanced radiology.
- **Patient volume growth:** DLPL is driving growth through expansion of its lab and collection network to improve access across Tier 2/2 cities and rural areas while selectively pursuing bolt-on acquisitions of standalone labs in the north, east, and west to deepen presence in emerging micro-markets and strengthen its position among the top 3–5 players in key cities.

**Aashita Jain**
Aashita.Jain@nuvama.com

**Shrikant Akolkar**
Shrikant.Akolkar@nuvama.com

**Tanay Parab**
Tanay.Parab@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 24,614 | 27,319 | 30,628 | 34,677 |
| Gross profit | 19,799 | 22,029 | 24,754 | 28,026 |
| Employee costs | 4,824 | 5,317 | 5,902 | 6,551 |
| Other expenses | 3,417 | 3,883 | 4,288 | 4,855 |
| EBITDA | 6,955 | 7,767 | 8,751 | 10,039 |
| Depreciation | 1,419 | 1,592 | 1,680 | 1,680 |
| Less: Interest expense | 223 | 222 | 220 | 220 |
| Add: Other income | 934 | 1,033 | 1,040 | 1,040 |
| Profit before tax | 6,247 | 6,986 | 7,891 | 9,179 |
| Prov for tax | 1,325 | 1,721 | 2,012 | 2,341 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 4,871 | 5,215 | 5,815 | 6,775 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 4,463 | 5,215 | 5,815 | 6,775 |
| Diluted shares o/s | 168 | 168 | 168 | 168 |
| Adjusted diluted EPS | 26.6 | 31.1 | 34.7 | 40.4 |
| DPS (INR) | 24.0 | 26.4 | 29.0 | 31.9 |
| Tax rate (%) | 21.2 | 24.6 | 25.5 | 25.5 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 836 | 836 | 836 | 836 |
| Reserves | 20,891 | 21,683 | 22,632 | 24,055 |
| Shareholders funds | 21,727 | 22,519 | 23,468 | 24,891 |
| Minority interest | 338 | 288 | 224 | 160 |
| Borrowings | 0 | 0 | 0 | 0 |
| Trade payables | 1,988 | 2,139 | 2,398 | 2,715 |
| Other liabs & prov | 2,070 | 2,070 | 2,070 | 2,070 |
| Total liabilities | 27,168 | 28,061 | 29,205 | 30,880 |
| Net block | 2,001 | 2,814 | 2,977 | 3,139 |
| Intangible assets | 7,992 | 7,369 | 6,704 | 5,994 |
| Capital WIP | 35 | 35 | 35 | 35 |
| Total fixed assets | 10,028 | 10,218 | 9,716 | 9,168 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 11,654 | 12,153 | 13,638 | 15,542 |
| Sundry debtors | 881 | 922 | 1,036 | 1,164 |
| Loans & advances | 1,327 | 1,327 | 1,327 | 1,327 |
| Other assets | 1,451 | 1,499 | 1,549 | 1,606 |
| Total assets | 27,168 | 28,061 | 29,205 | 30,880 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin | 80.4 | 80.6 | 80.6 | 80.6 |
| Net debt/EBITDA | (1.7) | (1.6) | (1.6) | (1.5) |
| OCF as a % of sales | 25.4 | 25.7 | 25.2 | 24.9 |
| EBITDA margin (%) | 28.3 | 28.4 | 28.6 | 29.0 |
| Net profit margin (%) | 18.1 | 19.1 | 19.0 | 19.5 |
| Revenue growth (% YoY) | 10.5 | 11.0 | 12.1 | 13.2 |
| EBITDA growth (% YoY) | 14.1 | 11.7 | 12.7 | 14.7 |
| Adj. profit growth (%) | 23.0 | 16.9 | 11.5 | 16.5 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 6,196 | 6,992 | 7,783 | 8,852 |
| Add: Depreciation | 1,419 | 1,558 | 1,662 | 1,775 |
| Interest (net of tax) | 223 | 205 | 205 | 205 |
| Others | 0 | 0 | 0 | 0 |
| Less: Changes in WC | 60 | 71 | 101 | 113 |
| Operating cash flow | 6,259 | 7,027 | 7,709 | 8,623 |
| Less: Capex | (436) | (1,450) | (700) | (700) |
| Free cash flow | 5,823 | 5,577 | 7,009 | 7,923 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 6.5 | 6.5 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 0 | 0 | 0 | 0 |
| Number of patients (mn) | 28.7 | 30.2 | 32.0 | 33.9 |
| Realisation/ Patient | 859.1 | 908.4 | 963.4 | 1,021.6 |
| Non-covid growth - Dr. Lal (%) | 10.6 | 11.4 | 12.1 | 12.1 |
| Fees to franchisees (% of sales) | 13.9 | 13.9 | 13.9 | 13.9 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 24.2 | 23.6 | 25.3 | 28.0 |
| RoCE (%) | 31.0 | 32.1 | 34.9 | 38.6 |
| Inventory days | 28 | 27 | 27 | 27 |
| Receivable days | 12 | 12 | 12 | 12 |
| Payable days | 146 | 142 | 141 | 140 |
| Working cap (% sales) | (5.0) | (4.7) | (4.5) | (4.4) |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.5) | (0.5) | (0.6) | (0.6) |
| Interest coverage (x) | 0 | 0 | 0 | 0 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 53.5 | 45.8 | 41.1 | 35.3 |
| Price/BV (x) | 10.6 | 10.2 | 9.8 | 9.2 |
| EV/EBITDA (x) | 31.3 | 28.0 | 24.7 | 21.3 |
| Dividend yield (%) | 1.8 | 1.9 | 2.1 | 2.3 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 22.6 | 16.9 | 11.5 | 16.5 |
| RoE (%) | 24.2 | 23.6 | 25.3 | 28.0 |
| EBITDA growth (%) | 14.1 | 11.7 | 12.7 | 14.7 |
| Payout ratio (%) | 82.6 | 84.8 | 83.7 | 79.0 |

# DR REDDY'S LABS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,276 |
| 12 month price target (INR) | 1,475 |
| 52 Week High/Low | 1,380/1,020 |
| Market cap (INR bn/USD bn) | 1,016/11.1 |
| Free float (%) | 73.4 |
| Avg. daily value traded (INR mn) | 2,186.9 |

## SHAREHOLDING PATTERN

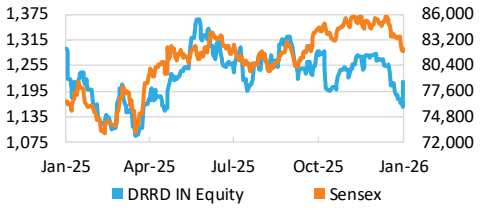
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 26.50% | 26.64% | 26.64% |
| FII | 33.20% | 35.52% | 36.36% |
| DII | 30.44% | 27.98% | 26.74% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 3,25,535 | 3,44,224 | 3,48,854 | 3,76,235 |
| EBITDA | 86,236 | 85,773 | 79,934 | 97,509 |
| Adjusted profit | 54,828 | 53,522 | 46,065 | 61,429 |
| Diluted EPS (INR) | 65.7 | 64.1 | 55.2 | 73.6 |
| EPS growth (%) | (1.5) | (2.4) | (13.9) | 33.4 |
| RoAE (%) | 18.5 | 16.2 | 11.6 | 14.0 |
| P/E (x) | 19.4 | 19.9 | 23.1 | 17.3 |
| EV/EBITDA (x) | 11.6 | 10.9 | 11.2 | 8.7 |
| Dividend yield (%) | 0.7 | 0.4 | 0.5 | 0.6 |

## PRICE PERFORMANCE




# Base business solid; new triggers emerge

We hosted CFO Ms MV Narasimham of Dr Reddy's (DRRD) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) DRRD is optimistic on Semaglutide launch in Canada, India and 80-plus markets. ii) Abatacept development is on track with approval anticipated by FY27-end. iii) Pembrolizumab is a large opportunity that opens beyond FY29.

We believe DRRD is redeploying gRevlimid cash flows into long-term growth drivers. Its compact yet attractive biosimilar pipeline along with GLP-1 opportunity in Canada and India represents key near-term positives. Retain 'BUY' with a TP of INR1,475 (23x H1FY28E EPS).

## Key takeaways

- **India:** Revenue growth to be driven by new brand launches, price hikes, higher volumes and the Stugeron acquisition. The company expects organic growth of 15–16% seen over the medium term. Innovative products to continue to anchor DRRD's India business, supported by phased launches, improving pricing power and the introduction of first-in-class therapies, contributing 10–15% of sales.
- **North America:** DRRD's US business has declined in 9MFY26 due to lower gRevlimid sales and higher price erosion in some key products. Excluding gRevlimid, the US market is likely to post single-digit growth.
- **Semaglutide:** DRRD plans to launch Semaglutide in India in Mar-26 and in Canada during Jan–May 2026. DRRD plans to launch the product in 80-plus markets, including Brazil in mid-CY26 and is confident of selling 12mn devices. Semaglutide generic is an exciting opportunity and it can do well in Canada if competition is lower. One player has recently withdrawn their submission in Canada.
- **Denosumab:** The US launch has been delayed by about six months due to a USFDA deficiency letter and approval is likely in Q2FY27E or later. The approval timeline depends on the agency's feedback. DRRD has launched the product in Germany and is preparing for a UK launch.
- **Abatacept:** The product is being manufactured in a separate line in Bachupally. The US approval of Abatacept IV is likely by end-FY27 with the SC version potentially launching in FY28. Europe (~USD2bn market) could report launch of the IV and SC version by Jul-27. As DRRD is the only filer, it would be first to launch. It also plans to launch in the US, Japan and Canada markets.
- **NRT Portfolio:** Demand for NRT products stays strong and the company expects the portfolio to grow in high-single digit to double digits. NRT's EBITDA margin is above 25% and is likely to remain sustainable despite incremental brand-building investments. The next phase of integration, covering Asia, the Pacific, the Middle East and Latin America is likely to be completed by end-FY26.

**Shrikant Akolkar**
Shrikant.Akolkar@nuvama.com

**Aashita Jain**
Aashita.Jain@nuvama.com

**Tanay Parab**
Tanay.Parab@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 3,25,535 | 3,44,224 | 3,48,854 | 3,76,235 |
| Gross profit | 1,90,428 | 1,87,620 | 1,85,324 | 2,08,966 |
| Employee costs | 0 | 0 | 0 | 0 |
| R&D cost | 27,380 | 24,437 | 25,466 | 28,218 |
| Other expenses | 76,812 | 84,614 | 81,319 | 83,513 |
| EBITDA | 86,236 | 85,773 | 79,934 | 97,509 |
| Depreciation | 17,058 | 18,588 | 19,849 | 21,080 |
| Less: Interest expense | 2,829 | 3,616 | 8,582 | 6,066 |
| Add: Other income | 2,665 | 3,583 | 1,395 | 1,505 |
| Profit before tax | 76,784 | 74,795 | 62,084 | 84,845 |
| Prov for tax | 19,539 | 16,183 | 15,024 | 21,143 |
| Less: Exceptional item | 0 | 0 | 0 | 0 |
| Reported profit | 57,245 | 58,611 | 47,060 | 63,703 |
| Adjusted profit | 54,828 | 53,522 | 46,065 | 61,429 |
| Diluted shares o/s | 834 | 834 | 834 | 834 |
| Adjusted diluted EPS | 65.7 | 64.1 | 55.2 | 73.6 |
| DPS (INR) | 8.0 | 5.0 | 6.0 | 7.0 |
| Tax rate (%) | 25.4 | 21.6 | 24.2 | 24.9 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 834 | 834 | 834 | 834 |
| Reserves | 3,36,332 | 3,84,038 | 4,25,096 | 4,80,684 |
| Shareholders funds | 3,37,166 | 3,84,872 | 4,25,930 | 4,81,518 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 46,766 | 42,909 | 39,909 | 36,909 |
| Trade payables | 35,523 | 39,044 | 39,426 | 38,037 |
| Other liabs & prov | 70,231 | 63,440 | 64,294 | 69,340 |
| Total liabilities | 4,92,989 | 5,34,396 | 5,73,746 | 6,30,319 |
| Net block | 72,870 | 77,634 | 74,271 | 69,714 |
| Intangible assets | 1,08,613 | 1,08,193 | 1,09,489 | 1,17,156 |
| Capital WIP | 24,891 | 13,769 | 13,954 | 15,049 |
| Total fixed assets | 2,06,374 | 1,99,595 | 1,97,714 | 2,01,919 |
| Non current inv | 15,202 | 6,540 | 6,628 | 7,148 |
| Cash/cash equivalent | 14,654 | 76,953 | 1,09,937 | 1,55,490 |
| Sundry debtors | 90,420 | 97,137 | 1,00,355 | 1,01,017 |
| Loans & advances | 73,953 | 48,880 | 49,537 | 49,663 |
| Other assets | 71,085 | 80,162 | 84,107 | 87,616 |
| Total assets | 4,92,989 | 5,34,396 | 5,73,746 | 6,30,319 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin | 58.5 | 54.5 | 53.1 | 55.5 |
| R&D as a % of sales | 8.4 | 7.1 | 7.3 | 7.5 |
| Debt/EBITDA | 0.5 | 0.5 | 0.5 | 0.4 |
| EBITDA margin (%) | 26.5 | 24.9 | 22.9 | 25.9 |
| Net profit margin (%) | 16.8 | 15.5 | 13.2 | 16.3 |
| Revenue growth (% YoY) | 16.6 | 5.7 | 1.3 | 7.8 |
| EBITDA growth (% YoY) | 10.0 | (0.5) | (6.8) | 22.0 |
| Adj. profit growth (%) | (1.5) | (2.4) | (13.9) | 33.4 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 56,791 | 51,878 | 46,065 | 61,429 |
| Add: Depreciation | 63,486 | 78,745 | 87,244 | 1,05,967 |
| Interest (net of tax) | (37,149) | (17,976) | (26,846) | (33,103) |
| Others | 13,282 | (22,320) | (16,943) | (24,575) |
| Less: Changes in WC | (29,989) | (13,987) | (7,100) | (3,687) |
| Operating cash flow | 46,428 | 60,157 | 67,395 | 84,887 |
| Less: Capex | (33,666) | (14,360) | (18,264) | (27,037) |
| Free cash flow | 12,762 | 45,797 | 49,131 | 57,850 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.6 | 87.5 | 87.0 | 88.0 |
| India growth (%) | 15.8 | 14.0 | 14.6 | 13.0 |
| US generics growth (%) | 10.3 | (19.0) | (18.3) | 1.6 |
| Russia & CIS cc growth (%) | 16.6 | 30.4 | 8.4 | 8.0 |
| Europe growth (%) | 74.9 | 55.4 | 9.9 | 10.0 |
| PSAI growth | 13.6 | 8.5 | 15.1 | 13.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 18.5 | 16.2 | 11.6 | 14.0 |
| RoCE (%) | 21.0 | 17.4 | 13.8 | 15.8 |
| Inventory days | 182 | 176 | 183 | 187 |
| Receivable days | 96 | 99 | 103 | 98 |
| Payable days | 90 | 87 | 88 | 85 |
| Working cap (% sales) | 44.2 | 36.1 | 37.5 | 35.0 |
| Gross debt/equity (x) | 0.1 | 0.1 | 0.1 | 0.1 |
| Net debt/equity (x) | 0.1 | (0.1) | (0.2) | (0.2) |
| Interest coverage (x) | 24.5 | 18.6 | 7.0 | 12.6 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 19.4 | 19.9 | 23.1 | 17.3 |
| Price/BV (x) | 2.9 | 2.5 | 2.3 | 2.0 |
| EV/EBITDA (x) | 11.6 | 10.9 | 11.2 | 8.7 |
| Dividend yield (%) | 0.7 | 0.4 | 0.5 | 0.6 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (1.5) | (2.4) | (13.9) | 33.4 |
| RoE (%) | 18.5 | 16.2 | 11.6 | 14.0 |
| EBITDA growth (%) | 10.0 | (0.5) | (6.8) | 22.0 |
| Payout ratio (%) | 11.6 | 7.1 | 10.6 | 9.2 |

# FIRSTSOURCE SOLUTIONS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | HOLD |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 300 |
| 12 month price target (INR) | 350 |
| 52 Week High/Low | 404/270 |
| Market cap (INR bn/USD bn) | 202/2.2 |
| Free float (%) | 45.0 |
| Avg. daily value traded (INR mn) | 238.2 |

## SHAREHOLDING PATTERN

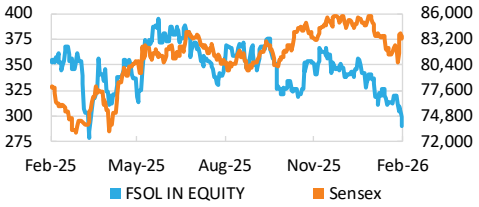
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 53.66% | 53.66% | 53.66% |
| FII | 9.20% | 9.25% | 9.58% |
| DII | 25.19% | 24.63% | 23.95% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 79,803 | 94,546 | 1,06,941 | 1,20,804 |
| EBITDA | 12,076 | 15,377 | 17,665 | 19,592 |
| Adjusted profit | 5,680 | 7,435 | 9,149 | 10,865 |
| Diluted EPS (INR) | 8.1 | 10.5 | 12.9 | 15.4 |
| EPS growth (%) | 10.0 | 30.5 | 23.1 | 18.8 |
| RoAE (%) | 14.8 | 15.7 | 19.6 | 20.7 |
| P/E (x) | 38.5 | 29.5 | 23.9 | 20.2 |
| EV/EBITDA (x) | 18.6 | 14.4 | 12.2 | 10.7 |
| Dividend yield (%) | 1.3 | 1.6 | 1.9 | 1.9 |

## PRICE PERFORMANCE




# On acceleration trajectory

We hosted top management of Firstsource at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) platform-led healthcare offerings scaling up across payer and provider; ii) recent acquisitions (TeleMedik and PDC) are expanding capabilities and cross-sell opportunities; iii) Healthcare portfolio being repositioned; and iv) adding strategic logos.

Management remains committed to double-digit growth. Margin should continue to improve 50–75bp each year going forward. Management sees cut in spending as opportunity as clients are focusing on lowering costs to offset the impact of reduced Medicare spending. Retain 'HOLD' with a TP of INR350 (23x FY28E PE).

## Key takeaways

- **Strong deal momentum with diversified wins**: Firstsource continues to deliver consistent large deal-wins and new logo additions with a healthy pipeline.
- **Healthcare** remains a core growth pillar with leadership restructuring and focusing on higher-value platform-led engagements, prioritising profitability and long-term scalability. Investments in healthcare platforms and AI-enabled automation are driving differentiated offerings across payer and provider workflows.
- **Recent acquisitions** are strengthening collections and healthcare operations capabilities, expanding addressable markets and cross-sell opportunities.
- **AI embedded in CX and operations delivery:** Automation and AI are increasingly integrated into customer experience and back-office workflows, improving productivity and service outcomes.
- **BFSI demand led by cost optimisation**: Financial services clients are prioritising regulatory compliance, customer experience and structural cost reduction, driving demand for tech-enabled and consulting-led transformation programs.
- **Margins** continue to expand through operational discipline and offshore delivery mix improvement with margin guidance of 11.5–12% while continuing growth investments.
- **Client base expansion**: Growth is increasingly driven by non-top accounts, supported by strategic account wins, focused account mining and consistent large deal wins.
- Management expects sustained double-digit growth supported by strong deal conversion and pipeline visibility.
- Diverse industries is seeing strong interest, surged +37% CC QoQ (on PDC integration) in Q3—management plans to double down on this vertical, especially in utility.

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Vibhor Singhal**
VIBHOR.SINGHAL@nuvama.com

**Yukti Khemani**
Khemani.Yukti@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 79,803 | 94,546 | 1,06,941 | 1,20,804 |
| Cost of revenues | 49,958 | 56,374 | 66,232 | 74,929 |
| Gross Profit | 29,845 | 38,172 | 40,709 | 45,875 |
| SG&A | 17,769 | 22,795 | 23,044 | 26,282 |
| EBITDA | 12,076 | 15,377 | 17,665 | 19,592 |
| Depreciation | 3,270 | 4,251 | 4,829 | 4,690 |
| EBIT | 8,806 | 11,126 | 12,836 | 14,902 |
| Add: Other income | (9) | 152 | 240 | 240 |
| Profit before tax | 7,318 | 9,551 | 11,436 | 13,582 |
| Prov for tax | 1,462 | 1,871 | 2,287 | 2,716 |
| Less: Other adj | (88) | (982) | 0 | 0 |
| Reported profit | 5,768 | 6,698 | 9,149 | 10,865 |
| Less: Excp.item (net) | (88) | 737 | 0 | 0 |
| Adjusted profit | 5,680 | 7,435 | 9,149 | 10,865 |
| Diluted shares o/s | 705 | 707 | 707 | 707 |
| Adjusted diluted EPS | 8.1 | 10.5 | 12.9 | 15.4 |
| DPS (INR) | 3.9 | 4.9 | 5.9 | 5.9 |
| Tax rate (%) | 20.0 | 19.6 | 20.0 | 20.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 6,970 | 6,970 | 6,970 | 6,970 |
| Reserves | 34,006 | 37,252 | 42,258 | 48,981 |
| Shareholders funds | 40,976 | 44,222 | 49,228 | 55,951 |
| Minority interest | 4 | 4 | 4 | 4 |
| Borrowings | 15,327 | 16,327 | 16,327 | 16,327 |
| Trade payables | 3,976 | 4,374 | 4,811 | 5,292 |
| Other liabs & prov | 8,403 | 9,258 | 10,202 | 11,243 |
| Total liabilities | 79,222 | 85,775 | 93,321 | 1,02,841 |
| Net block | 4,011 | 3,760 | 1,431 | (760) |
| Intangible assets | 45,925 | 45,925 | 45,925 | 45,925 |
| Capital WIP | 0 | 0 | 0 | 0 |
| Total fixed assets | 49,936 | 49,685 | 47,356 | 45,165 |
| Non current inv | 115 | 115 | 115 | 115 |
| Cash/cash equivalent | 1,670 | 5,229 | 11,046 | 16,870 |
| Sundry debtors | 11,677 | 11,961 | 12,469 | 14,093 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 11,628 | 13,954 | 16,744 | 20,093 |
| Total assets | 79,222 | 85,775 | 93,321 | 1,02,841 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Cost of revenues (%) | 62.6 | 59.6 | 61.9 | 62.0 |
| SG&A expenses (%) | 22.3 | 24.1 | 21.5 | 21.8 |
| Depreciation (%) | 4.1 | 4.5 | 4.5 | 3.9 |
| EBIT margin (%) | 11.0 | 11.8 | 12.0 | 12.3 |
| Net profit margin (%) | 7.1 | 7.9 | 8.6 | 9.0 |
| Revenue growth (% YoY) | 25.9 | 19.1 | 13.1 | 13.0 |
| EBIT growth (% YoY) | 26.5 | 26.4 | 15.4 | 16.1 |
| Adj. profit growth (%) | 10.4 | 30.9 | 23.1 | 18.8 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 5,768 | 6,698 | 9,149 | 10,865 |
| Add: Depreciation | 3,270 | 4,251 | 4,829 | 4,690 |
| Interest (net of tax) | (28,062) | (32,098) | (31,160) | (29,640) |
| Others | 21,091 | 30,965 | 28,758 | 24,013 |
| Less: Changes in WC | (4,944) | (1,239) | (1,783) | (3,299) |
| Operating cash flow | 7,011 | 11,054 | 13,359 | 13,228 |
| Less: Capex | (2,412) | (4,000) | (2,500) | (2,500) |
| Free cash flow | 4,599 | 7,054 | 10,859 | 10,728 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.4 | 87.4 | 88.0 | 88.0 |
| | | | | |
| USD revenue (USD mn) | 944.0 | 1,085.7 | 1,241.1 | 1,401.9 |
| YoY growth (%) | 23.4 | 15.0 | 14.3 | 13.0 |
| Organic YoY growth (%) | 14.9 | 9.6 | 12.3 | 13.0 |
| Tax rate (%) | 20.0 | 19.6 | 20.0 | 20.0 |
| Capex (INR mn) | 2,412.0 | 4,000.0 | 2,500.0 | 2,500.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 14.8 | 15.7 | 19.6 | 20.7 |
| RoCE (%) | 13.9 | 15.5 | 16.6 | 17.6 |
| Div Payout Ratio(%) | 47.8 | 51.5 | 45.3 | 38.1 |
| | | | | |
| Working cap/Sales (%) | 10 | 9 | 10 | 11 |
| Receivable days | 46 | 46 | 42 | 40 |
| Asset Turnover Ratio | 0.6 | 0.6 | 0.6 | 0.6 |
| Current Ratio | 1.8 | 2.0 | 2.4 | 2.8 |
| Net debt/equity (x) | 0.3 | 0.3 | 0.1 | 0 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 38.5 | 29.5 | 23.9 | 20.2 |
| Price/BV (x) | 5.3 | 5.0 | 4.5 | 3.9 |
| EV/EBITDA (x) | 18.6 | 14.4 | 12.2 | 10.7 |
| Dividend yield (%) | 1.3 | 1.6 | 1.9 | 1.9 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 10.0 | 30.5 | 23.1 | 18.8 |
| RoE (%) | 14.8 | 15.7 | 19.6 | 20.7 |
| EBITDA growth (%) | 26.3 | 27.3 | 14.9 | 10.9 |
| Payout ratio (%) | 47.8 | 51.5 | 45.3 | 38.1 |

*Source: Company and Nuvama estimates*

# NYKAA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 270 |
| 12 month price target (INR) | 310 |
| 52 Week High/Low | 283/155 |
| Market cap (INR bn/USD bn) | 795/8.4 |
| Free float (%) | 43.1 |
| Avg. daily value traded (INR mn) | 1,628.0 |

## SHAREHOLDING PATTERN

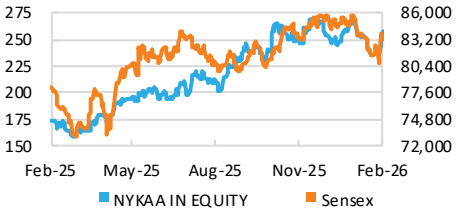
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 52.10% | 52.12% | 52.14% |
| FII | 12.15% | 12.54% | 11.63% |
| DII | 25.36% | 24.99% | 23.64% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 79,498 | 99,720 | 1,27,567 | 1,65,552 |
| EBITDA | 4,739 | 7,372 | 11,057 | 15,613 |
| Adjusted profit | 737 | 1,527 | 4,578 | 7,373 |
| Diluted EPS (INR) | 0.3 | 0.5 | 1.6 | 2.6 |
| EPS growth (%) | 68.6 | 107.2 | 199.9 | 61.0 |
| RoAE (%) | 5.7 | 9.9 | 27.5 | 32.6 |
| P/E (x) | 918.4 | 443.3 | 147.8 | 91.8 |
| EV/EBITDA (x) | 144.4 | 92.7 | 61.6 | 43.3 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## PRICE PERFORMANCE




# Beauty sustains; fashion rebounds

We hosted top management of FSN E-Commerce Ventures (Nykaa) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) BPC segment growth to sustain along with profitability. ii) Fashion reporting a demand recovery with reducing losses. iii) EB2B improvement in unit economics to aid overall margin improvement.

BPC and Fashion growth to sustain led by improvement in customer acquisition and demand recovery. Management remains confident of improving margin going ahead despite a sharp improvement during LTM. We continue to value Nykaa using DCF keeping TP unchanged at INR310; retain 'BUY'.

## Key takeaways

- GMV growth in BPC vertical to remain strong with AUTC growing faster than order growth.
- Nykaa Now offerings available across Top-seven cities. All retail stores now tech enabled for hyperlocal deliveries. Orders are delivered within 30–120 minutes.
- Meaningful share of orders now being fulfilled via Nykaa Now in cities where the service is available. AOV for these orders is lower than platform-led orders, but order frequency is higher. Currently, Nykaa Now is not margin dilutive.
- AOV for new customers is typically lower than that of existing or repeat customers. Over time, Nykaa educates customers and supports basket building, leading to higher spending.
- Category growth remains strong, supported by faster expansion in e-commerce and quick commerce. The introduction of AI is likely to improve digital marketing efficiency, thereby supporting overall growth and margins.
- Consolidated margins improved due to higher revenue mix from House of Nykaa portfolio and higher service income across verticals. EBITDA margins are likely to sustain and improve over time.
- EB2B growth was led by increase in transacting customers. EB2B margins improved 570bp driven by reduced packaging cost and leakages, improved BDE productivity and operating leverage kicking in with scale.
- Fashion continued to report a growth revival in FY26. EBITDA margins improved 340bp YoY with all customer-facing metrics showing a healthy uptick.
- Management maintained guidance of achieving breakeven in Fashion vertical by Q4 as well as improving to mid to high-single digit by FY28E.

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Abneesh Roy**
Abneesh.Roy@nuvama.com

**Parth Ghiya**
PARTH.GHIYA@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 79,498 | 99,720 | 1,27,567 | 1,65,552 |
| Gross profit | 34,772 | 44,867 | 57,396 | 74,634 |
| Employee costs | 6,661 | 7,625 | 9,695 | 12,251 |
| Other expenses | 23,372 | 29,870 | 36,644 | 46,770 |
| EBITDA | 4,739 | 7,372 | 11,057 | 15,613 |
| Depreciation | 2,664 | 3,194 | 3,441 | 4,053 |
| Less: Interest expense | 1,073 | 1,208 | 1,046 | 876 |
| Add: Other income | 273 | 326 | 473 | 659 |
| Profit before tax | 1,274 | 3,296 | 7,043 | 11,343 |
| Prov for tax | 538 | 1,769 | 2,465 | 3,970 |
| Less: Other adj | 0 | (174) | 0 | 0 |
| Reported profit | 737 | 1,353 | 4,578 | 7,373 |
| Less: Excp.item (net) | 0 | (174) | 0 | 0 |
| Adjusted profit | 737 | 1,527 | 4,578 | 7,373 |
| Diluted shares o/s | 2,856 | 2,856 | 2,856 | 2,856 |
| Adjusted diluted EPS | 0.3 | 0.5 | 1.6 | 2.6 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 42.2 | 53.7 | 35.0 | 35.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 2,859 | 2,859 | 2,859 | 2,859 |
| Reserves | 10,154 | 11,506 | 16,084 | 23,457 |
| Shareholders funds | 13,013 | 14,366 | 18,944 | 26,317 |
| Minority interest | 414 | 414 | 414 | 414 |
| Borrowings | 9,614 | 9,080 | 7,654 | 8,278 |
| Trade payables | 6,348 | 7,786 | 9,960 | 12,814 |
| Other liabs & prov | 2,691 | 4,032 | 5,878 | 8,396 |
| Total liabilities | 37,217 | 41,752 | 51,397 | 66,667 |
| Net block | 2,717 | 4,395 | 4,407 | 4,657 |
| Intangible assets | 5,967 | 5,549 | 6,581 | 6,526 |
| Capital WIP | 32 | 32 | 32 | 32 |
| Total fixed assets | 8,716 | 9,975 | 11,020 | 11,214 |
| Non current inv | 2 | 2 | 2 | 2 |
| Cash/cash equivalent | 2,172 | 2,530 | 3,671 | 8,521 |
| Sundry debtors | 2,466 | 3,093 | 3,957 | 5,136 |
| Loans & advances | 987 | 987 | 987 | 987 |
| Other assets | 22,875 | 28,108 | 35,751 | 45,674 |
| Total assets | 37,217 | 41,752 | 51,397 | 66,667 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| BPC - AUTC (mn) | 54.5 | 65.6 | 80.7 | 98.8 |
| BPC - Orders (mn) | 117.8 | 149.5 | 189.4 | 241.1 |
| BPC - GMV (INR bn) | 3.2 | 3.9 | 4.7 | 5.6 |
| EBITDA margin (%) | 6.0 | 7.4 | 8.7 | 9.4 |
| Net profit margin (%) | 0.9 | 1.5 | 3.6 | 4.5 |
| Revenue growth (% YoY) | 24.5 | 25.4 | 27.9 | 29.8 |
| EBITDA growth (% YoY) | 36.9 | 55.6 | 50.0 | 41.2 |
| Adj. profit growth (%) | 68.6 | 107.2 | 199.9 | 61.0 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 737 | 1,353 | 4,578 | 7,373 |
| Add: Depreciation | 2,664 | 3,194 | 3,441 | 4,053 |
| Interest (net of tax) | 805 | 906 | 784 | 657 |
| Others | 215 | (24) | (212) | (440) |
| Less: Changes in WC | (211) | 3,083 | 4,486 | 5,730 |
| Operating cash flow | 4,631 | 2,346 | 4,106 | 5,914 |
| Less: Capex | 1,860 | 1,779 | 2,012 | 2,347 |
| Free cash flow | 2,771 | 566 | 2,094 | 3,567 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 5.8 | 5.8 | 5.8 | 5.8 |
| Repo rate (%) | 78.0 | 78.0 | 78.0 | 78.0 |
| USD/INR (average) | 0 | 0 | 0 | 0 |
| Fashion - AUTC (mn) | 7.6 | 10.0 | 12.1 | 14.7 |
| Fashion - Orders (mn) | 38.0 | 49.2 | 62.8 | 78.9 |
| Fashion - GMV (INR bn) | 12.1 | 15.0 | 14.0 | 13.6 |
| Marketing (% of Rev) | 225.0 | 265.0 | 305.0 | 345.0 |
| Stores (#) | 0 | 0 | 0 | 0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 5.7 | 9.9 | 27.5 | 32.6 |
| RoCE (%) | 9.1 | 15.5 | 24.7 | 30.2 |
| Inventory days | 106 | 105 | 103 | 102 |
| Receivable days | 11 | 10 | 10 | 10 |
| Payable days | 42 | 47 | 46 | 46 |
| Working cap (% sales) | 18.5 | 17.8 | 17.5 | 16.9 |
| Gross debt/equity (x) | 0.7 | 0.6 | 0.4 | 0.3 |
| Net debt/equity (x) | 0.6 | 0.4 | 0.2 | 0 |
| Interest coverage (x) | 1.9 | 3.5 | 7.3 | 13.2 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 918.4 | 443.3 | 147.8 | 91.8 |
| Price/BV (x) | 52.0 | 47.1 | 35.7 | 25.7 |
| EV/EBITDA (x) | 144.4 | 92.7 | 61.6 | 43.3 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 68.6 | 107.2 | 199.9 | 61.0 |
| RoE (%) | 5.7 | 9.9 | 27.5 | 32.6 |
| EBITDA growth (%) | 36.9 | 55.6 | 50.0 | 41.2 |
| Payout ratio (%) | 0 | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

# GAIL

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | REDUCE |
|---|---|
| Sector relative | Underperformer |
| Price (INR) | 164 |
| 12 month price target (INR) | 151 |
| 52 Week High/Low | 203/151 |
| Market cap (INR bn/USD bn) | 1,076/11.9 |
| Free float (%) | 41.0 |
| Avg. daily value traded (INR mn) | 1,862.1 |

## SHAREHOLDING PATTERN

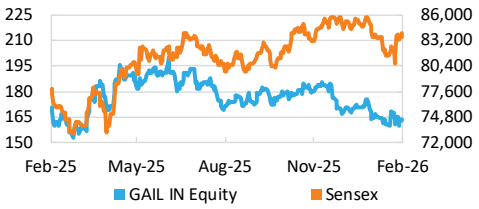
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 51.9% | 51.9% | 51.9% |
| FII | 14.1% | 13.7% | 14. 9% |
| DII | 19.8% | 19.9% | 18.9% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR bn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,419 | 1,441 | 1,469 | 1,514 |
| EBITDA | 154 | 138 | 165 | 184 |
| Adjusted profit | 106 | 105 | 130 | 145 |
| Diluted EPS (INR) | 16.1 | 16.0 | 19.7 | 22.1 |
| EPS growth (%) | 7.2 | (1.2) | 23.6 | 12.1 |
| RoAE (%) | 13.1 | 11.8 | 13.3 | 13.6 |
| P/E (x) | 7.4 | 7.5 | 6.0 | 5.4 |
| EV/EBITDA (x) | 5.1 | 5.7 | 5.9 | 5.2 |
| Dividend yield (%) | 6.3 | 4.0 | 5.0 | 5.6 |

## PRICE PERFORMANCE




# Guidance intact; weak petchem sticky

We hosted Executive Director (Finance & Accounts) Mr SK Sinha and management of GAIL (India) (GAIL) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Management maintained transmission volumes and marketing volumes/profit guidance for FY26/27E. (ii) Petchem weakness likely to sustain given weak pricing and high landed cost of input gas (linked to Henry Hub) with optimisation measures being undertaken to improve cost structure. (iii) Completion of ongoing pipeline and petchem projects to result in increased depreciation by ~ INR2bn yearly in FY26/27E.

Maintain 'REDUCE' with a TP of INR151 (with unchanged estimates).

## Key takeaways

- **Transmission, marketing guidance maintained:** FY26/FY27 transmission volume guidance maintained at 124–125mmscmd/134–135mmscmd. Marketing volume growth maintained at ~5mmscmd yearly (~5–6% growth yearly) with ~INR40bn yearly in profits.
- **Petchem weakness to sustain:** Current weak petchem margin environment is expected to sustain given weak polymer prices (INR87-88k/y currently versus INR110k+ earlier) and elevated Henry Hub prices (USD4+/mmbtu).
- **Optimising petchem cost structure:** Management is in the process of lowering the cost curve at its Pata petchem facility by building a C2-C3 pipeline from its gas separation unit in Vijaipur (to avoid 10% process loss) while evaluating a dedicated ethane pipeline from its LNG regasification terminal in Dabhol to Vijapur (improves raw material yield by 20–25%). The Pata facility is likely to be sustainably profitable (even at current prices) post implementation of the above optimisation measures.
- **Major projects commissioning in FY27:** Pipeline projects scheduled for commissioning in CY26 include Mumbai-Nagpur-Jharsuguda (remaining portions), the Jagdishpur-Haldia Project Phase 2, and Gurdaspur-Jammu pipeline. The 60kta PP plant at Pata, 1250kta PTA plant at GMPL Mangalore and 500kta PDHPP plant at Usar are scheduled for completion within CY26. As a result, D&A expenses are set to rise by INR2bn yearly in FY26/27.
- **Upcoming fertiliser plants to anchor MNJPL:** GAIL is setting up two urea plants with ~2.5mtpa capacity along the Mumbai-Nagpur-Jharsuguda pipeline, offtaking ~28% (4mmscmd) of pipeline capacity volumes. The plants are expected to come on stream in 3–4 years with GAIL's investment at ~INR100bn.
- **Tariff hike lower than expected, review petition filed:** Integrated HVJ pipeline tariff revised upwards to INR65.69/mmbtu from INR58.61/mmbtu, much lower than GAIL's ask of ~INR78/mmbtu; with regular revision due in Apr-28, the company has filed a review petition for revision.

**Jal Irani**
Jal.Irani@nuvama.com

**Tanay Kotecha**
tanay.kotecha@nuvama.com

**Akshay Mane**
akshay.mane@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,419,035 | 1,441,334 | 1,468,985 | 1,513,669 |
| Gross profit | 261,653 | 253,580 | 282,715 | 304,541 |
| Employee costs | 22,365 | 22,505 | 23,738 | 25,049 |
| Other expenses | 84,970 | 92,967 | 93,617 | 95,009 |
| EBITDA | 154,318 | 138,108 | 165,360 | 184,483 |
| Depreciation | 37,992 | 38,833 | 39,702 | 40,603 |
| Less: Interest expense | 7,480 | 7,675 | 7,881 | 8,099 |
| Add: Other income | 12,676 | 25,079 | 29,591 | 30,941 |
| Profit before tax | 145,923 | 116,679 | 147,367 | 166,722 |
| Prov for tax | 36,326 | 30,694 | 38,696 | 43,665 |
| Less: Other adj | 15,032 | 18,898 | 20,976 | 22,318 |
| Reported profit | 124,498 | 104,883 | 129,647 | 145,375 |
| Less: Excp.item (net) | 18,326 | 0 | 0 | 0 |
| Adjusted profit | 106,172 | 104,883 | 129,647 | 145,375 |
| Diluted shares o/s | 6,575 | 6,575 | 6,575 | 6,575 |
| Adjusted diluted EPS | 16.1 | 16.0 | 19.7 | 22.1 |
| DPS (INR) | 7.5 | 4.8 | 5.9 | 6.6 |
| Tax rate (%) | 24.9 | 26.3 | 26.3 | 26.2 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 65,751 | 65,751 | 65,751 | 65,751 |
| Reserves | 784,225 | 857,643 | 948,395 | 1,050,158 |
| Shareholders funds | 849,976 | 923,394 | 1,014,146 | 1,115,909 |
| Minority interest | 2,429 | 2,429 | 2,429 | 2,429 |
| Borrowings | 215,954 | 233,011 | 235,243 | 237,669 |
| Trade payables | 77,599 | 79,049 | 78,767 | 80,195 |
| Other liabs & prov | 118,231 | 57,041 | 62,300 | 68,230 |
| Total liabilities | 1,331,487 | 1,362,223 | 1,460,186 | 1,571,731 |
| Net block | 493,529 | 533,463 | 562,389 | 592,261 |
| Intangible assets | 94,826 | 33,245 | 33,244 | 33,243 |
| Capital WIP | 274,211 | 323,081 | 364,630 | 412,990 |
| Total fixed assets | 862,566 | 889,790 | 960,263 | 1,038,494 |
| Non current inv | 227,646 | 239,538 | 246,405 | 252,242 |
| Cash/cash equivalent | 27,205 | 29,527 | 48,152 | 71,920 |
| Sundry debtors | 104,833 | 97,642 | 99,338 | 102,171 |
| Loans & advances | 4,035 | 4,035 | 4,035 | 4,035 |
| Other assets | 105,202 | 101,692 | 101,992 | 102,869 |
| Total assets | 1,331,487 | 1,362,223 | 1,460,186 | 1,571,731 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Crude price (Brent) | 78.2 | 70.0 | 70.0 | 70.0 |
| Gas transp tariff (INR/scm) | 2.8 | 3.0 | 3.1 | 3.1 |
| Gas transp vol (mmscmd) | 127.3 | 123.7 | 131.9 | 137.8 |
| EBITDA margin (%) | 10.9 | 9.6 | 11.3 | 12.2 |
| Net profit margin (%) | 7.5 | 7.3 | 8.8 | 9.6 |
| Revenue growth (% YoY) | 6.5 | 1.6 | 1.9 | 3.0 |
| EBITDA growth (% YoY) | 7.9 | (10.5) | 19.7 | 11.6 |
| Adj. profit growth (%) | 7.2 | (1.2) | 23.6 | 12.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 124,498 | 104,883 | 129,647 | 145,375 |
| Add: Depreciation | 37,992 | 38,833 | 39,702 | 40,603 |
| Interest (net of tax) | 5,618 | 5,656 | 5,812 | 5,978 |
| Others | 19,993 | (21,535) | (25,667) | (26,836) |
| Less: Changes in WC | 40,015 | (11,010) | (1,126) | (1,663) |
| Operating cash flow | 148,086 | 138,846 | 150,620 | 166,783 |
| Less: Capex | (50,825) | (127,637) | (110,176) | (118,834) |
| Free cash flow | 97,261 | 11,209 | 40,444 | 47,949 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 7.2 | 7.0 | 6.8 | 0 |
| Repo rate (%) | 6.0 | 5.0 | 4.5 | 0 |
| USD/INR (average) | 84.4 | 87.5 | 87.0 | 0 |
| LPG transp. vol (mmt) | 4.5 | 4.6 | 4.7 | 4.7 |
| Total LHC prod. (KT) | 833.3 | 847.6 | 861.8 | 876.1 |
| Petchem Ethly. prod (KT) | 851.2 | 851.2 | 851.2 | 851.2 |
| LNG volumes(mmscmd) | 62.5 | 68.0 | 76.0 | 81.5 |
| Market. real. ($/mmbtu) | 10.9 | 10.1 | 9.7 | 9.5 |
| Petchem margin ($/ mt) | 75.2 | (133.6) | (50.0) | 24.3 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 13.1 | 11.8 | 13.3 | 13.6 |
| RoCE (%) | 12.5 | 11.2 | 12.9 | 13.4 |
| Inventory days | 16 | 15 | 15 | 14 |
| Receivable days | 27 | 26 | 24 | 24 |
| Payable days | 23 | 24 | 24 | 24 |
| Working cap (% sales) | 4.3 | 7.7 | 7.5 | 7.2 |
| Gross debt/equity (x) | 0.3 | 0.3 | 0.2 | 0.2 |
| Net debt/equity (x) | 0.2 | 0.2 | 0.2 | 0.1 |
| Interest coverage (x) | 15.6 | 12.9 | 15.9 | 17.8 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 7.4 | 7.5 | 6.0 | 5.4 |
| Price/BV (x) | 0.9 | 0.8 | 0.8 | 0.7 |
| EV/EBITDA (x) | 5.1 | 5.7 | 5.9 | 5.2 |
| Dividend yield (%) | 6.3 | 4.0 | 5.0 | 5.6 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 7.2 | (1.2) | 23.6 | 12.1 |
| RoE (%) | 13.1 | 11.8 | 13.3 | 13.6 |
| EBITDA growth (%) | 7.9 | (10.5) | 19.7 | 11.6 |
| Payout ratio (%) | 34.3 | 30.0 | 30.0 | 30.0 |

# GRAVITA INDIA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,643 |
| 12 month price target (INR) | 2,658 |
| 52 Week High/Low | 2,170/1,380 |
| Market cap (INR bn/USD bn) | 121/1.3 |
| Free float (%) | 42 |
| Avg. daily value traded (INR mn) | 455.2 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 55.9% | 55.9% | 55.9% |
| FII | 15.8% | 14.66% | 15.1% |
| DII | 4.7% | 4.9% | 4.4% |
| Pledge | 23.7% | 24.6% | 24.6% |

## FINANCIALS

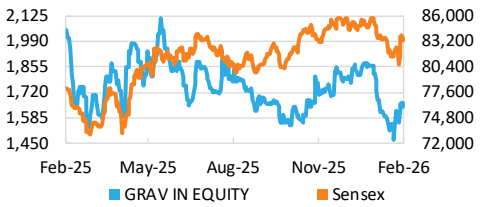
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 38,688 | 43,981 | 57,072 | 68,512 |
| EBITDA | 3,241 | 4,641 | 5,817 | 7,147 |
| Adjusted profit | 3,124 | 3,896 | 4,808 | 5,593 |
| Diluted EPS (INR) | 42.3 | 52.8 | 65.1 | 75.8 |
| EPS growth (%) | 22.2 | 24.7 | 23.4 | 16.3 |
| RoAE (%) | 21.5 | 17.4 | 18.3 | 18.2 |
| P/E (x) | 39.6 | 31.7 | 25.7 | 22.1 |
| EV/EBITDA (x) | 36.0 | 25.2 | 20.3 | 16.9 |
| Dividend yield (%) | 0.4 | 0.4 | 0.5 | 0.6 |

## CHANGE IN ESTIMATES

| (INR mn) | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY27E | FY28E | FY27E | FY8E |
| Revenue | 57,072 | 68,512 | 0 | 0 |
| EBITDA | 5,817 | 7,147 | 0 | 0 |
| Adjusted profit | 4,808 | 5,593 | 0 | 0 |
| Diluted EPS (INR) | 65.1 | 75.8 | 0 | 0 |

## PRICE PERFORMANCE




# Volume growth to resume FY27 onwards

We hosted CFO Mr Sunil Kansal of Gravita India (GRAV) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) ~125ktpa lead capacity expansion (~53% increase) shall come on-stream in Feb-26; ii) evaluating acquisition opportunities in non-lead products; and iii) awaiting MCX to launch aluminium trading, helping to hedge and hence unlocking aluminium volume.

We reckon lead (~125ktpa) and rubber (~30ktpa) capacity expansion would help to lift volume (29% CAGR over FY26–28E) and PAT (20% CAGR). Any meaningful diversification into other recycling products is positive. Retain 'BUY' with a TP of INR2,658, valued at 35x FY28E PE.

## Key takeaways

- Recycled lead capacity expansion at Mundra of 80ktpa and at Jaipur of 45ktpa is completed and awaiting license to operate from government. It expects it to be commissioned in Feb-26. These are brownfield projects and will be able to ramp-up fully by Q2FY27.
- Its rubber plant (18ktpa) at Romania has started contributing to earnings (Q3FY26 revenue of INR350mn) and will further ramp-up in Q4FY26. A 30ktpa rubber facility at Mundra is likely to be commissioned in Q1FY27.
- The lithium-recycling project (30ktpa) has been launched on a pilot basis in Q4FY26. It is also looking to set up lead/aluminium/plastic plant in East India.
- Management has maintained lead sustainable EBITDA margin guidance of INR19–21/kg. For aluminium, EBITDA margin of INR14–15/kg and plastics sustainable EBITDA is INR10–12/kg.
- The company maintains its long-term guidance: a 25% sales volume CAGR, a 35% CAGR in PAT and an RoIC of 25%-plus. Furthermore, it is committed to raising non-lead business share to 30%, use 30% more renewable energy and reduce energy consumption by 10%, thereby improving cost and efficiency.
- Challenges: i) **Aluminium segment**: strong relationship with OEMs is not built yet; hedging platform still unavailable. ii) Rubber – technology was unavailable to convert scrap back into tyre. Now acquisition made in Romania has made the technology available to the company to convert tyre waste to oil and back to tyre. Hence, it is expanding capacity by 30ktpa in Mundra, Gujarat. iii) Plastics – Hard plastics circularity of waste to final product again is missing due to deterioration in quality. It is working towards efficient technology to covert back into product with same high quality.
- GRAV is still awaiting MCX approval to start trading in aluminium alloy (ADC12), which will help it hedge properly.

**Ashish Kejriwal**
Ashish.Kejriwal@nuvama.com

**Kunal Kothari**
kunal.kothari@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 38,688 | 43,981 | 57,072 | 68,512 |
| Raw Material Cost | 31,728 | 35,853 | 46,665 | 55,935 |
| Employee costs | 1,595 | 1,754 | 1,930 | 2,123 |
| Other expenses | 2,124 | 1,731 | 2,659 | 3,306 |
| EBITDA | 3,241 | 4,641 | 5,817 | 7,147 |
| Depreciation | 291 | 396 | 576 | 756 |
| Less: Interest expense | 434 | 265 | 162 | 142 |
| Add: Other income | 1,118 | 665 | 521 | 377 |
| Profit before tax | 3,635 | 4,645 | 5,600 | 6,627 |
| Prov for tax | 506 | 743 | 787 | 1,027 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 3,124 | 3,896 | 4,808 | 5,593 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 3,124 | 3,896 | 4,808 | 5,593 |
| Diluted shares o/s | 74 | 74 | 74 | 74 |
| Adjusted diluted EPS | 42.3 | 52.8 | 65.1 | 75.8 |
| DPS (INR) | 6.4 | 6.3 | 7.9 | 9.8 |
| Tax rate (%) | 13.9 | 16.0 | 14.1 | 15.5 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 148 | 148 | 148 | 148 |
| Reserves | 20,552 | 23,985 | 28,214 | 33,092 |
| Shareholders funds | 20,699 | 24,133 | 28,362 | 33,240 |
| Minority interest | 76 | 76 | 76 | 76 |
| Borrowings | 2,020 | 1,020 | 1,020 | 1,020 |
| Trade payables | 396 | 450 | 584 | 701 |
| Other liabs & prov | 173 | 196 | 253 | 303 |
| Total liabilities | 25,151 | 27,776 | 32,478 | 37,770 |
| Net block | 4,225 | 5,739 | 8,873 | 13,287 |
| Intangible assets | 59 | 59 | 59 | 59 |
| Capital WIP | 393 | 543 | 693 | 843 |
| Total fixed assets | 4,677 | 6,341 | 9,625 | 14,189 |
| Non current inv | 369 | 369 | 369 | 369 |
| Cash/cash equivalent | 8,984 | 7,645 | 6,257 | 3,794 |
| Sundry debtors | 2,751 | 3,127 | 4,058 | 4,871 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 7,857 | 9,752 | 11,560 | 13,877 |
| Total assets | 25,151 | 27,776 | 32,478 | 37,770 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| | | | | |
| | | | | |
| | | | | |
| EBITDA margin (%) | 8.4 | 10.6 | 10.2 | 10.4 |
| Net profit margin (%) | 8.1 | 8.9 | 8.4 | 8.2 |
| Revenue growth (% YoY) | 22.4 | 13.7 | 29.8 | 20.0 |
| EBITDA growth (% YoY) | 14.3 | 43.2 | 25.3 | 22.9 |
| Adj. profit growth (%) | 30.6 | 24.7 | 23.4 | 16.3 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| PBT | 3,635 | 4,645 | 5,600 | 6,627 |
| Add: Depreciation | 291 | 743 | 787 | 1,027 |
| Interest (net of tax) | 434 | 0 | 0 | 0 |
| Others | (245) | 0 | 0 | 0 |
| Less: Changes in WC | (787) | (2,010) | (2,093) | (2,566) |
| Operating cash flow | 2,822 | 2,635 | 3,507 | 4,060 |
| Less: Capex | (1,068) | (2,060) | (3,860) | (5,320) |
| Free cash flow | 1,754 | 575 | (353) | (1,260) |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.6 | 87.5 | 82.0 | 82.0 |
| Volume (kt) | 203.2 | 216.3 | 293.5 | 358.8 |
| EBITDA/t (INR) | 15,950 | 21,461 | 19,821 | 19,921 |
| Net debt/EBITDA (x) | (2.1) | (1.4) | (0.9) | (0.4) |
| Cash conversion days | 81.3 | 79.0 | 73.7 | 73.5 |
| | | | | |
| | | | | |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 21.5 | 17.4 | 18.3 | 18.2 |
| RoCE (%) | 22.4 | 20.5 | 21.1 | 21.2 |
| Inventory days | 61 | 58 | 54 | 53 |
| Receivable days | 25 | 24 | 23 | 24 |
| Payable days | 5 | 4 | 3 | 3 |
| Working cap (% sales) | 26.0 | 27.8 | 25.9 | 25.9 |
| Gross debt/equity (x) | 0.1 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.3) | (0.3) | (0.2) | (0.1) |
| Interest coverage (x) | 6.8 | 16.0 | 32.3 | 45.0 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 39.6 | 31.7 | 25.7 | 22.1 |
| Price/BV (x) | 6.0 | 5.1 | 4.4 | 3.7 |
| EV/EBITDA (x) | 36.0 | 25.2 | 20.3 | 16.9 |
| Dividend yield (%) | 0.4 | 0.4 | 0.5 | 0.6 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 22.2 | 24.7 | 23.4 | 16.3 |
| RoE (%) | 21.5 | 17.4 | 18.3 | 18.2 |
| EBITDA growth (%) | 14.3 | 43.2 | 25.3 | 22.9 |
| Payout ratio (%) | 15.0 | 12.0 | 12.2 | 12.9 |

*Source: Company and Nuvama estimates*

# GROWW

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 169 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 1,94/112 |
| Market cap (INR bn/USD bn) | 1072/11.8 |
| Free float (%) | 50 |

## SHAREHOLDING PATTERN

| % | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 27.81 | | |
| FII | 3.13 | | |
| DII | 4.92 | | |
| Pledge | - | - | - |

# Leading retail broker

We hosted top management of Billionbrains Garage Ventures (GROWW) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance.* Highlights: i) State Street partnership to aid in scaling up AMC business. ii) Client addition remains strong and start of commodity trading further strengthens broking segment. iii) Management sees a lot of potential to grow MTF segment. iv) They are focused on starting personalised advisory segment and highlighted that "W" is more for affluent customers.

As per management, apart from competitive pricing, technology and user interface are key factors driving success. Groww is *not rated*.

## FINANCIALS

(INR mn)

| Year to March | FY23A | FY25 | FY25 |
|---|---|---|---|
| Revenue | 11,415 | 26,093 | 39,017 |
| EBITDA | 3,988 | 14,503 | 23,724 |
| Adjusted profit | 4,577 | 12,027 | 18,258 |
| Diluted EPS (INR) | 1.2 | 3.1 | 3.2 |
| EPS growth (%) | NA | 162.4 | 3.3 |
| RoE (%) | 13.8 | 41.1 | 49.4 |
| P/E (x) | 143.8 | 54.8 | 53.1 |
| EV/EBIT (x) | 244.5 | 66.8 | 40.7 |
| Dividend yield (%) | | | |

## Key takeaways

- **State Street partnership**: Groww's AMC business remains at an early stage (launched ~2.5 years ago), but continues to report steady AUM and customer growth. The partnership with State Street—one of the world's largest asset managers—shall accelerate capability building, credibility and access to global products and best practices, as per management. The tie-up is likely to open up global investment opportunities for Indian investors and vice versa. Funds from the deal shall be primarily used to scale up the AMC business with a possibility of inorganic expansion if suitable opportunities arise.

- **Fisdom**: The Fisdom acquisition was consolidated in Oct-25 and remains in the early stages of integration. The focus is on creating an integrated offering for existing Groww customers and affluent clients requiring personalised services. Cost synergies are likely through cross-selling to Groww's customer base, where customer acquisition cost will be minimal. The existing Fisdom business already generates revenue with meaningful contribution to Groww's P&L likely once integration and tech buildout are complete. Wealth products shall include mutual funds (regular plans), PMS, AIFs, private unlisted products and insurance.

- **Expense**: Only ~10% of costs are variable; main fixed costs are employee and technology expenses. Fixed costs are likely to grow 10–20% annually due to appraisals and inflation. Management reiterated that EBITDA is a by-product; spending shall depend on CAC and market conditions, not margin targets.

- **F&O Client**: Management noted that retail losses in derivatives on Groww's platform are low and in-line with SEBI's data — derivative-only users form less than 0.3% of total users. Majority of Groww's users (~80–90%) are diversified investors across multiple products and make profits.

- **Limit**: Not close to breaching SEBI's 15% open interest cap per broker on derivatives; current level is roughly half that limit.

**Mahrukh Adajania**
Mahrukh.Adajania@nuvama.com

**Aman Dugar**
Amanj.dugar@nuvama.com

# HERO MOTOCORP

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 5,754 |
| 12 month price target (INR) | 6,800 |
| 52 Week High/Low | 6,390/3,323 |
| Market cap (INR bn/USD bn) | 1,151/12.7 |
| Free float (%) | 64.7 |
| Avg. daily value traded (INR mn) | 4,030.1 |

## SHAREHOLDING PATTERN

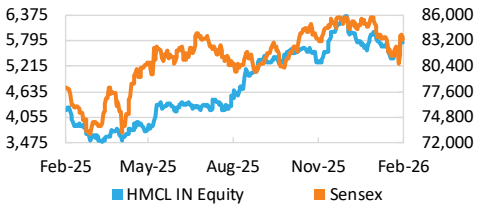
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 34.73% | 34.73% | 34.74% |
| FII | 29.43% | 28.76% | 27.05% |
| DII | 26.28% | 26.32% | 27.77% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 4,07,564 | 4,58,144 | 4,91,703 | 5,19,647 |
| EBITDA | 58,677 | 66,920 | 74,705 | 79,363 |
| Adjusted profit | 46,100 | 52,594 | 59,226 | 63,254 |
| Diluted EPS (INR) | 230.7 | 263.2 | 296.4 | 316.6 |
| EPS growth (%) | 11.7 | 14.1 | 12.6 | 6.8 |
| RoAE (%) | 24.4 | 25.5 | 26.6 | 26.2 |
| P/E (x) | 25.0 | 21.9 | 19.5 | 18.2 |
| EV/EBITDA (x) | 19.6 | 17.0 | 15.2 | 14.3 |
| Dividend yield (%) | 2.9 | 3.2 | 3.6 | 3.8 |

## PRICE PERFORMANCE




# Ramping up executive, electric presence

We hosted Finance Controller and Head FP&A Mr Ashish Mishra of HMCL at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance.* Highlights: i) Industry likely to grow in double digits in Q4FY26, followed by high single-digit growth in FY27. ii) Exports soared over 50% in FY26 YTD and momentum to persist with ~40% share of premium vehicles. iii) HMCL is strengthening its executive and scooter segment presence through Glamour X, Destini 125 and Xoom 125 and network premiumisation. iii) Vida VX2 is gaining traction, achieving 10% share in E-2W in FY26 YTD.

We forecast revenue/core earnings CAGR of 7%/10% over FY26–28E. Retain 'BUY' with a TP of INR6,800, based on 20x FY28E EPS.

## Key takeaways

- **Outlook:** The domestic 2W industry is likely to post double-digit growth in Q4FY26. For FY27, management expects high single-digit growth. However, a high base in H2FY26, led by a demand spurt following GST rate cuts, may result in relatively moderate growth in H2FY27.
- **Exports:** Premium motorcycles now account for 40% of export volumes. Hero remains market leader in Bangladesh. Colombia is reporting strong traction with volume growth of ~200% YoY and rise in market share from 5% to 9%. In Q3, Hero had introduced new products in Europe. Furthermore, it plans to expand into more Latin American markets. It has also established new dealerships and partnerships across West and North Africa.
- **Product performance (recent trends):** i) In the entry segment, market share has expanded for the fourth consecutive quarter, led by HF Deluxe Pro, which contributed 20% of HF retail volumes. ii) In the Deluxe 100cc category, Splendor reinforced its leadership with a 91% market share—the highest since FY18. iii) Deluxe 125cc gained share through Glamour X and Xtreme 125R with the Glamour X campaign driving 70% YoY retail growth. The Xtreme 125R dual channel variant accounted for over 35% of Xtreme volumes. iv) In the scooter segment, market share rose to ~7%, supported by Destini and Xoom launches, which now contribute over 50% of scooter volumes.
- **Premia stores:** As on Dec-25, the company has 106 Premia stores, covering more than 50% of the industry's Premia footprint.
- **Commodity inflation:** The company is facing inflationary pressures with rising aluminium and precious metal prices along with forex headwinds. Commodity cost impact in Q3 was ~40–50bp. A similar trend is likely in Q4.
- **Price hike:** The company implemented an average price increase of INR300/vehicle in Jan-26.
- **Customer mix:** First-time buyers account for ~80% of total customers.

**Raghunandhan NL**
raghunandhan.nl@nuvama.com

**Manav Shah**
manavt.shah@nuvama.com

**Rahul Kumar**
rahuls.k@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 4,07,564 | 4,58,144 | 4,91,703 | 5,19,647 |
| Gross profit | 1,36,877 | 1,50,729 | 1,63,737 | 1,73,043 |
| Employee costs | 25,952 | 27,379 | 29,022 | 30,763 |
| Other expenses | 52,248 | 56,430 | 60,010 | 62,916 |
| EBITDA | 58,677 | 66,920 | 74,705 | 79,363 |
| Depreciation | 7,759 | 7,997 | 8,407 | 8,719 |
| Less: Interest expense | 199 | 229 | 229 | 229 |
| Add: Other income | 10,559 | 10,966 | 12,376 | 13,365 |
| Profit before tax | 61,278 | 69,660 | 78,445 | 83,780 |
| Prov for tax | 15,179 | 17,067 | 19,219 | 20,526 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 46,100 | 52,594 | 59,226 | 63,254 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 46,100 | 52,594 | 59,226 | 63,254 |
| Diluted shares o/s | 200 | 200 | 200 | 200 |
| Adjusted diluted EPS | 230.7 | 263.2 | 296.4 | 316.6 |
| DPS (INR) | 165.0 | 184.3 | 207.5 | 221.6 |
| Tax rate (%) | 24.8 | 24.5 | 24.5 | 24.5 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 400 | 400 | 400 | 400 |
| Reserves | 1,97,669 | 2,13,447 | 2,31,214 | 2,50,190 |
| Shareholders funds | 1,98,069 | 2,13,847 | 2,31,614 | 2,50,590 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 0 | 0 | 0 | 0 |
| Trade payables | 68,978 | 72,708 | 75,340 | 76,774 |
| Other liabs & prov | 12,154 | 13,378 | 14,352 | 15,255 |
| Total liabilities | 2,79,201 | 2,99,933 | 3,21,306 | 3,42,619 |
| Net block | 53,421 | 53,802 | 55,779 | 57,751 |
| Intangible assets | 5,593 | 5,872 | 6,166 | 6,474 |
| Capital WIP | 4,925 | 6,768 | 7,090 | 7,090 |
| Total fixed assets | 63,939 | 66,442 | 69,035 | 71,316 |
| Non current inv | 1,49,096 | 1,50,096 | 1,59,096 | 1,71,096 |
| Cash/cash equivalent | 3,532 | 12,987 | 17,610 | 20,348 |
| Sundry debtors | 36,744 | 41,304 | 44,330 | 46,849 |
| Loans & advances | 4,177 | 4,695 | 5,039 | 5,326 |
| Other assets | 21,714 | 24,408 | 26,196 | 27,685 |
| Total assets | 2,79,201 | 2,99,933 | 3,21,306 | 3,42,619 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross profit margin (%) | 33.6 | 32.9 | 33.3 | 33.3 |
| Staff cost % sales | 6.4 | 6.0 | 5.9 | 5.9 |
| Other expenses % sales | 12.8 | 12.3 | 12.2 | 12.1 |
| EBITDA margin (%) | 14.4 | 14.6 | 15.2 | 15.3 |
| Net profit margin (%) | 11.3 | 11.5 | 12.0 | 12.2 |
| Revenue growth (% YoY) | 9.0 | 11.3 | 7.3 | 5.7 |
| EBITDA growth (% YoY) | 11.6 | 14.0 | 11.6 | 6.2 |
| Adj. profit growth (%) | 11.7 | 14.1 | 12.6 | 6.8 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 50,719 | 58,695 | 66,069 | 70,415 |
| Add: Depreciation | 7,759 | 7,997 | 8,407 | 8,719 |
| Interest (net of tax) | 199 | 229 | 229 | 229 |
| Others | 2,569 | 7,645 | 7,922 | 10,611 |
| Less: Changes in WC | (4,087) | (3,695) | (2,134) | (2,441) |
| Operating cash flow | 41,819 | 54,152 | 61,667 | 67,425 |
| Less: Capex | (7,640) | (10,500) | (11,000) | (11,000) |
| Free cash flow | 34,179 | 43,652 | 50,667 | 56,425 |

### Assumptions (Volumes in thousands)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Domestic Motorcycles | 5,218.2 | 5,447.0 | 5,641.1 | 5,758.3 |
| Export Motorcycles | 258.4 | 374.7 | 430.9 | 474.0 |
| Domestic Scooters | 391.4 | 508.8 | 585.2 | 655.4 |
| Export Scooters | 31.3 | 45.3 | 52.1 | 57.3 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 24.4 | 25.5 | 26.6 | 26.2 |
| RoCE (%) | 32.5 | 33.9 | 35.3 | 34.8 |
| Inventory days | 20 | 18 | 19 | 19 |
| Receivable days | 29 | 31 | 32 | 32 |
| Payable days | 92 | 84 | 82 | 80 |
| Working cap (% sales) | (3.3) | (2.3) | (1.7) | (1.2) |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.5) | (0.5) | (0.5) | (0.5) |
| Interest coverage (x) | 308.6 | 305.1 | 343.4 | 366.7 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 25.0 | 21.9 | 19.5 | 18.2 |
| Price/BV (x) | 5.8 | 5.4 | 5.0 | 4.6 |
| EV/EBITDA (x) | 19.6 | 17.0 | 15.2 | 14.3 |
| Dividend yield (%) | 2.9 | 3.2 | 3.6 | 3.8 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 11.7 | 14.1 | 12.6 | 6.8 |
| RoE (%) | 24.4 | 25.5 | 26.6 | 26.2 |
| EBITDA growth (%) | 11.6 | 14.0 | 11.6 | 6.2 |
| Payout ratio (%) | 71.5 | 70.0 | 70.0 | 70.0 |

*Source: Company and Nuvama estimates*

# HINDUSTAN ZINC

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | REDUCE |
|---|---|
| Sector relative | Underperformer |
| Price (INR) | 628 |
| 12 month price target (INR) | 591 |
| 52 Week High/Low | 733/378 |
| Market cap (INR bn/USD bn) | 2,653/29.5 |
| Free float (%) | 36.5 |
| Avg. daily value traded (INR mn) | 9,600.8 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 61.8% | 61.8% | 61.8% |
| FII | 1.5% | 1.3% | 1.4% |
| DII | 4.7% | 4.9% | 4.8% |
| Others | 31.9% | 31.9% | 32.0% |

## FINANCIALS

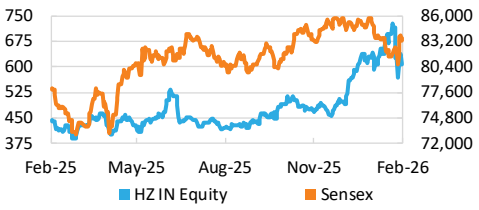
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 3,39,690 | 3,85,566 | 4,56,730 | 4,37,622 |
| EBITDA | 1,72,960 | 2,10,061 | 2,70,724 | 2,46,391 |
| Adjusted profit | 1,02,790 | 1,29,727 | 1,75,771 | 1,55,834 |
| Diluted EPS (INR) | 24.3 | 30.7 | 41.6 | 36.9 |
| EPS growth (%) | 32.0 | 26.2 | 35.5 | (11.3) |
| RoAE (%) | 72.1 | 83.4 | 78.6 | 51.1 |
| P/E (x) | 25.8 | 20.5 | 15.1 | 17.0 |
| EV/EBITDA (x) | 15.3 | 12.6 | 9.7 | 10.6 |
| Dividend yield (%) | 4.6 | 3.2 | 3.2 | 3.2 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY27E | FY28E | FY27E | FY8E |
| Revenue | 4,56,730 | 4,37,622 | 0 | 0 |
| EBITDA | 2,70,724 | 2,46,391 | 0 | 0 |
| Adjusted profit | 1,75,771 | 1,55,834 | 0 | 0 |
| Diluted EPS (INR) | 41.6 | 36.9 | 0 | 0 |

## PRICE PERFORMANCE




# Higher prices to beef up earnings

We hosted CFO Mr Sandeep Modi of Hindustan Zinc (HZ) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Refined Zinc CoP (ex-royalty) to remain in lower range of USD950–1,000/t. ii) Hedged 7–8% of zinc-silver FY27 volume at USD3,117/t/58/ounce. iii) 250ktpa zinc smelter expansion is progressing well; to be commissioned by Q2FY29.

We reckon HZ shall deliver an EBITDA CAGR of 16% over FY25–28E amid higher commodity prices and a 5% volume CAGR. At CMP, the stock is factoring in elevated prices and trading expensive (~11x FY28E EV/EBITDA). Retain 'REDUCE' with a target price of INR591, valued on FY28E SotP.

## Key takeaways

- Demand for zinc and silver is robust amid rising global shift towards green adoption in energy storage, renewable energy, electric vehicles, etc. The zinc prices are likely to stay buoyant at USD3,000+/t in FY27. Hindustan Zinc is the market leader in zinc in India with a 77% share.
- Management has kept the cost guidance at USD950–1,000/t for FY26. (Q3FY26: USD940/t; 9MFY26: USD981/t). HZ targets to maintain lower CoP ex-royalty below USD1,000/t in FY27 supported by higher adoption of renewable mix and higher volumes (saving of USD15–20/t as ~35% is fixed cost for HZ).
- Renewable energy meets 20% of HZ's total power requirement (13% in FY25), and management expects its share to increase to 25% by end-Q4FY26 and ~35% in FY27E and 70% by FY28E. For every 2% increase in renewable power share, the power cost will reduce by USD1/t.
- HZ has completed debottlenecking at Chanderiya smelter. Along with earlier commissioning at Dariba in Q2FY26, it will add refined zinc capacity by 21ktpa. Fumer has been running at 60% utilisation and has aided with 3t of silver in Q3FY26 and 8t in 9MFY26.
- The company has appointed key EPC players and commenced ground work for the 10mtpa zinc tailing reprocessing project (capex of INR38.23bn) and 250ktpa Debari expansion project, taking total refined zinc capacity to 1.38mtpa along with mined metal capacity expansion of 330ktpa to 1.51mtpa (capex of INR120bn). The projects are targeted to be complete by Q4FY28 and Q2FY29 respectively.
- Management has the vision to transform Hindustan Zinc from base and precious metal to multi-metal company. It has received composite mining license for critical minerals such as REEs, tungsten and potash (backward integration for upcoming fertilizer segment) mine in India. It is currently investing in exploration primarily in Rajasthan and nearby and shall invest further if economically viable. It has envisaged to generate revenue of USD1bn in five–seven years.

**Ashish Kejriwal**
Ashish.Kejriwal@nuvama.com

**Kunal Kothari**
kunal.kothari@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 3,39,690 | 3,85,566 | 4,56,730 | 4,37,622 |
| Raw Material Cost | (620) | 0 | 0 | 0 |
| Employee costs | 8,780 | 9,219 | 9,680 | 10,164 |
| Other expenses | 85,110 | 88,967 | 92,427 | 98,391 |
| EBITDA | 1,72,960 | 2,10,061 | 2,70,724 | 2,46,391 |
| Depreciation | 36,340 | 37,067 | 37,437 | 37,812 |
| Less: Interest expense | 11,110 | 9,775 | 8,926 | 10,801 |
| Add: Other income | 9,960 | 10,000 | 10,000 | 10,000 |
| Profit before tax | 1,35,470 | 1,73,219 | 2,34,361 | 2,07,779 |
| Prov for tax | 31,850 | 43,242 | 58,590 | 51,945 |
| Less: Other adj | (830) | (250) | 0 | 0 |
| Reported profit | 1,02,790 | 1,29,727 | 1,75,771 | 1,55,834 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 1,02,790 | 1,29,727 | 1,75,771 | 1,55,834 |
| Diluted shares o/s | 4,225 | 4,225 | 4,225 | 4,225 |
| Adjusted diluted EPS | 24.3 | 30.7 | 41.6 | 36.9 |
| DPS (INR) | 29.0 | 20.0 | 20.0 | 20.0 |
| Tax rate (%) | 23.5 | 25.0 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 8,450 | 8,450 | 8,450 | 8,450 |
| Reserves | 1,24,450 | 1,69,671 | 2,60,935 | 3,32,263 |
| Shareholders funds | 1,32,900 | 1,78,121 | 2,69,385 | 3,40,713 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 1,06,510 | 1,06,510 | 1,31,510 | 1,56,510 |
| Trade payables | 22,080 | 25,352 | 30,032 | 28,775 |
| Other liabs & prov | 65,990 | 65,990 | 65,990 | 65,990 |
| Total liabilities | 3,44,180 | 3,92,673 | 5,13,616 | 6,08,688 |
| Net block | 1,83,580 | 1,81,713 | 1,79,876 | 1,77,664 |
| Intangible assets | 1,300 | 1,300 | 1,300 | 1,300 |
| Capital WIP | 25,520 | 51,920 | 1,16,445 | 1,65,840 |
| Total fixed assets | 2,10,400 | 2,34,933 | 2,97,621 | 3,44,804 |
| Non current inv | 8,230 | 8,230 | 8,230 | 8,230 |
| Cash/cash equivalent | 93,230 | 1,13,092 | 1,65,820 | 2,15,193 |
| Sundry debtors | 1,120 | 2,113 | 2,503 | 2,398 |
| Loans & advances | 360 | 360 | 360 | 360 |
| Other assets | 21,720 | 24,027 | 27,926 | 26,879 |
| Total assets | 3,44,180 | 3,92,673 | 5,13,616 | 6,08,688 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Zinc premium (USD/t) | 249.0 | 221.0 | 250.0 | 250.0 |
| Lead premium (USD/t) | 174.0 | 165.0 | 175.0 | 175.0 |
| Silver realisation (USD/ounce) | 30.4 | 47.0 | 60.0 | 55.0 |
| EBITDA margin (%) | 50.9 | 54.5 | 59.3 | 56.3 |
| Net profit margin (%) | 30.3 | 33.6 | 38.5 | 35.6 |
| Revenue growth (% YoY) | 17.4 | 13.5 | 18.5 | (4.2) |
| EBITDA growth (% YoY) | 26.6 | 21.5 | 28.9 | (9.0) |
| Adj. profit growth (%) | 32.0 | 26.2 | 35.5 | (11.3) |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| PBT | 1,34,640 | 1,73,219 | 2,34,361 | 2,07,779 |
| Add: Depreciation | 36,340 | 37,067 | 37,437 | 37,812 |
| Interest (net of tax) | 3,920 | 0 | 0 | 0 |
| Others | (1,020) | 0 | 0 | 0 |
| Less: Changes in WC | 1,150 | (825) | (848) | 228 |
| Operating cash flow | 1,41,270 | 1,66,218 | 2,12,360 | 1,93,874 |
| Less: Capex | (43,200) | (61,600) | (1,00,125) | (84,995) |
| Free cash flow | 98,070 | 1,04,618 | 1,12,235 | 1,08,879 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.6 | 88.0 | 89.0 | 89.0 |
| Mined metal volume (t) | 10,95,000 | 11,07,417 | 11,38,040 | 12,11,469 |
| Refined Zinc volume (t) | 8,28,000 | 8,50,160 | 8,84,160 | 8,84,160 |
| Lead volume (t) | 2,25,000 | 1,97,500 | 2,20,000 | 2,20,000 |
| Net Silver volume (kg) | 6,88,000 | 6,30,000 | 7,20,000 | 7,40,000 |
| LME Zinc (USD/t) | 2,875 | 2,920 | 3,000 | 2,900 |
| LME Lead (USD/t) | 2,046 | 1,975 | 2,050 | 2,050 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 72.1 | 83.4 | 78.6 | 51.1 |
| RoCE (%) | 61.5 | 69.8 | 71.0 | 48.7 |
| Inventory days | 20 | 19 | 18 | 20 |
| Receivable days | 1 | 2 | 2 | 2 |
| Payable days | 23 | 22 | 22 | 25 |
| Working cap (% sales) | (12.3) | (10.9) | (9.3) | (9.6) |
| Gross debt/equity (x) | 0.8 | 0.6 | 0.5 | 0.5 |
| Net debt/equity (x) | 0.1 | 0 | (0.1) | (0.2) |
| Interest coverage (x) | 12.3 | 17.7 | 26.1 | 19.3 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 25.8 | 20.5 | 15.1 | 17.0 |
| Price/BV (x) | 20.0 | 14.9 | 9.9 | 7.8 |
| EV/EBITDA (x) | 15.3 | 12.6 | 9.7 | 10.6 |
| Dividend yield (%) | 4.6 | 3.2 | 3.2 | 3.2 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 32.0 | 26.2 | 35.5 | (11.3) |
| RoE (%) | 72.1 | 83.4 | 78.6 | 51.1 |
| EBITDA growth (%) | 26.6 | 21.5 | 28.9 | (9.0) |
| Payout ratio (%) | 119.2 | 65.1 | 48.1 | 54.2 |

# HYUNDAI MOTOR INDIA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 2,209 |
| 12 month price target (INR) | 2,700 |
| 52 Week High/Low | 2,890/1,542 |
| Market cap (INR bn/USD bn) | 1,795/19.9 |
| Free float (%) | 17.5 |
| Avg. daily value traded (INR mn) | 1,652.1 |

## SHAREHOLDING PATTERN

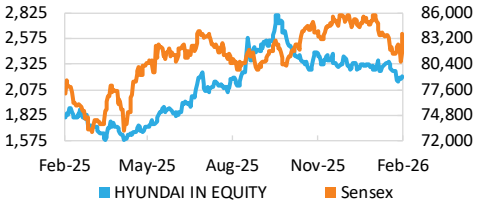
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 82.50% | 82.50% | 82.50% |
| FII | 6.43% | 7.34% | 7.08% |
| DII | 8.59% | 7.73% | 7.75% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 691,929 | 710,781 | 787,352 | 877,507 |
| EBITDA | 89,538 | 89,732 | 99,641 | 111,715 |
| Adjusted profit | 56,402 | 56,562 | 62,337 | 70,191 |
| Diluted EPS (INR) | 69.4 | 69.6 | 76.7 | 86.4 |
| EPS growth (%) | (6.9) | 0.3 | 10.2 | 12.6 |
| RoAE (%) | 41.8 | 31.0 | 27.8 | 25.9 |
| P/E (x) | 31.7 | 31.6 | 28.7 | 25.4 |
| EV/EBITDA (x) | 19.1 | 19.2 | 17.3 | 15.4 |
| Dividend yield (%) | 1.0 | 1.0 | 1.0 | 1.2 |

## PRICE PERFORMANCE




# New launches underpin growth outlook

We hosted IR Head Mr KS Hariharan and IR Senior Manager Ms Chitra Verma of HYUNDAI at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance.* Highlights: i) FY27 PV industry is likely to grow at 5–6%. ii) Exports are likely to stay resilient led by new Venue and market expansion. iii) Has plans for seven new launches by FY30E. Two new nameplates to be launched by FY28, iv) Localisation levels have reached 84% with a target to reach 90% by FY30, driven by localisation of high-tech powertrain components and deeper integration, reaching Tier-3 suppliers.

We are building in revenue/EBITDA CAGR of 11%/12%. Retain 'BUY' with a TP of INR2,700/share, based on 33x FY28E core EPS.

## Key takeaways

- **Industry outlook:** Domestic PV industry is likely to grow 5–6% in FY27.
- **Margin outlook:** The company remains confident of sustaining growth while delivering EBITDA margins within the guided 11–14% range, underpinned by operating efficiencies and disciplined cost management.
- On the **export** front, despite global uncertainties, growth is anticipated to remain resilient through launch of new Venue and market expansion.
- **Margin outlook:** The company remains confident of sustaining growth while delivering **EBITDA margins** within the guided 11–14% range, underpinned by operating efficiencies and disciplined cost management.
- **Rural penetration** increased to a record level of over 24%. The rural market continues to be a key growth pillar, supported by ongoing initiatives focused on channel expansion and deeper market penetration.
- **Localisation levels** have reached 84% with a target to reach 90% by FY30, driven by localisation of high-tech powertrain components and deeper integration, reaching Tier-3 suppliers.
- **Price hike:** In Jan-26, the company took a price hike of 0.6%, largely for Venue. The new Venue has received a positive response, garnering nearly 80,000 bookings and further strengthening HMI's position in the compact SUV segment.
- **Channel inventory**: As on Jan-26, inventory levels stand at less than four weeks, down from the typical five-week average seen in January in prior years.
- **Capacity utilisation:** The Pune plant, which operationalised in Oct-25, is currently running on a two-shift basis and has already achieved over 90% capacity utilisation. Utilisation at the Chennai facility has moderated following the transfer of Venue production to Pune. However, rising volumes across the existing product portfolio, along with upcoming new model launches, are likely to drive higher utilisation levels, going forward.

**Raghunandhan NL**
raghunandhan.nl@nuvama.com

**Manav Shah**
manavt.shah@nuvama.com

**Rahul Kumar**
rahuls.k@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 691,929 | 710,781 | 787,352 | 877,507 |
| Gross profit | 192,225 | 206,127 | 227,948 | 252,039 |
| Employee costs | 23,112 | 26,411 | 29,973 | 32,071 |
| Other expenses | 79,575 | 89,984 | 98,335 | 108,253 |
| EBITDA | 89,538 | 89,732 | 99,641 | 111,715 |
| Depreciation | 21,053 | 22,125 | 24,361 | 26,127 |
| Less: Interest expense | 1,272 | 924 | 886 | 863 |
| Add: Other income | 8,700 | 9,239 | 8,722 | 8,862 |
| Profit before tax | 75,913 | 75,922 | 83,116 | 93,587 |
| Prov for tax | 19,511 | 19,360 | 20,779 | 23,397 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 56,402 | 56,562 | 62,337 | 70,191 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 56,402 | 56,562 | 62,337 | 70,191 |
| Diluted shares o/s | 813 | 813 | 813 | 813 |
| Adjusted diluted EPS | 69.4 | 69.6 | 76.7 | 86.4 |
| DPS (INR) | 21.0 | 21.0 | 23.0 | 25.9 |
| Tax rate (%) | 25.7 | 25.5 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 8,125 | 8,125 | 8,125 | 8,125 |
| Reserves | 154,839 | 194,338 | 237,973 | 287,107 |
| Shareholders funds | 162,965 | 202,463 | 246,099 | 295,232 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 7,918 | 7,488 | 7,271 | 7,104 |
| Trade payables | 105,130 | 104,100 | 111,000 | 118,902 |
| Other liabs & prov | 3,390 | 2,869 | 4,642 | 7,200 |
| Total liabilities | 290,653 | 328,476 | 381,813 | 442,706 |
| Net block | 69,100 | 104,041 | 149,578 | 193,343 |
| Intangible assets | 1,951 | 2,049 | 2,151 | 2,259 |
| Capital WIP | 47,184 | 60,020 | 60,020 | 60,020 |
| Total fixed assets | 118,235 | 166,110 | 211,749 | 255,622 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 85,792 | 73,380 | 71,492 | 77,224 |
| Sundry debtors | 23,891 | 24,542 | 27,186 | 30,299 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 50,640 | 52,020 | 57,624 | 64,222 |
| Total assets | 290,653 | 328,476 | 381,813 | 442,706 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross profit margin (%) | 27.8 | 29.0 | 29.0 | 28.7 |
| Staff cost % sales | 3.3 | 3.7 | 3.8 | 3.7 |
| Other expenses % sales | 11.5 | 12.7 | 12.5 | 12.3 |
| EBITDA margin (%) | 12.9 | 12.6 | 12.7 | 12.7 |
| Net profit margin (%) | 8.2 | 8.0 | 7.9 | 8.0 |
| Revenue growth (% YoY) | (0.9) | 2.7 | 10.8 | 11.5 |
| EBITDA growth (% YoY) | (2.0) | 0.2 | 11.0 | 12.1 |
| Adj. profit growth (%) | (6.9) | 0.3 | 10.2 | 12.6 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 67,213 | 66,683 | 74,394 | 84,726 |
| Add: Depreciation | 21,053 | 22,125 | 24,361 | 26,127 |
| Interest (net of tax) | (4,425) | 924 | 886 | 863 |
| Others | (559) | 0 | 0 | 0 |
| Less: Changes in WC | (28,860) | (2,846) | (474) | (781) |
| Operating cash flow | 34,749 | 66,767 | 77,556 | 86,601 |
| Less: Capex | (52,929) | (70,000) | (70,000) | (70,000) |
| Free cash flow | (18,180) | (3,233) | 7,556 | 16,601 |

### Assumptions

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Dom. volumes (units) | 598,666 | 580,738 | 630,054 | 680,494 |
| Growth (%) | (2.6) | (3.0) | 8.5 | 8.0 |
| Export volumes (units) | 163,386 | 194,429 | 217,761 | 239,537 |
| Growth (%) | 0.1 | 19.0 | 12.0 | 10.0 |
| Realization (INR/unit) | 907,981 | 916,939 | 928,684 | 953,780 |
| Growth (%) | 1.1 | 1.0 | 1.3 | 2.7 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 41.8 | 31.0 | 27.8 | 25.9 |
| RoCE (%) | 54.1 | 40.4 | 36.3 | 34.0 |
| Inventory days | 25 | 25 | 24 | 24 |
| Receivable days | 13 | 12 | 12 | 12 |
| Payable days | 84 | 76 | 70 | 67 |
| Working cap (% sales) | (6.4) | (5.8) | (5.4) | (5.1) |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.5) | (0.4) | (0.3) | (0.3) |
| Interest coverage (x) | 53.8 | 73.1 | 85.0 | 99.2 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 31.7 | 31.6 | 28.7 | 25.4 |
| Price/BV (x) | 11.0 | 8.8 | 7.3 | 6.0 |
| EV/EBITDA (x) | 19.1 | 19.2 | 17.3 | 15.4 |
| Dividend yield (%) | 1.0 | 1.0 | 1.0 | 1.2 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (6.9) | 0.3 | 10.2 | 12.6 |
| RoE (%) | 41.8 | 31.0 | 27.8 | 25.9 |
| EBITDA growth (%) | (2.0) | 0.2 | 11.0 | 12.1 |
| Payout ratio (%) | 30.3 | 30.2 | 30.0 | 30.0 |

*Source: Company and Nuvama estimates*

# ICICI BANK

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,397 |
| 12 month price target (INR) | 1,670 |
| 52 Week High/Low | 1,500/1,200 |
| Market cap (INR bn/USD bn) | 9,941/110.2 |
| Free float (%) | 99.6 |
| Avg. daily value traded (INR mn) | 16,857.8 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 0% | 0% | 0% |
| FII | 45.8% | 45.7% | 46.2% |
| DII | 45.0% | 45.0% | 44.2% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

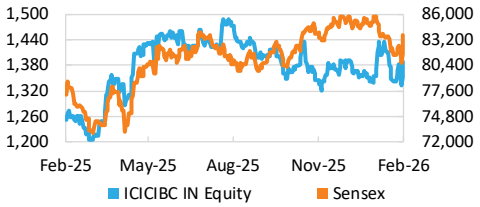
(INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Revenue | 972635 | 1096711 | 1194861 | 1348884 |
| PPoP | 581308 | 672988 | 722154 | 823057 |
| Adjusted profit | 408883 | 472270 | 495065 | 557979 |
| Diluted EPS (INR) | 58.2 | 66.3 | 69.5 | 78.3 |
| EPS growth (%) | 27.5 | 13.9 | 4.8 | 12.7 |
| RoAE (%) | 18.6 | 17.8 | 15.8 | 15.7 |
| P/E (x) | 24.0 | 21.1 | 20.1 | 17.8 |
| P/ABV (x) | 3.7 | 3.0 | 2.6 | 2.3 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 11,94,861 | 13,48,884 | 0.0% | 0.0% |
| PPoP | 7,22,154 | 8,23,057 | 0.0% | 0.0% |
| Adjusted profit | 4,95,065 | 5,57,979 | 0.0% | 0.0% |
| Diluted EPS (INR) | 69.5 | 78.3 | 0.0% | 0.0% |

## PRICE PERFORMANCE




# Scaling up growth with risk discipline

We hosted top management of ICICI Bank (ICICIBC) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Loan growth momentum is picking up and is likely to sustain into Q4FY26 while growth in unsecured segments such as PL and cards are likely to improve gradually. ii) NIMs are likely to remain range-bound going forward. iii) Strategic focus remains on growing PBT excluding treasury through a 360-degree customer-centric approach and risk-calibrated profitable growth.

We reckon asset growth shall accelerate, a stable NIM and superior asset quality. The re-appointment of Mr Sandeep Bakhshi as CEO is a big positive. Maintain 'BUY' with a TP of INR1,670/2.8x FY27E.

## Key takeaways

- **Loan growth:** Loan growth momentum has picked up for the bank and is likely to sustain into Q4FY26. Growth in unsecured segments such as personal loans and cards are likely to improve gradually, but not exceed overall loan growth in the near term.
- **Business banking:** Business banking segment has reported strong growth and is now slightly larger than the corporate portfolio; management sees sufficient untapped opportunity and remains comfortable with portfolio quality.
- **Deposits:** Retail savings account growth remains strong though overall savings growth has been weaker due to a decline in institutional savings balances (government entities/schemes) over the last two quarters. Institutional savings accounts now constitute less than 15% of average savings deposits.
- **Margins:** NIMs are likely to remain range-bound going forward. The impact of the recent repo rate cut and MCLR reductions will be largely offset by deposit repricing and the absence of seasonal non-accrual in Q4FY26.
- **Opex:** Operating expenses are not anticipated to rise at the pace seen in prior quarters; the focus is on maximising PPoP rather than only cutting costs.
- **Book composition:** Of the total domestic loans, interest rates on 56% of loans are linked to the repo rate and 13% to MCLR and other older benchmarks. The balance 31% of loans have fixed interest rates.

**Mahrukh Adajania**
Mahrukh.Adajania@nuvama.com

**Anant Dumbhare**
Anant.Dumbhare@nuvama.com

**Yuval Aiya**
Yuval.Aiya@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest income | 7,43,057 | 8,11,644 | 8,79,081 | 9,88,915 |
| Non interest income | 2,29,578 | 2,85,067 | 3,15,780 | 3,59,968 |
| Fee and forex income | 1,68,753 | 1,94,117 | 2,19,352 | 2,52,254 |
| Misc. income | 60,735 | 64,195 | 81,428 | 92,714 |
| Investment profits | 90 | 1,140 | 15,000 | 15,000 |
| Net revenues | 9,72,635 | 10,96,711 | 11,94,861 | 13,48,884 |
| Operating expense | 3,91,327 | 4,23,723 | 4,72,708 | 5,25,827 |
| Employee exp | 1,51,420 | 1,65,409 | 1,80,296 | 1,98,325 |
| Other opex | 2,39,907 | 2,58,314 | 2,92,412 | 3,27,501 |
| Preprovision profit | 5,81,308 | 6,72,988 | 7,22,154 | 8,23,057 |
| Provisions | 36,429 | 46,826 | 64,697 | 82,050 |
| PBT | 5,44,878 | 6,26,162 | 6,57,457 | 7,41,007 |
| Taxes | 1,35,996 | 1,53,892 | 1,62,392 | 1,83,029 |
| PAT | 4,08,883 | 4,72,270 | 4,95,065 | 5,57,979 |
| Extraordinaries | 0 | 0 | 0 | 0 |
| Reported PAT | 4,08,883 | 4,72,270 | 4,95,065 | 5,57,979 |
| Diluted EPS (INR) | 58.2 | 66.3 | 69.5 | 78.3 |

### Important Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest margins | 4.5 | 4.3 | 4.1 | 4.1 |
| Cost-income | 40.2 | 38.6 | 39.6 | 39.0 |
| Tax rate | 25.0 | 24.6 | 24.7 | 24.7 |

### Valuation Metrics

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Diluted PE (x) | 23.9 | 21.0 | 20.0 | 17.7 |
| Price/BV (x) | 3.7 | 3.0 | 2.6 | 2.3 |

*Source: Company and Nuvama estimates*

### Balance Sheet (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Equity capital | 14,047 | 14,246 | 14,246 | 14,246 |
| Reserves | 23,69,946 | 29,06,517 | 33,16,355 | 37,75,390 |
| Net worth | 23,83,993 | 29,20,763 | 33,30,601 | 37,89,636 |
| Deposits | 1,41,28,250 | 1,61,03,480 | 1,73,91,759 | 1,96,52,687 |
| Borrowings | 12,49,676 | 12,35,383 | 11,36,552 | 11,93,380 |
| Other liabilities | 9,53,227 | 9,22,774 | 10,24,279 | 11,26,707 |
| Total | 1,87,15,146 | 2,11,82,400 | 2,28,83,191 | 2,57,62,410 |
| Assets | | | | |
| Loans | 1,18,44,064 | 1,34,17,662 | 1,53,36,387 | 1,74,83,481 |
| Investments | 46,19,423 | 50,47,567 | 50,04,306 | 53,41,993 |
| Cash & equi | 13,99,260 | 18,55,620 | 16,22,293 | 19,40,547 |
| Fixed assets | 1,08,598 | 1,28,387 | 1,28,387 | 1,41,226 |
| Other assets | 7,43,801 | 7,33,163 | 7,91,816 | 8,55,162 |
| Total | 1,87,15,146 | 2,11,82,400 | 2,28,83,191 | 2,57,62,410 |
| BV/share (INR) | 339.4 | 410.0 | 467.6 | 532.0 |

### Balance Sheet Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Credit growth | 16.2 | 13.3 | 14.3 | 14.0 |
| Deposit growth | 19.6 | 14.0 | 8.0 | 13.0 |
| Gross NPA ratio | 2.3 | 1.7 | 1.9 | 2.1 |
| Net NPA ratio | 0.4 | 0.4 | 0.5 | 0.5 |

### ROA Decomposition (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| NII/Assets | 4.3 | 4.1 | 4.0 | 4.1 |
| Fees/Assets | 1.0 | 1.0 | 1.0 | 1.0 |
| Inv profits/Assets | 0 | 0 | 0.1 | 0.1 |
| Net revenues/assets | 5.6 | 5.4 | 5.4 | 5.5 |
| Opex/Assets | (2.3) | (2.1) | (2.1) | (2.2) |
| Provisions/Assets | (0.2) | (0.2) | (0.3) | (0.3) |
| Taxes/Assets | (0.8) | (0.8) | (0.7) | (0.8) |
| Total costs/Assets | (3.3) | (3.1) | (3.2) | (3.3) |
| RoA | 2.4 | 2.4 | 2.2 | 2.3 |
| Equity/Assets | 12.7 | 13.3 | 14.2 | 14.6 |
| RoAE | 18.6 | 17.8 | 15.8 | 15.7 |

### Valuation Drivers

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| EPS growth (%) | 27.5 | 13.9 | 4.8 | 12.7 |
| RoAE (%) | 18.6 | 17.8 | 15.8 | 15.7 |

# ICICI PRUDENTIAL LIFE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 655 |
| 12 month price target (INR) | 790 |
| 52 Week High/Low | 707/517 |
| Market cap (INR bn/USD bn) | 949/10.5 |
| Free float (%) | 27.0 |
| Avg. daily value traded (INR mn) | 936.5 |

## SHAREHOLDING PATTERN

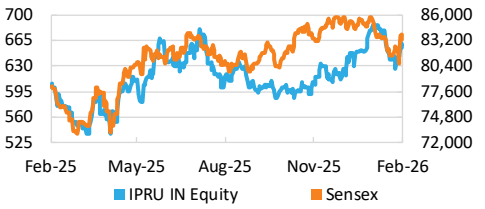
| (%) | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 72.9 | 72.9 | 73.0 |
| FII | 11.5 | 13.2 | 13.1 |
| DII | 10.4 | 8.7 | 8.9 |
| Pledge | - | - | - |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| APE | 104,070 | 111,204 | 124,720 | 141,091 |
| VNB | 23,700 | 26,713 | 29,911 | 34,178 |
| VNB margin (%) | 22.8 | 24.0 | 24.0 | 24.2 |
| EV | 479,480 | 546,698 | 621,613 | 706,989 |
| APAT | 11,855 | 9,333 | 10,185 | 11,172 |
| FDEPS | 8.2 | 6.4 | 7.0 | 7.7 |
| RoEV (%) | 13.0 | 14.2 | 13.9 | 13.9 |
| P/EV (x) | 2.1 | 1.8 | 1.6 | 1.4 |
| P/E (x) | 83.6 | 106.2 | 97.3 | 88.7 |

## PRICE PERFORMANCE




# Growth over margins

We hosted top management of ICICI Prudential Life Insurance (IPRU) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Focus on growing retail APE and driving absolute VNB growth. ii) IPRU is investing in distribution channels such as agency, partnership distribution and direct. iii) GST exemption shall drive growth in protection products, which shall aid VNB margins.

We believe IPRU can deliver APE/VNB CAGR of 12.6%/13.1% over FY26–28E at RoEVs of 13.5–14%. Retain 'BUY' with a TP of INR790 i.e. FY27E/28E P/EV of 1.8x/1.6x.

## Key takeaways

- **APE/VNB growth:** Management indicated that 9MFY26 APE growth was affected by a strong base (+27.2% YoY). Last year's growth was driven by higher ULIP sales amid a favourable market environment and annuity growth supported by new product launches. The company continues to prioritise top-line growth, which is likely to support sustainable VNB expansion over the medium term.
- **VNB margin:** Management mentioned that a favourable shift in product mix toward protection products along with ongoing cost-control initiatives have aided margin expansion (+160bp in 9MFY26). Management highlighted higher sum assured, increased rider attachment, favourable yield curve movement, and longer-tenure products as additional margin tailwinds. While no explicit margin guidance was provided, the focus remains on growing absolute VNB.
- **Bank channel:** Within bancassurance, the ICICI Bank to non-ICICI Bank business mix remains at 50:50. Management indicated that the company is maintaining its counter share at ICICI Bank.
- **Agency:** Management highlighted that the company has invested significant resources over the past two–three years to diversify its distribution channels. Agency and direct channel growth declined in 9MFY26 due to a high base, as these channels had a higher share of ULIP and annuity sales in the previous year.
- **Protection products:** Demand in the protection segment improved following GST exemption and the outlook remains positive. The bulk of protection business is pure term with ROP accounting for ~10%. No price hikes have been taken in protection. Management also highlighted a turnaround in the MFI business with credit life gradually scaling up; MFI remains a key contributor within credit life.
- **Cost:** Management said cost control initiatives are aligned with the evolving product mix with costs adjusted in line with demand trends across products.

**Mahrukh Adajania**
Mahrukh.Adajania@nuvama.com

**Vaibhav Sharma**
VaibhavR.Sharma@nuvama.com

# Financial Statements

### Policyholder AC (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| **Total Premium earned** | **472,594** | **503,658** | **577,280** | **663,735** |
| Commission | 48,594 | 49,690 | 57,175 | 65,840 |
| Operating expenses | 39,716 | 49,852 | 56,550 | 64,342 |
| Provisions and taxes | 9,454 | 8,833 | 8,589 | 8,473 |
| Benefits Paid | 461,825 | 492,896 | 491,348 | 498,339 |
| Other income | 2,232 | 2,456 | 2,701 | 2,971 |
| Transfer from shareholders AC | 3,178 | 3,337 | 3,504 | 3,679 |
| **Net Cash Flow** | **(81,584)** | **(91,820)** | **(30,177)** | **33,391** |
| Income from Investments | 228,195 | 268,664 | 287,693 | 310,670 |
| Change in valuation of liabilities | 135,714 | 171,538 | 251,336 | 336,837 |
| **Surplus/(deficit) after tax** | **10,897** | **5,305** | **6,180** | **7,225** |
| **Transfer to shareholders AC** | **10,931** | **3,183** | **3,708** | **4,335** |

### Shareholders AC (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Transfer from Policyholders' a/c | 10,931 | 3,183 | 3,708 | 4,335 |
| Invest. income & other Income | 7,304 | 12,246 | 12,919 | 13,655 |
| **Total income** | **18,234** | **15,429** | **16,628** | **17,991** |
| Expenses | 1,640 | 1,721 | 1,808 | 1,898 |
| Contrib. to Policyholders' a/c | 3,178 | 3,337 | 3,504 | 3,679 |
| Provisions other than taxation | 100 | 0 | 0 | 0 |
| **Profit before tax** | **13,317** | **10,370** | **11,316** | **12,414** |
| Taxes | 1,462 | 1,037 | 1,132 | 1,241 |
| **PAT** | **11,855** | **9,333** | **10,185** | **11,172** |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 14,453 | 14,453 | 14,453 | 14,453 |
| Reserve and surplus | 105,551 | 113,951 | 123,117 | 133,172 |
| **Net worth** | **120,004** | **128,404** | **137,570** | **147,625** |
| **Borrowings** | **26,000** | **26,000** | **26,000** | **26,000** |
| Credit/debit balance in fair value a/c | (666) | (666) | (666) | (666) |
| Policyholders' a/c | 2,930,225 | 3,101,763 | 3,353,099 | 3,689,936 |
| Funds for future appropriation | 12,832 | 13,153 | 13,481 | 13,818 |
| **Total Liabilities** | **3,088,395** | **3,268,654** | **3,529,485** | **3,876,714** |
| Investments | 3,039,791 | 3,219,255 | 3,479,250 | 3,825,602 |
| Loans | 24,191 | 24,191 | 24,191 | 24,191 |
| Fixed assets + DTA | 8,501 | 8,501 | 8,501 | 8,501 |
| Net current assets | 15,911 | 16,707 | 17,542 | 18,419 |
| Goodwill | 0 | 0 | 0 | 0 |
| **Total Assets** | **3,088,395** | **3,268,654** | **3,529,485** | **3,876,714** |

*Source: Company and Nuvama estimates*

### Key metrics (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| NBP | 232,306 | 255,410 | 295,324 | 341,482 |
| APE | 104,070 | 111,204 | 124,720 | 141,091 |
| VNB | 23,700 | 26,713 | 29,911 | 34,178 |
| EV | 479,480 | 546,698 | 621,613 | 706,989 |
| EVOP | 55,330 | 65,651 | 75,934 | 86,493 |
| PAT | 11,855 | 9,333 | 10,185 | 11,172 |
| FDEPS (INR) | 8.2 | 6.4 | 7.0 | 7.7 |
| FDBVPS (INR) | 82.6 | 88.4 | 94.7 | 101.6 |
| **Growth (YoY %)** | | | | |
| NBP | 24.4 | 9.9 | 15.6 | 15.6 |
| APE | 15.0 | 6.9 | 12.2 | 13.1 |
| VNB | 6.4 | 12.7 | 12.0 | 14.3 |
| EV | 13.3 | 14.0 | 13.7 | 13.7 |
| EVOP | 10.3 | 18.7 | 15.7 | 13.9 |
| PAT | 39.4 | (21.3) | 9.1 | 9.7 |
| FDEPS | 38.7 | (21.3) | 9.1 | 9.7 |
| FDBVPS | 12.0 | 7.0 | 7.1 | 7.3 |
| **Expense ratios (%)** | | | | |
| Commissions/TWRP | 10.3 | 9.9 | 9.9 | 9.9 |
| Opex/TWRP | 8.4 | 9.9 | 9.8 | 9.7 |
| Total expenses/TWRP | 18.7 | 19.8 | 19.7 | 19.6 |
| **Effeciency ratios (%)** | | | | |
| VNB Margin | 22.8 | 24.0 | 24.0 | 24.2 |
| ROEV return | 13.0 | 14.2 | 13.9 | 13.9 |
| Operating RoEV | 13.1 | 13.7 | 13.9 | 13.9 |
| Non-operating RoEV | (0.1) | 0.5 | 0 | 0 |
| RoAA | 0.4 | 0.3 | 0.3 | 0.3 |
| RoAE | 10.5 | 7.5 | 7.7 | 7.8 |

### Valuation

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| P/E (x) | 83.6 | 106.2 | 97.3 | 88.7 |
| P/ABV (x) | 8.3 | 7.7 | 7.2 | 6.7 |
| P/EV (x) | 2.1 | 1.8 | 1.6 | 1.4 |
| P/VNB Multiple (x) | 23.7 | 18.9 | 14.6 | 10.6 |
| P/EVOP (x) | 17.8 | 15.0 | 13.0 | 11.4 |
| P/VIF (x) | 2.9 | 2.3 | 2.0 | 1.8 |
| P/AUM (x) | 0.3 | 0.3 | 0.3 | 0.3 |

### Valuation on TP

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| P/E (x) | 96.8 | 123.0 | 112.7 | 102.7 |
| P/ABV (x) | 9.6 | 8.9 | 8.3 | 7.8 |
| P/EV (x) | 2.4 | 2.1 | 1.8 | 1.6 |
| P/VNB Multiple (x) | 30.3 | 24.7 | 19.8 | 15.2 |
| P/EVOP (x) | 20.6 | 17.4 | 15.0 | 13.2 |
| P/VIF (x) | 3.4 | 2.7 | 2.4 | 2.0 |
| P/AUM (x) | 0.4 | 0.4 | 0.3 | 0.3 |

# IDFC FIRST BANK

POST- CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | HOLD |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 85 |
| 12 month price target (INR) | 80 |
| 52 Week High/Low | 87/52 |
| Market cap (INR bn/USD bn) | 730/8.1 |
| Free float (%) | 89.9 |
| Avg. daily value traded (INR mn) | 2,311.6 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 0% | 0% | 0% |
| FII | 36.8% | 24.6% | 23.8% |
| DII | 22.4% | 24.3% | 23.4% |
| Pledge | 0% | 0% | 0% |

# MFI stress in rear-view mirror

We hosted top management of IDFC First Bank (IDFCFB) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Worst of MFI pain is over with disbursements picking up gradually. ii) Management is confident of a downtrend in credit costs as the MFI portfolio stabilises. iii) The bank expects RoA to improve towards 1%.

NIM in Q4 should improve to 5.85%. Maintain 'HOLD' with a TP of INR80/1.3x BV FY27E. IDFC shall use the recent savings rate cut to improve the risk profile of loans.

## FINANCIALS

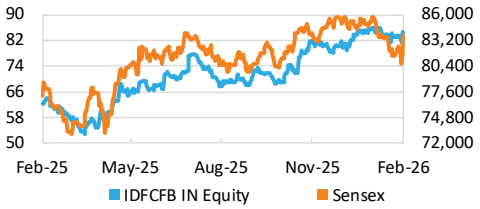
(INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Revenue | 224527 | 263137 | 299335 | 351333 |
| PPoP | 62370 | 74148 | 83975 | 110130 |
| Adjusted profit | 29565 | 15248 | 20858 | 39307 |
| Diluted EPS (INR) | 4.2 | 2.1 | 2.4 | 4.6 |
| EPS growth (%) | 9.6 | (50.2) | 16.8 | 88.4 |
| RoAE (%) | 10.2 | 4.3 | 4.9 | 8.0 |
| P/E (x) | 20.3 | 40.8 | 34.9 | 18.5 |
| P/BV (x) | 1.9 | 1.6 | 1.5 | 1.4 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 2,90,378 | 3,40,129 | 0.0% | 0.0% |
| PPOP | 83,456 | 1,08,377 | 0.0% | 0.0% |
| Adjusted profit | 21,372 | 38,696 | 0.0% | 0.0% |
| Diluted EPS (INR) | 2.5 | 4.5 | 0.0% | 0.0% |

## PRICE PERFORMANCE




## Key takeaways

- **Loan growth:** The bank has reported sustained and healthy growth across mortgages, vehicle loans, consumer loans, MSME and wholesale loans.
- **MFI:** Collection efficiency in MFI has moved close to pre-crisis levels. The book now also has improved risk mitigation through increased CGFMU coverage with MFI at 81% coverage. Disbursements are gradually starting to pick up as the pace of decline in the book slows down.
- **Rates:** The bank shall monitor flow behaviour before taking further SA rate actions, especially on the retail side, keeping the balance sheet growth needs and branch/network intensity in mind. On the bulk deposits side, rates have already been cut by 200bp in January.
- **Credit cost:** Credit cost should continue to trend downwards with the MFI drag largely over. Full normalisation may still take one–two quarters. Management reiterated comfort on finishing FY26 within earlier credit cost guidance of 210bp and suggested that FY27 should be better as MFI stabilises and mix improves.
- **Provisioning:** Implementation of ECL framework—depending on final rules across credit risk and operational risk—could be marginally positive for the bank from a capital standpoint. Steady-state credit cost could increase.
- **Margins:** Q4 NIM shall move towards 5.85%, driven by the savings rate cuts and continued funding cost improvements.

**Mahrukh Adajania**
Mahrukh.Adajania@nuvama.com

**Anant Dumbhare**
Anant.Dumbhare@nuvama.com

**Yuval Aiya**
Yuval.Aiya@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest income | 1,64,508 | 1,92,920 | 2,14,714 | 2,56,831 |
| Non interest income | 60,020 | 70,217 | 84,621 | 94,503 |
| Net revenues | 2,24,527 | 2,63,137 | 2,99,335 | 3,51,333 |
| Operating expense | 1,62,158 | 1,88,988 | 2,15,360 | 2,41,204 |
| Employee exp | 48,925 | 57,099 | 61,381 | 68,747 |
| Other opex | 1,13,233 | 1,31,889 | 1,53,979 | 1,72,456 |
| Preprovision profit | 62,370 | 74,148 | 83,975 | 1,10,130 |
| Provisions | 23,817 | 55,147 | 57,234 | 58,410 |
| PBT | 38,553 | 19,001 | 26,741 | 51,720 |
| Taxes | 8,988 | 3,753 | 5,883 | 12,413 |
| PAT | 29,565 | 15,248 | 20,858 | 39,307 |
| Extraordinaries | 0 | 0 | 0 | 0 |
| Reported PAT | 29,565 | 15,248 | 20,858 | 39,307 |
| Diluted EPS (INR) | 4.2 | 2.1 | 2.4 | 4.6 |

### Balance Sheet (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Equity capital | 70,699 | 73,221 | 85,721 | 85,721 |
| Reserves | 2,50,914 | 3,07,559 | 3,88,831 | 4,24,207 |
| Net worth | 3,21,613 | 3,80,780 | 4,74,552 | 5,09,928 |
| Deposits | 20,05,763 | 25,20,652 | 30,75,196 | 37,51,739 |
| Borrowings | 5,09,356 | 3,89,748 | 3,80,005 | 3,83,805 |
| Other liabilities | 1,24,419 | 1,47,006 | 1,79,347 | 2,06,249 |
| Total | 29,61,151 | 34,38,187 | 41,09,100 | 48,51,721 |
| Assets | | | | |
| Loans | 19,45,923 | 23,31,125 | 28,90,595 | 34,97,620 |
| Investments | 6,95,729 | 7,25,695 | 9,20,072 | 10,05,981 |
| Cash & equi | 1,24,802 | 1,50,974 | 1,20,779 | 1,36,480 |
| Fixed assets | 26,194 | 26,626 | 30,887 | 35,520 |
| Other assets | 1,17,127 | 1,22,306 | 1,46,767 | 1,76,121 |
| Total | 29,61,151 | 34,38,187 | 41,09,100 | 48,51,721 |

### Important Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest margins | 6.2 | 6.1 | 5.7 | 5.8 |
| Spread | 6.8 | 6.6 | 6.2 | 6.2 |
| Tax rate | (23.3) | (19.7) | (22.0) | (24.0) |

### Balance Sheet Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Credit growth | 28.2 | 19.8 | 24.0 | 21.0 |
| Deposit growth | 38.7 | 25.7 | 22.0 | 22.0 |

### Valuation Metrics

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Diluted PE (x) | 20.3 | 40.8 | 34.9 | 18.5 |
| Price/BV (x) | 1.9 | 1.6 | 1.5 | 1.4 |

*Source: Company and Nuvama estimates*

### ROA Decomposition (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| NII/Assets | 6.1 | 6.0 | 5.7 | 5.7 |
| Fees/Assets | 2.0 | 1.9 | 1.9 | 1.9 |
| Inv profits/Assets | 0.1 | 0.2 | 0.2 | 0.1 |
| Net revenues/assets | 8.3 | 8.1 | 7.7 | 7.8 |
| Opex/Assets | (6.1) | (5.9) | (5.7) | (5.4) |
| Provisions/Assets | (0.9) | (1.7) | (1.5) | (1.3) |
| Taxes/Assets | (0.3) | (0.1) | (0.2) | (0.3) |
| Total costs/Assets | (7.3) | (7.7) | (7.4) | (7.0) |
| RoA | 1.1 | 0.5 | 0.6 | 0.9 |
| Equity/Assets | 10.8 | 11.0 | 11.3 | 11.0 |
| RoAE | 10.2 | 4.3 | 4.9 | 8.0 |

### Valuation Drivers

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| EPS growth (%) | 9.6 | (50.2) | 16.8 | 88.4 |
| RoAE (%) | 10.2 | 4.3 | 4.9 | 8.0 |

# INDUSIND BANK

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | HOLD |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 922 |
| 12 month price target (INR) | 900 |
| 52 Week High/Low | 1,087/605 |
| Market cap (INR bn/USD bn) | 719/8.0 |
| Free float (%) | 84.3 |
| Avg. daily value traded (INR mn) | 3,724.6 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 15.83% | 16.29% | 16.36% |
| FII | 29.53% | 24.74% | 34.11% |
| DII | 36.7% | 42.69% | 34.95% |
| Pledge | 50.86% | 50.86% | 45.48% |

## FINANCIALS

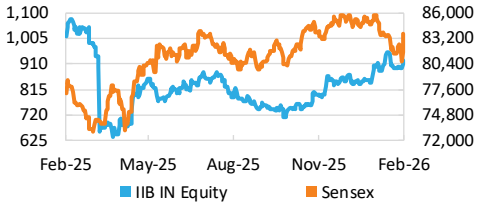
(INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Revenue | 300038 | 267155 | 253884 | 287506 |
| PPoP | 157403 | 106449 | 93679 | 116087 |
| Adjusted profit | 89498 | 26429 | 6674 | 40582 |
| Diluted EPS (INR) | 115.0 | 33.9 | 8.6 | 52.1 |
| EPS growth (%) | 20.7 | (70.5) | (74.7) | 508.1 |
| RoAE (%) | 15.2 | 4.2 | 1.0 | 6.1 |
| P/E (x) | 8.0 | 27.2 | 107.6 | 17.7 |
| P/BV (x) | 1.1 | 1.1 | 1.1 | 1.1 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 2,53,884 | 2,87,506 | 0.0% | 0.0% |
| EBITDA | 93,679 | 1,16,087 | 0.0% | 0.0% |
| Adjusted profit | 6,674 | 40,582 | 0.0% | 0.0% |
| Diluted EPS (INR) | 8.6 | 52.1 | 0.0% | 0.0% |

## PRICE PERFORMANCE




# PACE in place, but RoA recovery key

We hosted top management of IndusInd Bank (IIB) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) IIB aims to achieve 1% RoA by end-FY27 through its three-year plan "PACE". ii) Management aims to reduce NNPA to 0.6% from 1% currently. iii) Near-term: IIB intends to optimise advance and deposit mix prior to chasing growth. iv) Envisages retail deposit growth to pick up, led by "INDIE" and customer acquisition push.

We reckon earnings have bottomed. A 1% RoA delivery shall depend on the pace of decline in slippage. Maintain TP at INR900/1x BV; reiterate 'HOLD'.

## Key takeaways

- **Asset quality:** Management aims to reduce net NPA to 0.6% through decline in slippage rather than accelerated provisioning. Vehicle-finance asset quality for FY26E is likely to be better than FY25 with slippages likely to improve ~20bp YoY. Moreover, the bank expects microfinance slippages to start easing Q4FY26 onwards, supported by tighter underwriting and improving early-bucket indicators.
- **Business turnaround—PACE:** Management described the turnaround as a three-year journey with FY27 focused on matching system growth, FY28 focused on gaining market share and FY29 focused on dominating select focus areas. IIB aims to reach ~1% RoA toward end-FY27E.
- **Deposit franchise:** Deposit strategy focused on improving both quantity and quality with a push toward lower-cost liabilities through branch-led and digital expansion. Management expects retail deposit momentum to improve in coming quarters driven by its banking application "INDIE" coupled with productivity and new-to-bank acquisition efforts.
- **Growth approach:** IndusInd plans to focus on exiting low risk-adjusted return assets and optimising expensive liabilities rather than chasing near-term growth. Management positions SME as a major multi-year diversification and growth lever.
- **ECL and write-off policy:** Recently, microfinance write-off policy shifted to write-offs at 365 days post-NPA and management expects microfinance PCR to be in the 78–80% range. The bank estimates the initial estimated ECL impact at 1.5–1.7% of its loan book on a pre-tax basis, subject to final guidelines.

**Mahrukh Adajania**
Mahrukh.Adajania@nuvama.com

**Anant Dumbhare**
Anant.Dumbhare@nuvama.com

**Yuval Aiya**
Yuval.Aiya@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest income | 2,06,159 | 1,90,313 | 1,81,326 | 2,05,815 |
| Non interest income | 93,879 | 76,842 | 72,558 | 81,691 |
| Fee and forex income | 76,970 | 79,320 | 57,008 | 64,706 |
| Misc. income | 9,919 | 9,690 | 5,700 | 5,985 |
| Investment profits | 6,990 | (12,168) | 9,850 | 11,000 |
| Net revenues | 3,00,038 | 2,67,155 | 2,53,884 | 2,87,506 |
| Operating expense | 1,42,635 | 1,60,707 | 1,60,205 | 1,71,419 |
| Employee exp | 38,953 | 48,108 | 54,362 | 58,168 |
| Other opex | 1,03,682 | 1,12,598 | 1,05,842 | 1,13,251 |
| Preprovision profit | 1,57,403 | 1,06,449 | 93,679 | 1,16,087 |
| Provisions | 37,987 | 70,301 | 84,745 | 61,761 |
| PBT | 1,19,415 | 36,147 | 8,934 | 54,326 |
| Taxes | 29,918 | 9,718 | 2,260 | 13,745 |
| PAT | 89,498 | 26,429 | 6,674 | 40,582 |
| Extraordinaries | 0 | 0 | 0 | 0 |
| Reported PAT | 89,498 | 26,429 | 6,674 | 40,582 |
| Diluted EPS (INR) | 115.0 | 33.9 | 8.6 | 52.1 |

### Balance Sheet (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Equity capital | 7,783 | 7,791 | 7,791 | 7,791 |
| Reserves | 6,20,188 | 6,37,135 | 6,42,286 | 6,74,260 |
| Net worth | 6,27,971 | 6,44,926 | 6,50,077 | 6,82,050 |
| Deposits | 38,47,929 | 41,10,781 | 40,28,566 | 44,91,851 |
| Borrowings | 4,76,114 | 5,37,036 | 3,92,036 | 4,31,240 |
| Other liabilities | 1,97,337 | 2,47,442 | 2,74,660 | 3,02,126 |
| Total | 51,49,351 | 55,40,184 | 53,45,339 | 59,07,267 |
| Assets | | | | |
| Loans | 34,32,983 | 34,50,186 | 33,29,430 | 37,28,961 |
| Investments | 10,65,267 | 11,44,968 | 9,37,708 | 9,95,218 |
| Cash & equi | 3,68,016 | 5,91,658 | 6,24,000 | 6,75,400 |
| Fixed assets | 21,977 | 23,558 | 25,443 | 27,478 |
| Other assets | 2,61,108 | 3,29,814 | 4,28,759 | 4,80,210 |
| Total | 51,49,351 | 55,40,184 | 53,45,339 | 59,07,267 |
| BV/share (INR) | 806.8 | 827.8 | 834.4 | 875.5 |

### Important Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest margins | 4.3 | 3.5 | 3.4 | 4.0 |
| Cost-income | 47.5 | 60.2 | 63.1 | 59.6 |
| Tax rate | (25.1) | (26.9) | (25.3) | (25.3) |

### Balance Sheet Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Credit growth | 18.4 | 0.5 | (3.5) | 12.0 |
| Deposit growth | 14.4 | 6.8 | (2.0) | 11.5 |
| Gross NPA ratio | 1.9 | 3.1 | 3.5 | 3.0 |

### Valuation Metrics

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Diluted PE (x) | 8.0 | 27.2 | 107.6 | 17.7 |
| Price/BV (x) | 1.1 | 1.1 | 1.1 | 1.1 |

*Source: Company and Nuvama estimates*

### ROA Decomposition (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| NII/Assets | 4.2 | 3.6 | 3.3 | 3.7 |
| Fees/Assets | 1.6 | 1.5 | 1.0 | 1.2 |
| Inv profits/Assets | 0.1 | (0.2) | 0.2 | 0.2 |
| Net revenues/assets | 6.0 | 5.2 | 4.5 | 4.9 |
| Opex/Assets | (2.9) | (3.0) | (2.9) | (3.0) |
| Provisions/Assets | (0.8) | (1.3) | (1.6) | (1.1) |
| Taxes/Assets | (0.6) | (0.2) | 0 | (0.2) |
| Total costs/Assets | (4.3) | (4.5) | (4.5) | (4.4) |
| RoA | 1.8 | 0.5 | 0.1 | 0.7 |
| Equity/Assets | 12.1 | 11.9 | 11.9 | 11.8 |
| RoAE | 15.2 | 4.2 | 1.0 | 6.1 |

### Valuation Drivers

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| EPS growth (%) | 20.7 | (70.5) | (74.7) | 508.1 |
| RoAE (%) | 15.2 | 4.2 | 1.0 | 6.1 |

# INFOSYS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 1,497 |
| 12 month price target (INR) | 1,900 |
| 52 Week High/Low | 1,924/1,307 |
| Market cap (INR bn/USD bn) | 6,262/69.1 |
| Free float (%) | 74.4 |
| Avg. daily value traded (INR mn) | 14,257.1 |

## SHAREHOLDING PATTERN

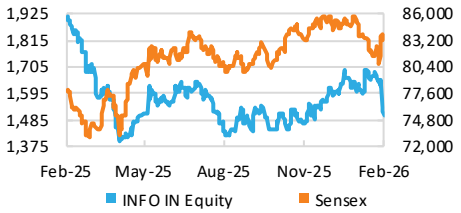
| | Sep-24 | Jun-24 | Mar-24 |
|---|---|---|---|
| Promoter | 14.6% | 14.43% | 14.43% |
| FII | 32.89% | 33.3% | 33.28% |
| DII | 38.53% | 38.29% | 38.02% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR bn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,630 | 1,759 | 1,866 | 2,009 |
| EBITDA | 392 | 420 | 449 | 480 |
| Adjusted profit | 267 | 294 | 303 | 330 |
| Diluted EPS (INR) | 64.3 | 72.5 | 74.8 | 81.5 |
| EPS growth (%) | 1.7 | 12.7 | 3.1 | 9.0 |
| RoAE (%) | 28.9 | 31.9 | 36.2 | 35.8 |
| P/E (x) | 24.9 | 22.1 | 21.4 | 19.6 |
| EV/EBITDA (x) | 16.6 | 15.7 | 14.7 | 13.6 |
| Dividend yield (%) | 2.7 | 3.2 | 3.4 | 3.7 |

## PRICE PERFORMANCE




# Set to build upon deal momentum

We hosted top management of Infosys Limited at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) vendor consolidation is driving deal-wins; ii) BFSI is seeing discretionary spends; iii) E&U segment is benefitting from data centre capex and new energy investments; and iv) Topaz platform is scaling up enterprise AI adoption.

Infosys has delivered three consecutive quarters of solid deal-wins and growth, which provides high growth visibility for coming quarters. FY27 growth will now depend on how Q4 turns out—hopefully leaving the company with a better exit-rate than last two years. Retain 'BUY' with a TP of INR1,900 (23x FY28E PE).

## Key takeaways

- While developments on the AI front are likely to lead to transformation in the IT services industry, its long-term value proposition for enterprise clients will remain
- While Q4 will be a seasonally weak quarter, overall growth rate is improving. Management does not expect sharp change in third party revenue.
- **BFSI and Healthcare** remain key growth drivers with improving discretionary spending. Management expects acceleration in BFSI driven by a shift in client focus from compliance spending toward business-led growth and transformation initiatives. **Energy verticals** is benefitting from data centre investment and alternate energy investment especially in the US.
- **Manufacturing and retail** spending remains cautious due to macro and tariff uncertainty with clients focused on cost efficiency and productivity-led initiatives.
- **Vendor consolidation driving large deal-wins**: Infosys continues to win large transformational deals, benefiting from vendor consolidation with renewals increasingly tied to AI-driven productivity benefits.
- **Margins stable**: EBIT margins have remained stable over past few years, supported by operational efficiencies and value-based execution. The company continues to invest in sales and growth capabilities while maintaining its margin guidance.
- **AI embedded in renewals:** Clients increasingly expect AI-led productivity benefits during renewals, supporting pricing improvement and better deal economics. The Topaz Fabric platform is being deployed across thousands of AI programs, helping clients operationalize AI agents and embed AI into core workflows.
- **Client conversations** reflected cautious optimism with increasing pipeline activity and better deal conversion across core markets.

**Vibhor Singhal**
VIBHOR.SINGHAL@nuvama.com

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Yukti Khemani**
Khemani.Yukti@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 16,29,900 | 17,59,267 | 18,66,324 | 20,08,868 |
| Cost of revenues | 10,85,350 | 11,66,137 | 12,36,422 | 13,39,672 |
| Gross Profit | 5,44,550 | 5,93,130 | 6,29,901 | 6,69,197 |
| SG&A | 75,880 | 86,895 | 83,985 | 90,399 |
| EBITDA | 3,92,350 | 4,19,715 | 4,48,796 | 4,80,363 |
| Depreciation | 48,110 | 47,964 | 52,330 | 51,693 |
| EBIT | 3,44,240 | 3,71,750 | 3,96,466 | 4,28,670 |
| Add: Other income | 31,830 | 34,056 | 31,037 | 37,085 |
| Profit before tax | 3,76,070 | 4,05,806 | 4,27,504 | 4,65,755 |
| Prov for tax | 1,08,570 | 1,11,601 | 1,23,976 | 1,35,069 |
| Less: Other adj | 0 | (12,890) | 0 | 0 |
| Reported profit | 2,67,130 | 2,80,935 | 3,03,048 | 3,30,206 |
| Less: Excp.item (net) | 0 | 12,890 | 0 | 0 |
| Adjusted profit | 2,67,130 | 2,93,825 | 3,03,048 | 3,30,206 |
| Diluted shares o/s | 4,152 | 4,052 | 4,052 | 4,052 |
| Adjusted diluted EPS | 64.3 | 72.5 | 74.8 | 81.5 |
| DPS (INR) | 42.9 | 50.5 | 54.9 | 59.9 |
| Tax rate (%) | 28.9 | 27.5 | 29.0 | 29.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 20,730 | 20,240 | 20,240 | 20,240 |
| Reserves | 9,41,300 | 7,76,621 | 8,57,197 | 9,44,706 |
| Shareholders funds | 9,62,030 | 7,96,861 | 8,77,437 | 9,64,946 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 0 | 0 | 0 | 0 |
| Trade payables | 5,27,000 | 6,07,829 | 6,42,190 | 6,91,095 |
| Other liabs & prov | 0 | 0 | 0 | 0 |
| Total liabilities | 14,89,030 | 14,04,690 | 15,19,627 | 16,56,041 |
| Net block | 3,19,830 | 3,37,126 | 3,32,796 | 3,29,103 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 0 | 0 | 0 | 0 |
| Total fixed assets | 3,19,830 | 3,37,126 | 3,32,796 | 3,29,103 |
| Non current inv | 2,67,080 | 1,73,880 | 2,33,880 | 2,93,880 |
| Cash/cash equivalent | 2,44,550 | 1,64,652 | 1,74,245 | 1,96,547 |
| Sundry debtors | 3,11,580 | 3,67,055 | 3,89,392 | 4,19,132 |
| Loans & advances | 3,34,910 | 3,44,577 | 3,71,914 | 3,99,979 |
| Other assets | 0 | 0 | 0 | 0 |
| Total assets | 14,89,030 | 14,04,690 | 15,19,627 | 16,56,041 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| S&M expenses (%) | 4.7 | 4.9 | 4.5 | 4.5 |
| G&A expenses (%) | 4.7 | 4.9 | 5.2 | 4.9 |
| Travelling cost (%) | 1.2 | 1.3 | 1.2 | 1.2 |
| EBIT margin (%) | 21.1 | 21.1 | 21.2 | 21.3 |
| Net profit margin (%) | 16.4 | 16.7 | 16.2 | 16.4 |
| Revenue growth (% YoY) | 6.1 | 7.9 | 6.1 | 7.6 |
| EBIT growth (% YoY) | 8.4 | 8.0 | 6.6 | 8.1 |
| Adj. profit growth (%) | 1.8 | 10.0 | 3.1 | 9.0 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 2,67,500 | 2,94,205 | 3,03,528 | 3,30,686 |
| Add: Depreciation | 48,110 | 47,964 | 52,330 | 51,693 |
| Interest (net of tax) | 0 | 0 | 0 | 0 |
| Others | (370) | (380) | (480) | (480) |
| Less: Changes in WC | 14,440 | 9,366 | (15,312) | (8,901) |
| Operating cash flow | 3,29,680 | 3,51,156 | 3,40,065 | 3,72,998 |
| Less: Capex | (87,240) | (65,260) | (48,000) | (48,000) |
| Free cash flow | 2,42,440 | 2,85,896 | 2,92,065 | 3,24,998 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.6 | 87.6 | 88.0 | 88.0 |
| | | | | |
| USD revenue (USD mn) | 19,277.0 | 20,079.5 | 21,208.2 | 22,828.0 |
| YoY growth (%) | 3.9 | 4.2 | 5.6 | 7.6 |
| CC YoY growth (%) | 4.2 | 3.4 | 5.6 | 7.6 |
| Tax rate as % of PBT | 28.9 | 28.4 | 29.0 | 29.0 |
| Capex (INR mn) | 87,240.0 | 65,260.0 | 48,000.0 | 48,000.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 28.9 | 31.9 | 36.2 | 35.8 |
| RoCE (%) | 29.0 | 33.0 | 36.3 | 35.9 |
| Div Payout Ratio(%) | 66.7 | 72.8 | 73.4 | 73.5 |
| | | | | |
| Working cap/Sales (%) | 7 | 6 | 6 | 6 |
| Receivable days | 69 | 70 | 74 | 73 |
| Asset Turnover Ratio | 0.6 | 0.6 | 0.6 | 0.6 |
| Current Ratio | 1.7 | 1.4 | 1.5 | 1.5 |
| Net debt/equity (x) | (0.3) | (0.2) | (0.2) | (0.2) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 24.9 | 22.1 | 21.4 | 19.6 |
| Price/BV (x) | 6.9 | 8.1 | 7.4 | 6.7 |
| EV/EBITDA (x) | 16.6 | 15.7 | 14.7 | 13.6 |
| Dividend yield (%) | 2.7 | 3.2 | 3.4 | 3.7 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 1.7 | 12.7 | 3.1 | 9.0 |
| RoE (%) | 28.9 | 31.9 | 36.2 | 35.8 |
| EBITDA growth (%) | 7.7 | 7.0 | 6.9 | 7.0 |
| Payout ratio (%) | 66.7 | 72.8 | 73.4 | 73.5 |

*Source: Company and Nuvama estimates*

# IKS HEALTH

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 1,685 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 1,929/1,226 |
| Market cap (INR bn/USD bn) | 292/3.2 |
| Free float (%) | 28.6 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 63.72% | 63.72% | 63.72% |
| FII | 7.56% | 7.02% | 6.50% |
| DII | 6.06% | 4.89% | 4.33% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22 | FY23A | FY24A | FY25A |
|---|---|---|---|---|
| Revenue | 7,636 | 10,313 | 18,179 | 26,640 |
| EBITDA | 2,972 | 3,913 | 5,203 | 7,692 |
| Adjusted profit | 2,330 | 3,052 | 3,705 | 4,861 |
| Diluted EPS (INR) | 14 | 18 | 22 | 29 |
| EPS growth (%) | 39 | 29 | 22 | 31 |
| RoAE (%) | | 41 | 37 | 33 |
| P/E (x) | 120 | 94 | 77 | 58 |
| EV/EBITDA (x) | 91 | 69 | 52 | 35 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

# Execution momentum to continue

We hosted top management of Inventurus Knowledge Solutions (IKS Health) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) ongoing shift from a labour-led outsourcing model to a tech-driven platform business; ii) expansion into hospital workflows; and iii) strong early traction in platform deployments.

IKS continues to benefit from rising efficiency pressures across US healthcare providers, where automation of non-clinical tasks is becoming a strategic priority. AQuity integration and platform-led sales are strengthening its ability to scale up across provider segments. IKS Health trades at 26x FY28E PE consensus, and is *not rated*.

## Key takeaways

- IKS is **shifting from a human-led services model to an AI-led** platform model, embedding automation across clinical documentation, coding and patient access workflows. This transition is aimed at breaking the traditional link between revenue growth and headcount expansion.
- Management highlighted that IKS's end-to-end platform is helping hospitals improve operational efficiency and revenue realisation.
- The company is extending its outpatient platform into hospital environments to build a more comprehensive provider solution, **expanding its addressable market** and deepening its presence in core clinical operations.
- **RCM** contribution is reducing but it remains the largest contributor, supported by a hybrid tech + human delivery model that balances automation with clinical accuracy.
- Early **large-scale deployments** of platforms are reflecting measurable productivity and efficiency gains for clients. Management views these proof points as important in accelerating broader platform adoption.
- **AQuity integration** is entering its final phase with margins stabilising and initial cross-sell opportunities emerging across the combined client base.
- IKS is using **targeted entry strategies** in large hospital systems while continuing platform-led expansion in mid-sized providers, improving deal velocity and wallet share.
- Ongoing cost and efficiency pressures on healthcare providers are supporting steady **demand for automation** and platform solutions.
- Management highlighted a **healthy deal pipeline** with growing interest in integrated platform solutions supporting medium-term growth visibility.

**Vibhor Singhal**
VIBHOR.SINGHAL@nuvama.com

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Yukti Khemani**
Khemani.yukti@nuvama.com

# JSW INFRA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 267 |
| 12 month price target (INR) | 360 |
| 52 Week High/Low | 349/218 |
| Market cap (INR bn/USD bn) | 561/6.2 |
| Free float (%) | 36.3 |
| Avg. daily value traded (INR mn) | 377.7 |

## SHAREHOLDING PATTERN

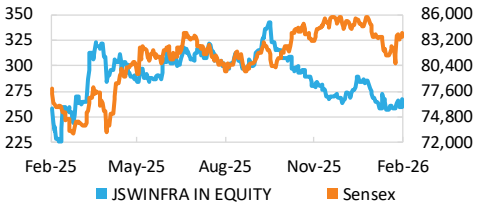
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 83.61% | 83.61% | 83.61% |
| FII | 7.13% | 7.30% | 6.64% |
| DII | 2.17% | 2.54% | 2.82% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 44,761 | 51,925 | 65,989 | 97,926 |
| EBITDA | 22,622 | 25,220 | 27,847 | 40,083 |
| Adjusted profit | 14,403 | 14,302 | 14,860 | 15,674 |
| Diluted EPS (INR) | 6.9 | 6.8 | 7.1 | 7.5 |
| EPS growth (%) | 10.8 | (0.7) | 3.9 | 5.5 |
| RoAE (%) | 17.0 | 14.0 | 12.7 | 12.0 |
| P/E (x) | 38.8 | 39.1 | 37.6 | 35.6 |
| EV/EBITDA (x) | 22.2 | 20.6 | 21.1 | 15.8 |
| Dividend yield (%) | 0 | 0.2 | 0.3 | 0.3 |

## PRICE PERFORMANCE




# Guidance intact; Logistics sees uptrend

We hosted top management of JSW Infra at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Management reiterated FY26 guidance with revenue pegged at around INR54bn and EBITDA at INR26bn. ii) Logistics revenue guidance revised upwards to ~INR32.0bn, driven by a sharp turnaround in profitability. iii) Capex guidance maintained at INR35bn, comprising INR20bn for ports and INR15bn for logistics (INR12bn related to acquisition).

JSWIL rolled out strong annual guidance for FY26/27/28 for both ports and logistics segments. Retain 'BUY' with a TP of INR360 (22x Dec-27E EV/EBITDA).

## Key takeaways

- **Guidance reiterated:** Management maintained FY26 revenue guidance and upgraded their Logistics revenue guidance driven by a sharp turnaround in profitability.
- **Strong medium-term EBITDA visibility**: EBITDA is guided to grow ~15% YoY in FY27 and double by FY28, driven by operating leverage, new port capacity, and scaling logistics operations.
- **Sustained cargo growth outlook**: Cargo volume growth guidance of 8–10% for FY26 (~123 MMT) was reiterated, with volumes expected to reach 165 MMT in FY28 and 175 MMT in FY29.
- **Capex discipline maintained:** FY26 capex kept unchanged at INR35bn, split between ports (INR 20bn) and logistics (INR 15bn), reflecting controlled execution.
- **New assets progressing on schedule**: JNPA Liquid commissioned, Jatadhar port at ~40% completion and Oman greenfield port (USD419 mn) continue to advance as planned.
- **Balance sheet strength preserved**: Net debt was INR18.9bn after INR10bn CP repayment with port capex payout deferrals enhancing near-term liquidity and funding flexibility.
- **Expansion projects on track:** Management highlighted steady progress across key projects with the USD419 mn Oman greenfield port under development, JNPA Liquid commissioned during the quarter, and Jatadhar Port ~40% complete, on schedule for March 2027 commissioning.

**Achal Lohade**
achal.lohade@nuvama.com

**Rohan Jain**
Rohan.Jain@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 44,761 | 51,925 | 65,989 | 97,926 |
| Gross profit | 27,327 | 30,106 | 33,052 | 45,930 |
| Employee costs | 2,407 | 2,358 | 2,424 | 2,788 |
| Other expenses | 2,298 | 2,528 | 2,781 | 3,059 |
| EBITDA | 22,622 | 25,220 | 27,847 | 40,083 |
| Depreciation | 5,466 | 6,012 | 6,493 | 12,337 |
| Less: Interest expense | 2,657 | 3,601 | 4,889 | 9,289 |
| Add: Other income | 3,530 | 3,300 | 2,900 | 2,180 |
| Profit before tax | 18,028 | 18,907 | 19,366 | 20,637 |
| Prov for tax | 2,814 | 4,072 | 4,134 | 4,406 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 15,031 | 14,546 | 14,860 | 15,674 |
| Less: Excp.item (net) | (628) | (243) | 0 | 0 |
| Adjusted profit | 14,403 | 14,302 | 14,860 | 15,674 |
| Diluted shares o/s | 2,100 | 2,100 | 2,100 | 2,100 |
| Adjusted diluted EPS | 6.9 | 6.8 | 7.1 | 7.5 |
| DPS (INR) | 0 | 0.7 | 0.8 | 0.9 |
| Tax rate (%) | 15.6 | 21.5 | 21.3 | 21.3 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 4,147 | 4,147 | 4,147 | 4,147 |
| Reserves | 92,822 | 1,06,003 | 1,19,287 | 1,33,177 |
| Shareholders funds | 96,969 | 1,10,150 | 1,23,434 | 1,37,324 |
| Minority interest | 7,919 | 8,208 | 8,580 | 9,137 |
| Borrowings | 46,588 | 71,390 | 1,23,769 | 1,68,467 |
| Trade payables | 3,494 | 4,979 | 6,328 | 9,390 |
| Other liabs & prov | 5,684 | 9,003 | 11,357 | 15,223 |
| Total liabilities | 1,64,695 | 2,07,922 | 2,77,810 | 3,44,033 |
| Net block | 86,803 | 89,791 | 1,83,149 | 2,51,710 |
| Intangible assets | 7,126 | 7,126 | 7,126 | 7,126 |
| Capital WIP | 20,202 | 56,202 | 43,649 | 37,249 |
| Total fixed assets | 1,14,132 | 1,53,120 | 2,33,924 | 2,96,085 |
| Non current inv | 1,530 | 1,530 | 1,530 | 1,530 |
| Cash/cash equivalent | 24,821 | 30,663 | 16,309 | 15,706 |
| Sundry debtors | 8,090 | 6,402 | 8,136 | 12,073 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 7,055 | 7,139 | 7,936 | 7,667 |
| Total assets | 1,64,695 | 2,07,922 | 2,77,810 | 3,44,033 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Operating cost (% of rev) | 39.0 | 42.0 | 49.9 | 53.1 |
| Employee cost (% of rev) | 5.4 | 4.5 | 3.7 | 2.8 |
| Oth. expenses (% of rev) | 5.1 | 4.9 | 4.2 | 3.1 |
| EBITDA margin (%) | 50.5 | 48.6 | 42.2 | 40.9 |
| Net profit margin (%) | 32.2 | 27.5 | 22.5 | 16.0 |
| Revenue growth (% YoY) | 19.0 | 16.0 | 27.1 | 48.4 |
| EBITDA growth (% YoY) | 15.1 | 11.5 | 10.4 | 43.9 |
| Adj. profit growth (%) | 21.0 | (0.7) | 3.9 | 5.5 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 18,028 | 18,907 | 19,366 | 20,637 |
| Add: Depreciation | 5,466 | 6,012 | 6,493 | 12,337 |
| Interest (net of tax) | 367 | 301 | 1,989 | 7,109 |
| Others | (161) | 668 | 648 | 691 |
| Less: Changes in WC | 41 | 5,190 | (933) | (576) |
| Operating cash flow | 21,004 | 27,007 | 23,428 | 35,793 |
| Less: Capex | (30,400) | (45,000) | (87,298) | (74,498) |
| Free cash flow | (9,395) | (17,993) | (63,869) | (38,705) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 38.8 | 39.1 | 37.6 | 35.6 |
| Price/BV (x) | 5.8 | 5.1 | 4.5 | 4.1 |
| EV/EBITDA (x) | 22.2 | 20.6 | 21.1 | 15.8 |
| Dividend yield (%) | 0 | 0.2 | 0.3 | 0.3 |

*Source: Company and Nuvama estimates*

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 17.0 | 14.0 | 12.7 | 12.0 |
| RoCE (%) | 15.0 | 13.2 | 10.9 | 10.5 |
| Inventory days | 26 | 23 | 18 | 16 |
| Receivable days | 61 | 51 | 40 | 38 |
| Payable days | 74 | 71 | 63 | 55 |
| Working cap (% sales) | 5.8 | (6.1) | (5.6) | (6.4) |
| Gross debt/equity (x) | 0.4 | 0.6 | 0.9 | 1.2 |
| Net debt/equity (x) | 0.2 | 0.3 | 0.8 | 1.0 |
| Interest coverage (x) | 6.5 | 5.3 | 4.4 | 3.0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 10.8 | (0.7) | 3.9 | 5.5 |
| RoE (%) | 17.0 | 14.0 | 12.7 | 12.0 |
| EBITDA growth (%) | 15.1 | 11.5 | 10.4 | 43.9 |
| Payout ratio (%) | 0 | 9.4 | 10.6 | 11.4 |

# JSW STEEL

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | REDUCE |
|---|---|
| Sector relative | Underperformer |
| Price (INR) | 1,236 |
| 12 month price target (INR) | 1,057 |
| 52 Week High/Low | 1,245/905 |
| Market cap (INR bn/USD bn) | 3,023/33.4 |
| Free float (%) | 39.0 |
| Avg. daily value traded (INR mn) | 2,039.6 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 45.3% | 45.3% | 45.3% |
| FII | 25.3% | 25.5% | 25.4% |
| DII | 11.0% | 10.8% | 10.9% |
| Others | 18.2% | 18.3% | 18.3% |

## FINANCIALS

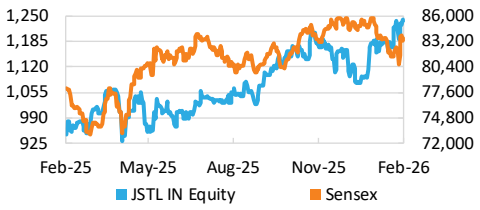
(INR bn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,688.2 | 2,084.4 | 2,251.7 | 2,315.7 |
| EBITDA | 229.0 | 303.5 | 361.2 | 373.1 |
| Adjusted profit | 39.9 | 100.5 | 122.2 | 117.9 |
| Diluted EPS (INR) | 16.4 | 41.2 | 50.1 | 48.3 |
| EPS growth (%) | (50.3) | 151.7 | 21.6 | (3.5) |
| RoAE (%) | 4.5 | 11.4 | 13.1 | 11.3 |
| P/E (x) | 76.0 | 30.2 | 24.8 | 25.7 |
| EV/EBITDA (x) | 16.5 | 12.5 | 10.5 | 10.1 |
| Dividend yield (%) | 0.2 | 0.3 | 0.4 | 0.4 |

## CHANGE IN ESTIMATES

| (INR bn) | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY27E | FY28E | FY27E | FY28E |
| Revenue | 2,251.7 | 2,315.7 | 0 | 0 |
| EBITDA | 361.2 | 373.1 | 0 | 0 |
| Adjusted profit | 122.2 | 117.9 | 0 | 0 |
| Diluted EPS (INR) | 50.1 | 48.3 | 0 | 0 |

## PRICE PERFORMANCE




# Continues on growth path

We hosted top management of JSW Steel at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Higher steel prices (up INR3,500/t so far) partially offset by higher coking coal cost to drive sharp EBITDA/t recovery in Q4FY26. ii) Bhushan deal (50:50 JV with JFE Steel) and ongoing capex is on track. iii) Capacity addition (13.2mtpa) in phases to drive volume growth.

JSW is on the growth path targeting India capacity of 47.4mtpa by FY30E. The BPSL deal shall drive deleveraging by 50% and support expansion capex. Volume ramp-up and higher steel prices will increase EBITDA at an 18% CAGR over FY25–28E. The stock is trading expensive; retain 'REDUCE' with a TP of INR1,050 (8.5x FY28E EV/EBITDA).

## Key takeaways

- After steel demand in India was subdued in Q3FY26 (up 4.6% YoY to 40.7mt) due to monsoon and low government capex, strong demand emerged post-safeguard imposition from Jan-26 with 7–9% YoY demand growth likely in medium term.
- Domestic HRC price increased to INR53,500/t in Feb-26, up INR3,500/t from Dec-26-end. However, coking coal price has also increased to USD250/t and likely to increase cost by USD15–20/t in Q4FY26. However, coking coal prices are likely to fall once wet season in Australia gets over.
- Europe is ~50% of total exports. Due to CBAM, import cost shall increase by USD70–80/t. Moreover, 50% decline in duty free quotas and 50% tariff over quotas limit shall impact exports to Europe. However, Europe will continue to import steel as domestic prices and limitation of available domestic capacity.
- **BPSL sale to JV with JFE**: JSTL is expected to receive INR244bn (slump sale value of BPSL) and drive deleveraging of INR290bn by end-FY26. The final tranche of INR78.5bn from JFE is likely in Q1FY27.
- **Guidance:** Maintained consolidated production/sales volume guidance of 30.5mt/29.2mt. Coking coal cost is likely to increase by USD15–20/t QoQ in Q4FY26E. Iron ore cost is expected to remain range bound QoQ.
- **Expansion projects:** The new greenfield steel capacity at Jagjitsinghpur in Odisha is strategically located near port. In Phase-1, it will have 5mtpa flat steel capacity, which includes 5mtpa BF, 6mtpa SMS, 6mtpa HSM and ~350MW power plant at capex of INR316bn. It is expected to be commissioned by FY30. Moreover, two pellet plants (8mtpa each), to be commissioned by FY28E and 30mtpa slurry pipeline (302km; under JSW Infra) from iron ore mine to site is in progress, which is expected to be completed by end-FY27. It aims to meet 50% of iron ore and 25% of coking coal requirement through captive mines by FY30.

**Ashish Kejriwal**
Ashish.Kejriwal@nuvama.com

**Kunal Kothari**
kunal.kothari@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 16,88,240 | 20,84,405 | 22,51,656 | 23,15,742 |
| Gross profit | 7,88,260 | 8,37,757 | 9,28,348 | 9,55,886 |
| Employee costs | 47,980 | 89,046 | 94,522 | 97,133 |
| Other expenses | 2,58,190 | 1,29,425 | 1,41,694 | 1,56,233 |
| EBITDA | 2,29,040 | 3,03,479 | 3,61,216 | 3,73,090 |
| Depreciation | 93,090 | 98,310 | 1,09,310 | 1,20,310 |
| Less: Interest expense | 84,120 | 93,870 | 95,370 | 1,01,370 |
| Add: Other income | 6,940 | 11,800 | 11,800 | 11,800 |
| Profit before tax | 55,660 | 1,18,879 | 1,68,336 | 1,63,210 |
| Prov for tax | 15,860 | 14,688 | 42,421 | 41,129 |
| Less: Other adjustment | (4,890) | (5,290) | 0 | 0 |
| Reported profit | 35,040 | 95,196 | 1,22,171 | 1,17,880 |
| Less: Excp.item (net) | (4,890) | (5,290) | 0 | 0 |
| Adjusted profit | 39,930 | 1,00,486 | 1,22,171 | 1,17,880 |
| Diluted shares o/s | 2,440 | 2,440 | 2,440 | 2,440 |
| Adjusted diluted EPS | 16 | 41 | 50 | 48 |
| DPS (INR) | 2.8 | 4.1 | 5.0 | 4.8 |
| Tax rate (%) | 28.5 | 12.4 | 25.2 | 25.2 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 3,050 | 3,050 | 3,050 | 3,050 |
| Reserves | 7,91,910 | 8,69,983 | 9,83,681 | 10,93,974 |
| Shareholders funds | 7,94,960 | 8,73,033 | 9,86,731 | 10,97,024 |
| Minority interest | 21,700 | 25,405 | 29,149 | 33,350 |
| Borrowings | 9,59,570 | 9,59,570 | 9,59,570 | 9,59,570 |
| Trade payables | 3,25,520 | 3,98,143 | 4,30,348 | 4,42,469 |
| Other liabs & prov | 2,36,100 | 2,24,952 | 2,26,626 | 2,27,256 |
| Total liabilities | 24,07,420 | 25,50,673 | 27,01,994 | 28,29,239 |
| Net block | 12,16,510 | 11,88,200 | 11,78,890 | 13,78,580 |
| Intangible assets | 33,440 | 33,440 | 33,440 | 33,440 |
| Capital WIP | 2,04,780 | 2,94,780 | 3,94,780 | 2,94,780 |
| Total fixed assets | 14,54,730 | 15,16,420 | 16,07,110 | 17,06,800 |
| Non current inv | 93,980 | 95,480 | 96,980 | 98,480 |
| Cash/cash equivalent | 1,91,040 | 1,66,405 | 1,76,349 | 1,83,892 |
| Sundry debtors | 84,150 | 1,03,399 | 1,11,763 | 1,14,911 |
| Loans & advances | 20 | 20 | 20 | 20 |
| Other assets | 4,35,120 | 5,20,568 | 5,61,392 | 5,76,756 |
| Total assets | 24,07,420 | 25,50,673 | 27,01,994 | 28,29,239 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| | | | | |
| EBITDA margin (%) | 13.6 | 14.6 | 16.0 | 16.1 |
| Net profit margin (%) | 2.4 | 4.8 | 5.4 | 5.1 |
| Revenue growth (% YoY) | (3.5) | 22.9 | 8.1 | 2.8 |
| EBITDA growth (% YoY) | (18.9) | 32.5 | 19.0 | 3.3 |
| Adj. profit growth (%) | (50.3) | 151.7 | 21.6 | (3.5) |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| PBT | 50,770 | 1,17,809 | 1,68,336 | 1,63,210 |
| Add: Depreciation | 93,090 | 98,310 | 1,09,310 | 1,20,310 |
| Interest (net of tax) | 75,780 | 0 | 0 | 0 |
| Others | 15,890 | 0 | 0 | 0 |
| Less: Changes in WC | (6,810) | (43,223) | (15,308) | (5,762) |
| Operating cash flow | 2,08,990 | 1,43,209 | 2,19,917 | 2,36,630 |
| Less: Capex | (1,26,940) | (1,60,000) | (2,00,000) | (2,20,000) |
| Free cash flow | 82,050 | (16,791) | 19,917 | 16,630 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.5 | 88.0 | 89.0 | 89.0 |
| India Steel sales volume (mt) | 25.7 | 28.2 | 31.4 | 32.8 |
| Blended Steel realisation (INR/t) | 53,528 | 52,865 | 53,866 | 53,801 |
| Coking coal cost (INR/t) | 21,603 | 19,380 | 20,035 | 20,035 |
| Iron ore cost (INR/t) | 4,890 | 4,869 | 4,551 | 4,381 |
| EBITDA/t (INR) | 8,632.2 | 10,138.0 | 10,968.7 | 10,893.6 |
| Net Debt/EBITDA (x) | 3.4 | 2.6 | 2.2 | 2.1 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 4.5 | 11.4 | 13.1 | 11.3 |
| RoCE (%) | 8.3 | 11.9 | 13.8 | 13.0 |
| Inventory days | 79 | 68 | 73 | 75 |
| Receivable days | 17 | 16 | 17 | 18 |
| Payable days | 71 | 63 | 67 | 69 |
| Working cap (% sales) | 3.0 | 3.8 | 4.2 | 4.4 |
| Gross debt/equity (x) | 1.2 | 1.1 | 0.9 | 0.8 |
| Net debt/equity (x) | 0.9 | 0.9 | 0.8 | 0.7 |
| Interest coverage (x) | 1.6 | 2.2 | 2.6 | 2.5 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 76.0 | 30.2 | 24.8 | 25.7 |
| Price/BV (x) | 3.8 | 3.5 | 3.1 | 2.8 |
| EV/EBITDA (x) | 16.5 | 12.5 | 10.5 | 10.1 |
| Dividend yield (%) | 0.2 | 0.3 | 0.4 | 0.4 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (50.3) | 151.7 | 21.6 | (3.5) |
| RoE (%) | 4.5 | 11.4 | 13.1 | 11.3 |
| EBITDA growth (%) | (18.9) | 32.5 | 19.0 | 3.3 |
| Payout ratio (%) | 19.5 | 10.6 | 10.0 | 10.0 |

# JUBILANT PHARMOVA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 940 |
| 12 month price target (INR) | 1,300 |
| 52 Week High/Low | 1,250/802 |
| Market cap (INR bn/USD bn) | 150/1.7 |
| Free float (%) | 52.3 |
| Avg. daily value traded (INR mn) | 142.0 |

## SHAREHOLDING PATTERN

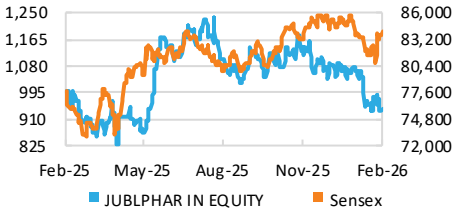
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 47.68% | 47.68% | 47.68% |
| FII | 15.96% | 16.57% | 17.40% |
| DII | 11.22% | 10.52% | 9.53% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 72,345 | 82,578 | 94,565 | 1,08,314 |
| EBITDA | 11,737 | 12,495 | 14,749 | 18,122 |
| Adjusted profit | 5,328 | 4,374 | 5,512 | 7,482 |
| Diluted EPS (INR) | 33.5 | 27.5 | 34.6 | 47.0 |
| EPS growth (%) | 172.5 | (17.9) | 26.0 | 35.7 |
| RoAE (%) | 14.4 | 6.4 | 8.1 | 10.2 |
| P/E (x) | 28.1 | 34.2 | 27.2 | 20.0 |
| EV/EBITDA (x) | 14.1 | 14.5 | 12.5 | 10.3 |
| Dividend yield (%) | 0.5 | 0.5 | 0.7 | 1.0 |

## PRICE PERFORMANCE




# CDMO Line-3 and Ruby-Fill tracking well

We hosted CFO Mr Arun Kumar Sharma of Jubilant Pharmova (JPL) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Spokane line-3 to start commercial manufacturing in FY27E; ii) Spokane Line-4 is on track; iii) Ruby-Fill performing well and posting margin improvement; iv) Montreal unit reporting temporary impact due to earlier shutdown; and v) guiding to double revenue with 23–25% margins by FY30E.

We believe JPL's multi-year story is on track with rising CDMO/CRDMO mix. We forecast FY26—28E revenue/EPS CAGR of 15%/31% driven by improving product mix. Retain 'BUY' with a TP of INR1,300 (31x H1FY28E EPS).

## Key takeaways

- **Radiopharma:** Ruby-Fill has seen some improvement in the EBITDA margins and attracting new channel partners. DTPA saw generic entry in FY26 and saw market share erosion. Jubilant is on track to launch new products in the PET/SPECT imaging over next 2-3 years with TAM of ~USD550mn. MIBG filling by H2FY27 and MIBG can generate peak sales of USD70-100mn. Next two quarters to see impact of the supply shortages of SPECT products.

- **Radiopharmacies:** JPL has started to distribute two PET imaging products i.e. Neuraceq and Pylarify, which can provide growth in the PET radiopharmacies. The proposed expansion of adding six new PET radiopharmacies (USD50mn capex) is underway. These new PET radiopharmacies would be fully operational in FY28 and can generate >20% RoCE. SPECT business remains competitive.

- **Allergy immunotherapy:** Growth levers include: i) strengthening the existing position in venom and non-venom segments in the US; ii) expanding footprint in select international markets; and iii) developing new products and technologies.

- **CDMO-SI- Spokane unit:** The line-3 has started to generate technology transfer revenue. The commercial batch production would start from FY27 after FDA approves client's product. Jubilant is witnessing growth in RFPs at Line-3 hence it expects to reach full utilisation in the next 3 years. Line-4 expansion is on track and would start commercial production by FY28.

- **Montreal facility:** Currently under OAI status and operations were temporarily shut down that led to lower margins. Production has resumed in Q4-FY26. At Montreal facility, the company announced USD114mn investment. USD35mn of this investment is funded by Canadian government through concessional loans. This line is expected to be commercially qualified by end-FY26.

- **CRDMO/generics:** JPL on-boarded three large pharma companies in the last one year. The medium-term outlook on this business continues to be positive due to increase in large pharma clients and the addition in new capabilities.

**Shrikant Akolkar**
Shrikant.Akolkar@nuvama.com

**Aashita Jain**
Aashita.Jain@nuvama.com

**Tanay Parab**
Tanay.Parab@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 72,345 | 82,578 | 94,565 | 1,08,314 |
| Gross profit | 49,175 | 55,919 | 64,304 | 73,654 |
| Employee costs | 22,679 | 26,822 | 31,206 | 35,744 |
| R&D cost | 0 | 0 | 0 | 0 |
| Other expenses | 14,759 | 16,601 | 18,348 | 19,788 |
| EBITDA | 11,737 | 12,495 | 14,749 | 18,122 |
| Depreciation | 3,686 | 4,282 | 5,178 | 5,801 |
| Less: Interest expense | 2,403 | 2,113 | 2,200 | 2,400 |
| Add: Other income | 568 | 628 | 600 | 600 |
| Profit before tax | 6,216 | 6,728 | 7,971 | 10,521 |
| Prov for tax | 1,443 | 2,204 | 2,471 | 3,051 |
| Less: Exceptional item | 3,595 | (455) | 0 | 0 |
| Reported profit | 8,394 | 4,079 | 5,512 | 7,482 |
| Adjusted profit | 5,328 | 4,374 | 5,512 | 7,482 |
| Diluted shares o/s | 159 | 159 | 159 | 159 |
| Adjusted diluted EPS | 33.5 | 27.5 | 34.6 | 47.0 |
| DPS (INR) | 5.0 | 5.1 | 6.9 | 9.4 |
| Tax rate (%) | 23.2 | 32.8 | 31.0 | 29.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 158 | 158 | 158 | 158 |
| Reserves | 62,391 | 65,654 | 70,064 | 76,049 |
| Shareholders funds | 62,549 | 65,812 | 70,222 | 76,207 |
| Minority interest | (163) | (163) | (163) | (163) |
| Borrowings | 27,310 | 30,755 | 37,746 | 44,810 |
| Trade payables | 10,048 | 10,860 | 12,177 | 13,651 |
| Other liabs & prov | 9,898 | 11,561 | 13,239 | 15,164 |
| Total liabilities | 1,27,564 | 1,33,759 | 1,47,655 | 1,64,339 |
| Net block | 21,323 | 25,721 | 30,690 | 35,393 |
| Intangible assets | 36,377 | 37,454 | 34,832 | 35,039 |
| Capital WIP | 27,147 | 34,683 | 37,826 | 37,910 |
| Total fixed assets | 84,847 | 97,858 | 1,03,348 | 1,08,342 |
| Non current inv | 435 | 488 | 548 | 617 |
| Cash/cash equivalent | 10,888 | (962) | 2,230 | 7,940 |
| Sundry debtors | 8,915 | 10,181 | 11,659 | 13,354 |
| Loans & advances | 11 | 11 | 11 | 11 |
| Other assets | 18,532 | 20,730 | 23,615 | 26,925 |
| Total assets | 1,27,564 | 1,33,759 | 1,47,655 | 1,64,339 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin | 47.0 | 40.2 | 36.2 | 40.0 |
| R&D as a % of sales | 13.9 | 36.8 | 21.1 | 23.7 |
| Net Debt/EBITDA | 26.9 | 17.4 | 12.1 | 10.0 |
| EBITDA margin (%) | 16.2 | 15.1 | 15.6 | 16.7 |
| Net profit margin (%) | 7.4 | 5.3 | 5.8 | 6.9 |
| Revenue growth (% YoY) | 7.9 | 14.1 | 14.5 | 14.5 |
| EBITDA growth (% YoY) | 30.3 | 6.5 | 18.0 | 22.9 |
| Adj. profit growth (%) | 172.5 | (17.9) | 26.0 | 35.7 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 9,806 | 6,270 | 7,971 | 10,521 |
| Add: Depreciation | 3,686 | 4,282 | 5,178 | 5,801 |
| Interest (net of tax) | 0 | 0 | 0 | 0 |
| Others | (4,351) | 98 | 400 | 117 |
| Less: Changes in WC | 1,580 | (1,605) | (1,967) | (2,293) |
| Operating cash flow | 10,721 | 9,045 | 11,583 | 14,146 |
| Less: Capex | (11,156) | (9,848) | (8,005) | (11,261) |
| Free cash flow | (435) | (803) | 3,578 | 2,885 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.6 | 87.5 | 87.0 | 88.0 |
| Capex (USD mn) | 3.5 | 9.5 | 13.0 | 11.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 14.4 | 6.4 | 8.1 | 10.2 |
| RoCE (%) | 9.5 | 9.5 | 10.0 | 11.3 |
| Inventory days | 191 | 162 | 161 | 161 |
| Receivable days | 46 | 42 | 42 | 42 |
| Payable days | 147 | 143 | 139 | 136 |
| Working cap (% sales) | 9.2 | 9.8 | 9.9 | 10.1 |
| Gross debt/equity (x) | 0.4 | 0.5 | 0.5 | 0.6 |
| Net debt/equity (x) | 0.3 | 0.5 | 0.5 | 0.5 |
| Interest coverage (x) | 3.4 | 3.9 | 4.4 | 5.1 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 28.1 | 34.2 | 27.2 | 20.0 |
| Price/BV (x) | 2.4 | 2.3 | 2.1 | 2.0 |
| EV/EBITDA (x) | 14.1 | 14.5 | 12.5 | 10.3 |
| Dividend yield (%) | 0.5 | 0.5 | 0.7 | 1.0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 172.5 | (17.9) | 26.0 | 35.7 |
| RoE (%) | 14.4 | 6.4 | 8.1 | 10.2 |
| EBITDA growth (%) | 30.3 | 6.5 | 18.0 | 22.9 |
| Payout ratio (%) | 9.5 | 20.0 | 20.0 | 20.0 |

*Source: Company and Nuvama estimates*

# KAYNES TECHNOLOGY

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 3,944 |
| 12 month price target (INR) | 5,200 |
| 52 Week High/Low | 7,705/3,295 |
| Market cap (INR bn/USD bn) | 264/2.9 |
| Free float (%) | 34.0 |
| Avg. daily value traded (INR mn) | 11,197.2 |

## SHAREHOLDING PATTERN

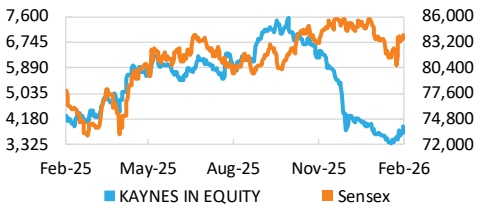
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 53.46% | 53.46% | 53.52% |
| FII | 8.87% | 10.71% | 10.71% |
| DII | 16.73% | 23.66% | 22.39% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 27,218 | 37,860 | 56,360 | 83,510 |
| EBITDA | 4,107 | 6,133 | 8,619 | 13,209 |
| Adjusted profit | 2,934 | 4,199 | 5,112 | 6,621 |
| Diluted EPS (INR) | 45.8 | 62.6 | 76.3 | 98.8 |
| EPS growth (%) | 59.7 | 36.8 | 21.8 | 29.5 |
| RoAE (%) | 11.0 | 10.9 | 10.0 | 11.7 |
| P/E (x) | 86.1 | 63.0 | 51.7 | 39.9 |
| EV/EBITDA (x) | 60.9 | 40.0 | 31.1 | 21.7 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## PRICE PERFORMANCE




# Execution delays; order visibility

We hosted top management of Kaynes Technology at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: Earnings over next few quarters will be shaped by i) recovery in execution across railways and smart metering; ii) strong core EMS growth momentum; iii) working capital normalisation; and iv) medium-term optionality from OSAT and PCB ramp-up.

We believe Kaynes is well positioned to outperform industry over FY27–28, supported by a diversified portfolio and structurally improving margins; retain 'BUY' with a TP of INR990 (42x Dec-27E EPS).

## Key takeaways

- **Growth outlook:** Management reiterated their USD1bn revenue target by FY28, driven by diversified core EMS growth, rising ODM mix, and scale-up in new verticals (OSAT, PCB), while FY26 revenue guidance was maintained at ~INR41bn.
- **Demand drivers**: Core EMS (excluding smart meters) continues to grow strongly (~40% YoY in 9MFY26), supported by automotive, industrial (non-metering), aerospace & defence, and railways (non-Kavach).
- **Execution visibility:** Near-term revenue remains a lagging indicator due to client-side delays and phased project execution (railways, Kavach), with a sharp Q4FY26 ramp-up (~INR 17bn) likely as deferred orders get executed.
- **Margins:** EBITDA margins are expected to remain resilient, supported by improving segment mix (higher defence/aerospace and ODM contribution), though benefits may be partly offset by higher interest costs from elevated working capital.
- **Working capital:** Net working capital remains elevated (~139 days), driven by receivables and inventory build-up; management targets improvement toward ~80–85 days as execution accelerates and smart meter exposure shifts to a device-led model.
- **OSAT & PCB optionality:** OSAT is likely to post revenue of ~INR15bn by FY28 while HDI PCB manufacturing (minimum ~INR10bn revenue by FY28) adds backward integration and long-term margin optionality,

**Achal Lohade**
achal.lohade@nuvama.com

**Rohan Jain**
Rohan.Jain@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 27,218 | 37,860 | 56,360 | 83,510 |
| Gross profit | 8,220 | 12,872 | 19,726 | 29,646 |
| Employee costs | 1,781 | 3,116 | 5,609 | 7,572 |
| Other expenses | 2,333 | 3,623 | 5,498 | 8,865 |
| EBITDA | 4,107 | 6,133 | 8,619 | 13,209 |
| Depreciation | 447 | 750 | 1,400 | 2,800 |
| Less: Interest expense | 1,013 | 1,300 | 1,365 | 2,321 |
| Add: Other income | 1,070 | 1,300 | 700 | 400 |
| Profit before tax | 3,716 | 5,383 | 6,554 | 8,489 |
| Prov for tax | 782 | 1,184 | 1,442 | 1,868 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 2,934 | 4,199 | 5,112 | 6,621 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 2,934 | 4,199 | 5,112 | 6,621 |
| Diluted shares o/s | 64 | 67 | 67 | 67 |
| Adjusted diluted EPS | 45.8 | 62.6 | 76.3 | 98.8 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 21.0 | 22.0 | 22.0 | 22.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 641 | 670 | 670 | 670 |
| Reserves | 27,762 | 47,681 | 52,793 | 59,414 |
| Shareholders funds | 28,403 | 48,351 | 53,463 | 60,084 |
| Minority interest | 40 | 40 | 40 | 40 |
| Borrowings | 8,755 | 1,000 | 18,000 | 35,000 |
| Trade payables | 6,829 | 10,372 | 16,985 | 25,168 |
| Other liabs & prov | 2,386 | 1,610 | 2,165 | 2,979 |
| Total liabilities | 46,412 | 61,373 | 90,653 | 1,23,271 |
| Net block | 5,045 | 13,393 | 32,497 | 52,628 |
| Intangible assets | 2,381 | 2,381 | 2,381 | 2,381 |
| Capital WIP | 4,937 | 4,937 | 4,937 | 4,937 |
| Total fixed assets | 12,363 | 20,711 | 39,815 | 59,946 |
| Non current inv | 1,324 | 263 | 263 | 263 |
| Cash/cash equivalent | 10,563 | 8,038 | 2,033 | 680 |
| Sundry debtors | 5,746 | 10,372 | 15,441 | 22,880 |
| Loans & advances | 5,893 | 3,893 | 2,393 | 2,393 |
| Other assets | 10,524 | 18,095 | 30,707 | 37,109 |
| Total assets | 46,412 | 61,373 | 90,653 | 1,23,271 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| COGS (% of rev) | 69.8 | 66.0 | 65.0 | 64.5 |
| Employee cost (%of rev) | 6.5 | 8.2 | 10.0 | 9.1 |
| Other exp (% of rev) | 8.6 | 9.6 | 9.8 | 10.6 |
| EBITDA margin (%) | 15.1 | 16.2 | 15.3 | 15.8 |
| Net profit margin (%) | 10.8 | 11.1 | 9.1 | 7.9 |
| Revenue growth (% YoY) | 50.8 | 39.1 | 48.9 | 48.2 |
| EBITDA growth (% YoY) | 61.6 | 49.3 | 40.5 | 53.2 |
| Adj. profit growth (%) | 60.1 | 43.1 | 21.8 | 29.5 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 3,716 | 5,383 | 6,554 | 8,489 |
| Add: Depreciation | 447 | 750 | 1,400 | 2,800 |
| Interest (net of tax) | 56 | 0 | 665 | 1,921 |
| Others | 181 | 0 | 0 | 0 |
| Less: Changes in WC | (4,522) | (5,540) | (2,289) | (5,108) |
| Operating cash flow | (766) | (591) | 4,888 | 6,234 |
| Less: Capex | (9,487) | (10,989) | (27,228) | (22,666) |
| Free cash flow | (10,254) | (11,580) | (22,340) | (16,433) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 86.1 | 63.0 | 51.7 | 39.9 |
| Price/BV (x) | 8.9 | 5.5 | 4.9 | 4.4 |
| EV/EBITDA (x) | 60.9 | 40.0 | 31.1 | 21.7 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 11.0 | 10.9 | 10.0 | 11.7 |
| RoCE (%) | 14.5 | 15.4 | 13.1 | 13.0 |
| Inventory days | 131 | 146 | 140 | 132 |
| Receivable days | 62 | 78 | 84 | 84 |
| Payable days | 100 | 126 | 136 | 143 |
| Working cap (% sales) | 49.3 | 55.1 | 53.0 | 41.6 |
| Gross debt/equity (x) | 0.3 | 0 | 0.3 | 0.6 |
| Net debt/equity (x) | (0.1) | (0.1) | 0.3 | 0.6 |
| Interest coverage (x) | 3.6 | 4.1 | 5.3 | 4.5 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 59.7 | 36.8 | 21.8 | 29.5 |
| RoE (%) | 11.0 | 10.9 | 10.0 | 11.7 |
| EBITDA growth (%) | 61.6 | 49.3 | 40.5 | 53.2 |
| Payout ratio (%) | 0 | 0 | 0 | 0 |

# LEELA PALACES HOTELS & RESORTS

nuvama institutional equities

POST-CONFERENCE NOTES

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 432 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 475/381 |
| Market cap (INR bn/USD bn) | 144/1.59 |
| Free float (%) | 24.09 |

## SHAREHOLDING PATTERN

| | Jun-25 | Sep-25 | Dec-25 |
|---|---|---|---|
| Promoter | 75.91% | 75.91% | 75.91% |
| FII | 8.65% | 8.50% | 9.02% |
| DII | 9.94% | 11.08% | 10.58%% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22 | FY23A | FY24A | FY25A |
|---|---|---|---|---|
| Revenue | 3,801 | 8,601 | 11,715 | 13,006 |
| EBITDA | 877 | 4,236 | 6,000 | 7,004 |
| Adjusted profit | -3198 | -617 | -21 | 478.27 |
| Diluted EPS (INR) | -18.2 | -3.5 | -0.12 | 1.72 |
| EPS growth (%) | NM | NM | NM | NM |
| RoAE (%) | | | | 13.1 |
| P/E (x) | | | | 252.4 |
| EV/EBITDA (x) | | | | 177.0 |
| Dividend yield (%) | | | | |

# FY28 expansion plan afoot

We hosted CEO Mr Anurag Bhatnagar and top management of Leela Palaces Hotels & Resorts at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) development pipeline currently comprises nine luxury hotels with ~1,046 keys over the next three–four years; ii) management reiterated their long-term EBITDA target of INR20bn by FY30, supported by same-store growth, network expansion and operating leverage; Iii) They believe this is the beginning of a multi-year, multi-decadal demand growth in Indian luxury consumption.

The stock currently trades at 15x FY28 consensus EBITDA, and is *not rated*.

## Key takeaways

- **Luxury consumption boom:** Management believes this is the beginning of a multi-year, multi-decadal demand growth in Indian luxury consumption. Demand is viewed as relatively inelastic compared to other segments.
- **Broad-based growth:** Unlike some peers seeing city-specific weakness (e.g., Mumbai), Leela has reported high double-digit demand growth across both city hotels and leisure resorts.
- **Asset optimisation:** Repurposing underutilised spaces into high-yield F&B outlets (e.g., Le Cirque in Delhi) and retail wings (Bengaluru) is driving incremental EBITDA with minimal capex.
- **Q4 performance outlook:** Q4 is likely to outpace Q3 with management guiding for double-digit growth in both ARR and RevPAR, in line with historical seasonality trends.
- **Project additions and pipeline:** Leela Bengaluru ARC commenced operations from January 1, while the development pipeline comprises nine luxury hotels with approximately 1,046 keys.
- **Dubai transaction:** The Dubai deal was closed with a 25% equity stake and a management contract with the total equity investment of ~USD70mn likely to be recovered over two–three years. It is optimistic on doubling the assets ARR over the next few years.
- **Earnings visibility:** Assets added since listing, including BKC Mumbai (FY29), Dubai (FY28) and Jaisalmer (FY27), are likely to deliver INR3.4bn of stabilised earnings.
- **Long-term targets:** Management reiterated long-term EBITDA target of INR20bn by FY30, supported by same-store growth, network expansion and operating leverage.

**Rajiv Bharti**
Rajiv.Bharti@nuvama.com

**Ashish Vanwari**
AshishK.Vanwari@nuvama.com

# LODHA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 1,090 |
| 12 month price target (INR) | 1,292 |
| 52 Week High/Low | 1,534/864 |
| Market cap (INR bn/USD bn) | 1,089/12.0 |
| Free float (%) | 28.1 |
| Avg. daily value traded (INR mn) | 1,652.0 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 71.85% | 71.87% | 71.90% |
| FII | 23.49% | 24.11% | 24.89% |
| DII | 3.17% | 2.73% | 2.19% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

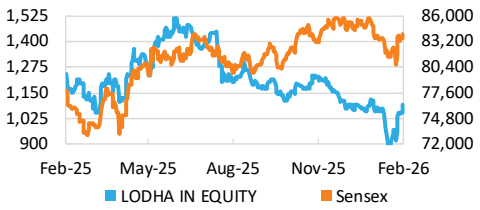
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,37,795 | 1,67,958 | 1,91,062 | 2,66,198 |
| EBITDA | 39,880 | 50,125 | 58,401 | 81,427 |
| Adjusted profit | 27,643 | 33,926 | 39,497 | 56,820 |
| Diluted EPS (INR) | 27.7 | 34.0 | 39.6 | 57.0 |
| EPS growth (%) | 66.6 | 22.7 | 16.4 | 43.9 |
| RoAE (%) | 14.3 | 15.3 | 15.6 | 19.3 |
| P/E (x) | 34.3 | 27.9 | 24.0 | 16.7 |
| EV/EBITDA (x) | 25.1 | 19.8 | 16.9 | 12.0 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 1,67,958 | 1,91,062 | 0% | 0% |
| EBITDA | 50,125 | 58,401 | 0% | 0% |
| Adjusted profit | 33,926 | 39,497 | 0% | 0% |
| Diluted EPS (INR) | 34.0 | 39.6 | 0% | 0% |

## PRICE PERFORMANCE




# On track to achieve guidance

We hosted top management of Lodha Developers (Lodha) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) The company remains on track to meet its FY26E booking guidance of INR210bn, aided by a strong launch pipeline for Q4FY26E. ii) Business development remains healthy. iii) Operations in Bengaluru have stabilised; hence, Lodha has entered the NCR. iv) Data centre opportunity looks promising.

Falling housing volumes in its core markets of the MMR and Pune are a cause for concern; geographical diversification remains a positive. Retain 'BUY' with an unchanged TP of INR1,292.

## Key takeaways

- **Pre-sales**: Lodha had clocked highest-ever quarterly pre-sales in Q3FY26. 9mFY26 pre-sales at ~INR146.4bn were up 14% YoY. By volumes, pre-sales for the company were up 24% YoY in 9mFY26. Launches contributed 33% towards pre-sales in 9mFY26. Management maintained guidance of ~INR210bn pre-sales for FY26E (up 19% YoY) and mentioned that footfalls and conversions remain healthy in the MMR. This means that the company will clock 32% YoY growth in pre-sales in Q4FY26E. The company wishes to maintain ~60:40 sales split between outright and JDA projects.
- **Prices:** On a like-to-like basis, 9mFY26 prices were up 4% YoY; the company expects 5–6% YoY price hikes in FY26E while cost inflation has been 3–4% thereby enabling to maintain ~32–33% embedded EBITDA margins.
- **Launch pipeline**: Lodha has launched ~9.7msf projects with GDV of INR229bn in 9mFY26 and plans to launch ~7msf projects with GDV of ~INR128bn in Q4FY26.
- **Geographical diversification:** After completing its pilot phase in Bengaluru, the company is now entering the growth phase here. It has forayed into the NCR market during the quarter by entering into two JDA projects spanning ~1.1msf with GDV of ~INR33bn.
- **Business development**: The company has added 11 projects with a GDV of ~INR588bn in 9mFY26, which is 2.35x its FY26E BD guidance with GDV of ~INR250bn. Lodha has a substantial project pipeline for the next five years with GDV of over ~INR2tn and hence, land capex can moderate from current levels.
- **Leverage**: It stands at ~0.28x currently and management does not anticipate leverage to surpass their guidance of ~0.5x.
- **Data centre**: The company has signed two MoUs with the Government of Maharashtra to invest and facilitate investment of INR1.3tn (~USD14bn) in the Data Centre Park. Lodha is seeing higher interest from co-location and hyper scalers for the data centre.

**Parvez Qazi**
Parvez.Qazi@nuvama.com

**Vasudev Ganatra**
Vasudev.Ganatra@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,37,795 | 1,67,958 | 1,91,062 | 2,66,198 |
| Gross profit | 55,299 | 66,796 | 75,605 | 1,07,793 |
| Employee costs | 5,433 | 5,960 | 6,238 | 9,559 |
| Other expenses | 9,986 | 10,711 | 10,966 | 16,807 |
| EBITDA | 39,880 | 50,125 | 58,401 | 81,427 |
| Depreciation | 2,719 | 3,378 | 3,469 | 3,894 |
| Less: Interest expense | 5,495 | 6,909 | 6,579 | 6,249 |
| Add: Other income | 3,903 | 4,254 | 4,467 | 4,690 |
| Profit before tax | 35,555 | 44,092 | 52,820 | 75,973 |
| Prov for tax | 7,889 | 10,141 | 13,295 | 19,123 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 27,643 | 33,926 | 39,497 | 56,820 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 27,643 | 33,926 | 39,497 | 56,820 |
| Diluted shares o/s | 998 | 998 | 998 | 998 |
| Adjusted diluted EPS | 27.7 | 34.0 | 39.6 | 57.0 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 22.2 | 23.0 | 25.2 | 25.2 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 9,976 | 9,976 | 9,976 | 9,976 |
| Reserves | 1,91,802 | 2,20,865 | 2,54,699 | 3,03,365 |
| Shareholders funds | 2,01,778 | 2,30,841 | 2,64,675 | 3,13,341 |
| Minority interest | 670 | 695 | 723 | 754 |
| Borrowings | 70,804 | 66,804 | 62,804 | 58,804 |
| Trade payables | 30,656 | 31,066 | 31,476 | 31,886 |
| Other liabs & prov | 415 | 440 | 465 | 490 |
| Total liabilities | 4,95,112 | 5,35,739 | 5,80,462 | 6,20,460 |
| Net block | 13,714 | 11,015 | 8,226 | 12,444 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 0 | 2,289 | 5,253 | 5,838 |
| Total fixed assets | 13,714 | 13,304 | 13,479 | 18,281 |
| Non current inv | 12,500 | 12,700 | 13,200 | 13,900 |
| Cash/cash equivalent | 17,415 | 22,115 | 23,981 | 28,301 |
| Sundry debtors | 7,763 | 11,757 | 11,464 | 15,972 |
| Loans & advances | 18,427 | 25,112 | 36,112 | 48,112 |
| Other assets | 4,25,293 | 4,50,750 | 4,82,226 | 4,95,893 |
| Total assets | 4,95,112 | 5,35,739 | 5,80,462 | 6,20,460 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Selling price infl. (%) | 7.0 | 7.0 | 7.0 | 7.0 |
| Const. cost infl. (%) | 5.5 | 5.5 | 5.5 | 5.5 |
| Gross margin (%) | 40.1 | 39.8 | 39.6 | 40.5 |
| EBITDA margin (%) | 28.9 | 29.8 | 30.6 | 30.6 |
| Net profit margin (%) | 20.1 | 20.2 | 20.7 | 21.3 |
| Revenue growth (% YoY) | 33.6 | 21.9 | 13.8 | 39.3 |
| EBITDA growth (% YoY) | 49.0 | 25.7 | 16.5 | 39.4 |
| Adj. profit growth (%) | 67.1 | 22.7 | 16.4 | 43.9 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 27,666 | 33,951 | 39,525 | 56,851 |
| Add: Depreciation | 2,719 | 3,378 | 3,469 | 3,894 |
| Interest (net of tax) | 4,276 | 5,320 | 4,923 | 4,676 |
| Others | 0 | 0 | 0 | 0 |
| Less: Changes in WC | 40,065 | 20,398 | 27,221 | 34,674 |
| Operating cash flow | (5,404) | 22,251 | 20,696 | 30,747 |
| Less: Capex | 1,984 | (410) | 175 | 4,802 |
| Free cash flow | (7,388) | 22,661 | 20,521 | 25,945 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.2 | 7.0 | 7.0 |
| Repo rate (%) | 5.3 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 82.0 | 82.0 | 81.0 | 81.0 |
| Interest cost (%) | 4.0 | 4.1 | 3.4 | 2.3 |
| Employee cost (%) | 3.9 | 3.5 | 3.3 | 3.6 |
| Other exp. (%) | 7.2 | 6.4 | 5.7 | 6.3 |
| Other inc. (%) | 2.8 | 2.5 | 2.3 | 1.8 |
| Dep. (% gr. block) | 7.3 | 8.9 | 8.9 | 8.2 |
| Effect. tax rate (%) | 22.2 | 23.0 | 25.2 | 25.2 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 14.3 | 15.3 | 15.6 | 19.3 |
| RoCE (%) | 10.5 | 11.9 | 12.6 | 16.2 |
| Inventory days | 1,559 | 1,356 | 1,271 | 969 |
| Receivable days | 21 | 21 | 22 | 19 |
| Payable days | 125 | 111 | 99 | 73 |
| Working cap (% sales) | 305.7 | 272.0 | 260.9 | 198.3 |
| Gross debt/equity (x) | 0.4 | 0.3 | 0.2 | 0.2 |
| Net debt/equity (x) | 0.3 | 0.2 | 0.1 | 0.1 |
| Interest coverage (x) | 6.8 | 6.8 | 8.3 | 12.4 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 34.3 | 27.9 | 24.0 | 16.7 |
| Price/BV (x) | 4.7 | 4.1 | 3.6 | 3.0 |
| EV/EBITDA (x) | 25.1 | 19.8 | 16.9 | 12.0 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 66.6 | 22.7 | 16.4 | 43.9 |
| RoE (%) | 14.3 | 15.3 | 15.6 | 19.3 |
| EBITDA growth (%) | 49.0 | 25.7 | 16.5 | 39.4 |
| Payout ratio (%) | 0 | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

# LTIMINDTREE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 5,630 |
| 12 month price target (INR) | 7,750 |
| 52 Week High/Low | 6,430/3,802 |
| Market cap (INR bn/USD bn) | 1,646/18.2 |
| Free float (%) | 22.3 |
| Avg. daily value traded (INR mn) | 1,908.5 |

## SHAREHOLDING PATTERN

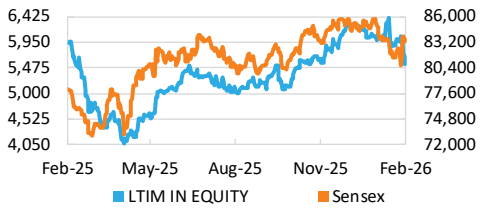
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 68.53% | 68.54% | 68.56% |
| FII | 6.51% | 6.40% | 6.62% |
| DII | 16.80% | 16.57% | 16.10% |
| Pledge | 0.0% | 0.00% | 0.00% |

## FINANCIALS

(INR bn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 380 | 419 | 459 | 507 |
| EBITDA | 65 | 75 | 83 | 93 |
| Adjusted profit | 46 | 55 | 64 | 72 |
| Diluted EPS (INR) | 155.5 | 186.5 | 215.0 | 242.7 |
| EPS growth (%) | 0.4 | 19.9 | 15.3 | 12.9 |
| RoAE (%) | 21.5 | 21.9 | 24.9 | 24.2 |
| P/E (x) | 41.2 | 34.4 | 29.8 | 26.4 |
| EV/EBITDA (x) | 28.6 | 24.8 | 22.2 | 19.6 |
| Dividend yield (%) | 1.0 | 1.2 | 1.3 | 1.4 |

## PRICE PERFORMANCE




# Execution to drive consistency

We hosted top management of LTIMindtree (LTIM) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) BlueVerse AI platform is driving client transformation; ii) BFSI productivity headwinds are easing; iii) post-merger execution is stabilising delivery; and iv) margins are recovering through Fit4Future program efficiencies.

LTIM finally appears to be moving towards realising its true potential under the leadership of Mr Venu Lambu. Margins too have now improved for three consecutive quarters. We continue to like the story; retain 'BUY' with a TP of INR7,750 (32x FY28 PE).

## Key takeaways

- **AI led transformation will create huge opportunity:** In the short run, there will be disruption, which will mean that growth will not be easy. But in the long term, GenAI will create massive opportunity for the industry.
- **Large deal engine improving:** LTIM is seeing better conversion and ramp-up of large deals, strengthening revenue visibility and operational stability.
- **Growth momentum improving**: The company has delivered steady growth over recent quarters and expects this trajectory to continue, supported by deal ramp-ups and a stronger pipeline.
- **BFSI stabilisation ahead**: BFSI softness driven by productivity transitions in a few large clients is bottoming out with management expecting stabilisation as these transitions complete. **Manufacturing and Healthcare** are driving growth, supported by transformation-led and AI-driven engagements.
- **Margins recovering:** Margins are benefiting from operational efficiency programs and pyramid optimisation with continued focus on cost discipline despite near-term wage pressures.
- **Top clients:** Four of the Top-five clients have already stabilised and the fifth one is likely to bottom out in Q4. The top-five bucket is likely to grow hereafter.
- **BlueVerse AI scaling up across client programs**: LTIM is accelerating its AI strategy through the BlueVerse platform and embedding AI-led solutions across client engagements, helping clients drive productivity and modernisation.
- The company is investing in hiring and upskilling, particularly in AI and domain capabilities, to support future growth.
- **Outlook**: Management expects growth momentum to continue, supported by deal ramp-ups along with traction in AI-led offerings and continues to target near double-digit growth in Q4.

**Vibhor Singhal**
VIBHOR.SINGHAL@nuvama.com

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Yukti Khemani**
Khemani.Yukti@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 3,80,081 | 4,19,366 | 4,58,854 | 5,06,683 |
| Cost of revenues | 2,68,217 | 2,95,397 | 3,22,610 | 3,55,930 |
| Gross Profit | 1,11,864 | 1,23,969 | 1,36,244 | 1,50,753 |
| SG&A | 46,915 | 48,552 | 52,768 | 57,255 |
| EBITDA | 64,949 | 75,417 | 83,476 | 93,498 |
| Depreciation | 9,915 | 10,532 | 10,741 | 11,111 |
| EBIT | 55,034 | 64,885 | 72,735 | 82,387 |
| Add: Other income | 9,897 | 12,126 | 13,920 | 15,208 |
| Profit before tax | 62,142 | 74,351 | 84,855 | 95,795 |
| Prov for tax | 16,122 | 19,470 | 21,214 | 23,949 |
| Less: Other adj | 0 | (4,417) | 0 | 0 |
| Reported profit | 46,020 | 50,773 | 63,641 | 71,846 |
| Less: Excp.item (net) | 0 | (4,417) | 0 | 0 |
| Adjusted profit | 46,020 | 55,190 | 63,641 | 71,846 |
| Diluted shares o/s | 296 | 296 | 296 | 296 |
| Adjusted diluted EPS | 155.5 | 186.5 | 215.0 | 242.7 |
| DPS (INR) | 65.0 | 77.0 | 85.0 | 90.0 |
| Tax rate (%) | 25.9 | 26.2 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 296 | 296 | 296 | 296 |
| Reserves | 2,26,819 | 2,35,599 | 2,74,080 | 3,19,286 |
| Shareholders funds | 2,27,115 | 2,35,895 | 2,74,376 | 3,19,582 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 0 | 0 | 0 | 0 |
| Trade payables | 45,652 | 64,418 | 71,834 | 79,249 |
| Other liabs & prov | 32,292 | 40,296 | 41,689 | 43,584 |
| Total liabilities | 3,06,300 | 3,41,820 | 3,89,110 | 4,43,626 |
| Net block | 59,661 | 63,910 | 66,110 | 68,310 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 0 | 0 | 0 | 0 |
| Total fixed assets | 59,661 | 63,910 | 66,110 | 68,310 |
| Non current inv | 73,740 | 1,16,118 | 1,36,118 | 1,56,118 |
| Cash/cash equivalent | 35,882 | 27,649 | 42,498 | 60,911 |
| Sundry debtors | 76,882 | 83,775 | 90,987 | 1,00,829 |
| Loans & advances | 31,864 | 10,739 | 11,154 | 11,647 |
| Other assets | 0 | 0 | 0 | 0 |
| Total assets | 3,06,300 | 3,41,820 | 3,89,110 | 4,43,626 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Employees cost | 70.6 | 70.4 | 70.3 | 70.2 |
| Other cost | 12.3 | 11.6 | 11.5 | 11.3 |
| Depreciation (% of rev) | 16.9 | 17.5 | 17.2 | 17.9 |
| EBIT margin (%) | 14.5 | 15.5 | 15.9 | 16.3 |
| Net profit margin (%) | 12.1 | 13.2 | 13.9 | 14.2 |
| Revenue growth (% YoY) | 7.0 | 10.3 | 9.4 | 10.4 |
| EBIT growth (% YoY) | (1.2) | 17.9 | 12.1 | 13.3 |
| Adj. profit growth (%) | 0.4 | 19.9 | 15.3 | 12.9 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 46,020 | 54,881 | 63,641 | 71,846 |
| Add: Depreciation | 9,915 | 10,532 | 10,741 | 11,111 |
| Interest (net of tax) | 0 | 0 | 0 | 0 |
| Others | 0 | 0 | 0 | 0 |
| Less: Changes in WC | (8,577) | 29,614 | (1,433) | (4,593) |
| Operating cash flow | 47,358 | 95,028 | 72,949 | 78,364 |
| Less: Capex | (14,261) | (14,781) | (12,941) | (13,311) |
| Free cash flow | 33,097 | 80,246 | 60,008 | 65,053 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.6 | 87.7 | 88.0 | 88.0 |
| | | | | |
| USD revenue (USD mn) | 4,492.5 | 4,782.4 | 5,214.2 | 5,757.8 |
| YoY growth (%) | 4.8 | 6.5 | 9.0 | 10.4 |
| CC YoY growth (%) | 5.0 | 6.2 | 9.0 | 10.4 |
| Tax rate as % of PBT | 25.9 | 26.2 | 25.0 | 25.0 |
| Capex (INR mn) | 14,261.0 | 14,781.5 | 12,940.9 | 13,310.5 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 21.5 | 21.9 | 24.9 | 24.2 |
| RoCE (%) | 22.5 | 24.6 | 25.5 | 24.6 |
| Div Payout Ratio(%) | 41.8 | 44.9 | 39.5 | 37.1 |
| | | | | |
| Working cap/Sales (%) | 8 | (2) | (2) | (2) |
| Receivable days | 71 | 70 | 70 | 69 |
| Asset Turnover Ratio | 0.7 | 0.6 | 0.6 | 0.6 |
| Current Ratio | 1.9 | 1.2 | 1.3 | 1.4 |
| Net debt/equity (x) | (0.2) | (0.1) | (0.2) | (0.2) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 41.2 | 34.4 | 29.8 | 26.4 |
| Price/BV (x) | 8.3 | 8.0 | 6.9 | 5.9 |
| EV/EBITDA (x) | 28.6 | 24.8 | 22.2 | 19.6 |
| Dividend yield (%) | 1.0 | 1.2 | 1.3 | 1.4 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 0.4 | 19.9 | 15.3 | 12.9 |
| RoE (%) | 21.5 | 21.9 | 24.9 | 24.2 |
| EBITDA growth (%) | 1.7 | 16.1 | 10.7 | 12.0 |
| Payout ratio (%) | 41.8 | 44.9 | 39.5 | 37.1 |

*Source: Company and Nuvama estimates*

# MAHINDRA LIFESPACE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 377 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 427/256 |
| Market cap (INR bn/USD bn) | 80.5/0.9 |
| Free float (%) | 38.1 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 52.4% | 52.4% | 52.4% |
| FII | 7.8% | 8.1% | 8.7% |
| DII | 22.8% | 22.4% | 21.8% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22A | FY23A | FY24A | FY25A |
|---|---|---|---|---|
| Revenue | 3,940 | 6,070 | 2,120 | 3,720 |
| EBITDA | -880 | -1100 | -1710 | -1700 |
| Adjusted profit | 1,620 | 1,030 | 980 | 610 |
| Diluted EPS (INR) | 7.3 | 4.8 | 4.6 | 2.9 |
| EPS growth (%) | NA | -34 | -3 | -38 |
| ROCE (%) | 1 | 2 | 2 | 2 |
| P/E (x) | 3 | 82 | 421 | 130 |
| EV/EBITDA (x) | 1 | 35 | 564 | 84 |
| Dividend payout (%) | 20 | 35 | 42 | 71 |

# Decent growth

We hosted CEO Mr Amit Kumar Sinha of Mahindra Lifespaces Developers (MLDL) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) FY27 pre-sales guidance retained at INR45–50bn despite market headwinds. II) MLDL expects to launch seven projects with GDV exceeding INR70–80bn by end-FY27. iii) Management focusing on mid-income segment and staying away from extremes viz. affordable and luxury segments. iv) Bengaluru launches continue to do well for the company, signalling strong demand in mid-premium segment despite broader weakness.

The stock is *not rated*.

## Key takeaways

- **Launches to drive pre-sales:** The company is planning to launch seven projects by the end of FY27 with combined GDV exceeding INR70–80bn. These include Bhandup phase-1 project with GDV of INR30bn, Mahalaxmi project (GDV of INR16.5bn), Citadel project in Pune (residential GDV of INR10bn and commercial GDV of INR5bn) and Mahalunge in Pune.
- Saibaba redevelopment project (GDV of INR18bn), Navarathna (Bengaluru) and Thane (INR80bn GDV) together form a strong medium-term pipeline anchoring MLDL's FY27–28 growth visibility.
- **Market demand:** Sales are slowing — inventory overhang too has increased to 15 months from 13 months. Volumes are down and prices largely flat-to-down in markets such as Hyderabad and the NCR. Management is focusing on mid-income segment and plans to stay away from the extremes viz. affordable and luxury segments. MLDL is focusing on the MMR, Pune and Bengaluru markets while avoiding the NCR and Hyderabad.
- **Leverage:** The Company reported net debt-to-equity ~(0.12)x and cost of debt ~6.7%; it expects most funding for future projects to come from internal accruals but is in talks with long-term equity partners for project level equity.
- **Bengaluru continues to do well:** Mahindra Blossom project clocked pre-sales of INR10bn in a single weekend in Q3FY26 (>50–60% of the project's INR18 GDV) signalling strong demand in mid-premium segment despite broader weakness. Bengaluru markets have been the best performing market for the company with high velocity, attractive price points, highest IRRs and several projects delivering strong returns.
- **IC & IC business:** This vertical has posted ~30% growth in 9mFY26 with strong leasing activity in Jaipur and Chennai. IC & IC revenue in 9mFY26 was highest-ever, reflecting improving annuity scale.

**Parvez Qazi**
Parvez.Qazi@nuvama.com

**Vasudev Ganatra**
Vasudev.Ganatra@nuvama.com

# MAHINDRA LOGISTICS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 375 |
| 12 month price target (INR) | 410 |
| 52 Week High/Low | 383/217 |
| Market cap (INR bn/USD bn) | 37/0.4 |
| Free float (%) | 67.5 |
| Avg. daily value traded (INR mn) | 114.2 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 59.60% | 59.60% | 57.97% |
| FII | 4.40% | 3.86% | 4.79% |
| DII | 12.33% | 13.65% | 13.87% |
| Pledge | 0% | 0% | 0% |

# Margin-led recovery

We hosted top management of Mahindra Logistics at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Profitability-led growth in focus, driven by pricing, customer rationalisation and white space reduction. ii) Express business is near EBITDA breakeven, supported by stable yields and improving utilisation. iii) Contract Logistics outlook remains healthy with traction across auto, pharma, e-commerce and non-Mahindra clients. iv) Last-mile delivery likely to improve Q4FY26 onwards.

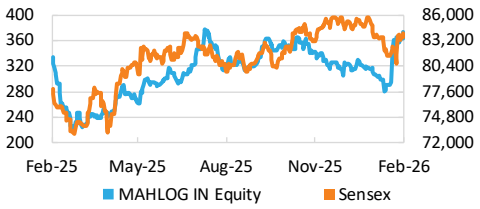
Maintain 'BUY' with a Dec-26E TP of INR410 (INR410 earlier), based on 8x Dec-27E EV/EBITDA.

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 61,048 | 72,135 | 80,237 | 88,079 |
| EBITDA | 2,841 | 3,688 | 4,971 | 5,597 |
| Adjusted profit | (359) | 48 | 1,122 | 1,441 |
| Diluted EPS (INR) | (5.0) | 0.5 | 11.3 | 14.5 |
| EPS growth (%) | NM | NM | 2254.2 | 28.5 |
| RoAE (%) | 5.7 | (6.9) | (3.0) | (0.2) |
| P/E (x) | NM | 780.9 | 33.2 | 25.8 |
| EV/EBITDA (x) | 11.6 | 10.2 | 8.1 | 6.2 |
| Dividend yield (%) | 0.7 | 1.1 | 1.1 | 0.9 |

## PRICE PERFORMANCE




## Key takeaways

- **Profitability-led growth strategy** with management prioritising contract selection, customer pruning (50–60% has been completed), pricing discipline and cost controls across businesses while maintaining diversification across Mahindra, non-Mahindra clients and auto/non-auto verticals to support sustainable long-term growth.
- **Contract Logistics (3PL/SCM)** outlook stays healthy, backed by continued traction in automotive and pharma, steady momentum in consumer and manufacturing, and strong execution in e-com; deferred customer conversions from Q3 are likely to materialise in subsequent quarters, aiding growth visibility.
- **Express business (PTL + B2B Deliveries)** at an inflection point with management indicating it is very close to EBITDA breakeven, backed by sustained volume growth with stable yields, gradual multi-quarter yield pickup, better lane utilisation, tighter execution via daily monitoring, deeper customer engagement.
- **White space reduction** remains a key medium-term margin lever, with management reiterating its target to eliminate 95% of white space by September 2026, which should structurally improve asset utilisation, unit economics and operating leverage across the network.
- **Capex, fleet expansion** to stay disciplined and return-led, particularly across Mobility, Express with growth in Mobility segment, which is largely B2B-driven.
- **Last-mile delivery** to see structural improvement despite industry headwinds, as exits from unviable customers and sites, coupled with operational improvements are expected to support profitability from Q4 FY26 onwards even though pricing pressure remains a structural challenge due to low entry barriers.
- **Freight forwarding and warehousing** to provide earnings stability with organic growth driven by key customers across ocean and air freight, rising warehousing demand and SCM remaining the dominant revenue contributor, supporting margin resilience amid global trade volatility.

**Achal Lohade**
achal.lohade@nuvama.com

**Rohan Jain**
Rohan.Jain@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 61,048 | 72,135 | 80,237 | 88,079 |
| Gross profit | 8,439 | 9,882 | 11,394 | 12,507 |
| Employee costs | 4,036 | 4,278 | 4,492 | 4,762 |
| Other expenses | 1,563 | 1,916 | 1,931 | 2,149 |
| EBITDA | 2,841 | 3,688 | 4,971 | 5,597 |
| Depreciation | 2,263 | 2,810 | 2,942 | 3,082 |
| Less: Interest expense | 812 | 756 | 617 | 674 |
| Add: Other income | 158 | 180 | 189 | 198 |
| Profit before tax | (77) | 303 | 1,600 | 2,039 |
| Prov for tax | 223 | 191 | 408 | 520 |
| Less: Other adjustment | 0 | (74) | 0 | 0 |
| Reported profit | (359) | (26) | 1,122 | 1,441 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Group adjusted profit | (359) | 48 | 1,122 | 1,441 |
| Diluted shares o/s | 72 | 99 | 99 | 99 |
| Adjusted diluted EPS | (5) | 0 | 11 | 15 |
| DPS (INR) | 4.3 | 3.3 | 0 | 0 |
| Tax rate (%) | 20.6 | 82.2 | 291.1 | 63.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 721 | 992 | 992 | 992 |
| Reserves | 3,658 | 10,573 | 11,387 | 12,501 |
| Shareholders funds | 4,379 | 11,565 | 12,379 | 13,493 |
| Minority interest | 164 | 228 | 299 | 376 |
| Borrowings | 4,242 | 0 | 0 | 0 |
| Trade payables | 10,997 | 14,822 | 16,487 | 18,098 |
| Other liabs & prov | 5,471 | 6,717 | 7,983 | 9,349 |
| Total liabilities | 25,251 | 33,332 | 37,148 | 41,317 |
| Net block | 8,708 | 10,499 | 12,491 | 14,706 |
| Intangible assets | 588 | 588 | 588 | 588 |
| Capital WIP | 458 | 458 | 458 | 458 |
| Total fixed assets | 9,753 | 11,544 | 13,536 | 15,752 |
| Non current inv | 226 | 226 | 226 | 226 |
| Cash/cash equivalent | 760 | 3,290 | 3,722 | 3,753 |
| Sundry debtors | 6,251 | 8,893 | 9,233 | 10,135 |
| Loans & advances | 8,261 | 9,378 | 10,431 | 11,450 |
| Other assets | 0 | 0 | 0 | 0 |
| Total assets | 25,251 | 33,332 | 37,148 | 41,317 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EBITDA margin (%) | 5.1 | 4.2 | 4.7 | 5.1 |
| Other Exp ( % of rev) | 2.5 | 3.3 | 2.6 | 2.7 |
| Net profit margin (%) | 0.5 | (1.1) | (0.6) | 0.1 |
| Revenue growth (% YoY) | 23.8 | 7.4 | 10.9 | 18.2 |
| EBITDA growth (% YoY) | 41.0 | (11.8) | 24.0 | 29.8 |
| COGS (% of rev) | 85.5 | 85.1 | 86.2 | 86.3 |
| Adj. profit growth (%) | 49.7 | nm | (38.7) | nm |
| Employee cost (% rev) | 6.9 | 7.4 | 6.6 | 5.9 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | (77) | 367 | 1,671 | 2,117 |
| Add: Depreciation | 2,263 | 2,810 | 2,942 | 3,082 |
| Interest (net of tax) | 764 | 576 | 428 | 476 |
| Others | (116) | (10) | 71 | 78 |
| Changes in WC | 346 | 349 | 479 | (111) |
| Operating cash flow | 3,432 | 3,902 | 5,183 | 5,122 |
| Less: Capex | (1,809) | (800) | (800) | (800) |
| Free cash flow | 1,623 | 3,102 | 4,383 | 4,322 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | NM | 780.9 | 33.2 | 25.8 |
| Price/BV (x) | 6.2 | 6.2 | 3.2 | 3.0 |
| EV/EBITDA (x) | 11.6 | 10.2 | 8.1 | 6.2 |
| Dividend yield (%) | 0.7 | 1.1 | 1.1 | 0.9 |

*Source: Company and Nuvama estimates*

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 5.7 | (6.9) | (3.0) | (0.2) |
| RoCE (%) | 10.0 | 3.7 | 6.0 | 8.0 |
| Receivable days | 47 | 50 | 54 | 49 |
| Payable days | 92 | 101 | 109 | 101 |
| Cash conversion cycle | (45) | (50) | (54) | (52) |
| Working cap (% sales) | 3.8 | 2.9 | 1.9 | 1.7 |
| Gross debt/equity (x) | 0.9 | 0 | 0 | 0 |
| Net debt/equity (x) | 0.8 | (0.3) | (0.3) | (0.3) |
| Interest coverage (x) | 1.4 | 0.3 | 0.7 | 1.2 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 49.5 | nm | (38.8) | nm |
| RoE (%) | 5.7 | (6.9) | (3.0) | (0.2) |
| EBITDA growth (%) | 41.0 | (11.8) | 24.0 | 29.8 |
| Payout ratio (%) | 74.1 | nm | nm | nm |

# MEDPLUS HEALTH SERVICES

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 871 |
| 12 month price target (INR) | 1,040 |
| 52 Week High/Low | 1,052/603 |
| Market cap (INR bn/USD bn) | 98/1.1 |
| Free float (%) | 59.7 |
| Avg. daily value traded (INR mn) | 247.2 |

## SHAREHOLDING PATTERN

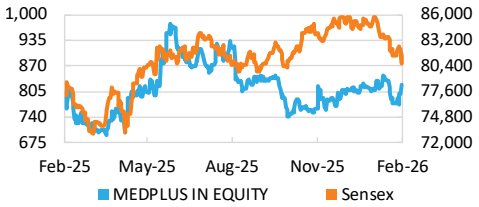
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 40.15% | 40.15% | 40.15% |
| FII | 16.83% | 16.54% | 16.35% |
| DII | 26.57% | 26.52% | 25.92% |
| Pledge | 60.75% | 59.34% | 59.34% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 61,361 | 68,020 | 76,224 | 85,371 |
| EBITDA | 4,871 | 5,945 | 6,778 | 7,529 |
| Adjusted profit | 1,503 | 2,140 | 2,444 | 2,666 |
| Diluted EPS (INR) | 12.6 | 17.9 | 20.5 | 22.3 |
| EPS growth (%) | 129.6 | 42.4 | 14.2 | 9.1 |
| RoAE (%) | 9.1 | 11.6 | 11.8 | 11.4 |
| P/E (x) | 69.1 | 48.7 | 42.5 | 39.1 |
| EV/EBITDA (x) | 19.4 | 15.6 | 13.4 | 11.7 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## PRICE PERFORMANCE




# Expanding stores; pushing private labels

We hosted top management of Medplus Health Services at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Bullish on non-pharma private labels given no inherent growth cap. ii) This along with improved sales incentive structure linked to total sales to drive SSSG. iii) Store opening guidance of 600 for FY26 intact; exploring franchisee model for faster growth. iv) Confident of sustaining 26% gross margin; aims to improve EBITDA margin by 100bp driven by back-end efficiency and operating leverage.

Medplus is focusing on improving SSSG, aggressive store expansion given strong balance sheet and pushing private labels. Maintain 'BUY' with a TP of INR1,040 (18x post-Ind-AS H1FY28E EBITDA).

## Key takeaways

- **Expansion:** FY26 guidance of 600 net stores addition remains intact. Priority is to go deeper into existing states (thus sweating warehouses assets) and then slowly get into adjacent state. This has started in Chhattisgarh and Kerala.
- **Franchisee:** Exploring franchisee model for faster and deeper growth and to be tracked separately in 'Others' segment. Inventory not carried on Medplus's books and returns could be higher; yet to see some success and what support needs to be given to partners initially needs to be tracked.
- **SSSG of 12-plus month stores:** Improved in Q3FY26 to double digits, which management aims to sustain for some time. Change in sales incentive (earlier linked to private labels, but now to overall sales) has helped.
- **Margin guidance:** Gross margin of 26% is sustainable. EBITDA margin of 6% (from 5%) is achievable driven by private labels, back-end efficiencies and ramp-up in general goods (currently 20% versus competitors in 30–50% range). Moreover, 60–70% of new warehouses are already operationalised while manpower deployment is complete with no significant expenses likely going forward.
- **Private label:** Quite bullish on non-pharma private labels given no inherent growth cap, unlike pharma that is constrained by prescription volumes. Reporting good traction in food and wellness category (cold pressed oils). Competition and the growth of quick commerce remain watch points.
- **Private label pharma**: Contributed 18.9% of GMV in Q3FY26, up from 7.9% in Q1FY24 (pre-Medplus branded labels). Penetration is higher in rural areas and long-established markets.
- **Working capital:** Inventory discipline at store and warehouse levels is improving and is reflected in better working capital days. Net WC days for Q3 was 53 days. Inventory in warehouse at 34 days. In Q3FY26, inventory days for first year stores were 103 days.

**Aashita Jain**
Aashita.Jain@nuvama.com

**Shrikant Akolkar**
Shrikant.Akolkar@nuvama.com

**Tanay Parab**
Tanay.Parab@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 61,361 | 68,020 | 76,224 | 85,371 |
| Gross profit | 14,954 | 17,766 | 20,014 | 22,424 |
| Employee costs | 7,260 | 8,698 | 9,819 | 11,112 |
| Other expenses | 2,823 | 3,123 | 3,417 | 3,783 |
| EBITDA | 4,871 | 5,945 | 6,778 | 7,529 |
| Depreciation | 2,498 | 2,822 | 3,096 | 3,489 |
| Less: Interest expense | 1,026 | 1,142 | 1,324 | 1,471 |
| Add: Other income | 486 | 695 | 696 | 823 |
| Profit before tax | 1,833 | 2,675 | 3,054 | 3,392 |
| Prov for tax | 331 | 535 | 611 | 726 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 1,503 | 2,140 | 2,444 | 2,666 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 1,503 | 2,140 | 2,444 | 2,666 |
| Diluted shares o/s | 119 | 119 | 119 | 119 |
| Adjusted diluted EPS | 12.6 | 17.9 | 20.5 | 22.3 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 18.0 | 20.0 | 20.0 | 21.4 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 239 | 239 | 239 | 239 |
| Reserves | 17,166 | 19,307 | 21,750 | 24,416 |
| Shareholders funds | 17,406 | 19,546 | 21,990 | 24,655 |
| Minority interest | (7) | (7) | (7) | (7) |
| Borrowings | 0 | 0 | 0 | 0 |
| Trade payables | 2,990 | 3,314 | 3,714 | 4,159 |
| Other liabs & prov | 712 | 790 | 885 | 991 |
| Total liabilities | 33,601 | 38,053 | 42,741 | 47,492 |
| Net block | 2,907 | 2,941 | 2,938 | 2,899 |
| Intangible assets | 509 | 509 | 509 | 509 |
| Capital WIP | 132 | 132 | 132 | 132 |
| Total fixed assets | 3,547 | 3,582 | 3,579 | 3,540 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 3,672 | 5,617 | 7,720 | 9,989 |
| Sundry debtors | 133 | 147 | 165 | 185 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 15,629 | 17,088 | 18,887 | 20,892 |
| Total assets | 33,601 | 38,053 | 42,741 | 47,492 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin | 24.4 | 26.1 | 26.3 | 26.3 |
| Operating EBITDA margin | 4.2 | 4.8 | 4.9 | 4.8 |
| OCF as a % of sales | 5.2 | 3.1 | 3.0 | 2.8 |
| EBITDA margin (%) | 7.9 | 8.7 | 8.9 | 8.8 |
| Net profit margin (%) | 2.4 | 3.1 | 3.2 | 3.1 |
| Revenue growth (% YoY) | 9.1 | 10.9 | 12.1 | 12.0 |
| EBITDA growth (% YoY) | 37.6 | 22.0 | 14.0 | 11.1 |
| Adj. profit growth (%) | 129.6 | 42.4 | 14.2 | 9.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 1,503 | 2,140 | 2,444 | 2,666 |
| Add: Depreciation | 2,498 | 2,822 | 3,096 | 3,489 |
| Interest (net of tax) | 766 | 447 | 627 | 648 |
| Others | (2,052) | (2,126) | (2,468) | (2,831) |
| Less: Changes in WC | 486 | (1,192) | (1,447) | (1,606) |
| Operating cash flow | 3,201 | 2,091 | 2,252 | 2,366 |
| Less: Capex | (595) | (841) | (845) | (920) |
| Free cash flow | 2,607 | 1,250 | 1,406 | 1,447 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 6.5 | 6.5 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 82.0 | 81.0 | 81.0 | 81.0 |
| Store addition | 305.0 | 600.0 | 600.0 | 600.0 |
| Private labels (%) | 19.3 | 22.1 | 23.8 | 24.8 |
| SSSG Year3/+ stores | (7.0) | (0.7) | 0 | 0 |
| Per store sales (INR mn) | 13.2 | 13.3 | 13.3 | 13.5 |
| Rent per store (INR mn) | 0.5 | 0.5 | 0.5 | 0.6 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 9.1 | 11.6 | 11.8 | 11.4 |
| RoCE (%) | 17.2 | 20.7 | 21.1 | 20.9 |
| Inventory days | 106 | 103 | 103 | 103 |
| Receivable days | 1 | 1 | 1 | 1 |
| Payable days | 22 | 23 | 23 | 23 |
| Working cap (% sales) | 18.0 | 17.8 | 17.7 | 17.5 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.2) | (0.3) | (0.4) | (0.4) |
| Interest coverage (x) | 2.3 | 2.7 | 2.8 | 2.7 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 69.1 | 69.1 | 69.1 | 69.1 |
| Price/BV (x) | 5.6 | 5.0 | 4.5 | 4.0 |
| EV/EBITDA (x) | 19.4 | 15.6 | 13.4 | 11.7 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 129.6 | 42.4 | 14.2 | 9.1 |
| RoE (%) | 9.1 | 11.6 | 11.8 | 11.4 |
| EBITDA growth (%) | 37.6 | 22.0 | 14.0 | 11.1 |
| Payout ratio (%) | 0 | 0 | 0 | 0 |

# MINDA CORPORATION

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 584 |
| 12 month price target (INR) | 710 |
| 52 Week High/Low | 644/445 |
| Market cap (INR bn/USD bn) | 140/1.5 |
| Free float (%) | 33.0 |
| Avg. daily value traded (INR mn) | 278.8 |

## SHAREHOLDING PATTERN

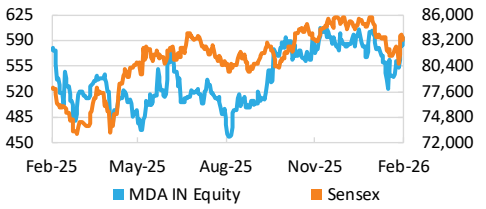
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 64.84% | 64.84% | 64.84% |
| FII | 9.09% | 8.72% | 8.83% |
| DII | 18.43% | 18.52% | 18.17% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 50,562 | 60,629 | 68,441 | 75,619 |
| EBITDA | 5,748 | 7,009 | 7,961 | 8,855 |
| Adjusted profit | 2,554 | 3,257 | 4,204 | 5,007 |
| Diluted EPS (INR) | 10.7 | 13.2 | 17.0 | 20.3 |
| EPS growth (%) | 12.4 | 23.6 | 29.1 | 19.1 |
| RoAE (%) | 12.2 | 13.8 | 14.9 | 15.2 |
| P/E (x) | 56.2 | 45.4 | 35.2 | 29.6 |
| EV/EBITDA (x) | 25.6 | 23.3 | 20.3 | 17.7 |
| Dividend yield (%) | 0.2 | 0.3 | 0.4 | 0.5 |

## PRICE PERFORMANCE




# Growth momentum intact

We hosted President Finance and Strategy Mr Ajay Agarwal and Lead IR Mr Nitesh Jain of Minda Corp at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance.* Highlights: i) 2030 revenue/EBITDA target of INR175bn/INR21bn implies CAGR of 28%/30% over FY25–30E. ii) Improving presence in new categories such as switches with orders of INR10bn and sunroofs with orders of INR3.5bn. iii) Led by EV transition, 2W potential kit value is INR30,000–35,000 (Minda and Flash combined), and 4W kit value is INR50,000–60,000 (can be INR100,000 for complete system solution).

Building in revenue/earnings CAGR of 12%/24% over FY26–28E. Retain 'BUY' with a TP of INR710 based on 35x FY28E EPS.

## Key takeaways

- **Vision 2030:** i) Revenue likely to scale up 3.5x to INR175bn from INR51bn in FY25. ii) EBITDA margin to improve beyond 12.5% (versus 11.4% in FY25). iii) Net debt-to-equity to decline to 0.3x (from 0.6x in FY25), with the company becoming nearly debt-free. iv) RoCE projected to exceed 25%, up from 20% currently
- **Revenue mix:** PV share projected to rise sharply to 25% (from 14% in FY25), reducing 2W/3W and CV contributions to 40% (from 47%) and 25% (from 28%), respectively. Increased PV share is likely to drive strong revenue growth and margin expansion.
- **Premiumisation to drive revenue growth:** i) Smart Access: Revenue is likely to rise from INR1.5bn in FY25 to INR6bn by FY30E, driven by increasing smart key penetration. In the 2W industry, smart key penetration is 20–25% wherein Minda holds a 46% market share. ii) EV products: Wiring harness revenue is projected to grow from INR1.2bn to INR7bn while other EV products' revenue is likely to increase from INR0.5bn to INR3bn. iii) Cockpit Electronics: Revenue to jump from INR1bn in FY25 to INR6bn by FY30E led by the adoption of fully digital displays that support navigation, infotainment and ADAS.
- **Order wins:** i) Sunroof and power tailgate (PTG): Secured an INR3.5bn lifetime order for sunroof systems from leading OEMs. SOP is likely in Q1FY28, and the ramp up is likely to happen in the next two quarters. ii) Switches: Won a INR10bn lifetime order for switches from one of the leading 2W OEMs. SOP is anticipated Q2FY28 onwards. 9MFY26 order wins stood at INR70bn.
- **Flash Electronics:** Management expects margin to be in the range of 16–17%.
- **Sunroof:** Management targets 10–15% market share by FY30/31.
- **Clusters revenue mix:** Mechanical ~45%, Digital ~40% and TFT ~15%.
- **Kit value for EVs:** i) 2W potential kit value is at INR30,000–35,000 (Minda and Flash combined); and ii) 4W potential kit value is at INR50,000–60,000 and can go up to INR100,000 for a complete system solution.

**Raghunandhan NL**
raghunandhan.nl@nuvama.com

**Manav Shah**
manavt.shah@nuvama.com

**Rahul Kumar**
rahuls.k@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 50,562 | 60,629 | 68,441 | 75,619 |
| Gross profit | 19,098 | 22,718 | 25,782 | 28,562 |
| Employee costs | 7,825 | 9,474 | 10,626 | 11,703 |
| Other expenses | 5,525 | 6,235 | 7,194 | 8,003 |
| EBITDA | 5,748 | 7,009 | 7,961 | 8,855 |
| Depreciation | 2,043 | 2,295 | 2,544 | 2,779 |
| Less: Interest expense | 672 | 1,249 | 996 | 747 |
| Add: Other income | 324 | 130 | 143 | 157 |
| Profit before tax | 3,518 | 4,264 | 5,345 | 6,379 |
| Prov for tax | 965 | 1,007 | 1,141 | 1,372 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 2,554 | 3,257 | 4,204 | 5,007 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 2,554 | 3,257 | 4,204 | 5,007 |
| Diluted shares o/s | 239 | 247 | 247 | 247 |
| Adjusted diluted EPS | 10.7 | 13.2 | 17.0 | 20.3 |
| DPS (INR) | 1.4 | 1.8 | 2.4 | 2.8 |
| Tax rate (%) | 27.4 | 23.6 | 21.3 | 21.5 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 478 | 494 | 494 | 494 |
| Reserves | 21,544 | 24,724 | 30,703 | 34,118 |
| Shareholders funds | 22,022 | 25,218 | 31,197 | 34,611 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 16,095 | 14,000 | 10,000 | 8,000 |
| Trade payables | 8,291 | 10,105 | 11,407 | 12,603 |
| Other liabs & prov | 2,379 | 2,550 | 2,739 | 2,947 |
| Total liabilities | 48,831 | 51,919 | 55,388 | 58,207 |
| Net block | 13,469 | 14,706 | 15,694 | 16,446 |
| Intangible assets | 1,605 | 1,573 | 1,541 | 1,510 |
| Capital WIP | 852 | 852 | 852 | 852 |
| Total fixed assets | 15,926 | 17,131 | 18,088 | 18,809 |
| Non current inv | 14,756 | 14,756 | 14,756 | 14,756 |
| Cash/cash equivalent | 966 | 209 | 1,056 | 1,145 |
| Sundry debtors | 8,275 | 9,670 | 10,346 | 11,431 |
| Loans & advances | 50 | 55 | 61 | 67 |
| Other assets | 7,581 | 8,821 | 9,807 | 10,724 |
| Total assets | 48,831 | 51,919 | 55,388 | 58,207 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross profit margin (%) | 37.8 | 37.5 | 37.7 | 37.8 |
| Staff cost % sales | 15.5 | 15.6 | 15.5 | 15.5 |
| Other expenses % sales | 0.1 | 0.1 | 0.1 | 0.1 |
| EBITDA margin (%) | 11.4 | 11.6 | 11.6 | 11.7 |
| Net profit margin (%) | 5.1 | 5.4 | 6.1 | 6.6 |
| Revenue growth (% YoY) | 9.0 | 19.9 | 12.9 | 10.5 |
| EBITDA growth (% YoY) | 11.8 | 21.9 | 13.6 | 11.2 |
| Adj. profit growth (%) | 12.4 | 27.6 | 29.1 | 19.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 3,518 | 3,595 | 4,564 | 5,487 |
| Add: Depreciation | 2,043 | 2,295 | 2,544 | 2,779 |
| Interest (net of tax) | 608 | 1,249 | 996 | 747 |
| Others | (258) | 0 | 0 | 0 |
| Less: Changes in WC | 474 | (654) | (176) | (604) |
| Operating cash flow | 5,443 | 5,478 | 6,787 | 7,037 |
| Less: Capex | (3,421) | (3,500) | (3,500) | (3,500) |
| Free cash flow | 2,023 | 1,978 | 3,287 | 3,537 |

### Assumptions (Revenue in INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Wiring Harness | 14,157 | 17,714 | 19,957 | 21,904 |
| Lockset | 12,135 | 13,762 | 15,262 | 16,550 |
| Die castings | 8,090 | 9,907 | 11,322 | 12,796 |
| Clusters | 8,090 | 9,980 | 11,426 | 12,779 |
| Others | 8,090 | 9,266 | 10,474 | 11,589 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 12.2 | 13.8 | 14.9 | 15.2 |
| RoCE (%) | 9.4 | 9.2 | 10.2 | 11.0 |
| Inventory days | 64 | 61 | 63 | 64 |
| Receivable days | 59 | 54 | 53 | 53 |
| Payable days | 89 | 89 | 92 | 93 |
| Working cap (% sales) | 10.4 | 9.8 | 8.9 | 8.9 |
| Gross debt/equity (x) | 0.7 | 0.6 | 0.3 | 0.2 |
| Net debt/equity (x) | 0.7 | 0.5 | 0.3 | 0.2 |
| Interest coverage (x) | 6.0 | 3.9 | 5.6 | 8.3 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 56.2 | 45.4 | 35.2 | 29.6 |
| Price/BV (x) | 6.5 | 5.9 | 4.7 | 4.3 |
| EV/EBITDA (x) | 25.6 | 23.3 | 20.3 | 17.7 |
| Dividend yield (%) | 0.2 | 0.3 | 0.4 | 0.5 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 12.4 | 23.6 | 29.1 | 19.1 |
| RoE (%) | 12.2 | 13.8 | 14.9 | 15.2 |
| EBITDA growth (%) | 11.8 | 21.9 | 13.6 | 11.2 |
| Payout ratio (%) | 13.1 | 14.0 | 14.0 | 14.0 |

*Source: Company and Nuvama estimates*

# MINDSPACE REIT

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 492 |
| 12 month price target (INR) | 526 |
| 52 Week High/Low | 508/353 |
| Market cap (INR bn/USD bn) | 319/3.5 |
| Free float (%) | 36.5 |
| Avg. daily value traded (INR mn) | 75.7 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 64.45% | 64.45% | 64.45% |
| FII | 14.30% | 14.36% | 13.97% |
| DII | 9.20% | 9.18% | 9.82% |
| Pledge | 22.39% | 30.66% | 31.50% |

## FINANCIALS

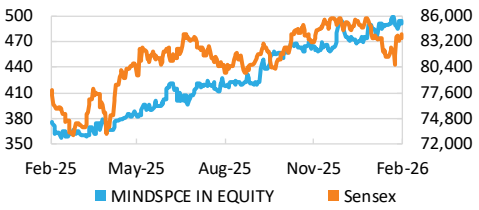
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 25,961 | 32,659 | 37,811 | 41,113 |
| EBITDA | 18,886 | 24,070 | 27,740 | 30,238 |
| Adjusted profit | 4,796 | 7,138 | 7,499 | 7,970 |
| Diluted EPS (INR) | 7.9 | 11.0 | 11.6 | 12.3 |
| EPS growth (%) | (16.8) | 39.8 | 5.1 | 6.3 |
| RoAE (%) | 3.4 | 5.0 | 5.6 | 6.9 |
| P/E (x) | 62.4 | 44.6 | 42.5 | 40.0 |
| EV/EBITDA (x) | 20.0 | 16.9 | 15.4 | 14.8 |
| Dividend yield (%) | 4.4 | 4.6 | 5.4 | 6.0 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 32,659 | 37,811 | 0% | 0% |
| EBITDA | 24,070 | 27,740 | 0% | 0% |
| Adjusted profit | 7,138 | 7,499 | 0% | 0% |
| Diluted EPS (INR) | 11.0 | 11.6 | 0% | 0% |

## PRICE PERFORMANCE




# Leasing remains healthy

We hosted CEO & MD Mr Ramesh Nair of Mindspace Business Parks (MREIT) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Leasing demand remains robust across regions led by strong demand from GCCs. ii) Occupancies and rentals continue to improve. iii) Portfolio growth remains steady through acquisitions and expansions. iv) LTV remains low at 26%; the company is comfortable with 30–35% LTV.

MREIT shall report a DPU CAGR of 10% over FY25–28E on the back of improving office demand (refer to ***Commercial realty: Sustained growth***). Retain 'BUY' with a DCF-based TP of INR526.

## Key takeaways

- **Operational performance:** 9mFY26 NOI/DPU was up 26%/13% YoY. Portfolio occupancy was 89.6% while committed occupancy (including Pocharam) was 92.8%. Management anticipates committed occupancy (ex-Pocharam) to reach 95% by end-FY26E from 94.5% at end-Q3FY26. Physical occupancy remains strong at 80–95% across parks. Leverage stays healthy with a low LTV of 26.2%. In-place rents inched up 4.6% YoY to ~INR75/sft and have ~17% MTM potential.

- **Leasing:** Gross leasing in 9mFY26 leasing was ~3.6msf (~4.9msf in 9mFY25) of which 32% was leased to GCCs. Management mentioned that leasing demand from GCCs remains strong. Presence in Hyderabad market remains an advantage for the company as ~46% of GCCs in CY25 went to Hyderabad and 33% to Bengaluru.

- **Airoli assets**: MREIT's Airoli (W) assets have reached committed occupancies of 96%; management expects occupancy in Airoli (E) assets, currently at 82%, to also improve going ahead. Mindspace Madhapur has committed occupancy of 98%; demand here is so strong that the under-construction 1.5msf 1A-1B redevelopment asset is already 100% pre-leased. The 1.6msf 7/8 redevelopment project, currently under development also has enquiries ~2–3x of its area; management believes they can get rents of INR110/sft plus here against earlier assumption of INR82-83/sft. Even in Hyderabad, for the under-construction B8 asset of ~1.7msf, they have enquiries for 4msf.

- **Portfolio growth**: MREIT is looking to deliver ~3.8msf under-construction assets by FY28E, which should drive NOI growth going ahead; of this, ~0.13msf should be completed in Q4FY26E, 3.1msf in FY27E and 0.53msf in FY28E.

- **Healthy leverage**: MREIT boasts a strong balance sheet with net debt: GAV at just ~26.2% (much below regulatory cap of 49%). Management is comfortable with a 30–35% LTV, post-that they might consider an equity fund-raise.

**Parvez Qazi**
Parvez.Qazi@nuvama.com

**Vasudev Ganatra**
Vasudev.Ganatra@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 25,961 | 32,659 | 37,811 | 41,113 |
| Gross profit | 23,887 | 30,360 | 35,022 | 38,157 |
| Employee costs | 303 | 381 | 441 | 480 |
| Other expenses | 4,698 | 5,910 | 6,842 | 7,439 |
| EBITDA | 18,886 | 24,070 | 27,740 | 30,238 |
| Depreciation | 4,060 | 5,000 | 5,798 | 5,989 |
| Less: Interest expense | 5,572 | 8,146 | 9,921 | 11,312 |
| Add: Other income | 461 | 453 | 449 | 445 |
| Profit before tax | 9,682 | 11,377 | 12,470 | 13,381 |
| Prov for tax | 4,544 | 3,641 | 4,365 | 4,683 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 4,763 | 7,138 | 7,499 | 7,970 |
| Less: Excp.item (net) | (33) | 0 | 0 | 0 |
| Adjusted profit | 4,796 | 7,138 | 7,499 | 7,970 |
| Diluted shares o/s | 609 | 648 | 648 | 648 |
| Adjusted diluted EPS | 7.9 | 11.0 | 11.6 | 12.3 |
| DPS (INR) | 21.7 | 22.6 | 26.7 | 29.6 |
| Tax rate (%) | 46.9 | 32.0 | 35.0 | 35.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 1,65,821 | 1,84,025 | 1,84,025 | 1,84,025 |
| Reserves | (25,277) | (40,358) | (58,770) | (79,024) |
| Shareholders funds | 1,40,544 | 1,43,667 | 1,25,255 | 1,05,001 |
| Minority interest | 7,561 | 8,159 | 8,765 | 9,493 |
| Borrowings | 1,01,098 | 1,30,847 | 1,51,635 | 1,70,461 |
| Trade payables | 1,313 | 1,444 | 1,588 | 1,747 |
| Other liabs & prov | 4,717 | 5,225 | 5,785 | 6,404 |
| Total liabilities | 2,70,881 | 3,07,605 | 3,13,897 | 3,16,595 |
| Net block | 2,41,014 | 2,76,793 | 2,76,026 | 2,75,068 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 7,375 | 9,238 | 16,248 | 19,870 |
| Total fixed assets | 2,48,389 | 2,86,031 | 2,92,274 | 2,94,938 |
| Non current inv | 39 | 43 | 47 | 52 |
| Cash/cash equivalent | 7,411 | 7,267 | 6,611 | 5,906 |
| Sundry debtors | 587 | 616 | 647 | 679 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 5,924 | 4,691 | 4,913 | 5,145 |
| Total assets | 2,70,881 | 3,07,605 | 3,13,897 | 3,16,595 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Terminal growth rate(%) | 4.0 | 4.0 | 4.0 | 4.0 |
| Cap rate (%) | 8.0 | 8.0 | 8.0 | 8.0 |
| Gross margin (%) | 92.0 | 93.0 | 92.6 | 92.8 |
| EBITDA margin (%) | 72.7 | 73.7 | 73.4 | 73.5 |
| Net profit margin (%) | 18.5 | 21.9 | 19.8 | 19.4 |
| Revenue growth (% YoY) | 6.9 | 25.8 | 15.8 | 8.7 |
| EBITDA growth (% YoY) | 7.9 | 27.4 | 15.2 | 9.0 |
| Adj. profit growth (%) | (14.6) | 48.8 | 5.1 | 6.3 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 4,763 | 7,138 | 7,499 | 7,970 |
| Add: Depreciation | 4,060 | 5,000 | 5,798 | 5,989 |
| Interest (net of tax) | 3,232 | 5,539 | 6,448 | 7,353 |
| Others | (1,287) | 2,420 | 933 | 1,096 |
| Less: Changes in WC | 1,068 | 1,611 | 1,678 | 1,566 |
| Operating cash flow | 8,604 | 16,170 | 15,908 | 16,622 |
| Less: Capex | (32,714) | (42,642) | (12,042) | (8,653) |
| Free cash flow | 44,551 | 64,351 | 34,398 | 32,628 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 7.0 | 0 |
| Repo rate (%) | 5.3 | 5.3 | 5.0 | 0 |
| USD/INR (average) | 82.0 | 81.0 | 81.0 | 0 |
| Interest cost (%) | 21.5 | 24.9 | 26.2 | 27.5 |
| Employee cost (%) | 1.2 | 1.2 | 1.2 | 1.2 |
| Other exp. (%) | 18.1 | 18.1 | 18.1 | 18.1 |
| Other inc. (%) | 1.8 | 1.4 | 1.2 | 1.1 |
| Dep. (% gr. block) | 1.5 | 1.6 | 1.8 | 1.8 |
| Effect. tax rate (%) | 46.9 | 32.0 | 35.0 | 35.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 3.4 | 5.0 | 5.6 | 6.9 |
| RoCE (%) | 6.5 | 7.3 | 7.9 | 8.7 |
| Inventory days | 8 | 9 | 9 | 9 |
| Receivable days | 12 | 7 | 6 | 6 |
| Payable days | 211 | 219 | 198 | 206 |
| Working cap (% sales) | 19.7 | 11.6 | 10.2 | 9.7 |
| Gross debt/equity (x) | 0.7 | 0.9 | 1.1 | 1.5 |
| Net debt/equity (x) | 0.6 | 0.8 | 1.1 | 1.4 |
| Interest coverage (x) | 2.7 | 2.3 | 2.2 | 2.1 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 62.4 | 44.6 | 42.5 | 40.0 |
| Price/BV (x) | 2.1 | 2.2 | 2.5 | 3.0 |
| EV/EBITDA (x) | 20.0 | 16.9 | 15.4 | 14.8 |
| Dividend yield (%) | 4.4 | 4.6 | 5.4 | 6.0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (16.8) | 39.8 | 5.1 | 6.3 |
| RoE (%) | 3.4 | 5.0 | 5.6 | 6.9 |
| EBITDA growth (%) | 7.9 | 27.4 | 15.2 | 9.0 |
| Payout ratio (%) | 277.4 | 204.9 | 230.5 | 240.8 |

*Source: Company and Nuvama estimates*

# NETWEB

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 3,174 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 4,480/1,279 |
| Market cap (INR bn/USD bn) | 179.8/1.9 |
| Free float (%) | 29.0 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 71.00% | 71.00% | 71.03% |
| FII | 9.55% | 10.82% | 9.54% |
| DII | 3.30% | 3.57% | 4.23% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY22A | FY23A | FY24A | FY25A |
|---|---|---|---|---|
| Revenue | 2,470 | 4,410 | 7,241 | 11,431 |
| EBITDA | 346 | 700 | 1,027 | 1,600 |
| Adjusted profit | 225 | 469 | 757 | 1,141 |
| Diluted EPS (INR) | 4.41 | 9.07 | 13.85 | 20.17 |
| EPS growth (%) | - | 105.7 | 52.7 | 45.6 |
| RoAE (%) | 17.4 | 22.6 | 17.3 | 15.2 |
| P/E (x) | - | - | 115.6 | 74.8 |
| EV/EBITDA (x) | - | - | 86.2 | 52.6 |
| Dividend yield (%) | - | - | 0.09 | 0.12 |

# Riding the AI wave

We hosted top management of Netweb Technologies India (NETWEB) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) data centre-led demand is driving growth; ii) positioning remains strong across the stack; iii) reiterated their guidance of 30–40% CAGR organic growth; iv) evaluating acquisition opportunities to accelerate R&D; and v) fluctuations in copper prices would have marginal impact on performance.

Management outlined key growth drivers including capability enhancement, expanding opportunities and a broadening product portfolio with sustained data centre demand likely to further support growth. Netweb is '*not rated*'.

## Key takeaways

- Netweb's continued focus on its three strategic growth pillars, HPC, Private Cloud, and AI Systems, is enabling them to capitalise on strong industry tailwinds.
- The company provides an end-to-end stack below the application layer, encompassing compute, storage interconnect and the full AI cloud stack along with the associated middleware, rather than offering a single point solution.
- AI Systems segment contributed ~64% of Q3 revenue. Alongside the accelerated growth in AI, HPC and Private Cloud too are reporting sustained demand.
- The global supply chain, particularly for flash memory and storage, is posting strong demand driven by the rapid acceleration of AI adoption worldwide. This has led to industry-wide price increases and tighter availability.
- The ongoing data centre demand environment is unlikely to be materially affected by fluctuations in copper prices.
- There is increasing focus and policy impetus from the government on AI. The AI Mission has begun to roll out and its implementation is now becoming visible.
- Management indicated the inventory build-up largely reflects stocking for upcoming orders and critical components and does not represent excess inventory.
- Internal discussions around the quantum policy are ongoing and details will be shared once the framework is finalised and ready for disclosure.
- The company is evaluating acquisition opportunities with focus on targets that can accelerate its R&D capabilities.
- Management reiterated their guidance of 30–40% CAGR organic growth, noting that the current order book provides confidence in achieving this trajectory.
- Management indicated that margins at the PBT level for large strategic order are likely to be ~200bp lower than company level PBT.

**Vibhor Singhal**
VIBHOR.SINGHAL@nuvama.com

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Parth Ghiya**
PARTH.GHIYA@nuvama.com

# NEXUS REIT

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 160 |
| 12 month price target (INR) | 180 |
| 52 Week High/Low | 169/120 |
| Market cap (INR bn/USD bn) | 243/2.7 |
| Free float (%) | 56.9 |
| Avg. daily value traded (INR mn) | 94.6 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 22.30% | 22.30% | 22.30% |
| FII | 12.36% | 12.72% | 12.37% |
| DII | 22.53% | 22.28% | 22.85% |
| Pledge | 8.91% | 8.89% | 8.89% |

## FINANCIALS

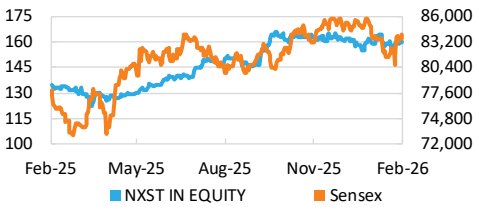
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 22,829 | 25,826 | 28,126 | 29,846 |
| EBITDA | 15,522 | 17,650 | 19,418 | 20,566 |
| Adjusted profit | 4,828 | 6,034 | 6,824 | 7,304 |
| Diluted EPS (INR) | 3.2 | 4.0 | 4.5 | 4.8 |
| EPS growth (%) | (19.3) | 25.0 | 13.1 | 7.0 |
| RoAE (%) | 3.3 | 4.4 | 5.3 | 6.0 |
| P/E (x) | 49.7 | 39.7 | 35.1 | 32.8 |
| EV/EBITDA (x) | 18.8 | 17.3 | 16.0 | 15.4 |
| Dividend yield (%) | 5.3 | 5.7 | 6.3 | 6.8 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 25,826 | 28,126 | 0% | 0% |
| EBITDA | 17,650 | 19,418 | 0% | 0% |
| Adjusted profit | 6,034 | 6,824 | 0% | 0% |
| Diluted EPS (INR) | 4.0 | 4.5 | 0% | 0% |

## PRICE PERFORMANCE




# Consumption remains strong

We hosted top management of Nexus Select Trust (NXST) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Consumption growth remains strong, aided by a turnaround in newly acquired malls. ii) Trading occupancy and density are likely to improve as some space is under fit-outs owing to strategic churn. iii) Acquisition of three Hyderabad malls and four other malls is likely to be completed in the next two–three quarters.

We believe NREIT is a veritable play on India's structural urban consumption story (refer to '*Retail Realty – Inexorable secular growth*'). We reckon the company shall report an NOI CAGR of 10% over FY25–28E. Retain 'BUY' with a DCF-based TP of INR180.

## Key takeaways

- **NOI/DPU**: 9mFY26 total NOI at ~INR14.3bn was up 13% YoY. For FY26E, the REIT expects to earn an NOI of INR19.4–19.6bn (up 15% YoY) on the back of two acquisitions made recently. 9mFY26 distributions were ~INR6.8/unit and has maintained the guidance of INR9.1–9.2 (up 10% YoY) of DPU for FY26E.

- **Consumption**: Consumption growth remains strong, aided by a turnaround in newly acquired malls and healthy performance across categories including Fashion, Jewellery, Beauty & Personal Care, Electronics, and Entertainment in the overall retail portfolio. Consumption grew 9% on an LTL basis in Q3FY26. Moreover, footfalls improved 6% YoY during the quarter. Vega City mall acquired in Feb-25 has posted a positive turnaround in performance with tenant sales growing 14% YoY during the quarter, thereby reversing the negative growth (-10%) trend seen prior to the acquisition. The MBD complex has also reported strong momentum since its acquisition in May-25, achieving 15% YoY consumption growth in Q3FY26. Couple of stores in top malls such as Nexus Elante and Select City Walk were under fit-outs; hence, trading occupancies have dipped. On an LTL basis, consumption growth for malls in North India would have been ~150–200bp higher. 9mFY26 consumption for NREIT grew 14% YoY (8% LTL) to INR108.2bn. Management expects long-term consumption CAGR to be ~8–9%.

- **Acquisitions**: NREIT acquired ~60k sft space within *Nexus Elante* Complex during the quarter. Apart from the three malls in Hyderabad, the company is also evaluating more than 11 other malls spanning ~5.5msf across cities such as Bhubaneshwar and states such as Bihar, Assam, West Bengal, etc, expects to complete acquisition of four of these malls spanning ~2msf in the next four months and remaining within the next 18–24 months. The REIT remains on track to deliver on its guidance of ~INR1.5bn annual increase in NOI through acquisitions for the next five years. It is comfortable with 28–30% LTV.

**Parvez Qazi**
Parvez.Qazi@nuvama.com

**Vasudev Ganatra**
Vasudev.Ganatra@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 22,829 | 25,826 | 28,126 | 29,846 |
| Gross profit | 18,722 | 21,122 | 23,187 | 24,660 |
| Employee costs | 950 | 997 | 1,047 | 1,099 |
| Other expenses | 2,250 | 2,475 | 2,722 | 2,995 |
| EBITDA | 15,522 | 17,650 | 19,418 | 20,566 |
| Depreciation | 5,861 | 6,435 | 6,626 | 6,692 |
| Less: Interest expense | 3,943 | 4,530 | 5,246 | 5,699 |
| Add: Other income | 1,165 | 963 | 1,456 | 1,459 |
| Profit before tax | 6,979 | 7,736 | 9,099 | 9,739 |
| Prov for tax | 2,150 | 1,702 | 2,275 | 2,435 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 4,828 | 6,034 | 6,824 | 7,304 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 4,828 | 6,034 | 6,824 | 7,304 |
| Diluted shares o/s | 1,515 | 1,515 | 1,515 | 1,515 |
| Adjusted diluted EPS | 3.2 | 4.0 | 4.5 | 4.8 |
| DPS (INR) | 8.4 | 8.9 | 10.0 | 10.8 |
| Tax rate (%) | 30.8 | 22.0 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 1,50,950 | 1,50,950 | 1,50,950 | 1,50,950 |
| Reserves | (9,564) | (17,084) | (25,379) | (34,489) |
| Shareholders funds | 1,41,387 | 1,33,866 | 1,25,571 | 1,16,461 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 53,286 | 66,786 | 72,286 | 78,786 |
| Trade payables | 774 | 781 | 789 | 797 |
| Other liabs & prov | (3,184) | (3,723) | (3,844) | (3,968) |
| Total liabilities | 2,01,852 | 2,07,396 | 2,04,584 | 2,01,956 |
| Net block | 1,83,234 | 1,87,908 | 1,84,855 | 1,81,735 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 693 | 693 | 693 | 693 |
| Total fixed assets | 1,83,927 | 1,88,602 | 1,85,548 | 1,82,428 |
| Non current inv | 13,277 | 13,365 | 13,462 | 13,566 |
| Cash/cash equivalent | 770 | 1,036 | 951 | 1,092 |
| Sundry debtors | 565 | 650 | 715 | 786 |
| Loans & advances | 870 | 991 | 1,020 | 1,051 |
| Other assets | 1,078 | 1,185 | 1,222 | 1,262 |
| Total assets | 2,01,852 | 2,07,396 | 2,04,584 | 2,01,956 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Terminal growth rate (%) | 4.0 | 4.0 | 4.0 | 4.0 |
| Retail Cap rate (%) | 6.5 | 6.5 | 6.5 | 6.5 |
| Gross margin (%) | 82.0 | 81.8 | 82.4 | 82.6 |
| EBITDA margin (%) | 68.0 | 68.3 | 69.0 | 68.9 |
| Net profit margin (%) | 21.1 | 23.4 | 24.3 | 24.5 |
| Revenue growth (% YoY) | 19.1 | 13.1 | 8.9 | 6.1 |
| EBITDA growth (% YoY) | 20.9 | 13.7 | 10.0 | 5.9 |
| Adj. profit growth (%) | (19.3) | 25.0 | 13.1 | 7.0 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 4,828 | 6,034 | 6,824 | 7,304 |
| Add: Depreciation | 5,861 | 6,435 | 6,626 | 6,692 |
| Interest (net of tax) | 2,728 | 3,533 | 3,935 | 4,274 |
| Others | 129 | (293) | (108) | (117) |
| Less: Changes in WC | 1,845 | (118) | (15) | (22) |
| Operating cash flow | 12,664 | 12,058 | 13,326 | 13,857 |
| Less: Capex | (10,289) | (11,109) | (3,572) | (3,572) |
| Free cash flow | 5,103 | 4,482 | 13,689 | 14,559 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 7.0 | 7.0 |
| Repo rate (%) | 5.3 | 5.3 | 5.0 | 5.0 |
| USD/INR (average) | 82.0 | 81.0 | 81.0 | 81.0 |
| Interest cost (%) | 17.3 | 17.5 | 18.7 | 19.1 |
| Employee cost (%) | 4.2 | 3.9 | 3.7 | 3.7 |
| Other exp. (%) | 9.9 | 9.6 | 9.7 | 10.0 |
| Other inc. (%) | 5.1 | 3.7 | 5.2 | 4.9 |
| Dep. (% gr. block) | 3.1 | 3.2 | 3.3 | 3.4 |
| Effect. tax rate (%) | 30.8 | 22.0 | 25.0 | 25.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 3.3 | 4.4 | 5.3 | 6.0 |
| RoCE (%) | 5.6 | 6.2 | 7.2 | 7.8 |
| Inventory days | 3 | 2 | 3 | 3 |
| Receivable days | 10 | 9 | 9 | 9 |
| Payable days | 67 | 60 | 58 | 56 |
| Working cap (% sales) | 6.9 | 7.3 | 7.1 | 7.1 |
| Gross debt/equity (x) | 0.4 | 0.5 | 0.6 | 0.7 |
| Net debt/equity (x) | 0.4 | 0.5 | 0.6 | 0.7 |
| Interest coverage (x) | 2.4 | 2.5 | 2.4 | 2.4 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 49.7 | 39.7 | 35.1 | 32.8 |
| Price/BV (x) | 1.7 | 1.8 | 1.9 | 2.1 |
| EV/EBITDA (x) | 18.8 | 17.3 | 16.0 | 15.4 |
| Dividend yield (%) | 5.3 | 5.7 | 6.3 | 6.8 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (19.3) | 25.0 | 13.1 | 7.0 |
| RoE (%) | 3.3 | 4.4 | 5.3 | 6.0 |
| EBITDA growth (%) | 20.9 | 13.7 | 10.0 | 5.9 |
| Payout ratio (%) | 262.1 | 224.6 | 221.6 | 224.7 |

*Source: Company and Nuvama estimates*

# NTPC

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 362 |
| 12 month price target (INR) | 409 |
| 52 Week High/Low | 371/293 |
| Market cap (INR bn/USD bn) | 3,475/37.5 |
| Free float (%) | 48.8 |
| Avg. daily value traded (INR mn) | 3,338.3 |

## SHAREHOLDING PATTERN

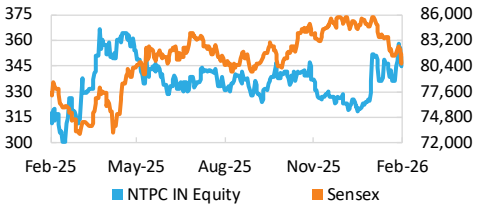
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 51.1% | 51.1% | 51.1% |
| FII | 16.2% | 16.4% | 16.1% |
| DII | 29.2% | 28.9% | 28.9% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,881 | 1,958 | 2,063 | 2,216 |
| EBITDA | 541 | 619 | 663 | 753 |
| Adjusted profit | 234 | 246 | 263 | 279 |
| Diluted EPS (INR) | 24.2 | 25.4 | 27.1 | 28.7 |
| EPS growth (%) | 12.5 | 5.1 | 6.7 | 6.1 |
| RoAE (%) | 13.4 | 12.6 | 12.4 | 12.1 |
| P/E (x) | 14.7 | 14.0 | 13.1 | 12.4 |
| EV/EBITDA (x) | 10.4 | 9.0 | 8.5 | 7.6 |
| Dividend yield (%) | 2.3 | 2.5 | 2.6 | 2.7 |

## PRICE PERFORMANCE




# Green additions: Key enabler

We hosted top management of NTPC at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) 33GW under-construction, supporting annual (RE + thermal) addition of ~10–12GW over FY26–28E. ii) RE curtailment risks are likely to decline with Khavda (~1.5GW currently) slated to operate at full capacity Oct-26 onwards. iii) MoUs signed with states for 4×700MW Mahi Banswara nuclear project through Ashvini JV with NPCIL. iv) Thermal strategy remains focused on regulated brownfield projects with TBCB exposure limited to asset acquisitions.

Reiterate 'BUY' with a TP of INR409 at 2.5x FY28E SA book + NTPC Green at a 30% discount to CMP (~INR86).

## Key takeaways

- **Capacity addition**: The group currently has ~33GW of capacity under construction, comprising 16.5GW thermal, 1.9GW hydro and 15GW RE, implying annual capacity addition of ~10–12GW over FY26–28E. Coal gasification projects are under execution while nuclear projects are advancing through site studies and technology tie-ups, subject to regulatory approvals.
- **Commissioning**: A 5,000MWh BESS has been allocated under the VGF scheme, planned across 14 stations to optimise thermal infra utilisation and supply during non-solar hours.
- **Regulated equity (consolidated)**: FY26: ~INR1.21tn with likely addition of INR50bn/INR110bn over FY27/28.

**NTPC Green Energy**

- FY26E capacity addition target is ~5.2GW (60% transmission ready), of which 2.6GW is already commissioned and balance ~2.3–2.5GW is under execution, positioning it well to meet its targets. The company is targeting 8GW of capacity commissioning each in FY27E/28E. Out of 8GW in FY27E, ~75% will be PPA-backed while ~2GW shall be on merchant (85% transmission ready).
- C&I and data-centre led RTC demand supports medium-term visibility despite moderate outer-year PPA tie-ups. Going forward, RE curtailment is likely to reduce to nil with Khavda likely to operate at full capacity Oct-26 onwards.
- **Nuclear portfolio**: Current pumped storage capacity is 18GW, including 750MW at Tehri PSP commissioned in 9MFY26. An additional 250MW is likely in Q4FY26. Furthermore, MoUs have been signed with states and sites have been identified for the 4×700MW Mahi Banswara nuclear project via Ashvini JV with NPCIL.
- **Thermal strategy**: Thermals are likely to remain core for grid stability with ~16GW under construction and ~4.8GW planned; tariffs ~INR4.8–6/kwh, capex ~INR130mn/MW and no major shutdowns likely before FY33–34E with gradual replacement by RE+BESS/nuclear thereafter.

**Subhadip Mitra**
Subhadip.Mitra@nuvama.com

**Vikram Datwani, CFA**
Vikram.Datwani@nuvama.com

**Mahir Moondra**
mahir.moondra@nuvama.com

**Divyam Sureka**
divyam.sureka@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 18,81,381 | 19,58,477 | 20,62,742 | 22,16,338 |
| Energy Cost | 10,70,324 | 10,64,325 | 11,06,118 | 11,49,596 |
| Employee costs | 67,961 | 71,337 | 73,477 | 75,681 |
| Other expenses | 2,01,819 | 2,03,531 | 2,20,118 | 2,38,058 |
| EBITDA | 5,41,276 | 6,19,284 | 6,63,028 | 7,53,003 |
| Depreciation | 1,74,012 | 1,92,322 | 1,98,822 | 2,09,065 |
| Less: Interest expense | 1,31,681 | 1,46,903 | 1,61,938 | 2,50,956 |
| Add: Other income | 27,244 | 27,500 | 30,000 | 33,000 |
| Profit before tax | 3,21,983 | 3,66,716 | 3,91,425 | 3,85,139 |
| Prov for tax | 82,452 | 1,15,043 | 1,22,794 | 1,00,136 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 2,34,225 | 2,46,097 | 2,62,679 | 2,78,688 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 2,34,225 | 2,46,097 | 2,62,679 | 2,78,688 |
| Diluted shares o/s | 9,697 | 9,697 | 9,697 | 9,697 |
| Adjusted diluted EPS | 24.2 | 25.4 | 27.1 | 28.7 |
| DPS (INR) | 8.4 | 8.8 | 9.2 | 9.8 |
| Tax rate (%) | 25.6 | 31.4 | 31.4 | 26.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 96,967 | 96,967 | 96,967 | 96,967 |
| Reserves | 17,43,745 | 19,10,572 | 20,89,993 | 22,80,453 |
| Shareholders funds | 18,40,712 | 20,07,539 | 21,86,960 | 23,77,420 |
| Minority interest | 70,515 | 70,515 | 70,515 | 70,515 |
| Borrowings | 24,75,751 | 29,40,722 | 28,92,495 | 28,22,706 |
| Trade payables | 1,11,600 | 1,10,974 | 1,15,332 | 1,19,865 |
| Other liabs & prov | 2,88,543 | 2,88,543 | 2,88,543 | 2,88,543 |
| Total liabilities | 52,41,646 | 58,72,818 | 60,08,370 | 61,33,574 |
| Net block | 27,09,358 | 29,41,723 | 28,93,675 | 29,22,175 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 10,07,759 | 8,96,776 | 11,68,617 | 13,66,687 |
| Total fixed assets | 37,17,117 | 38,38,498 | 40,62,292 | 42,88,862 |
| Non current inv | 1,97,036 | 1,97,036 | 1,97,036 | 1,97,036 |
| Cash/cash equivalent | 1,14,571 | 6,02,450 | 4,84,573 | 3,39,551 |
| Sundry debtors | 3,47,507 | 3,61,747 | 3,81,006 | 4,09,376 |
| Loans & advances | 11,209 | 11,209 | 11,209 | 11,209 |
| Other assets | 6,66,898 | 6,74,570 | 6,84,946 | 7,00,230 |
| Total assets | 52,41,646 | 58,72,818 | 60,08,370 | 61,33,574 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Operation cost (% of rev) | 71.2 | 68.4 | 67.9 | 66.0 |
| Employee cost (% of rev) | 3.6 | 3.6 | 3.6 | 0 |
| Other exp (% of rev) | 10.7 | 10.4 | 10.7 | 0 |
| EBITDA margin (%) | 28.8 | 31.6 | 32.1 | 34.0 |
| Net profit margin (%) | 12.4 | 12.6 | 12.7 | 12.6 |
| Revenue growth (% YoY) | 5.4 | 4.1 | 5.3 | 7.4 |
| EBITDA growth (% YoY) | 5.9 | 14.4 | 7.1 | 13.6 |
| Adj. profit growth (%) | 12.5 | 5.1 | 6.7 | 6.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 3,29,910 | 3,07,559 | 3,32,268 | 3,25,982 |
| Add: Depreciation | 1,74,012 | 1,92,322 | 1,98,822 | 2,09,065 |
| Interest (net of tax) | 1,30,477 | 1,46,903 | 1,61,938 | 2,50,956 |
| Others | (86,375) | 59,156 | 59,156 | 59,156 |
| Less: Changes in WC | (523) | (22,538) | (25,277) | (39,122) |
| Operating cash flow | 5,04,359 | 5,68,360 | 6,04,113 | 7,05,901 |
| Less: Capex | (2,78,430) | (3,13,703) | (4,22,616) | (4,35,635) |
| Free cash flow | 2,25,929 | 2,54,657 | 1,81,497 | 2,70,266 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.5 | 6.6 | 7.0 | 7.5 |
| Repo rate (%) | 6.3 | 5.0 | 4.5 | 5.5 |
| USD/INR (average) | 84.6 | 87.5 | 87.0 | 88.0 |
| Commercial cap Cl (MW) | 74,577.0 | 78,305.9 | 82,221.1 | 86,332.2 |
| Reg Eq Closing (INR bn) | 861.0 | 861.0 | 861.0 | 0 |
| Implied Reg RoE (%) | 24.5 | 24.5 | 24.5 | 0 |
| Avg coal plant PLF (%) | 68.0 | 68.0 | 68.0 | 0 |
| Units produced (BUs) | 320.2 | 320.2 | 320.2 | 0 |
| Capex (INR bn) | 278.4 | 313.7 | 422.6 | 0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 13.4 | 12.6 | 12.4 | 12.1 |
| RoCE (%) | 8.7 | 9.0 | 9.1 | 10.4 |
| Inventory days | 38 | 38 | 38 | 0 |
| Receivable days | 62 | 62 | 62 | 0 |
| Payable days | 36 | 36 | 36 | 0 |
| Working cap (% sales) | 49.4 | 73.5 | 65.3 | 56.0 |
| Gross debt/equity (x) | 1.3 | 1.5 | 1.3 | 1.2 |
| Net debt/equity (x) | 1.2 | 1.1 | 1.1 | 1.0 |
| Interest coverage (x) | 3.7 | 3.8 | 3.7 | 0 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 14.7 | 14.0 | 13.1 | 12.4 |
| Price/BV (x) | 1.9 | 1.7 | 1.6 | 1.5 |
| EV/EBITDA (x) | 10.4 | 9.0 | 8.5 | 7.6 |
| Dividend yield (%) | 2.3 | 2.5 | 2.6 | 2.7 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 12.5 | 5.1 | 6.7 | 6.1 |
| RoE (%) | 13.4 | 12.6 | 12.4 | 12.1 |
| EBITDA growth (%) | 5.9 | 14.4 | 7.1 | 13.6 |
| Payout ratio (%) | 44.9 | 43.5 | 44.0 | 0 |

*Source: Company and Nuvama estimates*

# OBEROI REALTY

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | HOLD |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 1,564 |
| 12 month price target (INR) | 1,719 |
| 52 Week High/Low | 2,006/1,426 |
| Market cap (INR bn/USD bn) | 569/6.3 |
| Free float (%) | 32.3 |
| Avg. daily value traded (INR mn) | 894.8 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 67.7% | 67.7% | 67.7% |
| FII | 16.58% | 16.06% | 19.36% |
| DII | 13.46% | 13.85% | 10.80% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

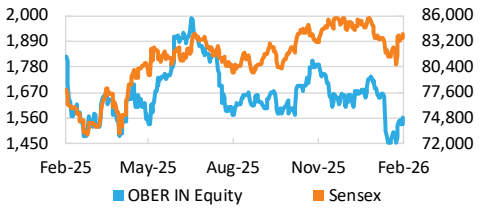
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 52,863 | 59,695 | 87,957 | 93,294 |
| EBITDA | 31,030 | 32,515 | 48,861 | 50,844 |
| Adjusted profit | 22,255 | 23,867 | 36,557 | 37,980 |
| Diluted EPS (INR) | 61.2 | 65.6 | 100.5 | 104.5 |
| EPS growth (%) | 15.5 | 7.2 | 53.2 | 3.9 |
| RoAE (%) | 15.1 | 14.3 | 18.8 | 16.7 |
| P/E (x) | 24.9 | 23.2 | 15.2 | 14.6 |
| EV/EBITDA (x) | 18.0 | 17.3 | 11.4 | 11.0 |
| Dividend yield (%) | 0.6 | 0.6 | 0.6 | 0.6 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 59,695 | 87,957 | 0% | 0% |
| EBITDA | 32,515 | 48,861 | 0% | 0% |
| Adjusted profit | 23,867 | 36,557 | 0% | 0% |
| Diluted EPS (INR) | 65.6 | 100.5 | 0% | 0% |

## PRICE PERFORMANCE




# New launches key

We hosted top management of Oberoi Realty (OBER) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Pre-sales are likely to be supported by a strong launch pipeline. ii) The company continues to take price hikes across its key markets of Goregaon and Borivali. iii) Occupancy in the annuity assets remains healthy and management expects Borivali mall to be substantially leased by H1FY27.

Falling volumes in the MMR and affordability concerns in the NCR (***Link***) have led to concerns about housing sales. The pace of launches shall determine the stock's trajectory in our view. Maintain 'HOLD' with a TP of INR1,719.

## Key takeaways

- **Pre-sales:** Lack of launches led to pre-sales declining 15% YoY to INR37.7bn in 9mFY26. However, the company has a strong launch pipeline and hence expects the sales trajectory to improve going ahead.
- **Launches**: To date in FY26, the company has launched only *Elysian* Tower-D in Q1FY26 (~0.4msft carpet area).
- **Launch pipeline**: The company is planning to launch a new tower in Goregaon project spanning ~0.6–0.8msf going ahead. It still has one tower in Borivali and two in Pokhran Road project, Thane to be launched. OBER is also looking to launch the Pedder Road and the Adarsh Nagar, Worli project over the next year. OBER is also planning to launch its maiden NCR project in Q1FY27.
- **Collections:** 9mFY26 collections at INR33.2bn were down 8% YoY.
- **Business development**: Oberoi recently entered into an agreement to redevelop land with potential of 118,000sft of carpet area at Nepean Sea Road in Mumbai. Apart from these, the company is currently working on more land deals in Mumbai. The company has also emerged as the highest bidder for an 11.2 acre RLDA land parcel in Mumbai's Bandra (***Link***).
- **Annuity assets**: 9mFY26 lease revenues at ~INR8.7bn surged 45% YoY as rentals commenced in the Commerz-III asset. All annuity assets currently have occupancy of more than 90% except the newly opened Borivali mall where management expects to reach ~85–90% occupancy by end-H1FY27 (56% currently).
- **Leverage**: Despite OCF being lower on account of increased payment for FSI and related acquisition rights during the quarter, OBER's gross debt to equity fell to 0.17x in Q3FY26; the company remains net cash with a negative net debt to equity ratio at (0.02)x.

**Parvez Qazi**
Parvez.Qazi@nuvama.com

**Vasudev Ganatra**
Vasudev.Ganatra@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 52,863 | 59,695 | 87,957 | 93,294 |
| Gross profit | 31,030 | 32,515 | 48,861 | 50,844 |
| Employee costs | 1,143 | 1,257 | 1,383 | 1,521 |
| Other expenses | 2,240 | 2,464 | 2,710 | 2,981 |
| EBITDA | 31,030 | 32,515 | 48,861 | 50,844 |
| Depreciation | 885 | 1,267 | 1,267 | 1,267 |
| Less: Interest expense | 2,652 | 2,752 | 2,852 | 2,952 |
| Add: Other income | 1,879 | 2,902 | 3,366 | 3,003 |
| Profit before tax | 29,449 | 31,780 | 48,680 | 50,486 |
| Prov for tax | 7,194 | 7,912 | 12,123 | 12,506 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 22,255 | 23,867 | 36,557 | 37,980 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 22,255 | 23,867 | 36,557 | 37,980 |
| Diluted shares o/s | 364 | 364 | 364 | 364 |
| Adjusted diluted EPS | 61.2 | 65.6 | 100.5 | 104.5 |
| DPS (INR) | 9.6 | 9.6 | 9.6 | 9.6 |
| Tax rate (%) | 24.4 | 24.9 | 24.9 | 24.8 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 3,636 | 3,636 | 3,636 | 3,636 |
| Reserves | 1,53,413 | 1,73,779 | 2,06,835 | 2,41,314 |
| Shareholders funds | 1,57,049 | 1,77,415 | 2,10,471 | 2,44,950 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 33,004 | 32,004 | 32,004 | 32,004 |
| Trade payables | 37,023 | 36,582 | 37,342 | 37,436 |
| Other liabs & prov | (1,013) | (1,013) | (1,013) | (1,013) |
| Total liabilities | 2,26,062 | 2,44,987 | 2,78,803 | 3,13,376 |
| Net block | 46,848 | 51,616 | 50,350 | 49,083 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 16,044 | 10,942 | 14,048 | 18,453 |
| Total fixed assets | 62,892 | 62,559 | 64,397 | 67,536 |
| Non current inv | 25,353 | 28,353 | 36,353 | 47,353 |
| Cash/cash equivalent | 30,798 | 26,383 | 30,599 | 27,297 |
| Sundry debtors | 1,127 | 1,272 | 2,075 | 2,400 |
| Loans & advances | 5,052 | 7,713 | 16,713 | 25,713 |
| Other assets | 1,00,841 | 1,18,708 | 1,28,667 | 1,43,077 |
| Total assets | 2,26,062 | 2,44,987 | 2,78,803 | 3,13,376 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Selling price infl. (%) | 7.8 | 7.8 | 7.8 | 7.8 |
| Const. cost infl. (%) | 5.0 | 5.0 | 5.0 | 5.0 |
| Gross margin (%) | 58.7 | 54.5 | 55.6 | 54.5 |
| EBITDA margin (%) | 58.7 | 54.5 | 55.6 | 54.5 |
| Net profit margin (%) | 42.1 | 40.0 | 41.6 | 40.7 |
| Revenue growth (% YoY) | 16.6 | 13.2 | 48.3 | 6.1 |
| EBITDA growth (% YoY) | 28.8 | 4.8 | 50.3 | 4.1 |
| Adj. profit growth (%) | 15.5 | 7.2 | 53.2 | 3.9 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 22,255 | 23,867 | 36,557 | 37,980 |
| Add: Depreciation | 885 | 1,267 | 1,267 | 1,267 |
| Interest (net of tax) | 2,003 | 2,059 | 2,134 | 2,208 |
| Others | (125) | 0 | 0 | 0 |
| Less: Changes in WC | 14,128 | (21,115) | (19,001) | (23,642) |
| Operating cash flow | 37,143 | 4,019 | 18,823 | 15,604 |
| Less: Capex | 6,071 | 933 | 3,105 | 4,405 |
| Free cash flow | 33,075 | 5,145 | 17,851 | 13,407 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 7.0 | 7.0 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.0 | 82.0 | 81.0 | 81.0 |
| Interest cost (%) | 5.0 | 4.6 | 3.2 | 3.2 |
| Employee cost (%) | 2.2 | 2.1 | 1.6 | 1.6 |
| Other exp. (%) | 4.2 | 4.1 | 3.1 | 3.2 |
| Other inc. (%) | 3.6 | 4.9 | 3.8 | 3.2 |
| Dep. (% gr. block) | 1.7 | 2.2 | 2.2 | 2.2 |
| Effect. tax rate (%) | 24.4 | 24.9 | 24.9 | 24.8 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 15.1 | 14.3 | 18.8 | 16.7 |
| RoCE (%) | 18.1 | 17.1 | 22.6 | 20.2 |
| Inventory days | 1,851 | 1,599 | 1,204 | 1,210 |
| Receivable days | 11 | 7 | 7 | 9 |
| Payable days | 687 | 573 | 385 | 360 |
| Working cap (% sales) | 135.3 | 155.7 | 126.9 | 145.3 |
| Gross debt/equity (x) | 0.2 | 0.2 | 0.2 | 0.1 |
| Net debt/equity (x) | 0 | 0 | 0 | 0 |
| Interest coverage (x) | 11.4 | 11.4 | 16.7 | 16.8 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 24.9 | 23.2 | 15.2 | 14.6 |
| Price/BV (x) | 3.5 | 3.1 | 2.6 | 2.3 |
| EV/EBITDA (x) | 18.0 | 17.3 | 11.4 | 11.0 |
| Dividend yield (%) | 0.6 | 0.6 | 0.6 | 0.6 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 15.5 | 7.2 | 53.2 | 3.9 |
| RoE (%) | 15.1 | 14.3 | 18.8 | 16.7 |
| EBITDA growth (%) | 28.8 | 4.8 | 50.3 | 4.1 |
| Payout ratio (%) | 15.7 | 14.7 | 9.6 | 9.2 |

*Source: Company and Nuvama estimates*

# PERSISTENT SYSTEMS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 5,864 |
| 12 month price target (INR) | 7,700 |
| 52 Week High/Low | 6,599/4,149 |
| Market cap (INR bn/USD bn) | 921/10.2 |
| Free float (%) | 66.9 |
| Avg. daily value traded (INR mn) | 2,850.6 |

## SHAREHOLDING PATTERN

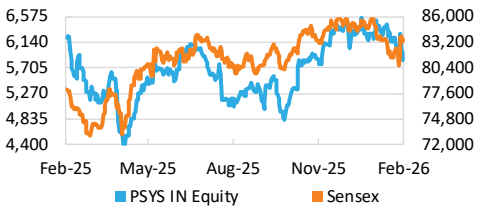
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 30.29% | 30.56% | 30.56% |
| FII | 22.79% | 21.24% | 24.19% |
| DII | 29.80% | 30.60% | 27.77% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,19,387 | 1,45,778 | 1,73,433 | 2,05,426 |
| EBITDA | 20,581 | 27,522 | 32,559 | 38,352 |
| Adjusted profit | 14,001 | 19,083 | 22,358 | 26,748 |
| Diluted EPS (INR) | 90.7 | 122.2 | 143.2 | 171.3 |
| EPS growth (%) | 20.8 | 34.8 | 17.2 | 19.6 |
| RoAE (%) | 24.8 | 25.8 | 25.9 | 26.3 |
| P/E (x) | 70.1 | 52.0 | 44.4 | 37.1 |
| EV/EBITDA (x) | 46.9 | 35.2 | 29.5 | 24.9 |
| Dividend yield (%) | 0.6 | 0.7 | 0.9 | 1.0 |

## PRICE PERFORMANCE




# AI-led growth momentum to continue

We hosted top management of Persistent Systems at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Product engineering driving growth; ii) IP platform-led differentiation; iii) Hyperscaler-led GTM scaling up; iv) SASVA/iAURA platform scaling up; and v) growth-first reinvestment strategy.

Persistent continues to deliver industry-leading growth (17.3% YoY in Q3FY26). All along its margin trajectory has kept improving and cash flows have remained robust. We continue to view Persistent as leading the growth as well as the AI-led transformation opportunity in the industry. Maintain 'BUY' with a TP of INR7,700 (45x FY28E PE).

## Key takeaways

- **SASVA/iAURA platform-led differentiation**: Proprietary platforms are increasingly embedded in modernisation programs, strengthening its positioning in AI-driven engineering and enterprise transformation.
- **Product engineering driving growth mix**: Growth continues to be driven by product engineering and modernisation-heavy engagements, differentiating from traditional IT services peers.
- Partnerships with PE-backed enterprises are emerging as a meaningful driver of SASVA license sales, expanding access to fin-tech and enterprise customers.
- **Strategic partnerships**: Deep partnerships with cloud and AI ecosystem players are accelerating enterprise adoption and improving go-to-market scale.
- Demand remains strong in **BFSI and Healthcare**, supported by digital engineering and platform-led transformation initiatives.
- Management plans to operate within the 16–17% margin band, reinvesting incremental gains into growth and platform capabilities. Margin discipline is supported by continued offshoring, SG&A efficiencies and stable utilization.
- **Strong pipeline supporting visibility**: A healthy deal pipeline and expanding platform adoption support sustained growth momentum.
- Management remains committed to its twin goal of USD2bn revenue by FY27 and USD5bn by FY31. To achieve the second, the company continues to evaluate multiple acquisition opportunities, especially in Europe, prioritising valuation discipline.
- Management remains confident of sustaining industry-leading growth, supported by strong deal pipelines and platform-led differentiation.

**Vibhor Singhal**
VIBHOR.SINGHAL@nuvama.com

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Yukti Khemani**
Khemani.Yukti@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,19,387 | 1,45,778 | 1,73,433 | 2,05,426 |
| Cost of revenues | 78,740 | 93,709 | 1,12,085 | 1,33,179 |
| Gross Profit | 40,647 | 52,069 | 61,349 | 72,247 |
| SG&A | 20,066 | 24,547 | 28,790 | 33,895 |
| EBITDA | 20,581 | 27,522 | 32,559 | 38,352 |
| Depreciation | 3,069 | 3,943 | 3,947 | 4,038 |
| EBIT | 17,512 | 23,579 | 28,612 | 34,314 |
| Add: Other income | 1,382 | 2,111 | 1,886 | 2,018 |
| Profit before tax | 18,223 | 24,972 | 29,811 | 35,664 |
| Prov for tax | 4,221 | 5,697 | 7,453 | 8,916 |
| Less: Other adj | 0 | (869) | 0 | 0 |
| Reported profit | 14,001 | 18,407 | 22,358 | 26,748 |
| Less: Excp.item (net) | 0 | 676 | 0 | 0 |
| Adjusted profit | 14,001 | 19,083 | 22,358 | 26,748 |
| Diluted shares o/s | 154 | 156 | 156 | 156 |
| Adjusted diluted EPS | 90.7 | 122.2 | 143.2 | 171.3 |
| DPS (INR) | 35.3 | 42.2 | 55.0 | 65.0 |
| Tax rate (%) | 23.2 | 22.8 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 779 | 789 | 789 | 789 |
| Reserves | 62,411 | 78,813 | 92,585 | 1,09,186 |
| Shareholders funds | 63,191 | 79,602 | 93,374 | 1,09,975 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 0 | 0 | 0 | 0 |
| Trade payables | 24,175 | 26,495 | 29,300 | 32,413 |
| Other liabs & prov | 0 | 0 | 0 | 0 |
| Total liabilities | 87,366 | 1,05,997 | 1,22,174 | 1,41,488 |
| Net block | 13,846 | 14,489 | 14,542 | 15,304 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 0 | 0 | 0 | 0 |
| Total fixed assets | 13,846 | 14,489 | 14,542 | 15,304 |
| Non current inv | 9,803 | 13,907 | 15,907 | 17,907 |
| Cash/cash equivalent | 6,744 | 3,877 | 9,904 | 17,107 |
| Sundry debtors | 19,142 | 27,676 | 32,939 | 39,016 |
| Loans & advances | 12,886 | 14,903 | 17,737 | 21,008 |
| Other assets | 10,582 | 15,340 | 15,340 | 15,340 |
| Total assets | 87,366 | 1,05,997 | 1,22,174 | 1,41,488 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Direct Cost (% of sales) | 66.0 | 64.3 | 64.6 | 64.8 |
| S&M exp. (% of sales) | 8.2 | 8.0 | 8.1 | 8.1 |
| G&A exp. (% of sales) | 8.5 | 8.8 | 8.5 | 8.4 |
| EBIT margin (%) | 14.7 | 16.2 | 16.5 | 16.7 |
| Net profit margin (%) | 11.7 | 13.1 | 12.9 | 13.0 |
| Revenue growth (% YoY) | 21.6 | 22.1 | 19.0 | 18.4 |
| EBIT growth (% YoY) | 23.8 | 34.6 | 21.3 | 19.9 |
| Adj. profit growth (%) | 22.6 | 36.3 | 17.2 | 19.6 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 14,001 | 18,407 | 22,358 | 26,748 |
| Add: Depreciation | 3,069 | 3,943 | 3,947 | 4,038 |
| Interest (net of tax) | 0 | 0 | 0 | 0 |
| Others | 0 | 0 | 0 | 0 |
| Less: Changes in WC | (7,675) | (14,432) | (5,292) | (6,235) |
| Operating cash flow | 9,395 | 7,918 | 21,012 | 24,551 |
| Less: Capex | (5,278) | (4,585) | (4,000) | (4,800) |
| Free cash flow | 4,117 | 3,333 | 17,012 | 19,751 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.3 | 6.5 | 6.5 | 6.5 |
| Repo rate (%) | 5.3 | 5.3 | 5.3 | 5.3 |
| USD/INR (average) | 84.7 | 87.8 | 88.0 | 88.0 |
| | | | | |
| USD revenue (USD mn) | 1,409.1 | 1,659.9 | 1,970.8 | 2,334.4 |
| YoY growth (%) | 18.8 | 17.8 | 18.7 | 18.4 |
| CC YoY growth (%) | 19.0 | 17.8 | 18.7 | 18.4 |
| Tax rate as % of PBT | 23.2 | 22.8 | 25.0 | 25.0 |
| Capex (INR mn) | 5,278.2 | 4,585.2 | 4,000.0 | 4,800.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 24.8 | 25.8 | 25.9 | 26.3 |
| RoCE (%) | 25.7 | 27.5 | 26.4 | 26.8 |
| Div Payout Ratio(%) | 39.0 | 35.8 | 38.4 | 37.9 |
| | | | | |
| Working cap/Sales (%) | 15 | 22 | 21 | 21 |
| Receivable days | 56 | 59 | 64 | 64 |
| Asset Turnover Ratio | 0.7 | 0.8 | 0.8 | 0.8 |
| Current Ratio | 2.0 | 2.3 | 2.6 | 2.9 |
| Net debt/equity (x) | (0.1) | 0 | (0.1) | (0.2) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 70.1 | 52.0 | 44.4 | 37.1 |
| Price/BV (x) | 15.5 | 12.5 | 10.6 | 9.0 |
| EV/EBITDA (x) | 46.9 | 35.2 | 29.5 | 24.9 |
| Dividend yield (%) | 0.6 | 0.7 | 0.9 | 1.0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 20.8 | 34.8 | 17.2 | 19.6 |
| RoE (%) | 24.8 | 25.8 | 25.9 | 26.3 |
| EBITDA growth (%) | 19.4 | 33.7 | 18.3 | 17.8 |
| Payout ratio (%) | 39.0 | 35.8 | 38.4 | 37.9 |

*Source: Company and Nuvama estimates*

# PG ELECTROPLAST

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 593 |
| 12 month price target (INR) | 760 |
| 52 Week High/Low | 1,008/465 |
| Market cap (INR bn/USD bn) | 169/1.9 |
| Free float (%) | 73.8 |
| Avg. daily value traded (INR mn) | 1,810.7 |

## SHAREHOLDING PATTERN

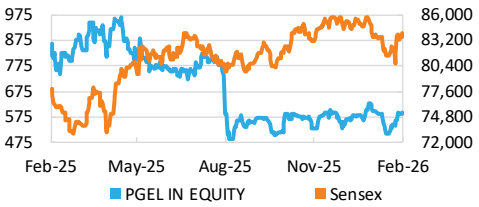
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 43.41% | 43.60% | 43.72% |
| FII | 10.59% | 11.45% | 13.02% |
| DII | 22.66% | 18.83% | 18.09% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 48,695 | 57,182 | 70,744 | 88,373 |
| EBITDA | 4,841 | 4,950 | 6,450 | 8,157 |
| Adjusted profit | 2,878 | 2,817 | 3,990 | 5,046 |
| Diluted EPS (INR) | 10.1 | 9.9 | 14.0 | 17.7 |
| EPS growth (%) | 86.6 | (2.1) | 41.6 | 26.5 |
| RoAE (%) | 14.9 | 9.5 | 12.1 | 13.5 |
| P/E (x) | 58.8 | 60.1 | 42.4 | 33.5 |
| EV/EBITDA (x) | 33.6 | 33.9 | 26.1 | 20.4 |
| Dividend yield (%) | 0 | 0.1 | 0.1 | 0.1 |

## PRICE PERFORMANCE




# Summer demand; portfolio expansion

We hosted top management of PG Electroplast at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: Earnings over next few quarters to be driven by: i) summer-led demand recovery; ii) channel inventory digestion and pricing actions; iii) 40%-plus growth in washing machines; iv) refrigerators ramping up with a 1.2mn unit plant by Q4FY27; and v) RAC growth driven by rising outsourcing and penetration gains.

We believe PGEL is well positioned to outpace industry over FY27–28, driven by an expanding product portfolio and sustained outsourcing-led growth. Retain 'BUY' with a TP of INR760 (45x Dec-27E EPS).

## Key takeaways

- **Summer 2026 distorted by rating-table change:** Demand shifted to old SKUs in Dec, as brands and channels pre-bought ahead of BEE-related price hikes, inflating channel inventory early in the season. January was subdued due to December pre-buying; February started muted but is now picking up, with summer sell-outs critical in March to absorb excess inventory.

- **Channel inventory elevated:** Inventory currently stands at ~5.0mn units versus normal 3.5–4.0mn, implying a 20–25% overhang, which needs to clear before pricing power fully returns.

- **AC growth to outperform market:** Despite an estimated 15–20% industry decline, PGEL expects 17–18% revenue growth in FY26 (9MFY26: +27%), driven by outsourcing gains and wallet share expansion.

- **Pricing reset underway:** BEE-led portfolio repricing (~5% net) and 5–7% industry-wide hikes (copper, compressors) have been implemented; further revisions expected as Jan material flows through and inventory clears.

- **Washing machines scaling up strongly:** FY26 volumes seen at ~1.2mn units (40–45% growth), driven by outsourcing of semi-automatic models and rising share in top-load/front-load categories; FY27 growth guided at 30–35% with Noida plant ramp-up.

- **Refrigerators emerge as next growth leg:** 1.2mn-unit Sri City plant to go live in Q4, offering OEM customers supply-chain savings and cross-selling opportunities with AC and washing machine clients.

- **Localisation mix varies by category:** Washing machines have ~40% in-house, ~30% imported, content and ~30% locally sourced content while refrigerators have > 50% in-house BOM with ~20% imports. In contrast, ACs remain ~50% import-dependent, requiring ~2.5 months of inventory. Higher localisation in washing machines and refrigerators supports lower inventory needs and better working capital efficiency.

**Achal Lohade**
achal.lohade@nuvama.com

**Rohan Jain**
Rohan.Jain@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 48,695 | 57,182 | 70,744 | 88,373 |
| Gross profit | 9,773 | 10,715 | 13,502 | 17,141 |
| Employee costs | 2,728 | 3,165 | 3,671 | 4,589 |
| Other expenses | 2,204 | 2,600 | 3,381 | 4,395 |
| EBITDA | 4,841 | 4,950 | 6,450 | 8,157 |
| Depreciation | 656 | 878 | 1,225 | 1,607 |
| Less: Interest expense | 889 | 1,000 | 600 | 360 |
| Add: Other income | 351 | 530 | 400 | 400 |
| Profit before tax | 3,616 | 3,612 | 5,050 | 6,639 |
| Prov for tax | 738 | 795 | 1,061 | 1,593 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 2,878 | 2,817 | 3,990 | 5,046 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 2,878 | 2,817 | 3,990 | 5,046 |
| Diluted shares o/s | 285 | 285 | 285 | 285 |
| Adjusted diluted EPS | 10.1 | 9.9 | 14.0 | 17.7 |
| DPS (INR) | 0.2 | 0.3 | 0.4 | 0.5 |
| Tax rate (%) | 20.4 | 22.0 | 21.0 | 24.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 283 | 285 | 285 | 285 |
| Reserves | 27,999 | 30,731 | 34,606 | 39,509 |
| Shareholders funds | 28,282 | 31,016 | 34,891 | 39,795 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 3,019 | 3,019 | 2,019 | 1,019 |
| Trade payables | 13,744 | 14,100 | 16,474 | 20,580 |
| Other liabs & prov | 4,696 | 4,003 | 4,863 | 6,130 |
| Total liabilities | 49,741 | 52,138 | 58,249 | 67,524 |
| Net block | 11,386 | 16,808 | 20,083 | 22,976 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 736 | 2,000 | 500 | 500 |
| Total fixed assets | 12,122 | 18,808 | 20,583 | 23,476 |
| Non current inv | 83 | 93 | 119 | 167 |
| Cash/cash equivalent | 9,797 | 4,380 | 2,815 | 3,956 |
| Sundry debtors | 9,804 | 10,966 | 13,567 | 16,464 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 17,936 | 17,891 | 21,165 | 23,461 |
| Total assets | 49,741 | 52,138 | 58,249 | 67,524 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| COGS (% of rev) | 79.9 | 81.3 | 80.9 | 80.6 |
| Employee cost (% of rev) | 5.6 | 5.5 | 5.2 | 5.2 |
| Other exp (% of rev) | 4.5 | 4.5 | 4.8 | 5.0 |
| EBITDA margin (%) | 9.9 | 8.7 | 9.1 | 9.2 |
| Net profit margin (%) | 5.9 | 4.9 | 5.6 | 5.7 |
| Revenue growth (% YoY) | 77.3 | 17.4 | 23.7 | 24.9 |
| EBITDA growth (% YoY) | 84.9 | 2.3 | 30.3 | 26.5 |
| Adj. profit growth (%) | 113.3 | (2.1) | 41.6 | 26.5 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 3,647 | 3,612 | 5,050 | 6,639 |
| Add: Depreciation | 656 | 878 | 1,225 | 1,607 |
| Interest (net of tax) | 755 | 470 | 200 | (40) |
| Others | 0 | (474) | 210 | 354 |
| Less: Changes in WC | (5,135) | (980) | (2,850) | (175) |
| Operating cash flow | (766) | 2,711 | 2,775 | 6,792 |
| Less: Capex | (4,872) | (7,564) | (3,000) | (4,500) |
| Free cash flow | (5,638) | (4,853) | (225) | 2,292 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 58.8 | 60.1 | 42.4 | 33.5 |
| Price/BV (x) | 6.0 | 5.5 | 4.8 | 4.3 |
| EV/EBITDA (x) | 33.6 | 33.9 | 26.1 | 20.4 |
| Dividend yield (%) | 0 | 0.1 | 0.1 | 0.1 |

*Source: Company and Nuvama estimates*

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 14.9 | 9.5 | 12.1 | 13.5 |
| RoCE (%) | 20.0 | 14.1 | 15.9 | 17.9 |
| Inventory days | 87 | 104 | 92 | 86 |
| Receivable days | 57 | 66 | 63 | 62 |
| Payable days | 95 | 109 | 97 | 95 |
| Working cap (% sales) | 22.6 | 20.9 | 20.9 | 17.0 |
| Gross debt/equity (x) | 0.1 | 0.1 | 0.1 | 0 |
| Net debt/equity (x) | (0.2) | 0 | 0 | (0.1) |
| Interest coverage (x) | 4.7 | 4.1 | 8.7 | 18.2 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 86.6 | (2.1) | 41.6 | 26.5 |
| RoE (%) | 14.9 | 9.5 | 12.1 | 13.5 |
| EBITDA growth (%) | 84.9 | 2.3 | 30.3 | 26.5 |
| Payout ratio (%) | 2.0 | 3.0 | 2.9 | 2.8 |

# PIRAMAL PHARMA

nuvama institutional equities

POST-CONFERENCE NOTES

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 163 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 241/148 |
| Market cap (INR bn/USD bn) | 216.6/2.39 |
| Free float (%) | 46.4 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 34.86% | 34.86% | 34.86% |
| FII | 29.66% | 30.27% | 30.86% |
| DII | 15.69% | 14.89% | 14.26% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22A | FY23A | FY24A | FY25A |
|---|---|---|---|---|
| Revenue | 65,591 | 70,816 | 81,712 | 91,512 |
| EBITDA | 9,497 | 6,282 | 11,963 | 14,448 |
| Adjusted profit | 3,910 | -1,795 | 806 | 911 |
| Diluted EPS (INR) | 3 | -2 | 0 | 1 |
| EPS growth (%) | -65 | -148 | -109 | 393 |
| RoAE (%) | 7 | -3 | 1 | 1 |
| P/E (x) | 51 | NA | 1,171 | 237 |
| EV/EBITDA (x) | 27 | 41 | 22 | 18 |
| Dividend yield (%) | 1 | 0 | 0 | 0 |

# Significant pickup in RFP activity

We hosted top management of Piramal Pharma at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Significant uptick in RFP and signs of recovery in order inflows driven by improved biopharma spending. ii) Investment of USD90mn to expand Lexington and Riverview facilities on track. iii) Acquisition of Kenalog to add new lever of revenue in RoW markets. iv) Long-term guidance: revenue USD2bn, margin of ~25% to be led by CDMO and consumer business.

As per management, Piramal's CDMO business is set to pick up while CHG business is set to benefit from capex and M&A activities. The stock trades at 27x FY25E consensus EV/EBITDA, and is *not rated*.

## Key takeaways

- **CDMO business recovery underway:** CDMO business was affected by inventory destocking, slower order inflows and US biopharma funding. However, recent improvements led to a significant pickup in RFP activity with improved biopharma funding and higher M&A activity in the US, order inflow recovery was there since Oct-25. Piramal has also invested USD90mn in US facilities (Lexington and Riverview) to expand capacity across HP API, sterile injectable, API and formulation capabilities. It has also done a multi-million-dollar joint investment with NewAmsterdam Pharma to provide commercial capacity for fixed dose combination of Obicetrapib and Ezetimibe to meet commercial demand.

- **Complex Hospital Generics business (CHG):** Piramal has acquired Kenalog from Bristol Myers, adding ~USD30–40mn annual revenue with minimal incremental costs across the US, Europe and Asia-Pacific**.** The company continues to invest in specialty products through in-licensing and co-development initiatives to drive long-term growth. Piramal has 45%/75% market share in Sevoflurane/Intrathecal Baclofen in US market and is likely to capture inhalation anaesthesia opportunities in RoW markets. It has initiated Sevoflurane supplies from lower cost Digwal facility in RoW markets, but initial pickup is below expectations due to regulatory delays.

- **Piramal Consumer Healthcare business (PCH):** Power brands have grown strong (30% YoY), mainly driven by Little's, Lacto Calamine and CIR, contributing~51% to total. It has launched 31 new products and SKUs in 9MFY26. The e-commerce channel contributed ~26% of PCH sales and soared 50% YoY during 9MFY26. Piramal to undertake focused efforts on profitability and distribution channels mix.

- **Guidance:** The CDMO business is likely to double by FY30 with Piramal benefiting from operating leverage and higher margins to drive growth. The company is targeting USD2bn revenue with an average capex of USD70–100mn and ~25% EBITDA margins in the long-term. Margins shall largely come from CDMO and consumer business. Debt levels are likely to increase slightly from current levels of INR42bn. ETR across all sites would be ~24–25%.

**Aashita Jain**
Aashita.Jain@nuvama.com

**Shrikant Akolkar**
Shrikant.Akolkar@nuvama.com

**Tanay Parab**
Tanay.Parab@nuvama.com

# POLYCAB INDIA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 7,788 |
| 12 month price target (INR) | 9,240 |
| 52 Week High/Low | 7,948/4,555 |
| Market cap (INR bn/USD bn) | 1,172/12.9 |
| Free float (%) | 73.8 |
| Avg. daily value traded (INR mn) | 2,766.6 |

## SHAREHOLDING PATTERN

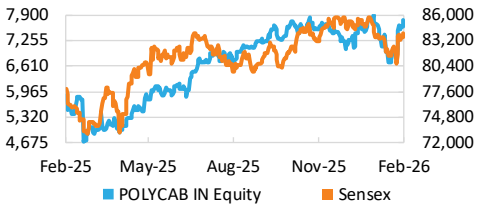
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 61.50% | 61.53% | 63.01% |
| FII | 14.82% | 13.96% | 11.45% |
| DII | 11.13% | 11.70% | 11.61% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 2,24,083 | 2,92,359 | 3,60,573 | 4,16,738 |
| EBITDA | 29,602 | 40,028 | 46,186 | 53,722 |
| Adjusted profit | 20,200 | 27,118 | 30,957 | 36,020 |
| Diluted EPS (INR) | 134.3 | 180.3 | 205.8 | 239.5 |
| EPS growth (%) | 13.1 | 34.3 | 14.2 | 16.4 |
| RoAE (%) | 22.4 | 25.0 | 23.7 | 23.1 |
| P/E (x) | 58.0 | 43.2 | 37.8 | 32.5 |
| EV/EBITDA (x) | 39.3 | 29.3 | 25.3 | 21.5 |
| Dividend yield (%) | 0.4 | 0.5 | 0.6 | 0.8 |

## PRICE PERFORMANCE




# Export momentum; margins to improve

We hosted top management of Polycab at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) The inflation in commodity prices is fully passed on as of today in staggered manner. ii) The company expects strong momentum from both government and private capex. iii) On track with its Project SPRING guidance.

We believe Polycab shall continue its industry-leading performance. Exports to recover due to India-US trade deal. Retain 'BUY' with a TP of INR9,240 (40x Dec-27E EPS).

## Key takeaways

- **Market share gains:** Management indicated growth has far outpaced estimated industry growth implying significant market share gains under Project Spring.
- **Demand drivers:** Strong momentum from government & private capex, real estate, and institutional/project-led demand; channel pre-stocking (mainly in wires) amid sharp copper price inflation supported volumes.
- **Wire versus Cable:** Wire growth outpaced cables; revenue growth ~70% in wires vs ~50% in cables, while volume growth was similar for both.
- **Commodity impact:** Copper/aluminium prices (in INR terms) rose ~21%/~11% QoQ during the quarter (Sep–Dec'25); price hikes were passed through in a staggered manner (~75–80% of total increase) to protect volumes and relationships with channel partners.
- **Margins:** Near-term margin pressure due to delayed pass-through, higher institutional mix, and lower export contribution (exports fell to 6% of revenues versus 8.3% in Q3FY25); management expects margins to recover over time.
- **Capex guidance:** Management reaffirmed its capex guidance for Project Spring of INR 12–16bn annually through FY30.
- **One-off impact:** INR 201mn gratuity provision due to new labour code impacted reported EBITDA margins in Q3.
- **Market leadership and scale advantage:** The company is India's largest wire & cable player and market leader with scale nearly 2x the next competitor. Portfolio mix is ~70% cables and 30% wires, with a combined 21–26% market share in cables.

**Achal Lohade**
achal.lohade@nuvama.com

**Rohan Jain**
Rohan.Jain@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 2,24,083 | 2,92,359 | 3,60,573 | 4,16,738 |
| Gross profit | 55,783 | 74,551 | 90,143 | 1,04,184 |
| Employee costs | 7,367 | 9,430 | 11,316 | 13,579 |
| Other expenses | 18,813 | 25,093 | 32,641 | 36,883 |
| EBITDA | 29,602 | 40,028 | 46,186 | 53,722 |
| Depreciation | 2,981 | 3,932 | 4,888 | 6,098 |
| Less: Interest expense | 1,689 | 2,027 | 2,128 | 2,235 |
| Add: Other income | 2,076 | 2,256 | 2,280 | 2,810 |
| Profit before tax | 27,008 | 36,325 | 41,449 | 48,200 |
| Prov for tax | 6,553 | 8,900 | 10,155 | 11,809 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 20,200 | 27,118 | 30,957 | 36,020 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 20,200 | 27,118 | 30,957 | 36,020 |
| Diluted shares o/s | 150 | 150 | 150 | 150 |
| Adjusted diluted EPS | 134.3 | 180.3 | 205.8 | 239.5 |
| DPS (INR) | 30.0 | 42.1 | 50.1 | 60.7 |
| Tax rate (%) | 24.3 | 24.5 | 24.5 | 24.5 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 1,504 | 1,504 | 1,504 | 1,504 |
| Reserves | 96,746 | 1,17,537 | 1,40,962 | 1,67,858 |
| Shareholders funds | 98,250 | 1,19,042 | 1,42,467 | 1,69,362 |
| Minority interest | 818 | 1,124 | 1,461 | 1,832 |
| Borrowings | 1,090 | 0 | 0 | 0 |
| Trade payables | 27,358 | 38,022 | 47,373 | 54,701 |
| Other liabs & prov | 10,212 | 13,374 | 16,585 | 19,370 |
| Total liabilities | 1,37,727 | 1,71,563 | 2,07,887 | 2,45,266 |
| Net block | 29,321 | 38,261 | 47,373 | 53,275 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 7,872 | 9,000 | 7,000 | 7,000 |
| Total fixed assets | 37,193 | 47,261 | 54,373 | 60,275 |
| Non current inv | 17,490 | 17,490 | 17,490 | 17,490 |
| Cash/cash equivalent | 7,706 | (861) | 3,229 | 14,021 |
| Sundry debtors | 28,957 | 38,447 | 47,418 | 54,804 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 46,381 | 69,225 | 85,377 | 98,675 |
| Total assets | 1,37,727 | 1,71,563 | 2,07,887 | 2,45,266 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| COGS (% of rev) | 75.1 | 74.5 | 75.0 | 75.0 |
| Employee cost (% of rev) | 3.3 | 3.2 | 3.1 | 3.3 |
| A&P (% of rev) | 0 | 0 | 0 | 0 |
| EBITDA margin (%) | 13.2 | 13.7 | 12.8 | 12.9 |
| Net profit margin (%) | 9.0 | 9.3 | 8.6 | 8.6 |
| Revenue growth (% YoY) | 24.2 | 30.5 | 23.3 | 15.6 |
| EBITDA growth (% YoY) | 18.8 | 35.2 | 15.4 | 16.3 |
| Adj. profit growth (%) | 13.2 | 34.3 | 14.2 | 16.4 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 27,008 | 36,325 | 41,449 | 48,200 |
| Add: Depreciation | 2,981 | 3,932 | 4,888 | 6,098 |
| Interest (net of tax) | 1,361 | (229) | (151) | (575) |
| Others | 0 | 363 | 414 | 482 |
| Less: Changes in WC | (6,099) | (18,870) | (12,975) | (11,055) |
| Operating cash flow | 18,919 | 12,621 | 23,470 | 31,341 |
| Less: Capex | (9,583) | (14,000) | (12,000) | (12,000) |
| Free cash flow | 9,336 | (1,379) | 11,470 | 19,341 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 58.0 | 43.2 | 37.8 | 32.5 |
| Price/BV (x) | 11.9 | 9.8 | 8.2 | 6.9 |
| EV/EBITDA (x) | 39.3 | 29.3 | 25.3 | 21.5 |
| Dividend yield (%) | 0.4 | 0.5 | 0.6 | 0.8 |

*Source: Company and Nuvama estimates*

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 22.4 | 25.0 | 23.7 | 23.1 |
| RoCE (%) | 31.3 | 34.8 | 33.0 | 32.0 |
| Inventory days | 80 | 78 | 85 | 87 |
| Receivable days | 41 | 42 | 43 | 45 |
| Payable days | 61 | 55 | 58 | 60 |
| Working cap (% sales) | 17.3 | 19.7 | 19.6 | 19.6 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.1) | 0 | 0 | (0.1) |
| Interest coverage (x) | 15.8 | 17.8 | 19.4 | 21.3 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 13.1 | 34.3 | 14.2 | 16.4 |
| RoE (%) | 22.4 | 25.0 | 23.7 | 23.1 |
| EBITDA growth (%) | 18.8 | 35.2 | 15.4 | 16.3 |
| Payout ratio (%) | 22.3 | 23.3 | 24.3 | 25.3 |

# PVR INOX

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 987 |
| 12 month price target (INR) | 1,605 |
| 52 Week High/Low | 1,250/826 |
| Market cap (INR bn/USD bn) | 97/1.1 |
| Free float (%) | 81.2 |
| Avg. daily value traded (INR mn) | 419.3 |

## SHAREHOLDING PATTERN

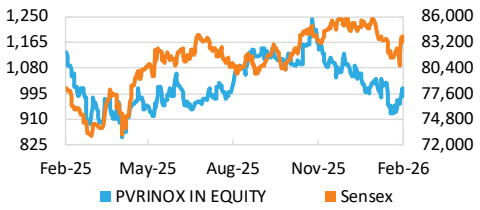
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 27.53% | 27.53% | 27.53% |
| FII | 21.16% | 21.8% | 19.71% |
| DII | 34.51% | 35.35% | 36.52% |
| Pledge | 10.89% | 9.41% | 10.17% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 57,799 | 68,318 | 80,066 | 92,603 |
| EBITDA | 15,416 | 20,644 | 24,288 | 28,129 |
| Adjusted profit | (2,796) | 4,473 | 7,678 | 9,491 |
| Diluted EPS (INR) | (28.5) | 45.5 | 78.2 | 96.7 |
| EPS growth (%) | 772.9 | nm | 71.7 | 23.6 |
| RoAE (%) | (3.9) | 6.1 | 9.7 | 10.9 |
| P/E (x) | nm | 21.8 | 12.7 | 10.3 |
| EV/EBITDA (x) | 16.0 | 11.5 | 9.3 | 7.5 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## PRICE PERFORMANCE




# CY26—Year of marquee movies

We hosted CFO Mr Gaurav Sharma of PVR INOX at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Management optimistic on CY26 given a strong pipeline, especially Hollywood (65–70% market share). ii) FY27 capex likely to be INR3.5-4bn. iii) Management plans to open 270–300 new screens by FY28. iv) No plans to re-enter the film production business. v) Advertising revenue to recover Q4FY26 onwards vi) No further increase in promoter pledge in the medium term. vii) Occupancies of 28–29% likely to be sustainable. viii) India's F&B spend is underpenetrated, offering strong headroom for growth.

Retain 'BUY' with a TP of INR1,605 (9x FY28 EV/EBITDA).

## Key takeaways

- **Advertising revenue:** Advertising revenue is likely to recover Q4FY26 onwards. Advertising demand in cinemas is closely linked to blockbuster perception rather than absolute footfalls. Autos and BFSI sector are currently highest contributors to ad revenue. Ad revenue is not overly dependent on any single sector.
- **Screens:** PVR INOX plans to add ~150 new screens in FY27/28 each. These screens shall be under all formats—franchise, asset light and leased. Under its capital-light growth strategy, it currently has 149 screens (54 screens—FOCO model and 95 screens—asset-light model). Capex is likely to be INR3.5–4bn in FY27.
- **Pipeline:** CY25 marked the strongest year for Indian cinema: All India BOC was INR134bn (+13% YoY). Hindi BOC was ~INR55bn (+18% YoY). CY25 reported 37 movies crossing the 1bn box office mark, highest ever in a single year. Management is optimistic on CY26 given a dense pipeline of Hindi movies, regional films and major Hollywood franchises. It has 65–70% market share in Hollywood. Hence, the spread of movies in the pipeline is better in CY26 than in CY25 as each quarter has two–three marquee movies.
- Q4FY25 has *Dhurandhar 2*, *Toxic* and *O'Romeo*; Q1FY26 has *Battle of Galwan*, *Bhooth Bangla*, *Hai Jawani Toh Ishq Hona Hai* and *Welcome to the Jungle*; Q2FY26 has *Dhaamal 4*, *The Odyssey*, *Spiderman* and *Jailer 2*.
- **Other:** ATP/SPH to grow ~3.5–4% annually. No material development is there on the CCI probe as well as Karnataka ticket price cap. Lowest net debt since merger at INR3.7bn, reduction of 74% till date. Occupancies of 28–29% achieved over the last two quarters are sustainable going forward.
- **4700BC:** The divestment of 4700BC is strategically sound and has no material impact on the company's financials. 4700BC products will continue to be retailed at select premium cinemas even after the exit from equity ownership.
- F&B revenue in the US is 75–80% of the ticket cost; India is at 45–50%. PVR INOX has substantial headroom for F&B revenue go up from current level.

**Abneesh Roy**
Abneesh.Roy@nuvama.com

**Jainam Gosar**
Jainam.Gosar@nuvama.com

**Shlok Mehta**
Shlok.Mehta@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 57,799 | 68,318 | 80,066 | 92,603 |
| Gross profit | 41,345 | 47,971 | 56,154 | 64,892 |
| Employee costs | 6,860 | 7,788 | 9,048 | 10,372 |
| Other expenses | 19,069 | 19,539 | 22,819 | 26,392 |
| EBITDA | 15,416 | 20,644 | 24,288 | 28,129 |
| Depreciation | 12,798 | 10,147 | 10,093 | 10,085 |
| Less: Interest expense | 8,095 | 6,650 | 6,305 | 7,940 |
| Add: Other income | 1,737 | 2,084 | 2,293 | 2,568 |
| Profit before tax | (3,740) | 5,932 | 10,182 | 12,672 |
| Prov for tax | (934) | 1,459 | 2,505 | 3,181 |
| Less: Other adj | (3) | 0 | 0 | 0 |
| Reported profit | (2,796) | 4,473 | 7,678 | 9,491 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | (2,796) | 4,473 | 7,678 | 9,491 |
| Diluted shares o/s | 98 | 98 | 98 | 98 |
| Adjusted diluted EPS | (28.5) | 45.5 | 78.2 | 96.7 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 25.0 | 24.6 | 24.6 | 25.1 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 982 | 982 | 982 | 982 |
| Reserves | 69,533 | 74,006 | 81,683 | 91,174 |
| Shareholders funds | 70,515 | 74,988 | 82,665 | 92,156 |
| Minority interest | 19 | 19 | 19 | 19 |
| Borrowings | 72,823 | 66,138 | 59,932 | 53,698 |
| Trade payables | 18,886 | 18,725 | 18,535 | 18,992 |
| Other liabs & prov | 381 | 381 | 381 | 381 |
| Total liabilities | 1,62,624 | 1,60,250 | 1,61,532 | 1,65,245 |
| Net block | 80,375 | 74,428 | 68,835 | 63,550 |
| Intangible assets | 58,687 | 58,687 | 58,687 | 58,687 |
| Capital WIP | 957 | 957 | 957 | 957 |
| Total fixed assets | 1,40,019 | 1,34,072 | 1,28,479 | 1,23,194 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 5,289 | 8,283 | 13,821 | 22,010 |
| Sundry debtors | 2,430 | 2,808 | 3,510 | 4,059 |
| Loans & advances | 15 | 15 | 15 | 15 |
| Other assets | 8,970 | 9,171 | 9,806 | 10,066 |
| Total assets | 1,62,624 | 1,60,250 | 1,61,532 | 1,65,245 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Average Ticket Price | 259.0 | 279.7 | 300.4 | 322.7 |
| Spend Per Head (SPH) | 134.0 | 146.1 | 157.7 | 170.4 |
| Footfall growth (%) | (9.6) | 10.8 | 9.6 | 7.7 |
| EBITDA margin (%) | 26.7 | 30.2 | 30.3 | 30.4 |
| Net profit margin (%) | (4.8) | 6.5 | 9.6 | 10.2 |
| Revenue growth (% YoY) | (5.4) | 18.2 | 17.2 | 15.7 |
| EBITDA growth (% YoY) | (14.8) | 33.9 | 17.7 | 15.8 |
| Adj. profit growth (%) | 773.8 | nm | 71.7 | 23.6 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | (2,796) | 4,473 | 7,678 | 9,491 |
| Add: Depreciation | 12,798 | 10,147 | 10,093 | 10,085 |
| Interest (net of tax) | 8,095 | 6,650 | 6,305 | 7,940 |
| Others | (1,827) | (2,084) | (2,293) | (2,568) |
| Less: Changes in WC | 3,398 | (4,425) | (4,733) | (3,587) |
| Operating cash flow | 19,668 | 14,759 | 17,050 | 21,361 |
| Less: Capex | 3,243 | 4,200 | 4,500 | 4,800 |
| Free cash flow | 16,425 | 10,559 | 12,550 | 16,561 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.0 | 6.0 | 6.0 |
| Repo rate (%) | 4.0 | 4.0 | 4.0 | 4.0 |
| USD/INR (average) | 72.0 | 72.0 | 72.0 | 72.0 |
| Screen addition | 5.0 | 100.0 | 150.0 | 150.0 |
| Exhibition cost (%) | 20.4 | 21.6 | 21.7 | 21.7 |
| F&B COGS (% of sales) | 8.1 | 8.1 | 8.2 | 8.2 |
| Debtors days | 15.3 | 15.0 | 16.0 | 16.0 |
| Inventory days | 17.8 | 18.0 | 25.0 | 25.0 |
| Payable days | 166.9 | 150.0 | 140.0 | 140.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | (3.9) | 6.1 | 9.7 | 10.9 |
| RoCE (%) | 3.0 | 8.8 | 11.6 | 14.3 |
| Inventory days | 18 | 18 | 25 | 25 |
| Receivable days | 15 | 15 | 16 | 16 |
| Payable days | 167 | 150 | 140 | 140 |
| Working cap (% sales) | (14.6) | (6.9) | 2.9 | 11.8 |
| Gross debt/equity (x) | 1.0 | 0.9 | 0.7 | 0.6 |
| Net debt/equity (x) | 1.0 | 0.8 | 0.6 | 0.3 |
| Interest coverage (x) | 0.3 | 1.6 | 2.3 | 2.3 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | nm | 21.8 | 12.7 | 10.3 |
| Price/BV (x) | 1.4 | 1.3 | 1.2 | 1.1 |
| EV/EBITDA (x) | 16.0 | 11.5 | 9.3 | 7.5 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 772.9 | nm | 71.7 | 23.6 |
| RoE (%) | (3.9) | 6.1 | 9.7 | 10.9 |
| EBITDA growth (%) | (14.8) | 33.9 | 17.7 | 15.8 |
| Payout ratio (%) | nm | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

# QUESS CORP

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 211 |
| 12 month price target (INR) | 310 |
| 52 Week High/Low | 379/191 |
| Market cap (INR bn/USD bn) | 31/0.3 |
| Free float (%) | 36.3 |
| Avg. daily value traded (INR mn) | 95.9 |

## SHAREHOLDING PATTERN

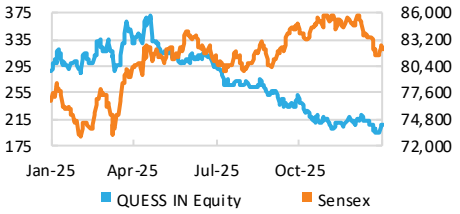
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 56.87% | 56.92% | 56.98% |
| FII | 9.15% | 14.11% | 14.58% |
| DII | 12.45% | 9.77% | 8.74% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,49,672 | 1,53,870 | 1,69,254 | 1,88,756 |
| EBITDA | 2,623 | 3,049 | 3,354 | 3,712 |
| Adjusted profit | 2,101 | 2,188 | 2,508 | 2,856 |
| Diluted EPS (INR) | 14.1 | 14.6 | 16.8 | 19.1 |
| EPS growth (%) | (83.5) | 358.0 | 19.2 | 13.9 |
| RoAE (%) | 2.4 | 19.0 | 21.6 | 23.4 |
| P/E (x) | 14.3 | 13.8 | 12.0 | 10.6 |
| EV/EBITDA (x) | 10.5 | 8.9 | 8.0 | 7.1 |
| Dividend yield (%) | 1.1 | 5.4 | 6.4 | 7.2 |

## PRICE PERFORMANCE




# Labour code to act as tailwind

We hosted top management of Quess Corp (Quess) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) General staffing to report a demand pickup; ii) Professional staffing growth and margins to sustain momentum; and iii) Overall EBITDA margin to benefit from diversified client base, contract rationalisation and continued demand traction from GCCs.

Management expects headcount addition to pick up moderately from Q4FY26E onwards with a medium term target of 10k–15k headcount addition per quarter while margins to sustain at current levels. We continue to value Quess using DCF, yielding a TP of INR310 (unchanged); maintain 'BUY'.

## Key takeaways

- In terms of value, Quess has 10% market share followed by near competitor who has 6% market share.
- Despite a mixed demand environment across sectors, partly led by uncertainty around labour codes, employee headcount stayed stable during Q3FY26. Quess is targeting to achieve 20% RoE by Q4FY26.
- Within General Staffing, headwinds in BFSI vertical are almost behind. Headcount additions are likely to pick up steadily heading into Q4FY26E with General Staffing headcount additions to remain in a target range of 10k–15k.
- General Staffing margins are likely to improve to 1.4–1.5% in the near term and reach ~1.8% over the medium to long term.
- GCCs now account for ~67% of revenue and ~72% of headcount under Professional Staffing.
- CRT has become the largest vertical in Professional Staffing followed by IT Services and Consulting.
- Professional Staffing margins reached an all-time high with momentum likely to sustain, led by rationalisation of low-yield contracts and demand from GCCs.
- Overseas business revenue growth decreased led by visa related headwinds in Singapore, partially offset by pickup in Malaysia, Middle East and Philippines.
- Overseas business margins improved on the back of proactive cost and headcount optimisation across Middle East and Sri Lanka geography.
- The impact of the one-time labour code provision was limited to Quess's core employees while costs related to billable headcount were passed on to clients.
- Management expect Labour code impact to take a few quarters before translating into opportunities.

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Parth Ghiya**
PARTH.GHIYA@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,49,672 | 1,53,870 | 1,69,254 | 1,88,756 |
| Cost of revenues | 1,40,516 | 1,43,635 | 1,57,996 | 1,76,349 |
| Gross profit | 9,156 | 10,235 | 11,258 | 12,407 |
| Other expenses | 6,533 | 7,186 | 7,905 | 8,695 |
| EBITDA | 2,623 | 3,049 | 3,354 | 3,712 |
| Depreciation | 412 | 448 | 440 | 443 |
| Less: Interest expense | 386 | 423 | 403 | 403 |
| Add: Other income | 236 | 195 | 216 | 240 |
| Profit before tax | 2,061 | 2,372 | 2,727 | 3,106 |
| Prov for tax | (41) | 183 | 218 | 248 |
| Less: Other adjustment | (1,644) | (88) | (1) | (1) |
| Reported profit | 458 | 2,102 | 2,508 | 2,856 |
| Less: Excp.item (net) | 1,643 | 87 | 0 | 0 |
| Group adjusted profit | 2,101 | 2,188 | 2,508 | 2,856 |
| Diluted shares o/s | 149 | 149 | 150 | 150 |
| Adjusted diluted EPS | 14 | 15 | 17 | 19 |
| DPS (INR) | 2.2 | 11.0 | 13.0 | 14.5 |
| Tax rate (%) | 2.0 | 7.7 | 8.0 | 8.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 1,489 | 1,489 | 1,489 | 1,489 |
| Reserves | 9,359 | 9,822 | 10,392 | 11,085 |
| Shareholders funds | 10,849 | 11,311 | 11,881 | 12,575 |
| Minority interest | 11 | 12 | 13 | 14 |
| Borrowings | 121 | 0 | 0 | 0 |
| Trade payables | 586 | 603 | 663 | 739 |
| Other liabs & prov | 15,199 | 15,567 | 16,918 | 18,630 |
| Total liabilities | 26,766 | 27,494 | 29,475 | 31,958 |
| Net block | 1,009 | 960 | 941 | 948 |
| Intangible assets | 2,362 | 2,362 | 2,362 | 2,362 |
| Capital WIP | 36 | 36 | 36 | 36 |
| Total fixed assets | 3,407 | 3,359 | 3,339 | 3,346 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 2,669 | 2,989 | 3,317 | 3,672 |
| Sundry debtors | 8,498 | 8,736 | 9,610 | 10,717 |
| Loans & advances | 4,410 | 4,410 | 4,410 | 4,410 |
| Other assets | 7,782 | 8,000 | 8,800 | 9,814 |
| Total assets | 26,766 | 27,494 | 29,475 | 31,958 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EBITDA margin (%) | 1.8 | 2.0 | 2.0 | 2.0 |
| EBIT margin (%) | 1.5 | 1.7 | 1.7 | 1.7 |
| Net profit margin (%) | 1.4 | 1.4 | 1.5 | 1.5 |
| Revenue growth (% YoY) | 9.3 | 2.8 | 10.0 | 11.5 |
| EBITDA growth (% YoY) | 11.9 | 16.2 | 10.0 | 10.7 |
| PBT growth (% YoY) | 53.9 | 15.1 | 15.0 | 13.9 |
| Adj. profit growth (%) | 56.9 | 4.1 | 14.6 | 13.9 |
| Asset turnover (X) | 6.3 | 12.7 | 13.4 | 14.3 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 458 | 2,102 | 2,508 | 2,856 |
| Add: Depreciation | 412 | 448 | 440 | 443 |
| Interest (net of tax) | 259 | 284 | 270 | 270 |
| Others | 3,404 | (54) | (82) | (105) |
| Changes in WC | (728) | (72) | (262) | (333) |
| Operating cash flow | 3,805 | 2,708 | 2,873 | 3,131 |
| Less: Capex | (17) | (400) | (420) | (450) |
| Free cash flow | 3,788 | 2,308 | 2,453 | 2,681 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.0 | 6.0 | 6.0 |
| Repo rate (%) | 4.0 | 4.0 | 4.0 | 4.0 |
| USD/INR (average) | 72.0 | 72.0 | 72.0 | 72.0 |
| Staffing growth (%) | 14.2 | 14.2 | 14.2 | 0 |
| Staffing margin(%) | 1.6 | 1.6 | 1.6 | 0 |
| Collect & Pay (%) | 70.0 | 70.0 | 70.0 | 70.0 |
| FM growth (%) | 13.3 | 13.3 | 13.3 | 0 |
| Capex | 17 | 400 | 420 | 450 |
| Net borr. (INR mn) | (2,549) | (2,989) | (3,317) | (3,672) |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 2.4 | 19.0 | 21.6 | 23.4 |
| RoCE (%) | 11.0 | 25.1 | 27.0 | 28.7 |
| Receivable days | 29 | 20 | 20 | 20 |
| Payable days | 2 | 1 | 1 | 1 |
| Cash conversion cycle | 27 | 19 | 18 | 18 |
| Working cap (% sales) | 4.6 | 4.5 | 4.3 | 4.0 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.2) | (0.3) | (0.3) | (0.3) |
| Interest coverage (x) | 5.7 | 6.1 | 7.2 | 8.1 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 14.3 | 13.8 | 12.0 | 10.6 |
| Price/BV (x) | 2.8 | 2.7 | 2.5 | 2.4 |
| EV/EBITDA (x) | 10.5 | 8.9 | 8.0 | 7.1 |
| Dividend yield (%) | 1.1 | 5.4 | 6.4 | 7.2 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | (83.5) | 358.0 | 19.2 | 13.9 |
| RoE (%) | 2.4 | 19.0 | 21.6 | 23.4 |
| EBITDA growth (%) | 11.9 | 16.2 | 10.0 | 10.7 |
| Payout ratio (%) | 70.8 | 78.0 | 77.3 | 75.7 |

*Source: Company and Nuvama estimates*

# RR KABEL

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 1,465 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 1,563/854 |
| Market cap (INR bn/USD bn) | 165.7/1.8 |
| Free float (%) | 38.3 |
| Avg. daily value traded (INR mn) | 22.5 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 61.65% | 61.76% | 61.76% |
| FII | 8.40% | 8.18% | 8.57% |
| DII | 13.94% | 13.87% | 13.62% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22A | FY23E | FY24E | FY25E |
|---|---|---|---|---|
| Revenue | 43,859 | 55,992 | 65,946 | 76,183 |
| EBITDA | 3,032 | 3,223 | 4,617 | 4,856 |
| Adjusted profit | 2,139 | 1,899 | 2,981 | 3,116 |
| Diluted EPS (INR) | 75.4 | 17.1 | 26.6 | 27.6 |
| EPS growth (%) | 335.5 | (77.4) | 55.7 | 3.7 |
| RoAE (%) | 18.7 | 14.3 | 18.4 | 15.7 |
| P/E (x) | 19.5 | 85.9 | 55.2 | 53.2 |
| EV/EBITDA (x) | 39.5 | 44.9 | 36.3 | 34.1 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

# Guidance intact; export a growth lever

We hosted top management of RR Kabel at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Management reiterated confidence in a 14–15% industry CAGR, 18% CAGR in revenue with Wires & Cables EBIT margins steadily expanding toward double digits by FY28. ii) The company reaffirmed its INR12bn three-year capex plan with ~80% allocated to cables to support growth and capacity expansion. iii) RR Kabel is well positioned to benefit from the proposed EU trade agreement.

The stock trades at 54.6x FY26E consensus EPS, and is *not rated*.

## Key takeaways

- **Medium-term outlook constructive despite near-term noise**: While short-term volatility from commodity prices may cause temporary channel stocking/destocking, management reiterated confidence in 14–15% industry CAGR, RR Kabel's faster-than-industry growth, and steady margin expansion toward double-digit EBIT in W&C by FY28.

- **Strong volume-led growth with pricing tailwinds:** Wires & cables volumes grew ~30% in Q3, with wires up ~30% and cables over 25% while realisations benefited from elevated copper prices; demand remained resilient across domestic and export markets.

- **Margins resilient despite commodity volatility**: EBITDA margins expanded YoY with only marginal QoQ softness due to timing lag in price pass-through; management highlighted that even a ~25% copper price move had limited margin impact (~50 bps), reflecting strong pricing discipline.

- **Strong go-to-market and brand-led wire growth:** ~90% sales flow through distributors and retailers, supported by exclusive distributors and multi-brand retail presence. Growth in wires is heavily driven by electrician influence with structured electrician programmes and safety-led innovations (e.g., low-smoke insulation) making wire a true B2C branding play.

- **Inventory and working capital well managed**: Channel inventory remains healthy at ~30–35 days (up only 5–7 days despite sharp price increases) while consolidated working capital stayed stable at ~56 days, aided by supplier credit optimization and disciplined receivable management.

- **Capex focused on cables to support growth runway**: The company incurred ~INR2.8 bn capex in 9MFY26 and reiterated its INR12bn three-year capex plan, with ~80% directed towards cables, aimed at supporting ~18% annual volume growth and strengthening B2B presence. Capability currently up to 66KV, expandable to 220KV, with exports offering higher margins than domestic.

**Achal Lohade**
achal.lohade@nuvama.com

**Rohan Jain**
Rohan.Jain@nuvama.com

# SG FINSERVE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 373 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 461/308 |
| Market cap (INR bn/USD bn) | 20.1/0.2 |
| Free float (%) | 49.7 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 50.3% | 48.4% | 48.4% |
| FII | 0.1% | 0.2% | 0.1% |
| DII | 3.5% | 4.1% | 4.4% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22A | FY23A | FY24A | FY25A |
|---|---|---|---|---|
| Revenue | 20 | 411 | 1,897 | 1,710 |
| PPoP | 10 | 340 | 1,690 | 1,421 |
| Adjusted profit | 8 | 184 | 786 | 810 |
| Diluted EPS (INR) | 1.6 | 5.1 | 15.3 | 13.5 |
| EPS growth (%) | (50.2) | 221.7 | 203.2 | (12.1) |
| RoAE (%) | 9.3 | 6.3 | 11.4 | 8.9 |
| P/E (x) | 237.6 | 73.9 | 24.4 | 27.7 |
| P/ABV (x) | 21.1 | 2.7 | 2.5 | 2.1 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

# Focus on prudent growth

We hosted top management of SG Finserve at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) By FY30, the company is targeting a 20% loan book CAGR to INR75bn and a 30% PAT CAGR to INR5bn, translating to ~5% RoA and ~15% RoE. ii) The company has received regulatory approval to commence the factoring business. iii) With warrant conversions and Q4 accruals, equity is likely to rise to INR14.5–15bn by start-FY27. iv) The company is looking to enhance its fee income through ARC, AIF, insurance broking and FinTech business.

The stock trades at 1.6x FY27E consensus P/B, and is *not rated*.

## Key takeaways

- **Guidance:** Management is targeting a 20% loan book CAGR to INR75bn by FY30 and a 30% PAT CAGR to INR5bn, implying ~5% RoA and ~15% RoE. The conservative guidance reflects the recent leadership transition and business disruption due to license renewal delays. Management noted that this guidance is intended for investors rather than internal targets and may be upgraded once the new team stabilises, provided growth is achieved without a rise in NPAs.
- **Capitalisation:** Management highlighted that the company is well capitalised with an equity base of ~INR11bn and leverage of ~2x. With warrant conversions in April and Q4 accruals, equity is likely to increase to INR14.5–15bn by start-FY27.
- **Loan book segmentation:** Management said that supply chain financing remains the core segment, contributing ~70% of AUM while ~30% of the book comprises secured business loans/LAP and the company clarified that it does not plan to enter retail financing at this stage.
- **Factoring business**: Management noted the RBI has granted a license to the company to commence factoring, strengthening its supply chain financing capabilities.
- **New business initiatives:** The Board approved the formation of four new subsidiaries across ARC, AIF, insurance broking and FinTech to enhance fee-based revenue.
- **Borrowings:** Management said that its lender mix remains well-diversified among 18 banks.

**Vaibhav Sharma**
VaibhavR.sharma@nuvama.com

# SG MART

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | NOT RATED |
|---|---|
| Sector relative | NA |
| Price (INR) | 405 |
| 12 month price target (INR) | NA |
| 52 Week High/Low | 436/290 |
| Market cap (INR bn/USD bn) | 51.05/0.56 |
| Free float (%) | 64.3% |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 36.27% | 36.27% | 36.27% |
| FII | 1.26% | 1.16% | 0.91% |
| DII | 4.97% | 4.74% | 5.70% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

(INR mn)

| Year to March | FY22A | FY23A | FY24A | FY25A |
|---|---|---|---|---|
| Revenue | 0 | 16 | 26829 | 58561 |
| EBITDA | -2 | -8 | 618 | 1030.9 |
| Adjusted profit | 3 | 3 | 609 | 760.8 |
| Diluted EPS (INR) | 3 | 2 | 8 | 8.82 |
| EPS growth (%) | 0 | -35 | 316 | 10.25 |
| RoAE (%) | 2.53 | 1.63 | 11.09 | 9.01 |
| P/E (x) | 138 | 210 | 51 | 35.03 |
| EV/EBITDA (x) | N.A. | N.A. | N.A. | N.A. |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

# Making procurement easy

We hosted Group Chief Strategy Officer Mr Anubhav Gupta of SG Mart at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Q3FY25 was affected by soft demand and pressure on margins due to falling steel price. ii) Q4FY26 to be better due to rise in steel prices and pickup in construction activity. iii) With five new service centres, it is guiding for INR3.5bn EBITDA for FY27. iv) EBITDA likely to improve in Q4FY26 to INR600mn with eventually INR800–850mn quarterly EBITDA.

It is pivoting towards higher-margin segments such as renewable structures and open sections while scaling up steel volumes using service centres. It trades at 40x FY25 consensus EPS, and is *not rated*.

## Key takeaways

- Despite a challenging environment, the company achieved ~9% QoQ volume growth, signalling a gradual demand recovery.
- **Segmental performance**
  - **Service centres—**Multiple centres operating; plans to expand to ~20 centres.
  - **B2B metal trading** – Continued execution of steel and allied products with expectations of margin improvement.
  - **Renewable structures** – Growing business, particularly solar structures; volumes likely to increase in coming quarters.
  - **Open sections & residential products** – A newer segment targeting structural components such as cable trays and purlins with higher margin prospects.
- **Operational insights:** Volumes processed increased from 163ktons in Q2FY26 to 164ktons in Q3FY26. Registered customers increased from 2,328 in the last quarter to 2,340 in the current quarter. Registered suppliers rose from 402 to 438. Rapid price drops led to inventory losses, squeezing margins.
- **Working capital days:** Currently 27 (higher than FY24 numbers) largely due to advance payment to suppliers in anticipation of tariffs. The company expects to improve WC days by end-March.
- **Solar structure:** The company also expanded its SKU range (60-plus product categories) to capture more downstream construction materials demand beyond steel.
- **Upcoming products:** The renewables structure segment, which currently includes solar structures shall be expanded to racking, Z/C purlins, cable trays and puff panels. These have a domestic/export market opportunity of INR150bn/INR12bn.

**Sneha.Talreja**
Sneha.Talreja@nuvama.com

**Souvik Mohanty**
Souvik.Mohanty@nuvama.com

**Jatin Manuja**
Jatin.Manuja@nuvama.com

# SHRIRAM FINANCE

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 1,062 |
| 12 month price target (INR) | 1,300 |
| 52 Week High/Low | 1,068/525 |
| Market cap (INR bn/USD bn) | 1,999/22.4 |
| Free float (%) | 74.2 |
| Avg. daily value traded (INR mn) | 7,922.8 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 25.4% | 25.4% | 25.4% |
| FII | 47.2% | 49.6% | 52.6% |
| DII | 21.3% | 18.7% | 16.3% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

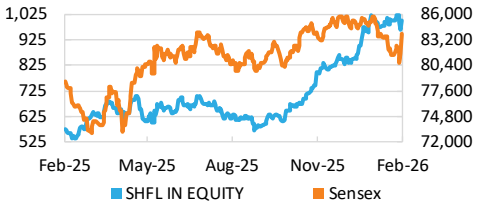
(INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Revenue | 201950 | 234049 | 267240 | 326506 |
| PPoP | 142020 | 162609 | 184918 | 234607 |
| Adjusted profit | 71905 | 97610 | 97155 | 127672 |
| Diluted EPS (INR) | 38.2 | 51.9 | 51.6 | 45.2 |
| EPS growth (%) | 20.2 | 35.7 | (0.4) | (12.4) |
| RoAE (%) | 15.7 | 18.6 | 16.4 | 14.7 |
| P/E (x) | 27.8 | 20.5 | 20.6 | 23.5 |
| P/ABV (x) | 4.1 | 3.5 | 3.2 | 2.2 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 2,67,240 | 3,26,506 | 0.0% | 0.0% |
| PPOP | 1,84,918 | 2,34,607 | 0.0% | 0.0% |
| Adjusted profit | 97,155 | 1,27,672 | 0.0% | 0.0% |
| Diluted EPS (INR) | 51.6 | 45.2 | 0.0% | 0.0% |

## PRICE PERFORMANCE




# Strategic alliance fuels growth

We hosted top management of Shriram Finance (SHFL) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) AUM growth post-MUFG equity infusion is anticipated in the range of 18–20% YoY. ii) Cost of funds is likely to improve ~80bp over two years driven by rating upgrades. iii) Credit cost is likely to decline 10–15bp over the medium term.

With well-rated MUFG as Shriram's strategic investor, we reckon SFL shall get re-rated with a better credit rating and better growth opportunities. Given the deal, CoF shall fall 80bp over two years and credit cost shall fall 10–15bp. Retain 'BUY' with a TP of INR1300/2.8x BV FY27E.

## Key takeaways

- **Robust AUM growth:** AUM growth remains healthy for the company with all segments logging healthy sequential growth except CE due to slow state infra projects and MSME as the company remains cautious. Post-MUFG equity infusion AUM growth is likely to be at a 18–20% CAGR.
- **Favourable vehicular demand environment:** Post GST 2.0, PV and 2W segments are performing better than usual and will continue to do so for another quarter, as supply-demand gap in the market persists. Vehicle sales momentum is improving with expectations of faster new vehicle growth in Q4. From a long-term perspective, management expects vehicle sales growth of ~12–15% over next three years. Momentum looks better in LCV/small CV segments, supported by improving rural consumption.
- **Gold portfolio:** The company sees huge potential in gold loans and plans to expand it meaningfully. New gold loan branches are being added. Effective yield in this portfolio is on a par with other NBFCs in the range of 18–22%. Management foresees a 20%-plus YoY gold AUM growth over next two years.
- **Margins:** Management said the MUFG partnership and associated rating upgrades should translate into a ~80bp reduction in rates over two years with the intent to pass on some benefits to customers. S&P has also upgraded SFL's international rating to "BBB-", which would also help lower CoF of offshore borrowings.
- **Credit cost:** Management maintained a ~2% credit cost guidance while indicating that the shift in mix toward new vehicles should structurally improve portfolio behaviour and, in turn, support a gradual reduction in credit cost over time.

**Mahrukh Adajania**
Mahrukh.Adajania@nuvama.com

**Anant Dumbhare**
Anant.Dumbhare@nuvama.com

**Yuval Aiya**
Yuval.Aiya@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest income | 1,87,971 | 2,18,531 | 2,52,573 | 3,10,372 |
| Non interest income | 13,980 | 15,518 | 14,667 | 16,134 |
| Fee and forex income | 13,980 | 15,518 | 14,667 | 16,134 |
| Net revenues | 2,01,950 | 2,34,049 | 2,67,240 | 3,26,506 |
| Operating expense | 59,930 | 71,440 | 82,322 | 91,898 |
| Employee exp. | 32,156 | 36,512 | 41,623 | 45,786 |
| Other opex | 27,774 | 34,928 | 40,699 | 46,113 |
| Pre provision profit | 1,42,020 | 1,62,609 | 1,84,918 | 2,34,607 |
| Provisions | 45,183 | 53,117 | 54,507 | 63,235 |
| PBT | 96,836 | 1,09,493 | 1,30,410 | 1,71,372 |
| Taxes | 24,932 | 28,450 | 33,255 | 43,700 |
| PAT | 71,905 | 81,042 | 97,155 | 1,27,672 |
| Extraordinaries | 0 | 16,568 | 0 | 0 |
| Reported PAT | 71,905 | 97,610 | 97,155 | 1,27,672 |
| Diluted EPS (INR) | 38.2 | 51.9 | 51.6 | 45.2 |

### Balance Sheet (INR mn)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Equity capital | 3,758 | 3,761 | 3,763 | 4,705 |
| Reserves | 4,81,926 | 5,59,045 | 6,19,826 | 11,10,826 |
| Net worth | 4,85,684 | 5,62,806 | 6,23,588 | 11,15,531 |
| Borrowings | 18,87,076 | 23,72,523 | 26,69,089 | 28,96,143 |
| Other liabilities | 20,652 | 24,782 | 41,000 | 43,050 |
| Total | 23,72,760 | 29,35,329 | 32,92,677 | 40,11,674 |
| Assets | | | | |
| Loans | 20,79,294 | 24,53,928 | 28,58,826 | 33,73,415 |
| Investments | 1,06,566 | 1,55,987 | 1,06,825 | 2,90,831 |
| Cash & equi. | 1,15,960 | 2,51,775 | 2,87,023 | 3,01,374 |
| Fixed assets | 70,940 | 73,639 | 81,003 | 89,104 |
| Total | 23,72,760 | 29,35,329 | 32,92,677 | 40,11,674 |

### Important Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Net interest margins | 9.2 | 9.0 | 8.9 | 9.3 |
| Cost-income | 29.7 | 30.5 | 30.8 | 28.1 |
| Tax rate | 25.7 | 26.0 | 25.5 | 25.5 |

### Balance Sheet Ratios (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Credit growth | 20.9 | 18.0 | 16.5 | 18.0 |
| Gross NPA ratio | 5.5 | 4.5 | 4.4 | 4.1 |

### Valuation Metrics

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| Diluted PE (x) | 27.8 | 20.5 | 20.6 | 23.5 |
| Price/BV (x) | 4.1 | 3.5 | 3.2 | 2.2 |

*Source: Company and Nuvama estimates*

### ROA Decomposition (%)

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| NII/Assets | 8.5 | 8.2 | 8.1 | 8.5 |
| Net revenues/assets | 9.2 | 8.8 | 8.6 | 8.9 |
| Opex/Assets | (2.7) | (2.7) | (2.6) | (2.5) |
| Provisions/Assets | 2.0 | 2.0 | 1.8 | 1.7 |
| Taxes/Assets | 1.1 | 1.1 | 1.1 | 1.2 |
| Total costs/Assets | 5.9 | 5.8 | 5.5 | 5.4 |
| RoA | 3.3 | 3.1 | 3.1 | 3.5 |
| Equity/Assets | 20.8 | 19.8 | 19.0 | 23.8 |
| RoAE | 15.7 | 18.6 | 16.4 | 14.7 |

### Valuation Drivers

| Year to March | FY24A | FY25A | FY26E | FY27E |
|---|---|---|---|---|
| EPS growth (%) | 20.2 | 35.7 | (0.4) | (12.4) |
| RoAE | 15.7 | 18.6 | 16.4 | 14.7 |

# STERLING AND WILSON

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 203 |
| 12 month price target (INR) | 340 |
| 52 Week High/Low | 349/177 |
| Market cap (INR bn/USD bn) | 47/0.5 |
| Free float (%) | 23.3 |
| Avg. daily value traded (INR mn) | 422.1 |

## SHAREHOLDING PATTERN

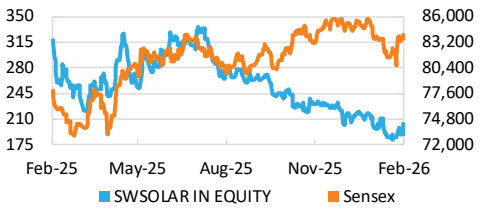
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 45.7% | 45.7% | 45.7% |
| FII | 7.2% | 7.1% | 8.4% |
| DII | 3.0% | 3.2% | 5.0% |
| Pledge | 12.6% | 12.6% | 12.6% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 63,019 | 76,432 | 90,909 | 1,01,947 |
| EBITDA | 2,467 | 2,591 | 4,199 | 4,988 |
| Adjusted profit | 814 | 1,894 | 3,048 | 3,711 |
| Diluted EPS (INR) | 3.5 | 8.1 | 13.1 | 15.9 |
| EPS growth (%) | nm | 132.5 | 60.9 | 21.7 |
| RoAE (%) | 8.6 | 33.8 | 35.2 | 29.9 |
| P/E (x) | 58.2 | 25.0 | 15.6 | 12.8 |
| EV/EBITDA (x) | 35.1 | 33.4 | 20.6 | 17.3 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## PRICE PERFORMANCE




# Momentum picking up; outlook strong

We hosted Chairman Mr Khurshed Daruwala and top management of Sterling & Wilson (SWREL) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Order book remains robust at INR105bn. ii) Strategic tie-up with Adani and RIL order visibility shall keep order inflow momentum strong iii) The company expects some development on RIL order by Q4-end; Nigeria status quo. iv) High margin (20–25% gross margin) O&M segment to see strong growth. v) All pending cases are indemnity backed; do not expect any adverse impact from unfavourable ruling.

Adjusted for RIL order option value of INR48/share, PE is compelling at 10x FY28E EPS (peers: 17–20x); retain 'BUY' with a TP of INR340.

## Key takeaways

- **Robust order book:** SWSOLAR's order book strong at INR105bn of which INR25bn is from South Africa; balance from the domestic market. Out of the total order book, 60–65% of the orders are with modules. Most of the contracts are on back-to-back basis with 10–15% contingencies built in the contracts.
- **Expect moderation in silver prices:** Solar cell prices have increased from INR12/w to INR14/w on a sharp rally in silver prices. However, management expects silver price to not sustain at elevated levels and expect the price to come down.
- **Order inflow momentum strong:** Management expects order inflow momentum to remain strong with strategic tie-up with Adani for EPC. Furthermore, Reliance Industries (RIL) is rolling out one of the largest projects, which we believe could add to a strong bid pipeline in the coming quarters.
- **O&M segment expanding steadily:** SWREL's O&M portfolio now stands at 10.1GW. O&M revenue to grow sharply as more projects get completed. Gross margin for O&M projects is at ~20–25% domestically while international projects fetch higher margins.
- **Arbitration overhang behind:** Conti case was the largest case, which was not covered under indemnity. Going forward, there is no significant exposure of this scale. Management is working towards closing the pending arbitration cases amicably. However, pending arbitration cases are largely covered under indemnity agreement protecting any downside risk for the company. Outstanding indemnity amount currently stands at INR7.5bn. The company expects indemnity to be crystallised over the next few years.
- **Update on projects:** ***Nigeria*** **-** Management highlighted that the Nigeria project remains status quo as political landscape is changing in Nigeria and module prices have fallen materially since the MoU was signed. ***RIL***—Management remains confident and believes they could be the preferred partner for RIL for executing their project. Management expects some traction by Q4-end.

**Akshay Mane**
akshay.mane@nuvama.com

**Tanay Kotecha**
tanay.kotecha@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 63,019 | 76,432 | 90,909 | 1,01,947 |
| Gross profit | 6,410 | 7,111 | 9,401 | 10,567 |
| Employee costs | 2,001 | 1,841 | 1,933 | 2,049 |
| Other expenses | 1,941 | 2,679 | 3,269 | 3,530 |
| EBITDA | 2,467 | 2,591 | 4,199 | 4,988 |
| Depreciation | 143 | 115 | 118 | 127 |
| Less: Interest expense | 1,095 | 1,530 | 745 | 576 |
| Add: Other income | 396 | 1,639 | 819 | 755 |
| Profit before tax | 1,625 | 2,586 | 4,155 | 5,041 |
| Prov for tax | 770 | 651 | 1,046 | 1,269 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 814 | 1,894 | 3,048 | 3,711 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 814 | 1,894 | 3,048 | 3,711 |
| Diluted shares o/s | 234 | 234 | 234 | 234 |
| Adjusted diluted EPS | 3.5 | 8.1 | 13.1 | 15.9 |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 47.4 | 25.2 | 25.2 | 25.2 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 234 | 234 | 234 | 234 |
| Reserves | 9,712 | 5,496 | 8,605 | 12,377 |
| Shareholders funds | 9,945 | 5,730 | 8,839 | 12,611 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 9,092 | 7,011 | 5,413 | 4,183 |
| Trade payables | 27,500 | 34,186 | 40,196 | 45,064 |
| Other liabs & prov | 9,035 | 11,260 | 13,235 | 13,915 |
| Total liabilities | 56,300 | 58,915 | 68,411 | 76,501 |
| Net block | 145 | 130 | 113 | 87 |
| Intangible assets | 314 | 313 | 312 | 311 |
| Capital WIP | 0 | 0 | 0 | 0 |
| Total fixed assets | 459 | 444 | 426 | 399 |
| Non current inv | 0 | 0 | 0 | 0 |
| Cash/cash equivalent | 7,109 | 5,441 | 4,178 | 9,054 |
| Sundry debtors | 12,540 | 12,799 | 22,475 | 25,902 |
| Loans & advances | 18 | 18 | 18 | 18 |
| Other assets | 32,122 | 35,757 | 36,412 | 35,736 |
| Total assets | 56,300 | 58,915 | 68,411 | 76,501 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Order inflow | 70,510.0 | 1,00,000.0 | 1,15,000.0 | 1,26,500.0 |
| Unexe. Order book (INR mn) | 90,960.0 | 1,17,142.0 | 1,44,366.5 | 1,72,676.5 |
| Gross Margin | 10.2 | 9.3 | 10.3 | 10.4 |
| EBITDA margin (%) | 3.9 | 3.4 | 4.6 | 4.9 |
| Net profit margin (%) | 1.3 | 2.5 | 3.4 | 3.6 |
| Revenue growth (% YoY) | 107.6 | 21.3 | 18.9 | 12.1 |
| EBITDA growth (% YoY) | nm | 5.0 | 62.1 | 18.8 |
| Adj. profit growth (%) | nm | 132.5 | 60.9 | 21.7 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 814 | (4,216) | 3,048 | 3,711 |
| Add: Depreciation | (143) | (115) | (118) | (127) |
| Interest (net of tax) | 368 | (82) | (55) | (134) |
| Others | (8,844) | 11,337 | (6,113) | 4,191 |
| Less: Changes in WC | 8,184 | 6,413 | (3,673) | 1,435 |
| Operating cash flow | 379 | 512 | 436 | 6,205 |
| Less: Capex | (36) | (100) | (100) | (100) |
| Free cash flow | 343 | 412 | 336 | 6,105 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 7.2 | 7.0 | 6.8 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 4.5 | 4.5 |
| USD/INR (average) | 84.4 | 87.5 | 87.0 | 88.0 |
| Core Order inflow | 70,510.0 | 1,00,000.0 | 1,15,000.0 | 1,26,500.0 |
| EPC revenue | 60,640.3 | 73,818.0 | 87,775.5 | 98,190.0 |
| O&M revenue | 2,360.6 | 2,596.7 | 3,116.0 | 3,739.2 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 8.6 | 33.8 | 35.2 | 29.9 |
| RoCE (%) | 16.3 | 25.9 | 36.3 | 36.2 |
| Inventory days | 0 | 0 | 0 | 0 |
| Receivable days | 98 | 67 | 98 | 98 |
| Payable days | 177 | 180 | 180 | 180 |
| Working cap (% sales) | (23.7) | (27.9) | (19.4) | (18.7) |
| Gross debt/equity (x) | 0.9 | 1.2 | 0.6 | 0.3 |
| Net debt/equity (x) | 0.2 | 0.3 | 0.1 | (0.4) |
| Interest coverage (x) | 2.1 | 1.6 | 5.5 | 8.4 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 58.2 | 25.0 | 15.6 | 12.8 |
| Price/BV (x) | 4.8 | 8.3 | 5.4 | 3.8 |
| EV/EBITDA (x) | 35.1 | 33.4 | 20.6 | 17.3 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | nm | 132.5 | 60.9 | 21.7 |
| RoE (%) | 8.6 | 33.8 | 35.2 | 29.9 |
| EBITDA growth (%) | nm | 5.0 | 62.1 | 18.8 |
| Payout ratio (%) | nm | nm | nm | nm |

# SUN PHARMACEUTICALS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 1,706 |
| 12 month price target (INR) | 1,875 |
| 52 Week High/Low | 1,851/1,547 |
| Market cap (INR bn/USD bn) | 4,089/45.2 |
| Free float (%) | 45.5 |
| Avg. daily value traded (INR mn) | 4,153.5 |

## SHAREHOLDING PATTERN

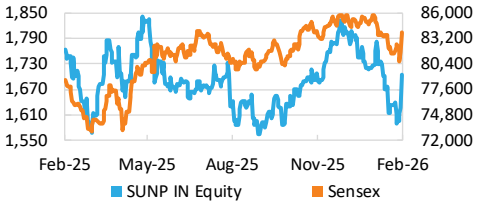
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 26.50% | 26.64% | 26.64% |
| FII | 33.20% | 35.52% | 36.36% |
| DII | 30.44% | 27.98% | 26.74% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 5,25,784 | 5,82,223 | 6,49,688 | 7,10,909 |
| EBITDA | 1,52,717 | 1,81,342 | 1,95,322 | 2,21,126 |
| Adjusted profit | 1,19,844 | 1,34,450 | 1,41,089 | 1,60,213 |
| Diluted EPS (INR) | 49.9 | 56.0 | 58.8 | 66.8 |
| EPS growth (%) | 19.0 | 12.2 | 4.9 | 13.6 |
| RoAE (%) | 16.1 | 15.9 | 16.7 | 17.0 |
| P/E (x) | 34.2 | 30.4 | 29.0 | 25.5 |
| EV/EBITDA (x) | 23.5 | 19.7 | 18.0 | 15.6 |
| Dividend yield (%) | 0.9 | 1.1 | 1.3 | 1.5 |

## PRICE PERFORMANCE




# India and innovation portfolio key drivers

We hosted top management of Sun Pharma (SUNP) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Planning Day-1 Semaglutide launch in India; possesses required MR force and product supplies. ii) Awaiting Ilumya's label expansion in psoriatic arthritis; has launched Ilumya in India and Canada. iii) Remains positive on Unloxcyt and Leqselvi with encouraging initial response.

We believe Sun Pharma has enough M&A bandwidth given its strong net cash balance sheet. Given growth is likely in the branded and innovative business, the fundamentals continue to improve. Retain 'BUY' with a TP of INR1,875 (30x H1FY28E EPS).

## Key takeaways

- **India business – Eyeing Semaglutide launch in Mar-26:** For Q3FY26, Sun's India business grew 16% YoY outpacing IPM. The company is planning Day-1 launch of Semaglutide in India under its two brands i.e. Noveltreat (weight management) and Sema Trinity (Type-2 diabetes). Sun already has a field force in chronic therapies and would add more MRs if required to launch GLP-1. The company believes it has sufficient supply to meet demand in India.

- **Ilumya remains cornerstone of innovative portfolio**: In Q3FY26, Sun's Global Innovative Medicine segment grew 14% YoY to USD423mn including USD55mn of milestone income. Excluding milestone payment, this business grew 13% YoY. The growth continues to be driven by key products including Ilumya. Sun has also launched Ilumya in India and Canada recently. Ilumya has further growth drivers since sBLA for psoriatic arthritis has also been filed and the FDA has already updated the label to include additional efficacy data for treating nail psoriasis.

- **Unloxcyt and Leqselvi—Initial response encouraging:** Unloxcyt has been launched in the US with an FDA approved label demonstrating improved clinical outcomes in advanced cutaneous squamous cell carcinoma. The company is also in active discussions with the top 50 cancer centres providing clinician's comfort on efficacy and safety. Leqselvi is receiving an encouraging initial response from physicians for hair re-growth. The product requires genetic testing and Sun is currently covering the cost of the test. Fibromun (L19TNF) is currently under development by partner Philogen.

- **Capital allocation, R&D and M&A strategy:** Sun's R&D strategy is to focus on innovative products. R&D spend is likely to increase with clinical trials for GLP-1 asset GL0034 ramp-up. Sun is also re-evaluating its biosimilar investments, including manufacturing facilities, based on the costs and returns dynamics. Management remains focused on innovative medicine in the US and on bolt-on acquisitions to scale up in emerging markets. The company's net cash stood at USD3.2bn as on Dec-25 and management is willing to raise debt for the right acquisition and without diluting focus on growth.

**Shrikant Akolkar**
Shrikant.Akolkar@nuvama.com

**Aashita Jain**
Aashita.Jain@nuvama.com

**Tanay Parab**
Tanay.Parab@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 5,25,784 | 5,82,223 | 6,49,688 | 7,10,909 |
| Gross profit | 4,18,311 | 4,65,909 | 5,19,503 | 5,70,594 |
| Employee costs | 99,731 | 1,11,604 | 1,26,319 | 1,36,448 |
| R&D cost | 32,485 | 34,477 | 36,854 | 38,828 |
| Other expenses | 1,33,378 | 1,38,487 | 1,61,009 | 1,74,191 |
| EBITDA | 1,52,717 | 1,81,342 | 1,95,322 | 2,21,126 |
| Depreciation | 25,754 | 26,792 | 29,184 | 31,889 |
| Less: Interest expense | 2,314 | 2,530 | 1,320 | 1,320 |
| Add: Other income | 19,650 | 21,812 | 23,994 | 26,393 |
| Profit before tax | 1,44,146 | 1,73,374 | 1,88,591 | 2,14,090 |
| Prov for tax | 27,720 | 38,538 | 47,203 | 53,578 |
| Less: Exceptional item | (6,779) | (13,075) | 0 | 0 |
| Reported profit | 1,09,290 | 1,21,375 | 1,41,089 | 1,60,213 |
| Adjusted profit | 1,19,844 | 1,34,450 | 1,41,089 | 1,60,213 |
| Diluted shares o/s | 2,399 | 2,399 | 2,399 | 2,399 |
| Adjusted diluted EPS | 49.9 | 56.0 | 58.8 | 66.8 |
| DPS (INR) | 15.1 | 17.7 | 20.6 | 23.4 |
| Tax rate (%) | 19.2 | 22.2 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 2,399 | 2,399 | 2,399 | 2,399 |
| Reserves | 7,19,781 | 7,98,675 | 8,90,382 | 9,94,521 |
| Shareholders funds | 7,22,180 | 8,01,074 | 8,92,782 | 9,96,920 |
| Minority interest | 2,679 | 3,523 | 4,043 | 4,563 |
| Borrowings | 18,696 | 48,064 | 26,783 | 29,908 |
| Trade payables | 61,843 | 68,591 | 74,759 | 79,855 |
| Other liabs & prov | 63,927 | 75,458 | 94,933 | 1,15,671 |
| Total liabilities | 8,76,930 | 10,05,444 | 11,03,046 | 12,37,581 |
| Net block | 1,00,359 | 1,04,313 | 1,10,435 | 1,18,582 |
| Intangible assets | 1,79,600 | 1,81,195 | 1,82,949 | 1,84,879 |
| Capital WIP | 12,343 | 12,343 | 12,343 | 12,343 |
| Total fixed assets | 2,92,302 | 2,97,851 | 3,05,728 | 3,15,804 |
| Non current inv | 46,977 | 58,222 | 77,963 | 92,418 |
| Cash/cash equivalent | 2,49,877 | 2,98,225 | 3,31,706 | 4,09,585 |
| Sundry debtors | 1,30,461 | 1,45,157 | 1,60,197 | 1,73,345 |
| Loans & advances | 17,711 | 17,467 | 19,491 | 21,327 |
| Other assets | 1,34,201 | 1,83,121 | 2,02,560 | 2,19,700 |
| Total assets | 8,76,930 | 10,05,444 | 11,03,046 | 12,37,581 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross Margin (%) | 79.6 | 80.0 | 80.0 | 80.3 |
| R&D as a % of sales | 6.2 | 6.0 | 5.7 | 5.5 |
| Net Debt/EBITDA | (1.5) | (1.4) | (1.6) | (1.7) |
| EBITDA margin (%) | 29.0 | 31.1 | 30.1 | 31.1 |
| Net profit margin (%) | 22.8 | 23.1 | 21.7 | 22.5 |
| Revenue growth (% YoY) | 9.0 | 11.2 | 11.1 | 9.4 |
| EBITDA growth (% YoY) | 17.3 | 18.7 | 7.7 | 13.2 |
| Adj. profit growth (%) | 19.0 | 12.2 | 4.9 | 13.6 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 1,09,290 | 1,21,375 | 1,41,089 | 1,60,213 |
| Add: Depreciation | 25,754 | 26,792 | 29,184 | 31,889 |
| Interest (net of tax) | 2,314 | 2,530 | 1,320 | 1,320 |
| Others | (16,864) | 0 | 0 | 0 |
| Less: Changes in WC | (3,236) | (10,973) | (4,856) | (841) |
| Operating cash flow | 1,40,721 | 1,53,644 | 1,67,257 | 1,93,100 |
| Less: Capex | (24,014) | (32,341) | (37,061) | (41,965) |
| Free cash flow | 1,16,707 | 1,21,303 | 1,30,196 | 1,51,135 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.6 | 87.5 | 87.0 | 88.0 |
| India growth (%) | 13.7 | 13.7 | 13.0 | 13.0 |
| Exports growth (%) | 7.0 | 11.1 | 11.9 | 10.6 |
| US sales (USD mn) | 1,921.0 | 1,939.7 | 520.4 | 546.8 |
| API sales (USD mn) | 251.9 | 232.9 | 62.5 | 49.7 |
| Capex (USD mn) | 283.9 | 369.6 | 426.0 | 476.9 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 16.1 | 15.9 | 16.7 | 17.0 |
| RoCE (%) | 20.3 | 22.1 | 21.4 | 22.1 |
| Inventory days | 342 | 338 | 333 | 337 |
| Receivable days | 84 | 86 | 86 | 86 |
| Payable days | 201 | 205 | 201 | 201 |
| Working cap (% sales) | 22.0 | 27.6 | 26.5 | 25.1 |
| Gross debt/equity (x) | 0 | 0.1 | 0 | 0 |
| Net debt/equity (x) | (0.3) | (0.3) | (0.3) | (0.4) |
| Interest coverage (x) | 54.9 | 61.1 | 125.9 | 143.4 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 34.2 | 30.4 | 29.0 | 25.5 |
| Price/BV (x) | 5.3 | 4.8 | 4.3 | 3.8 |
| EV/EBITDA (x) | 23.5 | 19.7 | 18.0 | 15.6 |
| Dividend yield (%) | 0.9 | 1.1 | 1.3 | 1.5 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 19.0 | 12.2 | 4.9 | 13.6 |
| RoE (%) | 16.1 | 15.9 | 16.7 | 17.0 |
| EBITDA growth (%) | 17.3 | 18.7 | 7.7 | 13.2 |
| Payout ratio (%) | 33.1 | 35.0 | 35.0 | 35.0 |

*Source: Company and Nuvama estimates*

# SUNTECK REALTY

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Neutral |
| Price (INR) | 419 |
| 12 month price target (INR) | 483 |
| 52 Week High/Low | 509/347 |
| Market cap (INR bn/USD bn) | 61/0.7 |
| Free float (%) | 36.7 |
| Avg. daily value traded (INR mn) | 147.4 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 63.30% | 63.30% | 63.30% |
| FII | 19.70% | 19.36% | 19.40% |
| DII | 5.99% | 6.41% | 7.48% |
| Pledge | 0% | 0% | 0% |

## FINANCIALS

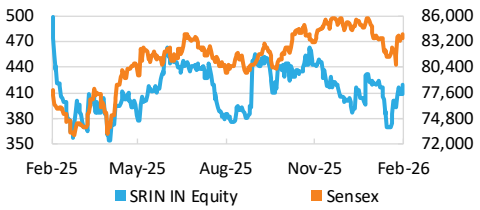
(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 8,531 | 11,543 | 14,857 | 17,799 |
| EBITDA | 1,858 | 2,992 | 3,794 | 4,752 |
| Adjusted profit | 1,503 | 2,081 | 3,031 | 3,763 |
| Diluted EPS (INR) | 10.3 | 14.2 | 19.2 | 23.8 |
| EPS growth (%) | 111.8 | 38.1 | 34.8 | 24.2 |
| RoAE (%) | 4.7 | 6.2 | 7.9 | 8.5 |
| P/E (x) | 36.4 | 26.3 | 19.5 | 15.7 |
| EV/EBITDA (x) | 30.5 | 18.8 | 14.3 | 11.6 |
| Dividend yield (%) | 0.4 | 0.4 | 0.4 | 0.4 |

## CHANGE IN ESTIMATES

| | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY26E | FY27E | FY26E | FY27E |
| Revenue | 11,543 | 14,857 | 0% | 0% |
| EBITDA | 2,992 | 3,794 | 0% | 0% |
| Adjusted profit | 2,081 | 3,031 | 0% | 0% |
| Diluted EPS (INR) | 14.2 | 19.2 | 0% | 0% |

## PRICE PERFORMANCE




# Launches to drive pre-sales

We hosted top management of Sunteck Realty (SRL) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Management reiterated their pre-sales guidance of 25–30% YoY growth in FY26E. ii) Launch pipeline remains strong with the company planning to launch new towers across existing projects in the next two–three quarters. iii) Approvals for the Dubai project are on track. iv) Focus on BD remains intact.

SRL's strong balance sheet and a healthy launch pipeline are key positives even as the moderation in the MMR market has led to concerns about future sales growth. Maintain 'BUY' with a TP of INR483 based on Q3FY28E.

## Key takeaways

- **Pre-sales**: SRL has clocked pre-sales of INR25.3bn in FY25 (up 32% YoY), and has guided for 25–30% YoY growth in sales in FY26E. Management expects sales in affordable segment to improve going ahead.
- **Collections**: 9mFY26 collections came in at ~INR10bn (up 6% YoY). The collection efficiency is sub-50% currently. Management mentioned sales are driven by Nepean Sea Road project where construction has not begun yet. The company expects pace of collections to improve once construction starts on the Nepean Sea Road project.
- **Business development**: The company has identified 11 growth engines with aggregate GDV of INR384bn. It added a project in Andheri (near Mumbai #irport) during the quarter with a development potential of ~0.6msf and GDV of INR25bn. Overall, it has added three projects in 9mFY26 with GDV of ~INR50bn (two in Andheri and one in Mira Road) and spent ~INR6.8bn towards land capex during 9mFY26 (INR1.8bn in FY25).
- **Launch Pipeline**: In the next two–three quarters, the company plans to formally launch the 5th avenue, ODC project along with a new tower in Mira Road project, two new towers in Vasai and Naigaon projects each and the Andheri Western Express Highway redevelopment project (which was acquired in Q2FY26). Approvals for the Dubai project are underway and the company expects to launch it soon. It also expects to receive the RERA for the Nepean Sea Road project by end-Q4FY26/early Q1FY27. Management plans to first launch the fourth and the last tower in the Sky Park project in Mira Road and then go ahead with the launch of the new project acquired in Q2FY26. It does not expect oversupply situation due to redevelopment in coming years.
- **Pricing**: While the company has not taken any price hikes in the newly launched Naigaon tower, it has taken a 10–12% price hike in the ODC 5th avenue project. Land prices have not gone up as much as property prices.

**Parvez Qazi**
Parvez.Qazi@nuvama.com

**Vasudev Ganatra**
Vasudev.Ganatra@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 8,531 | 11,543 | 14,857 | 17,799 |
| Gross profit | 4,194 | 6,135 | 7,095 | 8,707 |
| Employee costs | 1,067 | 1,493 | 1,568 | 1,878 |
| Other expenses | 1,270 | 1,651 | 1,733 | 2,076 |
| EBITDA | 1,858 | 2,992 | 3,794 | 4,752 |
| Depreciation | 129 | 140 | 152 | 222 |
| Less: Interest expense | 409 | 593 | 193 | 193 |
| Add: Other income | 495 | 520 | 598 | 688 |
| Profit before tax | 1,835 | 2,779 | 4,048 | 5,025 |
| Prov for tax | 331 | 698 | 1,017 | 1,262 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 1,503 | 2,081 | 3,031 | 3,763 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 1,503 | 2,081 | 3,031 | 3,763 |
| Diluted shares o/s | 146 | 146 | 158 | 158 |
| Adjusted diluted EPS | 10.3 | 14.2 | 19.2 | 23.8 |
| DPS (INR) | 1.5 | 1.5 | 1.5 | 1.5 |
| Tax rate (%) | 18.1 | 25.1 | 25.1 | 25.1 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 146 | 146 | 158 | 158 |
| Reserves | 32,454 | 34,315 | 42,097 | 45,623 |
| Shareholders funds | 32,600 | 34,462 | 42,255 | 45,781 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 3,869 | 3,869 | 3,869 | 3,869 |
| Trade payables | 46,650 | 50,017 | 52,552 | 58,208 |
| Other liabs & prov | (266) | (256) | (245) | (232) |
| Total liabilities | 82,854 | 88,092 | 98,432 | 1,07,626 |
| Net block | 4,968 | 4,848 | 4,735 | 6,513 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 336 | 336 | 336 | 336 |
| Total fixed assets | 5,304 | 5,184 | 5,071 | 6,849 |
| Non current inv | 2,355 | 2,555 | 2,555 | 2,555 |
| Cash/cash equivalent | 2,025 | 2,458 | 4,611 | 3,790 |
| Sundry debtors | 1,174 | 1,374 | 1,574 | 1,774 |
| Loans & advances | 3,470 | 3,670 | 3,870 | 4,070 |
| Other assets | 67,762 | 72,088 | 79,910 | 87,664 |
| Total assets | 82,854 | 88,092 | 98,432 | 1,07,626 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Selling price infl. (%) | 7.0 | 7.0 | 7.0 | 7.0 |
| Const. cost infl. (%) | 5.0 | 5.0 | 5.0 | 5.0 |
| Gross margin (%) | 49.2 | 53.2 | 47.8 | 48.9 |
| EBITDA margin (%) | 21.8 | 25.9 | 25.5 | 26.7 |
| Net profit margin (%) | 17.6 | 18.0 | 20.4 | 21.1 |
| Revenue growth (% YoY) | 51.0 | 35.3 | 28.7 | 19.8 |
| EBITDA growth (% YoY) | 58.4 | 61.0 | 26.8 | 25.2 |
| Adj. profit growth (%) | 111.8 | 38.4 | 45.6 | 24.2 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 1,503 | 2,081 | 3,031 | 3,763 |
| Add: Depreciation | 129 | 140 | 152 | 222 |
| Interest (net of tax) | 334 | 444 | 144 | 144 |
| Others | 0 | 0 | 0 | 0 |
| Less: Changes in WC | (237) | (1,349) | (5,752) | (2,569) |
| Operating cash flow | 1,395 | 872 | (2,569) | 1,416 |
| Less: Capex | (343) | (20) | (40) | (2,000) |
| Free cash flow | 1,738 | 892 | (2,529) | 3,416 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 7.0 | 7.0 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.0 | 82.0 | 81.0 | 81.0 |
| Interest cost (%) | 4.8 | 5.1 | 1.3 | 1.1 |
| Employee cost (%) | 12.5 | 12.9 | 10.6 | 10.6 |
| Other exp. (%) | 14.9 | 14.3 | 11.7 | 11.7 |
| Other inc. (%) | 5.8 | 4.5 | 4.0 | 3.9 |
| Dep. (% gr. block) | 2.3 | 2.5 | 2.7 | 2.9 |
| Effect. tax rate (%) | 18.1 | 25.1 | 25.1 | 25.1 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 4.7 | 6.2 | 7.9 | 8.5 |
| RoCE (%) | 6.2 | 9.0 | 10.0 | 10.9 |
| Inventory days | 5,122 | 4,301 | 3,200 | 2,984 |
| Receivable days | 88 | 40 | 36 | 34 |
| Payable days | 3,820 | 3,262 | 2,412 | 2,223 |
| Working cap (% sales) | 300.7 | 233.9 | 219.9 | 197.6 |
| Gross debt/equity (x) | 0.1 | 0.1 | 0.1 | 0.1 |
| Net debt/equity (x) | 0.1 | 0 | 0 | 0 |
| Interest coverage (x) | 4.2 | 4.8 | 18.9 | 23.5 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 36.4 | 26.3 | 19.5 | 15.7 |
| Price/BV (x) | 1.7 | 1.6 | 1.4 | 1.3 |
| EV/EBITDA (x) | 30.5 | 18.8 | 14.3 | 11.6 |
| Dividend yield (%) | 0.4 | 0.4 | 0.4 | 0.4 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 111.8 | 38.1 | 34.8 | 24.2 |
| RoE (%) | 4.7 | 6.2 | 7.9 | 8.5 |
| EBITDA growth (%) | 58.4 | 61.0 | 26.8 | 25.2 |
| Payout ratio (%) | 14.6 | 10.6 | 7.8 | 6.3 |

*Source: Company and Nuvama estimates*

# SWIGGY

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 333 |
| 12 month price target (INR) | 490 |
| 52 Week High/Low | 474/297 |
| Market cap (INR bn/USD bn) | 923/9.8 |
| Free float (%) | 61.0 |
| Avg. daily value traded (INR mn) | 4,481.0 |

## SHAREHOLDING PATTERN

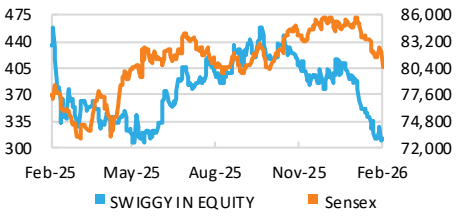
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 0.00% | 0.00% | 0.00% |
| FII | 16.07% | 12.23% | 7.36% |
| DII | 22.54% | 15.95% | 13.53% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 152 | 233 | 326 | 446 |
| EBITDA | (28) | (32) | (16) | 5 |
| Adjusted profit | (31) | (42) | (22) | (2) |
| Diluted EPS (INR) | (13.7) | (16.6) | (7.6) | (0.6) |
| EPS growth (%) | 28.2 | 21.3 | (54.3) | (92.3) |
| RoAE (%) | (34.6) | (14.2) | (11.9) | (1.0) |
| P/E (x) | nm | nm | nm | nm |
| EV/EBITDA (x) | (24.2) | (18.0) | (36.4) | 105.6 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

## PRICE PERFORMANCE




# Focus on quality of growth

We hosted top management of Swiggy Limited (Swiggy) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Instamart losses peaked out and are likely to moderate. ii) Competitive intensity remains elevated. iii) Focus remains on capturing quality growth in QC. iv) Food delivery should continue to report growth acceleration and margin improvement.

Instamart growth slowed down affected by elevated competition and management's efforts to chase quality growth. Management is focusing on reducing losses in Instamart and achieving CM breakeven by Q1FY27E. Maintain 'BUY' with an SotP-based TP of INR490 (unchanged).

## Key takeaways

- Advertisement revenue in food delivery is ~5% and that is translating into margin. Remaining income goes into order fulfilment.
- Top cohort stores are currently operating at ~4% contribution margin.
- Levers for contribution margin breakeven in Instamart are improved monetization, utilization and realizations.
- Instamart reported a slowdown in growth due to irrational competition. Competitive intensity remains elevated and is acting as headwinds.
- New entrants are currently chasing order growth rather than acquiring quality customers and currently have less implied impact.
- Instamart is luring earlier users by providing wider assortment rather than aggressive discounting or providing free delivery above INR99 basket value.
- The GOV-to-NOV conversion was hurt by a festive-led shift in category mix. Non-grocery now accounts for ~30%, with limited headroom for further increase.
- Growth in Q4FY26E likely to slow down as management focus remains on profitability in Instamart.
- Management target for throughput expansion is 25–30% in the near term, supported by order growth in existing network rather than dark store expansion.
- Adjusted EBITDA losses have peaked out and management plans to reduce marketing spends and discounts, which should lead to decline in absolute losses.
- More than half of the store polygons need to turn positive to achieve contribution margin breakeven; currently, this stands at around 30–35%.
- Under Food Delivery, management reiterated their guidance for 18–20% YoY growth and remains confident of achieving the upper end of guidance while targeting an adjusted EBITDA margin of 4.5–5.0% in the steady state.

**Nikhil Choudhary**
Nikhil.Choudhary@nuvama.com

**Parth Ghiya**
PARTH.GHIYA@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 1,52,268 | 2,32,580 | 3,25,641 | 4,45,842 |
| Employee costs | 25,489 | 27,702 | 35,647 | 48,805 |
| SG&A expenses | 0 | 0 | 0 | 0 |
| Other expenses | 94,622 | 1,36,226 | 1,60,565 | 1,92,417 |
| EBITDA | (27,858) | (32,293) | (16,018) | 5,485 |
| Depreciation | 6,123 | 12,319 | 13,546 | 15,316 |
| Less: Interest expense | 1,006 | 1,880 | 1,912 | 1,914 |
| Add: Other income | 3,962 | 4,808 | 9,577 | 9,859 |
| Profit before tax | (31,051) | (41,714) | (21,899) | (1,885) |
| Prov for tax | 0 | 0 | 0 | 0 |
| Less: Other adj | (117) | 21,000 | 0 | 0 |
| Reported profit | (31,142) | (20,684) | (21,899) | (1,885) |
| Less: Excp.item (net) | 117 | (21,000) | 0 | 0 |
| Adjusted profit | (31,025) | (41,684) | (21,899) | (1,885) |
| Diluted shares o/s | 2,261 | 2,505 | 2,881 | 3,203 |
| Adjusted diluted EPS | (13.7) | (16.6) | (7.6) | (0.6) |
| DPS (INR) | 0 | 0 | 0 | 0 |
| Tax rate (%) | 0 | 0 | 0 | 0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 2,286 | 2,596 | 2,596 | 2,596 |
| Reserves | 99,908 | 1,86,641 | 1,75,366 | 1,84,996 |
| Shareholders funds | 1,02,195 | 1,89,238 | 1,77,962 | 1,87,593 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 282 | 282 | 282 | 282 |
| Trade payables | 18,180 | 29,293 | 40,355 | 52,512 |
| Other liabs & prov | 17,413 | 17,413 | 17,413 | 17,413 |
| Total liabilities | 1,52,053 | 2,50,208 | 2,49,995 | 2,71,782 |
| Net block | 10,592 | 8,825 | 8,832 | 10,069 |
| Intangible assets | 25,716 | 25,263 | 24,810 | 24,357 |
| Capital WIP | 0 | 0 | 0 | 0 |
| Total fixed assets | 36,308 | 34,088 | 33,642 | 34,427 |
| Non current inv | 12,962 | 7,962 | 2,962 | 2,962 |
| Cash/cash equivalent | 32,996 | 1,26,379 | 1,23,440 | 1,28,139 |
| Sundry debtors | 24,625 | 36,340 | 49,096 | 64,775 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 33,434 | 33,711 | 34,128 | 34,752 |
| Total assets | 1,52,053 | 2,50,208 | 2,49,995 | 2,71,782 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue growth (%) | 35.4 | 52.7 | 40.0 | 36.9 |
| Gross Margin (%) | 60.6 | 56.6 | 55.3 | 55.3 |
| Other cost (% of Rev) | 62.1 | 58.6 | 49.3 | 43.2 |
| EBITDA margin (%) | (18.3) | (13.9) | (4.9) | 1.2 |
| Net profit margin (%) | (20.4) | (17.9) | (6.7) | (0.4) |
| Revenue growth (% YoY) | 35.4 | 52.7 | 40.0 | 36.9 |
| EBITDA growth (% YoY) | 26.2 | 15.9 | (50.4) | nm |
| Adj. profit growth (%) | 34.1 | 34.4 | (47.5) | (91.4) |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | (31,142) | (20,684) | (21,899) | (1,885) |
| Add: Depreciation | 6,123 | 12,319 | 13,546 | 15,316 |
| Interest (net of tax) | 1,006 | 1,880 | 1,912 | 1,914 |
| Others | 17,995 | 3,540 | (3,173) | (6,636) |
| Less: Changes in WC | (16,076) | 879 | 2,110 | 4,146 |
| Operating cash flow | (21,695) | (2,065) | (7,504) | 12,854 |
| Less: Capex | (7,508) | (10,100) | (13,100) | (16,100) |
| Free cash flow | (29,203) | (12,165) | (20,604) | (3,246) |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.0 | 82.0 | 82.0 | 82.0 |
| Capex | 7,508.1 | 10,100.0 | 13,100.0 | 16,100.0 |
| Tax rate (%) | 0 | 0 | 0 | 0 |
| Payable days | 110.9 | 105.9 | 100.9 | 95.9 |
| Recievable days | 59.0 | 57.0 | 55.0 | 53.0 |
| Dividend per share | 0 | 0 | 0 | 0 |
| Employee exp (% of rev) | 16.7 | 11.9 | 10.9 | 10.9 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | (34.6) | (14.2) | (11.9) | (1.0) |
| RoCE (%) | (32.9) | (27.3) | (10.9) | 0 |
| Inventory days | 3 | 3 | 3 | 3 |
| Receivable days | 41 | 48 | 48 | 47 |
| Payable days | 82 | 86 | 87 | 85 |
| Working cap (% sales) | 14.8 | 10.0 | 7.8 | 6.6 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | (0.3) | (0.7) | (0.7) | (0.7) |
| Interest coverage (x) | (33.8) | (23.7) | (15.5) | (5.1) |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | nm | nm | nm | nm |
| Price/BV (x) | 7.2 | 4.3 | 5.3 | 5.6 |
| EV/EBITDA (x) | (24.2) | (18.0) | (36.4) | 105.6 |
| Dividend yield (%) | 0 | 0 | 0 | 0 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 28.2 | 21.3 | (54.3) | (92.3) |
| RoE (%) | (34.6) | (14.2) | (11.9) | (1.0) |
| EBITDA growth (%) | 26.2 | 15.9 | (50.4) | nm |
| Payout ratio (%) | nm | nm | nm | nm |

*Source: Company and Nuvama estimates*

# TATA MOTORS CV

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 458 |
| 12 month price target (INR) | 530 |
| 52 Week High/Low | 485/306 |
| Market cap (INR bn/USD bn) | 1,688/18.7 |
| Free float (%) | 53.0 |
| Avg. daily value traded (INR mn) | 0.0 |

## SHAREHOLDING PATTERN

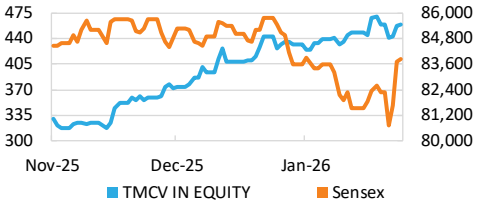
| | Dec-25 |
|---|---|
| Promoter | 42.56% |
| FII | 18.29% |
| DII | 17.17% |
| Pledge | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 694,190 | 763,403 | 849,080 | 906,371 |
| EBITDA | 80,820 | 98,861 | 117,598 | 128,252 |
| Adjusted profit | 58,480 | 73,545 | 70,392 | 76,776 |
| Diluted EPS (INR) | 15.9 | 20.0 | 19.1 | 20.9 |
| EPS growth (%) | 0 | 25.8 | (4.3) | 9.1 |
| RoAE (%) | 64.3 | 39.3 | 63.5 | 49.5 |
| P/E (x) | 28.9 | 23.0 | 24.0 | 22.0 |
| EV/EBITDA (x) | 21.4 | 17.3 | 17.2 | 15.4 |
| Dividend yield (%) | 1.3 | 1.7 | 1.7 | 1.8 |

## PRICE PERFORMANCE




# Growth prospects positive for FY27E

We hosted Head Investors Relations Ms Sneha Gavankar of TMCV at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) CV growth momentum is likely to continue in FY27E, led by improved freight availability, higher infra spends, launches and double-digit exports growth. ii) GST cuts and lower interest rates have led to a surge in replacement demand owing to better affordability. iii) Iveco acquisition provides access to emerging technologies, creates a platform on a global basis and provides diversified exposure leading to reduced cyclicality.

Retain 'BUY' with a TP of INR530/sh, on 14x FY28E EV/EBITDA for core, Iveco value at INR93/sh and Tata Capital investment value at INR14/sh.

## Key takeaways

- **FY27 outlook:** The bus segment is likely to perform well, given its cyclical strength in Q4 and Q1, while truck momentum is set to continue, supported by 17 new product launches. SCV volumes, including Ace and Intra, are projected to ramp-up further. Moreover, exports are likely to continue their double-digit growth.
- **Replacement demand:** Replacement demand in trucks is gaining momentum post-GST. Fleet operators, who had earlier deferred replacement cycles, are now shifting fleets, supported by lower EMIs resulting from reduced initial vehicle prices. A similar replacement trend is visible in the bus segment with several states replacing ageing inter-city and intra-city fleets.
- **New products:** The company has launched a portfolio of 17 next-generation trucks, including five electric models. The new line-up also includes the Azura series for the ILMCV segment (7–19T), developed on a new-generation platform.
- **SCVPU:** New launches, including Ace Pro and Ace Gold, have gained strong market acceptance and driven volume growth.
- **Fleet utilisation** has improved due to demand from the automobile, consumer durables and other sectors. Tipper utilisation remains high while MCV/ICV cargo utilisation has improved due to e-commerce activity and manufacturing output.
- **Price hike:** The company implemented a 1% price hike across its product portfolio effective January 1 to partially offset the impact of commodity inflation.
- **Market share:** The HCV segment led the recovery with further gains in tippers. Targeted market actions and launches supported the improvement.
- **Iveco:** Transaction rationale: i) Strengthens TTMT's portfolio by securing access to emerging technologies. ii) Creates a platform on a global basis, unlocking the ability to invest for long-term growth. iii) Portfolio and geographical complementarity allow it to leverage each other's strengths resulting in expected annual free cash flow synergies of up to 0.5% of consolidated sales. iv) Diversified exposure reduces cyclicality on group cash flows.

**Raghunandhan NL**
raghunandhan.nl@nuvama.com

**Manav Shah**
manavt.shah@nuvama.com

**Rahul Kumar**
rahuls.k@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 694,190 | 763,403 | 849,080 | 906,371 |
| Gross profit | 219,030 | 236,655 | 268,309 | 288,226 |
| Employee costs | 45,130 | 47,331 | 51,794 | 54,835 |
| Other expenses | 93,080 | 90,463 | 98,918 | 105,139 |
| EBITDA | 80,820 | 98,861 | 117,598 | 128,252 |
| Depreciation | 20,080 | 16,729 | 18,212 | 19,487 |
| Less: Interest expense | 11,220 | 5,421 | 16,957 | 15,764 |
| Add: Other income | 27,960 | 10,843 | 10,193 | 9,368 |
| Profit before tax | 77,480 | 87,553 | 92,621 | 102,368 |
| Prov for tax | 19,000 | 14,009 | 22,229 | 25,592 |
| Less: Other adj | (3,960) | (39,210) | 0 | 0 |
| Reported profit | 54,520 | 34,335 | 70,392 | 76,776 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 58,480 | 73,545 | 70,392 | 76,776 |
| Diluted shares o/s | 3,680 | 3,680 | 3,680 | 3,680 |
| Adjusted diluted EPS | 15.9 | 20.0 | 19.1 | 20.9 |
| DPS (INR) | 6.0 | 8.0 | 7.7 | 8.3 |
| Tax rate (%) | 24.5 | 16.0 | 24.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 7,360 | 7,360 | 7,360 | 7,360 |
| Reserves | 77,450 | 82,367 | 124,602 | 170,668 |
| Shareholders funds | 84,810 | 89,727 | 131,962 | 178,028 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 54,640 | 35,716 | 339,143 | 291,435 |
| Trade payables | 183,950 | 198,107 | 218,015 | 230,242 |
| Other liabs & prov | 48,730 | 58,097 | 59,364 | 63,567 |
| Total liabilities | 372,130 | 381,647 | 748,484 | 763,271 |
| Net block | 117,780 | 131,461 | 138,249 | 143,762 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 17,910 | 12,500 | 12,500 | 12,500 |
| Total fixed assets | 135,690 | 143,961 | 150,749 | 156,262 |
| Non current inv | 100,100 | 82,100 | 438,530 | 438,530 |
| Cash/cash equivalent | 15,790 | 23,017 | 11,757 | 11,083 |
| Sundry debtors | 22,780 | 25,051 | 27,863 | 29,743 |
| Loans & advances | 49,380 | 54,303 | 60,398 | 64,473 |
| Other assets | 48,390 | 53,215 | 59,187 | 63,181 |
| Total assets | 372,130 | 381,647 | 748,484 | 763,271 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross profit margin (%) | 31.6 | 31.0 | 31.6 | 31.8 |
| Staff cost % sales | 6.5 | 6.2 | 6.1 | 6.1 |
| Other expenses % sales | 13.4 | 11.9 | 11.7 | 11.6 |
| EBITDA margin (%) | 11.6 | 13.0 | 13.9 | 14.2 |
| Net profit margin (%) | 8.4 | 9.6 | 8.3 | 8.5 |
| Revenue growth (% YoY) | | 10.0 | 11.2 | 6.7 |
| EBITDA growth (% YoY) | | 22.3 | 19.0 | 9.1 |
| Adj. profit growth (%) | | 25.8 | (4.3) | 9.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | | 37,500 | 82,428 | 93,000 |
| Add: Depreciation | | 16,729 | 18,212 | 19,487 |
| Interest (net of tax) | | 5,421 | 16,957 | 15,764 |
| Others | | 0 | 0 | 0 |
| Less: Changes in WC | | 4,255 | 7,649 | 4,030 |
| Operating cash flow | | 49,809 | 102,925 | 106,588 |
| Less: Capex | | (25,000) | (25,000) | (25,000) |
| Free cash flow | | 24,809 | 77,925 | 81,588 |

### Assumptions

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| MHCV volumes | 219,518 | 243,264 | 260,832 | 267,124 |
| LCV volumes | 138,913 | 147,248 | 156,083 | 159,204 |
| Export volumes | 18,147 | 29,035 | 40,649 | 52,844 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | | 39.3 | 63.5 | 49.5 |
| RoCE (%) | | 70.2 | 36.7 | 25.1 |
| Inventory days | | 23 | 23 | 24 |
| Receivable days | | 11 | 11 | 12 |
| Payable days | | 132 | 131 | 132 |
| Working cap (% sales) | | (15.4) | (14.6) | (14.4) |
| Gross debt/equity (x) | | 0.4 | 2.6 | 1.6 |
| Net debt/equity (x) | | (0.2) | 2.5 | 1.6 |
| Interest coverage (x) | | 15.1 | 5.9 | 6.9 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 28.9 | 23.0 | 24.0 | 22.0 |
| Price/BV (x) | 20.0 | 18.9 | 12.8 | 9.5 |
| EV/EBITDA (x) | 21.4 | 17.3 | 17.2 | 15.4 |
| Dividend yield (%) | 1.3 | 1.7 | 1.7 | 1.8 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | | 25.8 | (4.3) | 9.1 |
| RoE (%) | | 39.3 | 63.5 | 49.5 |
| EBITDA growth (%) | | 22.3 | 19.0 | 9.1 |
| Payout ratio (%) | | 85.7 | 40.0 | 40.0 |

*Source: Company and Nuvama estimates*

*Note: Due to De-merger, FY25 cash flow data is not yet available.*

# VEDANTA

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 671 |
| 12 month price target (INR) | 899 |
| 52 Week High/Low | 770/362 |
| Market cap (INR bn/USD bn) | 2,624/29.0 |
| Free float (%) | 49.9 |
| Avg. daily value traded (INR mn) | 10,184.3 |

## SHAREHOLDING PATTERN

| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 56.38% | 56.38% | 56.38% |
| FII | 12.15% | 11.08% | 10.60% |
| DII | 15.30% | 16.24% | 16.47% |
| Others | 16.17% | 16.30% | 16.55% |

## FINANCIALS

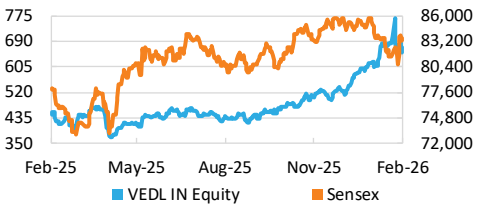
(INR bn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 1,529.7 | 1,600.9 | 1,898.2 | 1,908.4 |
| EBITDA | 423.4 | 548.0 | 770.1 | 751.3 |
| Adjusted profit | 149.9 | 205.1 | 343.5 | 322.5 |
| Diluted EPS (INR) | 38.3 | 52.5 | 87.9 | 82.5 |
| EPS growth (%) | 236.4 | 36.9 | 67.5 | (6.1) |
| RoAE (%) | 36.5 | 47.7 | 60.8 | 41.0 |
| P/E (x) | 17.7 | 12.9 | 7.7 | 8.2 |
| EV/EBITDA (x) | 7.9 | 6.0 | 4.0 | 3.8 |
| Dividend yield (%) | 6.3 | 5.2 | 2.9 | 2.9 |

## CHANGE IN ESTIMATES

| (INR bn) | Revised estimates | | % Revision | |
|---|---|---|---|---|
| Year to March | FY27E | FY28E | FY27E | FY28E |
| Revenue | 1,898.2 | 1,908.4 | 0 | 0 |
| EBITDA | 770.1 | 751.3 | 0 | 0 |
| Adjusted profit | 343.5 | 322.5 | 0 | 0 |
| Diluted EPS (INR) | 87.9 | 82.5 | 0 | 0 |

## PRICE PERFORMANCE




# Price tailwinds to inflate earnings

We hosted top management of Vedanta at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) Demerger process and listing of separate companies to be complete by May-26, unlocking value. ii) Aluminium expansion ramp-up, cost saving through increased captive alumina and commissioning of coal and bauxite mines in FY27. Iii) Debt peaks out.

Vedanta's efforts on demerger, delivery and deleveraging are on course to pay off, supported by tailwinds of commodity prices. We expect EBITDA to increase at a CAGR of 21% over FY25–28E. Retain 'BUY' with a TP of INR899, valued on SotP basis.

## Key takeaways

- **Aluminium cost reduction to continue:** Captive alumina mix is ramping up from 65% in Q3FY26 to ~80% in FY27. The benefit on lower spot alumina prices were restricted as purchased alumina were linked to aluminium prices. However, it will be over in Q4FY26 and from Q1FY27, purchased alumina will largely be on spot basis. Overall, aluminium CoP/t is likely to remain flat in Q4FY26 and can fall by ~USD50/t to ~USD1,700/t in Q1FY27. On full ramp-up of alumina capacity, CoP is likely to fall to USD1,650/t in FY27 and further through ramp-up of Sijimali bauxite mine and coal mines, CoP to further fall to USD1,550/t in FY28.

- **Update on coal and bauxite mines:** Kurloi coal mine (8mtpa) has received both Forest Clearance 1 and 2 and other approvals are in progress. It has contracted MDO for coal mining and expected to start mining by Q2FY26-end (in case of delay in getting approvals). The Ghograpalli coal mine (20mtpa) completed public hearing on 26th Jan'26 and expects to receive other clearances in FY27. Sijimali bauxite mine – FC1 received in Dec'25-end and is likely start mining post monsoon.

- **Power/zinc expansion update:** The Athena unit 2 of 600MW is likely to commission in H2FY27 taking total power capacity to 4.8GW. For Meenakshi and Athena, it has signed PPAs of 300MW and 200MW starting from Apr-26. **A 200ktpa zinc operation at Gamsberg to be operational by H1FY27.**

- **Copper expansion**: VEDL has received copper mining license in Saudi Arabia. It is setting up 400ktpa mining, smelter and refining complex at capex of USD2bn. The refinery will complete in 18 months at a capex of USD230mn. Vedanta is working to restart the Tuticorin smelter plant.

**Demerger:** The company is going ahead and working on getting other regulatory approvals and expects demerger process to be completed by May-26. Effective date of demerger is April 1, 2026 and record date for shareholders should be in Apr-26.

**Ashish Kejriwal**
Ashish.Kejriwal@nuvama.com

**Kunal Kothari**
kunal.kothari@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 15,29,680 | 16,00,925 | 18,98,248 | 19,08,445 |
| Gross profit | 10,39,460 | 11,27,096 | 13,90,581 | 13,87,734 |
| Employee costs | 35,030 | 38,533 | 42,386 | 46,625 |
| Other expenses | 3,55,010 | 3,51,060 | 3,75,029 | 3,81,515 |
| EBITDA | 4,23,430 | 5,47,970 | 7,70,100 | 7,51,309 |
| Depreciation | 1,10,960 | 1,18,385 | 1,26,198 | 1,37,879 |
| Less: Interest expense | 99,140 | 80,851 | 78,349 | 80,902 |
| Add: Other income | 36,750 | 27,747 | 26,235 | 26,478 |
| Profit before tax | 2,50,080 | 3,76,482 | 5,91,787 | 5,59,006 |
| Prov for tax | 63,420 | 95,891 | 1,36,961 | 1,30,349 |
| Less: Other adjustment | 10 | 0 | 0 | 0 |
| Reported profit | 1,31,200 | 2,05,141 | 3,43,514 | 3,22,483 |
| Less: Excp.item (net) | 18,680 | 0 | 0 | 0 |
| Adjusted profit | 1,49,880 | 2,05,141 | 3,43,514 | 3,22,483 |
| Diluted shares o/s | 3,910 | 3,910 | 3,910 | 3,910 |
| Adjusted diluted EPS | 38 | 52 | 88 | 82 |
| DPS (INR) | 42.9 | 35.0 | 20.0 | 20.0 |
| Tax rate (%) | 25.4 | 25.5 | 23.1 | 23.3 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 3,910 | 3,910 | 3,910 | 3,910 |
| Reserves | 4,08,210 | 4,44,254 | 6,77,320 | 8,89,355 |
| Shareholders funds | 4,12,120 | 4,48,164 | 6,81,230 | 8,93,265 |
| Minority interest | 1,25,410 | 2,00,860 | 3,12,172 | 4,18,346 |
| Borrowings | 9,01,460 | 8,05,202 | 7,15,353 | 6,16,303 |
| Trade payables | 1,01,950 | 1,06,698 | 1,26,514 | 1,27,194 |
| Other liabs & prov | 3,89,890 | 3,96,502 | 4,01,452 | 4,02,374 |
| Total liabilities | 20,32,930 | 20,59,526 | 23,38,822 | 25,59,583 |
| Net block | 9,78,340 | 10,46,055 | 11,04,657 | 11,51,578 |
| Intangible assets | 50,280 | 50,280 | 50,280 | 50,280 |
| Capital WIP | 3,09,390 | 3,10,790 | 3,78,315 | 4,30,710 |
| Total fixed assets | 13,38,010 | 14,07,125 | 15,33,252 | 16,32,568 |
| Non current inv | 16,230 | 16,230 | 16,230 | 16,230 |
| Cash/cash equivalent | 2,07,490 | 1,53,082 | 2,70,411 | 3,80,169 |
| Sundry debtors | 36,360 | 39,475 | 46,806 | 47,058 |
| Loans & advances | 18,400 | 18,400 | 18,400 | 18,400 |
| Other assets | 2,55,400 | 2,64,173 | 2,92,684 | 3,04,119 |
| Total assets | 20,32,930 | 20,59,526 | 23,38,822 | 25,59,583 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Net debt/EBITDA(x) | 1.6 | 1.2 | 0.6 | 0.3 |
| Free cashflow yield (%) | 8.6 | 8.0 | 12.0 | 12.0 |
| CoGS/Total Income | 0.3 | 0.3 | 0.3 | 0.3 |
| EBITDA margin (%) | 27.7 | 34.2 | 40.6 | 39.4 |
| Net profit margin (%) | 9.8 | 12.8 | 18.1 | 16.9 |
| Revenue growth (% YoY) | 6.4 | 4.7 | 18.6 | 0.5 |
| EBITDA growth (% YoY) | 20.3 | 29.4 | 40.5 | (2.4) |
| Adj. profit growth (%) | 253.6 | 36.9 | 67.5 | (6.1) |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| PBT | 2,68,770 | 3,76,482 | 5,91,787 | 5,59,006 |
| Add: Depreciation | 1,11,390 | 1,18,385 | 1,26,198 | 1,37,879 |
| Interest (net of tax) | 73,840 | 0 | 0 | 0 |
| Others | (20,900) | 0 | 0 | 0 |
| Less: Changes in WC | (6,650) | (528) | (11,075) | (10,085) |
| Operating cash flow | 3,95,620 | 3,98,448 | 5,69,950 | 5,56,451 |
| Less: Capex | (1,67,140) | (1,87,500) | (2,52,325) | (2,37,195) |
| Free cash flow | 2,28,480 | 2,10,948 | 3,17,625 | 3,19,256 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.0 | 6.2 | 6.2 | 6.2 |
| Repo rate (%) | 6.0 | 5.0 | 5.0 | 5.0 |
| USD/INR (average) | 84.7 | 88.0 | 89.0 | 89.0 |
| Total Zinc price (USD/t) | 3,124 | 3,141 | 3,250 | 3,150 |
| Total alum. price (USD/t) | 2,692 | 2,797 | 3,165 | 3,000 |
| Brent crude (USD/bbl) | 70.0 | 65.0 | 65.0 | 65.0 |
| Zinc mined metal volumes-India (kt) | 1,079 | 1,095 | 1,107 | 1,138 |
| Aluminium sales (kt) | 2,416 | 2,453 | 2,681 | 2,836 |
| Crude volume (kboepd) | 102.6 | 94.7 | 93.6 | 95.4 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 36.5 | 47.7 | 60.8 | 41.0 |
| RoCE (%) | 25.6 | 31.6 | 42.4 | 35.2 |
| Inventory days | 33 | 34 | 32 | 36 |
| Receivable days | 9 | 9 | 8 | 9 |
| Payable days | 24 | 24 | 22 | 24 |
| Working cap (% sales) | (3.4) | (3.2) | (2.1) | (1.5) |
| Gross debt/equity (x) | 1.7 | 1.2 | 0.7 | 0.5 |
| Net debt/equity (x) | 1.3 | 1.0 | 0.4 | 0.2 |
| Interest coverage (x) | 3.2 | 5.3 | 8.2 | 7.6 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 17.7 | 12.9 | 7.7 | 8.2 |
| Price/BV (x) | 6.4 | 5.9 | 3.9 | 3.0 |
| EV/EBITDA (x) | 7.9 | 6.0 | 4.0 | 3.8 |
| Dividend yield (%) | 6.3 | 5.2 | 2.9 | 2.9 |

*Source: Company and Nuvama estimates*

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 236.4 | 36.9 | 67.5 | (6.1) |
| RoE (%) | 36.5 | 47.7 | 60.8 | 41.0 |
| EBITDA growth (%) | 20.3 | 29.4 | 40.5 | (2.4) |
| Payout ratio (%) | 127.8 | 66.7 | 22.8 | 24.2 |

# VOLTAMP TRANSFORMERS

POST-CONFERENCE NOTES

nuvama institutional equities

## KEY DATA

| Rating | BUY |
|---|---|
| Sector relative | Outperformer |
| Price (INR) | 8,185 |
| 12 month price target (INR) | 10,200 |
| 52 Week High/Low | 10,088/5,900 |
| Market cap (INR bn/USD bn) | 81/0.9 |
| Free float (%) | 66.7 |
| Avg. daily value traded (INR mn) | 356.4 |

## SHAREHOLDING PATTERN

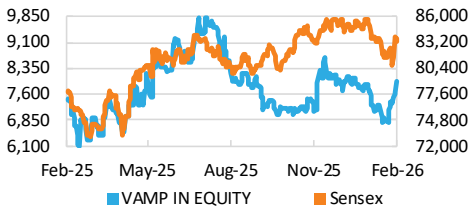
| | Dec-25 | Sep-25 | Jun-25 |
|---|---|---|---|
| Promoter | 30.00% | 30.00% | 37.80% |
| FII | 21.78% | 22.85% | 23.23% |
| DII | 31.38% | 29.69% | 23.41% |
| Pledge | 0.00% | 0.00% | 0.00% |

## FINANCIALS

(INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Revenue | 19,342 | 22,243 | 25,623 | 28,683 |
| EBITDA | 3,662 | 3,891 | 4,434 | 4,741 |
| Adjusted profit | 3,254 | 3,553 | 3,915 | 4,115 |
| Diluted EPS (INR) | 321.6 | 351.2 | 386.9 | 406.7 |
| EPS growth (%) | 5.9 | 9.2 | 10.2 | 5.1 |
| RoAE (%) | 22.1 | 20.7 | 19.8 | 18.3 |
| P/E (x) | 24.7 | 22.6 | 20.6 | 19.6 |
| EV/EBITDA (x) | 21.9 | 20.5 | 17.6 | 16.1 |
| Dividend yield (%) | 1.3 | 1.5 | 1.6 | 1.6 |

## PRICE PERFORMANCE




# Disciplined steady compounder

We hosted top management of Voltamp Transformers (VAMP) at the 2026 edition of the flagship Nuvama Conference themed *India: Shoring up Self-Reliance*. Highlights: i) INR2bn capex to add 6,000MVA capacity (up to 200kV) by Q1FY27; 3,000MVA to contribute to revenue in first nine months of FY27. ii) Rising competition to normalise margins ahead. iii) Enquiry pipeline remains strong though copper price spikes have temporarily slowed order closures.

VAMP has an experienced management team with a strong track record focused on a diversified clientele with good credit quality resulting in healthy cash flow generation. Retain 'BUY' with a TP of INR10,200 (25x FY28E EPS).

## Key takeaways

- **Business model:** VAMP ensures its execution cycle remains within eight–ten months by avoiding large tender-driven projects. It reports consistently high CUF levels and has a diversified customer base of over 3,000 clients, with strict 20% sectoral exposure limits across 20-plus industries. VAMP continues to prioritise direct corporate and industrial orders over government and EPC contracts.

- **Disciplined order selection and return-focused strategy:** Despite operating in a highly competitive sub-220kV segment, VAMP has always been selective in picking orders, prioritising customers and projects with favourable WC terms and stronger return profiles. This disciplined approach aligns with its strategic intent of maximising RoEs, maintaining a high quality/margin accretive business model.

- **Execution:** VAMP emphasises on disciplined execution, highlighted by a track record of on-time deliveries despite supply chain disruptions. It avoids projects where supply chain control is limited, prioritising execution certainty and quality. VAMP's current capacity of 14,000MVA is operating at 100%-plus CUF, reflecting strong underlying demand while its cash conversion cycle of three weeks–six months is aided by efficient execution and working capital management.

- **Expansion plans:** VAMP is setting up a new Vadodara transformer facility (up to 220kV) with ~INR2bn capex, targeted for commissioning by Q1FY27. Phase 1 shall add 6,000MVA, taking total capacity to 20,000MVA with 3,000MVA likely to contribute to revenue over first nine months.

- **Prudent procurement strategy eliminates balance sheet risk:** VAMP avoids direct CRGO imports, eliminating large foreign-currency payables and high-value inventory risks. Instead, the company sources CRGO through a vendor-driven model, routing all imports through domestic processors who absorb both price and currency risk. For copper, VAMP follows a prudent hedging policy to manage exposure and minimise the financial impact of adverse price movements. Additional protection comes from its approach to carry out timely price adjustments for its offerings and selective order booking, ensuring that only orders with adequate margin buffers are accepted.

**Subhadip Mitra**
Subhadip.Mitra@nuvama.com

**Srishti Gandhi**
srishti.gandhi@nuvama.com

**Vikram Datwani**
Vikram.Datwani@nuvama.com

**Divyam Sureka**
divyam.sureka@nuvama.com

# Financial Statements

### Income Statement (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Total operating income | 19,342 | 22,243 | 25,623 | 28,683 |
| Gross profit | 5,412 | 5,894 | 6,662 | 7,314 |
| Employee costs | 602 | 668 | 742 | 823 |
| Other expenses | 1,148 | 1,335 | 1,486 | 1,750 |
| EBITDA | 3,662 | 3,891 | 4,434 | 4,741 |
| Depreciation | 132 | 148 | 259 | 345 |
| Less: Interest expense | 14 | 14 | 18 | 17 |
| Add: Other income | 847 | 1,009 | 1,063 | 1,108 |
| Profit before tax | 4,363 | 4,738 | 5,220 | 5,487 |
| Prov for tax | 1,109 | 1,184 | 1,305 | 1,372 |
| Less: Other adj | 0 | 0 | 0 | 0 |
| Reported profit | 3,254 | 3,553 | 3,915 | 4,115 |
| Less: Excp.item (net) | 0 | 0 | 0 | 0 |
| Adjusted profit | 3,254 | 3,553 | 3,915 | 4,115 |
| Diluted shares o/s | 10 | 10 | 10 | 10 |
| Adjusted diluted EPS | 321.6 | 351.2 | 386.9 | 406.7 |
| DPS (INR) | 100.0 | 122.9 | 123.8 | 130.2 |
| Tax rate (%) | 25.4 | 25.0 | 25.0 | 25.0 |

### Balance Sheet (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Share capital | 101 | 101 | 101 | 101 |
| Reserves | 15,775 | 18,317 | 20,988 | 23,850 |
| Shareholders funds | 15,876 | 18,418 | 21,089 | 23,951 |
| Minority interest | 0 | 0 | 0 | 0 |
| Borrowings | 21 | 21 | 21 | 21 |
| Trade payables | 42 | 45 | 52 | 59 |
| Other liabs & prov | 1,817 | 1,817 | 1,817 | 1,817 |
| Total liabilities | 17,757 | 20,301 | 22,979 | 25,848 |
| Net block | 1,178 | 1,520 | 2,905 | 3,059 |
| Intangible assets | 0 | 0 | 0 | 0 |
| Capital WIP | 34 | 1,144 | 0 | 0 |
| Total fixed assets | 1,212 | 2,664 | 2,905 | 3,059 |
| Non current inv | 9,322 | 9,322 | 9,322 | 9,322 |
| Cash/cash equivalent | 388 | 741 | 2,240 | 4,097 |
| Sundry debtors | 2,926 | 3,352 | 3,861 | 4,322 |
| Loans & advances | 0 | 0 | 0 | 0 |
| Other assets | 3,909 | 4,222 | 4,652 | 5,048 |
| Total assets | 17,757 | 20,301 | 22,979 | 25,848 |

### Important Ratios (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| COGS (% of rev) | 72.0 | 73.5 | 74.0 | 74.5 |
| Employee cost (% of rev) | 3.1 | 3.0 | 2.9 | 2.9 |
| Other exp (% of rev) | 5.9 | 6.0 | 5.8 | 6.1 |
| EBITDA margin (%) | 18.9 | 17.5 | 17.3 | 16.5 |
| Net profit margin (%) | 16.8 | 16.0 | 15.3 | 14.3 |
| Revenue growth (% YoY) | 19.7 | 15.0 | 15.2 | 11.9 |
| EBITDA growth (% YoY) | 13.6 | 6.3 | 13.9 | 6.9 |
| Adj. profit growth (%) | 5.9 | 9.2 | 10.2 | 5.1 |

### Free Cash Flow (INR mn)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Reported profit | 3,343 | 3,553 | 3,915 | 4,115 |
| Add: Depreciation | 132 | 148 | 259 | 345 |
| Interest (net of tax) | (338) | (994) | (1,045) | (1,091) |
| Others | (446) | 0 | 0 | 0 |
| Less: Changes in WC | (499) | (736) | (932) | (850) |
| Operating cash flow | 2,192 | 1,971 | 2,197 | 2,519 |
| Less: Capex | 603 | 1,600 | 500 | 500 |
| Free cash flow | 1,590 | 371 | 1,697 | 2,019 |

### Assumptions (%)

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| GDP (YoY %) | 6.5 | 6.6 | 7.0 | 7.5 |
| Repo rate (%) | 6.3 | 5.0 | 4.5 | 5.5 |
| USD/INR (average) | 84.6 | 87.5 | 87.0 | 88.0 |
| Gross margin (%) | 28.0 | 26.5 | 26.0 | 25.5 |
| EBITDA margin (%) | 18.9 | 17.5 | 17.3 | 16.5 |
| Tax rate (%) | 25.4 | 25.0 | 25.0 | 25.0 |
| Capex (INR mn) | 602.6 | 1,600.0 | 500.0 | 500.0 |

### Key Ratios

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| RoE (%) | 22.1 | 20.7 | 19.8 | 18.3 |
| RoCE (%) | 29.7 | 27.7 | 26.5 | 24.4 |
| Inventory days | 61 | 57 | 56 | 57 |
| Receivable days | 50 | 52 | 51 | 52 |
| Payable days | 2 | 1 | 1 | 1 |
| Working cap (% sales) | 26.4 | 26.3 | 26.4 | 26.6 |
| Gross debt/equity (x) | 0 | 0 | 0 | 0 |
| Net debt/equity (x) | 0 | 0 | (0.1) | (0.2) |
| Interest coverage (x) | 244.2 | 258.9 | 232.8 | 255.4 |

### Valuation Metrics

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Diluted P/E (x) | 24.7 | 22.6 | 20.6 | 19.6 |
| Price/BV (x) | 5.1 | 4.4 | 3.8 | 3.4 |
| EV/EBITDA (x) | 21.9 | 20.5 | 17.6 | 16.1 |
| Dividend yield (%) | 1.3 | 1.5 | 1.6 | 1.6 |

### Valuation Drivers

| Year to March | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| EPS growth (%) | 5.9 | 9.2 | 10.2 | 5.1 |
| RoE (%) | 22.1 | 20.7 | 19.8 | 18.3 |
| EBITDA growth (%) | 13.6 | 6.3 | 13.9 | 6.9 |
| Payout ratio (%) | 31.1 | 35.0 | 32.0 | 32.0 |

*Source: Company and Nuvama estimates*

## DISCLAIMER

Nuvama Wealth Management Limited (defined as "NWML" or "Research Entity") a company duly incorporated under the Companies Act, 1956 (CIN No L67110MH1993PLC344634) having its Registered office situated at 801- 804, Wing A, Building No. 3, Inspire BKC, G Block, Bandra Kurla Complex, Bandra East, Mumbai – 400 051 is regulated by the Securities and Exchange Board of India ("SEBI") and is licensed to carry on the business of broking, Investment Adviser, Research Analyst and other related activities. Name of Compliance officer: Mr. Abhijit Talekar, E-mail address: researchcompliance@nuvama.com Contact details +91 9004510449 Investor Grievance e-mail address- grievance.nwm@nuvama.com

This Report has been prepared by NWML in the capacity of a Research Analyst having SEBI Registration No.INH000011316 and Enlistment no. 5723 with BSE and distributed as per SEBI (Research Analysts) Regulations 2014. This report does not constitute an offer or solicitation for the purchase or sale of any financial instrument or as an official confirmation of any transaction. Securities as defined in clause (h) of section 2 of the Securities Contracts (Regulation) Act, 1956 includes Financial Instruments and Currency Derivatives. The information contained herein is from publicly available data or other sources believed to be reliable. This report is provided for assistance only and is not intended to be and must not alone be taken as the basis for an investment decision. The user assumes the entire risk of any use made of this information. Each recipient of this report should make such investigation as it deems necessary to arrive at an independent evaluation of an investment in Securities referred to in this document (including the merits and risks involved), and should consult his own advisors to determine the merits and risks of such investment. The investment discussed or views expressed may not be suitable for all investors.

This information is strictly confidential and is being furnished to you solely for your information. This information should not be reproduced or redistributed or passed on directly or indirectly in any form to any other person or published, copied, in whole or in part, for any purpose. This report is not directed or intended for distribution to, or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction, where such distribution, publication, availability or use would be contrary to law, regulation or which would subject NWML and associates, subsidiaries / group companies to any registration or licensing requirements within such jurisdiction. The distribution of this report in certain jurisdictions may be restricted by law, and persons in whose possession this report comes, should observe, any such restrictions. The information given in this report is as of the date of this report and there can be no assurance that future results or events will be consistent with this information. This information is subject to change without any prior notice. NWML reserves the right to make modifications and alterations to this statement as may be required from time to time. NWML or any of its associates / group companies shall not be in any way responsible for any loss or damage that may arise to any person from any inadvertent error in the information contained in this report. NWML is committed to providing independent and transparent recommendation to its clients. Neither NWML nor any of its associates, group companies, directors, employees, agents or representatives shall be liable for any damages whether direct, indirect, special or consequential including loss of revenue or lost profits that may arise from or in connection with the use of the information. Our proprietary trading and investment businesses may make investment decisions that are inconsistent with the recommendations expressed herein. Past performance is not necessarily a guide to future performance .The disclosures of interest statements incorporated in this report are provided solely to enhance the transparency and should not be treated as endorsement of the views expressed in the report. The information provided in these reports remains, unless otherwise stated, the copyright of NWML. All layout, design, original artwork, concepts and other Intellectual Properties, remains the property and copyright of NWML and may not be used in any form or for any purpose whatsoever by any party without the express written permission of the copyright holders.

NWML shall not be liable for any delay or any other interruption which may occur in presenting the data due to any reason including network (Internet) reasons or snags in the system, break down of the system or any other equipment, server breakdown, maintenance shutdown, breakdown of communication services or inability of the NWML to present the data. In no event shall NWML be liable for any damages, including without limitation direct or indirect, special, incidental, or consequential damages, losses or expenses arising in connection with the data presented by the NWML through this report.

We offer our research services to clients as well as our prospects. Though this report is disseminated to all the customers simultaneously, not all customers may receive this report at the same time. We will not treat recipients other than intended recipients as customers by virtue of their receiving this report.

NWML and its associates, officer, directors, and employees, research analyst (including relatives) worldwide may: (a) from time to time, have long or short positions in, and buy or sell the Securities, mentioned herein or (b) be engaged in any other transaction involving such Securities and earn brokerage or other compensation or act as a market maker in the financial instruments of the subject company/company(ies) discussed herein or act as advisor or lender/borrower to such company(ies) or have other potential/material conflict of interest with respect to any recommendation and related information and opinions at the time of publication of research report or at the time of public appearance. (c) NWML may have proprietary long/short position in the above mentioned scrip(s) and therefore should be considered as interested. (d) The views provided herein are general in nature and do not consider risk appetite or investment objective of any particular investor; readers are requested to take independent professional advice before investing. This should not be construed as invitation or solicitation to do business with NWML

NWML or its associates may have received compensation from the subject company in the past 12 months. NWML or its associates may have managed or co-managed public offering of securities for the subject company in the past 12 months. NWML or its associates may have received compensation for investment banking or merchant banking or brokerage services from the subject company in the past 12 months. NWML or its associates may have received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past 12 months. NWML or its associates have not received any compensation or other benefits from the Subject Company or third party in connection with the research report. Research analyst or his/her relative or NWML's associates may have financial interest in the subject company. NWML and/or its Group Companies, their Directors, affiliates and/or employees may have interests/ positions, financial or otherwise in the Securities/Currencies and other investment products mentioned in this report. NWML, its associates, research analyst and his/her relative may have other potential/material conflict of interest with respect to any recommendation and related information and opinions at the time of publication of research report or at the time of public appearance.

Participants in foreign exchange transactions may incur risks arising from several factors, including the following: ( i) exchange rates can be volatile and are subject to large fluctuations; ( ii) the value of currencies may be affected by numerous market factors, including world and national economic, political and regulatory events, events in equity and debt markets and changes in interest rates; and (iii) currencies may be subject to devaluation or government imposed exchange controls which could affect the value of the currency. Investors in securities such as ADRs and Currency Derivatives, whose values are affected by the currency of an underlying security, effectively assume currency risk.

Research analyst has served as an officer, director or employee of subject Company in the last 12 month period ending on the last day of the month immediately preceding the date of publication of the Report.: No

NWML has financial interest in the subject companies: No

NWML's Associates may have actual / beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of research report.

Research analyst or his/her relative may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of research report

NWML has actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of research report: No

Subject company may have been client during twelve months preceding the date of distribution of the research report.

There were no instances of non-compliance by NWML on any matter related to the capital markets, resulting in significant and material disciplinary action during the last three years.
A graph of daily closing prices of the securities is also available at www.nseindia.com

Artificial Intelligence ("AI") tools may have been used (i) during the information gathering stage for compiling or collating the data from-(a) publicly available data sources; (b) databases to which NWML subscribes; and (c) internally generated research data, and/or (ii) for compiling summaries of the report.

# DISCLAIMER

**Analyst Certification:**
The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

**Additional Disclaimers**

**Disclaimer for U.S. Persons**
This research report is a product of NWML, which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (U.S.) and are not associated persons of any U.S. regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a U.S. broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with U.S. rules or regulations regarding, among other things, communications with a subject company, public appearances and trading securities held by a research analyst account.

This report is intended for distribution by NWML only to "Major Institutional Investors" as defined by Rule 15a-6(b)(4) of the U.S. Securities and Exchange Act, 1934 (the Exchange Act) and interpretations thereof by U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a 6(a)(2). If the recipient of this report is not a Major Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated and/or transmitted onward to any U.S. person, which is not the Major Institutional Investor.

In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major Institutional Investors, NWML has entered into an agreement with a U.S. registered broker-dealer, Nuvama Financial Services Inc. (formerly Edelweiss Financial Services Inc.) ("NFSI"). Transactions in securities discussed in this research report should be effected through NFSI.

**Disclaimer for U.K. Persons**
The contents of this research report have not been approved by an authorised person within the meaning of the Financial Services and Markets Act 2000 ("FSMA").

In the United Kingdom, this research report is being distributed only to and is directed only at (a) persons who have professional experience in matters relating to investments falling within Article 19(5) of the FSMA (Financial Promotion) Order 2005 (the "Order"); (b) persons falling within Article 49(2)(a) to (d) of the Order (including high net worth companies and unincorporated associations); and (c) any other persons to whom it may otherwise lawfully be communicated (all such persons together being referred to as "relevant persons").

This research report must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this research report relates is available only to relevant persons and will be engaged in only with relevant persons. Any person who is not a relevant person should not act or rely on this research report or any of its contents. This research report must not be distributed, published, reproduced or disclosed (in whole or in part) by recipients to any other person.

**Disclaimer for Canadian Persons**
This research report is a product of NWML, which is the employer of the research analysts who have prepared the research report. The research analysts preparing the research report are resident outside the Canada and are not associated persons of any Canadian registered adviser and/or dealer and, therefore, the analysts are not subject to supervision by a Canadian registered adviser and/or dealer, and are not required to satisfy the regulatory licensing requirements of the Ontario Securities Commission, other Canadian provincial securities regulators, the Investment Industry Regulatory Organization of Canada and are not required to otherwise comply with Canadian rules or regulations regarding, among other things, the research analysts' business or relationship with a subject company or trading of securities by a research analyst.

This report is intended for distribution by NWML only to "Permitted Clients" (as defined in National Instrument 31-103 ("NI 31-103")) who are resident in the Province of Ontario, Canada (an "Ontario Permitted Client"). If the recipient of this report is not an Ontario Permitted Client, as specified above, then the recipient should not act upon this report and should return the report to the sender. Further, this report may not be copied, duplicated and/or transmitted onward to any Canadian person.

NWML is relying on an exemption from the adviser and/or dealer registration requirements under NI 31-103 available to certain international advisers and/or dealers. Please be advised that (i) NWML is not registered in the Province of Ontario to trade in securities nor is it registered in the Province of Ontario to provide advice with respect to securities; (ii) NWML's head office or principal place of business is located in India; (iii) all or substantially all of NWML's assets may be situated outside of Canada; (iv) there may be difficulty enforcing legal rights against NWML because of the above; and (v) the name and address of the NWML's agent for service of process in the Province of Ontario is: Bamac Services Inc., 181 Bay Street, Suite 2100, Toronto, Ontario M5J 2T3 Canada.

**Disclaimer for Singapore Persons**
In Singapore, this report is being distributed by Nuvama Investment Advisors Private Limited (NIAPL) (Previously Edelweiss Investment Advisors Private Limited ("EIAPL")) (Co. Reg. No. 201016306H) which is a holder of a capital markets services license and an exempt financial adviser in Singapore and (ii) solely to persons who qualify as "institutional investors" or "accredited investors" as defined in section 4A(1) of the Securities and Futures Act, Chapter 289 of Singapore ("the SFA"). Pursuant to regulations 33, 34, 35 and 36 of the Financial Advisers Regulations ("FAR"), sections 25, 27 and 36 of the Financial Advisers Act, Chapter 110 of Singapore shall not apply to NIAPL when providing any financial advisory services to an accredited investor (as defined in regulation 36 of the FAR. Persons in Singapore should contact NIAPL in respect of any matter arising from, or in connection with this publication/communication. This report is not suitable for private investors.

**Disclaimer for Hong Kong persons**
This report is distributed in Hong Kong by Nuvama Investment Advisors (Hong Kong) Private Limited (NIAHK) (Previously Edelweiss Securities (Hong Kong) Private Limited (ESHK)), a licensed corporation (BOM -874) licensed and regulated by the Hong Kong Securities and Futures Commission (SFC) pursuant to Section 116(1) of the Securities and Futures Ordinance "SFO". This report is intended for distribution only to "Professional Investors" as defined in Part I of Schedule 1 to SFO. Any investment or investment activity to which this document relates is only available to professional investor and will be engaged only with professional investors." Nothing here is an offer or solicitation of these securities, products and services in any jurisdiction where their offer or sale is not qualified or exempt from registration. The report also does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of any individual recipients. The Indian Analyst(s) who compile this report is/are not located in Hong Kong and is/are not licensed to carry on regulated activities in Hong Kong and does not / do not hold themselves out as being able to do so.

INVESTMENT IN SECURITIES MARKET ARE SUBJECT TO MARKET RISKS. READ ALL THE RELATED DOCUMENTS CAREFULLY BEFORE INVESTING. REGISTRATION GRANTED BY SEBI, MEMBERSHIP OF RAASB AND CERTIFICATION FROM NISM IN NO WAY GUARANTEE PERFORMANCE OF NWML OR PROVIDE ANY ASSURANCE OF RETURNS TO INVESTORS AND CLIENTS.

Abneesh Roy
Head of Research Committee
Abneesh.Roy@nuvama.com

ABNEESH KUMAR ROY

Digitally signed by ABNEESH KUMAR ROY
DN: c=IN, o=Personal, pseudonym=47eWj0vlzKRUdWSEFvWUquxP0HUOyNu, 2.5.4.20=e648fc28137c6fa4c0e6296c524ee518d54fd4f7ba4be4d07cb750c531c68e2c, postalCode=400098, st=Maharashtra, serialNumber=7370c9de10fb28bbf7cbc6f71afe3cfe848fa7245a8d681629dc3093fb2a8ea9, cn=ABNEESH KUMAR ROY
Date: 2026.02.10 05:52:43 +05'30'
Adobe Acrobat version: 2025.001.21184

nuvama
institutional equities

Nuvama Institutional Equities, Inspire BKC, G Block, 8th Floor, Bandra Kurla Complex, Mumbai 400 051
Tel: +91 22 6620 3030. Email: research@nuvama.com